User Manual

Consolidation

This manual provides an overview of the consolidation process and its key functionalities within CCH Tagetik.

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CCH® Tagetik

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Introduction to consolidated financial statements

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Consolidated financial statements

Introduction

Consolidated financial statements gather the data of the entities in a group to be able to show them and analyse the returns as if the entities were a single entity.

CCH Tagetik allows you to run the following actions:

- Manage complex statutory and management consolidation processes and intercompany entry reconciliation processes.
- Track the consolidation operations in a structured and standardised environment with the planning and budget activities.
- Ensure consistency between statutory and management reporting.
- Unify the closing process of individual entities (*legal entity*) with the group consolidation process.
- Manage several sets of accounting standards (IFRS, local GAAP, etc.), thus improving the visibility and transparency of data and guaranteeing compliance with regulations.
- Reduce closing cycle and reporting production times.

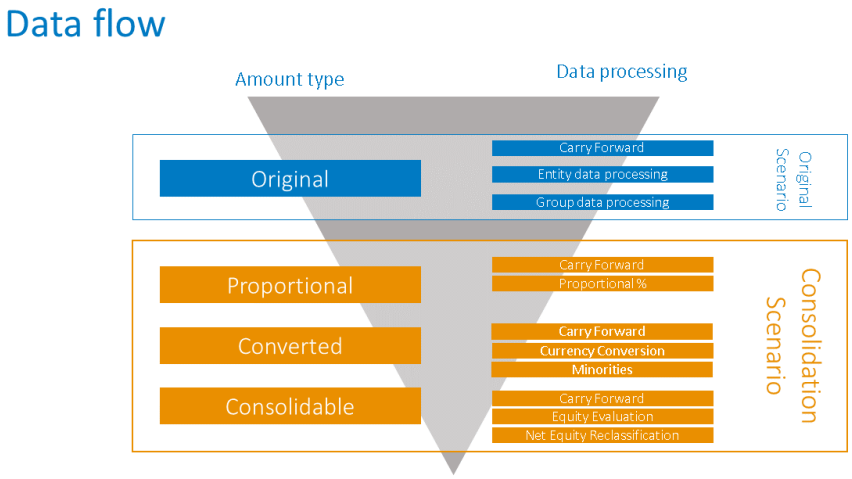
Overview of the consolidation process

The consolidation process typically follows the following steps:

1. **Consolidation area definition**: all the entities to be included in the process are identified and their consolidation method is specified.
2. **Standardisation of the entities' financial statements**: the group accounting standards are applied to then obtain aggregated financial statements.
3. **Preparation of the consolidation with adjustment journals**: the intercompany eliminations are identified, the minorities are calculated and the equity evaluation is run.
4. **Preparation and publication of the consolidated financial statements**: the consolidation process is completed.

The data resulting from every step are registered with a different "**amount type**" which tells you the step in which they were generated. This allows you to examine the intermediate results at any time and provides full traceability of the various calculations performed by CCH Tagetik.

The consolidation process is described in the following diagram:



In CCH Tagetik, the data for individual entities are inserted on the original scenarios without considering how the entity will contribute to any consolidated financial statements. Neither the consolidation currencies nor the consolidation methods and percentages are specified. This information is only indicated in consolidation scenarios. For this reason, the following situations can be created:

- The original scenario contains journals in a currency different from the consolidation scenario currency. This requires a currency conversion for consolidation.
- The original scenario contains entity journals that do not fall within the consolidation perimeter, or fall within it but are consolidated at net equity. These journals must therefore be ignored by the consolidation process.

Contributor activities for consolidation

In the context of the consolidation process, the contributor must run the following actions:

- Insert the gross and intercompany amounts on the contributor categories.
- Insert the entity journals on the contributor categories. These journals are submitted together with the financial statement data.
- Match intercompany entries.
- Run diagnostics and the submission of the entered data.
- Run the data processing by entity.

Consolidator activities for consolidation

In the context of the consolidation process, the consolidator must run the following actions:

- Insert the entity journals on the consolidator categories. These journals are submitted together with the consolidation journals.
- Enter the consolidation journals manually and, if necessary, integrate automatic eliminations.
- Run diagnostics and the submission of the entered data.
- Run group and area consolidation data processing.

Outcome of the data processing

The data processing writes data both on the original scenario and on the consolidation scenario. However, only the system can write on the consolidation scenario.

Data Processing	Description
Data processing on the original scenario	
Data processing by entity	All the amounts and all the entity journals are processed, regardless of the category type. All the data processing activated on the process for the group are run (calculation logics, deconsolidation, balancing, etc.).
Group consolidation data processing	All the data processing activated on the process for the group are run (counterparty eliminations, net equity eliminations, deferred taxes, etc.).
Data processing on the consolidation scenario	
Area consolidation data processing	All the data necessary to generate the final, consolidable amount for the processed area are processed. All the data processing activated on the process for the group are run (contribution data processing, deconsolidation, balancing, etc.).

The data processing is activated by process depending on the type of action to be managed (Consolidation, Calculation logic, Carry forward, etc.). For more details on data processing linked to consolidation, see Consolidation data processing.

Impacted data processing mode

Introduction

The **Impacted** data processing mode allows you to process only data that has been edited since the previous time that the data processing was run. For example, if certain entity journals have been edited, only the data related to the affected entities will be re-run. It can be applied to consolidation data processing both on original scenarios and on consolidation scenarios.

This mode reduces the time it takes to run the data processing, specifically in the final phases of data collection, when there very few changes made to the entered data. By default, all the consolidation data processing is run according to this mode, which can nevertheless be deactivated.

***IMPORTANT**: Impacted mode does not detect changes to the setup. In this case, you must disable the mode and completely re-run the data processing.*

Impacted mode can be disabled for all data processing with the "Disable impacted mode in all data processing" option (see the Settings window).

How Impacted data processing works

Impacted mode is only available for entity data processing and consolidation data processing. If the user decides not to run all the data processing active for the process, they can use the dedicated run window, and the system will then use the filters specified by the user on entities or nodes.

To be able to assess what to process based on the data processing that have changed, CCH Tagetik tracks, each time the data processing is run, the information that allows it to compare the data present at the time of the data processing and compares it with the information that was processed with the previous running of the data processing.

For example, for a given scenario/period, it tracks the data of an entity on amount categories or entity journals. If at least one amount or one journal changes, CCH Tagetik calculates which entities are needed to correctly run the selected data processing.

Or, if data on a consolidation category or a relationship (intercompany data) is edited, CCH Tagetik analyses the data regarding the entities involved and calculates which relationships are needed to correctly run the selected data processing.

CCH Tagetik also analyses certain customisable data, both on original scenarios (FX rates, ownership structure register), and on consolidation scenarios (overridden FX rates, overrides on proportional/converted/consolidable data). If these data have been edited since the previous data processing, then the system processes all the entities and relationships that can be linked to the changes made.

For area data processing, it compares the date the data processing was last run on the consolidation scenario with the date of the data on the original scenario for every entity and/or relationship. If earlier, it runs the data processing of that entity and/or relationship on the consolidation scenario.

***IMPORTANT**: Input data originating from stored procedures are only considered if the origin uses the prefix CPM.*

General configuration

Introduction

As the first step in setting up the consolidation process, it is necessary to tell CCH® Tagetik that you want to set up a consolidation process so that the system can display the following:

- all of the menu keys used for that process, regardless of the roles associated with the users,
- all of the attributes present in the various management windows used for that process.

To do this, it is necessary to activate the consolidation module, see Activate the consolidation process.

Types of financial consolidation

Type	Description
Bank/Insurance	The consolidation process relates to banking or insurance consolidation.
Single Currency	The consolidation process uses a single currency.

Consolidation options

During the initial configuration of the consolidation process, you can define the following options:

Option	Description
Consolidation engine	Consolidation engine used. **In memory**: runs the standard consolidation data processing using “in memory” technology. The proportional calculation, conversion, minorities calculation and equity evaluation data processing are run in sequence. These are based on the data on the original scenario and generate the consolidable amount type. These data processes are run as a single data process (*Contribution data processing*) which cannot be subdivided. Data processing run on the original, entity or area scenarios is not included **Defined by process**: uses the consolidation engine specified in the process. **Database**: Old consolidation engine present in the configurations only for the purpose of compatibility with old installations. It will be completely removed at the end of 2024. All new Processes use the In Memory engine by default, regardless of how this window is configured.
Intercompany Financial Investment Assignment (with Sale model) - Custom Dimension for the third-party entity.	The importing of financial investment data reads the account related to the assignment price defined in the configuration of the accounts for intercompany financial investment assignment (**Financial investment: sale value entered in the P&L**) The accounts model from which the account is read is the one selected on the ownership structure register events (**Intercompany assignment management** = With sale model”)

***IMPORTANT**: when these settings are changed, it is necessary to reload the application, or re-run login, in order for the changes to take effect.*

Set up the consolidation process

Admin | <application database>

Activate the consolidation module

Setup & Admin >

Navigation panel>

1. In the **General** tab, in the **Processes** section, select **Financial Consolidation**.
2. Select the desired options.

Activate the running of consolidation data processing on the individual process

Setup & Admin > Processes tile

Navigation pane > Processes & Workflows > Process

1. Select the desired process.
2. Select > **Process Definition** .
3. In the **Data Processing** section, to enable the editing of settings, click **Locked**.
4. In **Consolidation** > **Advanced Consolidation**/**Basic Consolidation**, select the data processing to be activated.
5. Click **Save**.

For some data processing, the override page ( ) is available, on which it is possible to override the rules previously defined for the process in general.

Consolidation processes and Data Model

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Data Model preparation

Introduction

To run consolidation processes, the following elements of CCH Tagetik's Data Model must be adequately prepared:

- the list of involved accounts (see Accounts and consolidation process)
- the currencies in which the amounts are expressed (see FX rates management for the consolidation process)
- the taxes that apply to the amounts subject to consolidation (see Tax Rates)
- the characteristics of the scenario for which consolidation is taking place (see The Consolidation scenario)

Accounts and consolidation process

Introduction

The following account attributes are relevant for the consolidation process:

- the conversion type, or the strategy to be applied to convert the amounts saved in a certain account
- the enabling or disabling of Intercompany management
- an indication of whether the account forms part of financial investments or net equity

For more details on accounts, see The Account: basic concepts.

Conversion type

The conversion type specifies the FX rate to be used to convert the amounts entered in a certain account into the consolidation currency.

The available options are:

P&L FX rate : The P&L conversion method is defined in the conversion rule. It is possible to override, for the individual process, the settings of the default conversion rule and replace them with the chosen FX rate (average FX rate/period average FX rate/year-end FX rate). Used for the P&L, detail accounts and other variation accounts.

Average FX rate: This converts the cumulative amounts to the average FX rate present in the FX rates table.

Period average FX rate: This converts the amount for the period to the period average FX rate present in the FX rates table and then adds it to the converted data of the previous period.

Final FX rate: This converts cumulative amounts to the final FX rate present in the FX rate table. Used for the balance sheet, detail accounts and 'other stock' accounts. Equity accounts are excluded, as these are normally converted at the historical FX rate.

Historical FX rate: This stratifies the conversion based on the period FX rate. There is no FX rate numeric value. In order to obtain the final converted value, the system adds the converted variations to the initial balance, each based on the type of FX rate indicated in the relative table. Used for equity accounts.

Prev. P&L FX rate: Applied to the reserve variations that receive the distribution of profit and the balance sheet net result for the previous year. Only used for variation accounts and detail accounts.

Prev. Final FX rate: Applied to the accounts representing the initial balances. However, these accounts are actually calculated on the basis of the carryforward processing operations, and are not the result of conversions. Only used for variation accounts and detail accounts.

Initial balance FX rate: this converts incoming area variations or percentage variations in the case of a decrease of accounts converted at the historical FX rate, when the entry or reduction occur at the start of the period, or when the amount refers to carrying forward. Only used for variation accounts.

With this kind of FX rate, it is useful to specify the **Reference account for Initial balance/Year-to-date average FX rate** which allows you to calculate the conversion coefficient. Only if the conversion type is "Initial balance FX rates" or "Year-to-date average FX rate". Must be a "Normal" or "Detail" Balance Sheet account.

If not present, the system will use the parent account of the control group to which the account being converted belongs as the account.

Year-to-date average FX rate: this converts outgoing area variations or the percentage variance in the case of a decrease of accounts converted at the historical FX rate, i.e. when the exit or reduction occur during the period and other operations alter the value of the account. Only used for variation accounts.

With this kind of FX rate, it is necessary to specify the conversion coefficient in **Reference account for Initial balance/Year-to-date average FX rate**.

None: This is applied to accounts that are not subject to currency conversion. This is used for 'other variation', 'stock' and 'initial balance variation' accounts.

Conversion method

Accounts are typically converted in accordance with the following methods:

Account type	Conversion type	
Profit and Loss (including the net result) and its details / Other variation accounts and their details	P&L FX rate	
Balance sheet and its details	Final FX rate. An exception is made for certain accounts (e.g. net equity, including net result) which are converted at the historical FX rate.	
Other stock accounts and their details	Final FX rate	
Balance sheet variations (new entries for the year)	P&L FX rate, final FX rate or FX rate overridden on the process	
Balance sheet variations (write offs of amounts accumulated in previous fiscal years)	**If...**	**Then...**
	the parent account of the control group to which they belong is converted at the final FX rate.	they are converted at the P&L FX rate, or the final FX rate of the previous fiscal year, or the FX rate overridden on the process.
	the parent account of the control group to which they belong is converted at the historical FX rate.	they are converted at the FX rate of the initial balance at the average year-to-date FX rate.
Entries with a counterparty in the profit and loss account (e.g. depreciation)	P&L FX rate	

Account type	Conversion type
BS net result variations (period net result)	P&L FX rate
BS net result variations (previous fiscal year net result and relative counterparty account on profits carried forward)	Previous fiscal year P&L FX rate

During the conversion, CCH Tagetik uses the conversion type specified for every account in the accounts table (see the Accounts list page in the Data Model section). The conversion type can be overridden for each individual account within the individual processes (see Customise account conversion type page in the Processes section).

IC management

Intercompany amounts are all the amounts, costs, revenues or assets that refer to a transaction between entities belonging to the same group. An account can only accept intercompany values if the **IC Management** option is selected (see Accounts list in the Data Model section).

For example, the Assets - Machinery account, which contains the value of the machinery possessed by an entity, does not typically have intercompany amount management enabled because, in general, ownership is not shared.

If there is only one intercompany account, it is possible to calculate the gross figure for that account automatically, by adding together all of the intercompany amounts already entered without using MD scripts (see Calculation logics in the section dedicated to the rules and the section dedicated to multi-dimensional scripts). This is possible if the **Gross amount equal to the IC sum** option is selected (see Accounts list in the Data Model section). An **IC on Gross amount** basic calculation logic is generated for the automatic calculation of the gross figure.

Use an account for specific setups

You can specify that a certain account be used in the setup of consolidation rules/logics. This is done by selecting the **Use Account for setup** option (see Accounts list in the Data Model section).

You can select one of the following setup options:

Option	Description
No	The account is not used for the setup
Net Equity	The account can be used in the net equity accounts setup.
Financial investments	The account can be used in the financial investment accounts setup.

***Note**: this attribute is not mandatory in the account creation step. However, defining it speeds up the setup of the ownership structure register, the minority rules and the equity evaluation rules.*

Excluding accounts from the proportional calculation

You can specify accounts to be excluded from the proportional calculation. To do this, you must select the **Exclude from proportional calculation** option. (see the Accounts list in the Data Model section).

***Note**: this option must be activated for non-financial accounts, such as the quantity/number of employees, or Other Variation or Other stock accounts.*

Managing FX rates for the consolidation process

Currency types

CCH Tagetik is a multi-currency system. In fact, it allows you to manage amounts in several types of currency.

Currency type	Description
Transaction currency	The currency in which a transaction was performed, regardless of the currency in which the entity that performed it operates.
Financial statement currency	The currency in which the entity draws up and publishes its financial statements.
Consolidation currency	The currency in which the consolidated financial statements are generated, and is generally the currency in which the group's holding company operates.

The financial statement currency is inserted in the entity list, but can be overridden on the process.

The transaction currency, if managed, is specified when the transaction is performed. When a financial statement amount, an intercompany entry or an adjustment journal is inserted, you can specify the transaction currency and/or the financial statement currency. The consolidation currency, on the other hand, is specified during the consolidation process to covert all the amounts from their original currency.

Each data item can be characterised by two amounts:

- for original data, the transaction amount / financial statement amount
- for consolidated data, the financial statement amount / consolidated amount

FX rate calculation

To convert an amount from currency A to currency B, CCH Tagetik takes the amount, divides it by the FX rate for currency A and then multiplies the result by the FX rate for currency B.

***IMPORTANT**: The FX rate value in configuration is required for every currency, even if all the managed companies operate with the same currency. In this case the FX rate will be 1 to 1. If the FX rate is not indicated, an error will be returned when the data processing is run.*

Overridden FX rates

Introduction

Overridden FX rates are inserted by the user or by the FX rate loading data processing, when the FX rates defined on the scenario/period are not sufficient to generate the expected converted data. They can also be used to run overrides by dimension node. The defined FX rates are considered following the order of the inserted rows: rows inserted subsequently prevail over the previous rows.

***Note**: for overridden FX rates it is not necessary to insert a record with the FX rate equal to 1 for the preferred currency or in any case the currency to which the FX rates are expressed.*

FX rates page

Admin | <application database>

Rates tile > FX rates

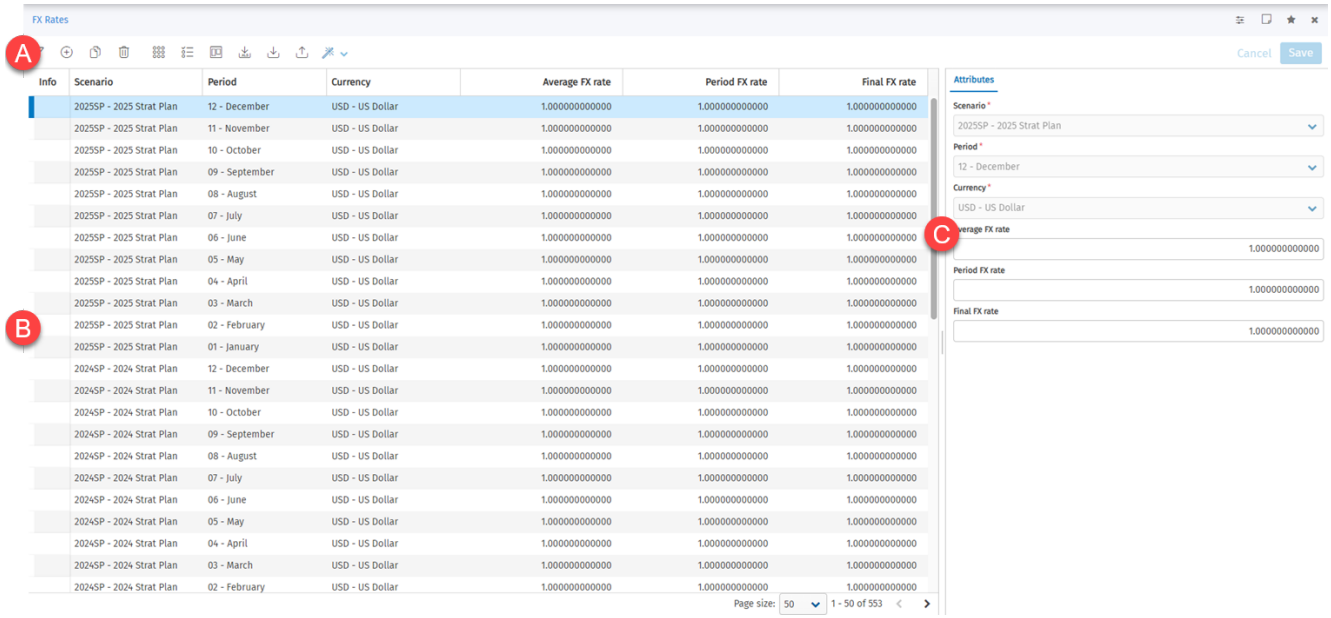
Navigation panel > Rates > FX rates

Purpose of the page

This page allows you to set the FX rates for the currencies used by the system, divided by Scenario and Period.

The list only shows the **Average Reciprocal FX rate, Final Reciprocal FX rate** and **Period Average Reciprocal FX rate** columns if the **Show reciprocal FX rates** option is selected during the consolidation process. The value shown is the reciprocal amount of the value inserted in the respective column that represents the corresponding **FX rate**.

What it looks like



Element	Description
A	Tool bar
B	List of defined FX rates
C	Tab for configuring the attributes of individual FX rates

Actions on this page

Element	Description
	**Copy to Original scenarios/periods**: opens a window to select the scenario/period from which to copy the data and the scenarios/periods onto which to copy the FX rates. **Copy to Original scenarios**: opens a window to select one scenario from which to copy data and one or several scenarios onto which to copy it.

Field attributes

Field	Description
Scenario	Original scenario code
Period	Period of the original selected scenario
Currency	Code of the currency to which the FX rate refers. This currency has the **Reference Currency** field undefined. See Currencies List in the Data Model section. ***Note**: it is not necessary to insert FX rates for derived currencies.*
Average FX rate	FX rate generally used for P&L accounts
Period FX rate	FX rate generally used for P&L accounts Applies a different FX rate to periodic values.
Final FX rate	Used for balance sheet accounts, with the exception of the net equity accounts, which are typically converted at the historical FX rate.

Overridden FX rates in-memory page

Admin | <application database>

Rates tile > Overridden FX rates in memory > select filters (Process, Scenario, Period)

Navbar > Rates > Overridden FX rates in memory > select filters (Process, Scenario, Period)

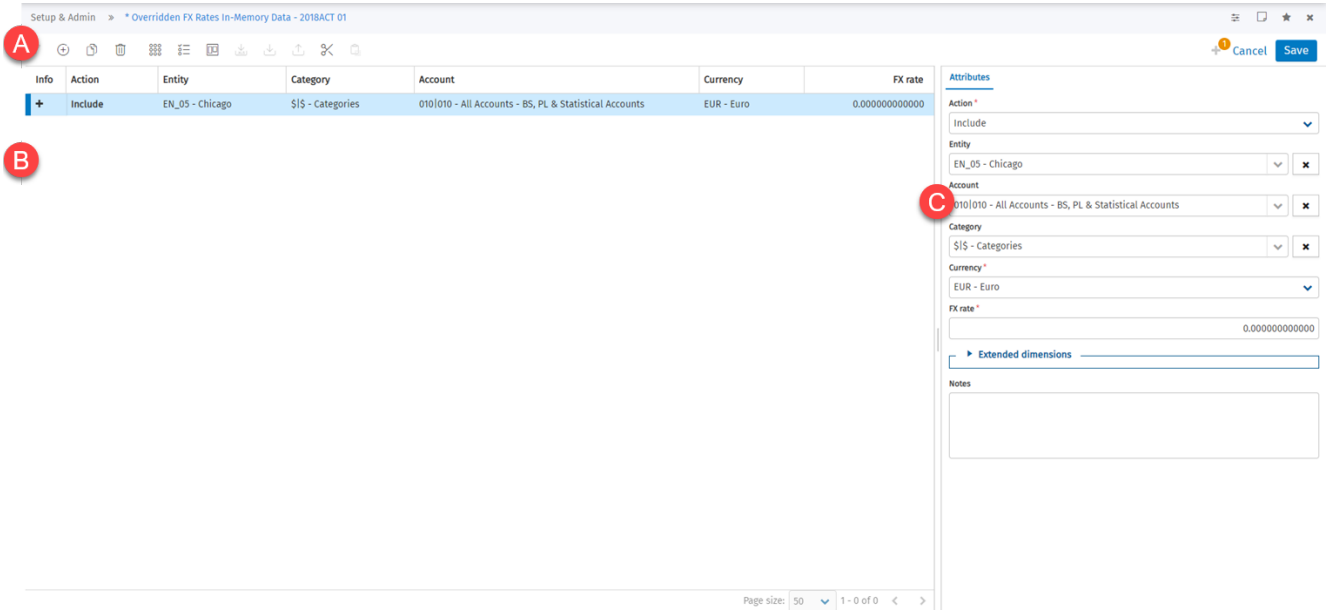
Purpose of the page

This page allows you to define overridden FX rates for a specific Process/Scenario/Period defined in a filter window.

***Note**: filter parameters can be preset as Points of View. See User settings in the introduction section.*

The list only shows the **Reciprocal FX rate** if the **Show reciprocal FX rates** option is selected during the consolidation process configuration. The displayed value corresponds to the reciprocal of the value entered in the **FX rate** column.

What it looks like



Element	Description
A	Tool bar
B	List of defined overridden FX rates
C	Tab for configuring the attributes of individual overridden FX rates

Field attributes

Field	Description
Action	Allows you to include or exclude the inserted row.
Entity	Entity or hierarchy of entities for which to apply the overridden FX rate
Account	Account or hierarchy of accounts for which to apply the overridden FX rate
Category	Category or hierarchy of categories for which to apply the overridden FX rate
Currency	Currency for which to override the FX rate
FX rate	Value of the overridden FX rate
Notes	Any notes on the defined overridden FX rate
Extended dimensions	
Consolidation scenario	Active consolidation scenarios associated with the original scenario selected as a filter to open the page
Journal number	Header of the journals associated with the original scenario/period selected as a filter to open the page
Event number	Investment event number (only for journals generated by an eliminate from ownership structure register rule)
Custom dimensions	Custom dimensions enabled in the system
CTP entity	Counterparty entity. Only visible if the **Advanced - management of CTP on individual data** option is selected in configuration.
Custom dimension 2	Visible if the selected process has the relationship type set to Entity/Analytic or Synthetic Custom dimension 2

Tax Rates

Introduction

CCH Tagetik allows you to calculate the following taxes:

- Deferred and prepaid taxes
- Direct taxes
- Indirect taxes

It is necessary to define the rate for every tax under a fiscal policy.

For more information on managing taxes, see the Cash Flow Planning module.

Definition method

Tax rates can be defined manually for every scenario, or their definition can be copied from one scenario to another and then the necessary changes can be made.

Tax Rates page

Admin | <application database>

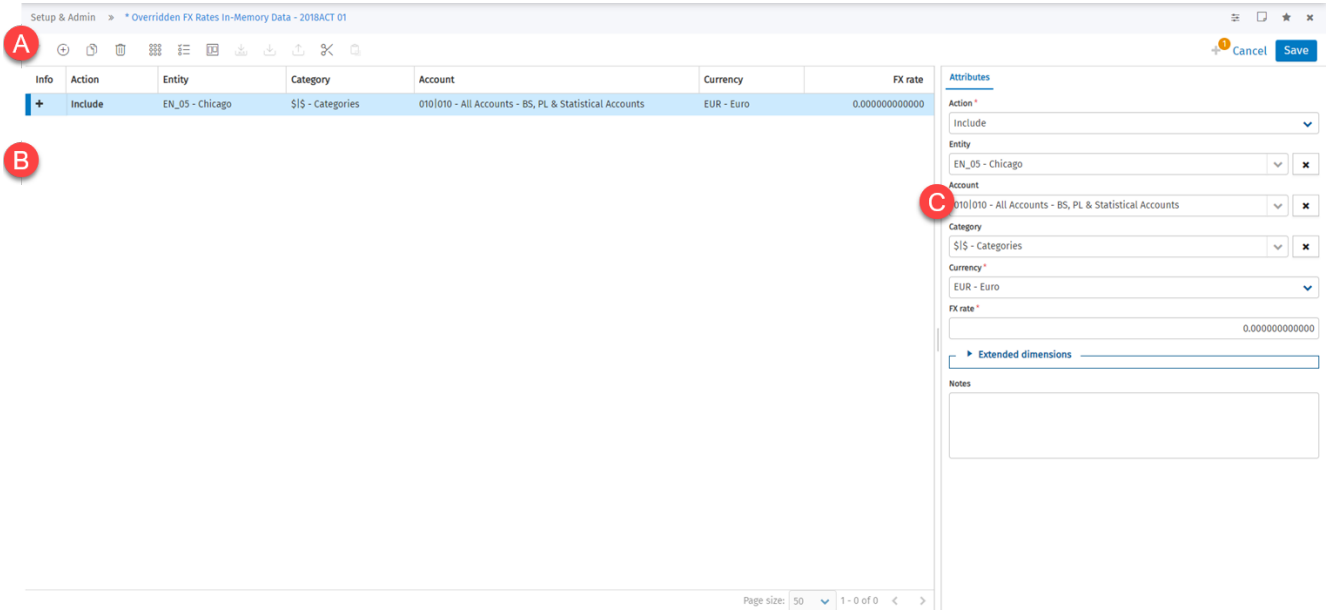
Rates tile > Tax Rates

Navbar > Rates > Tax Rates

Purpose of the page

This page allows you to set the tax rates to be applied to specific scenarios. It is not possible to define the tax by scenario/period, so the same rate is applied to all periods of the same scenario.

What it looks like



Element	Description
A	Tool bar
B	List of defined tax rates
C	Configuration tab for the attributes of individual tax rates

Actions on this page

Element	Description
	**Copy to Original scenarios**: opens a window to select one scenario from which to copy data and one or several scenarios onto which to copy it.

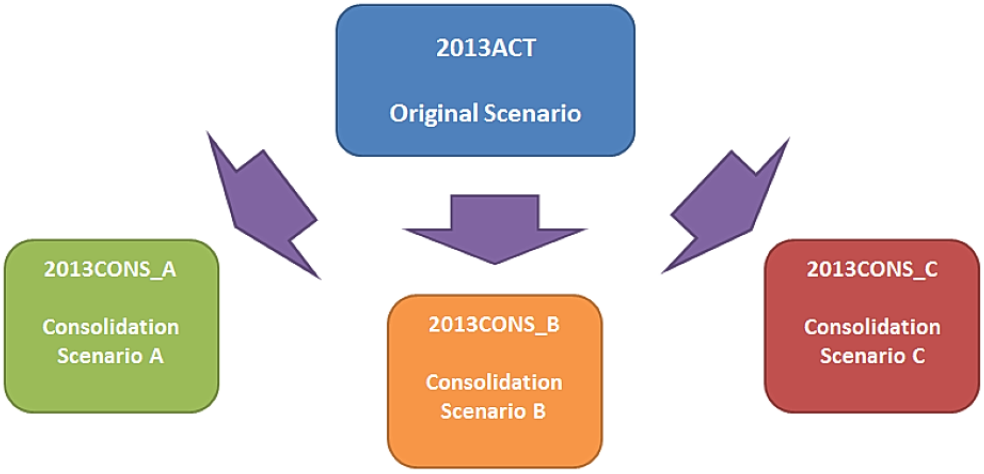
Attributes of rates

Field	Description
Scenario	Original scenario code
Fiscal policy	Code of the fiscal policy to which the rate relates
Set	Code of the tax to which the rate relates
Rate	Percentage value of the rate for the tax

The Consolidation scenario

Introduction

A consolidation scenario allows you to define the characteristics of the consolidation area, or the holding company, entities to be consolidated, currency and consolidation method, the original scenario from which to read data, etc. A consolidation scenario is always linked to one - and only one - original scenario, and it contains consolidated data that cannot be edited manually. The same original scenario can be linked to several consolidation scenarios; thus, the same data may be processed differently as long as the different consolidation perimeters and rules are respected.

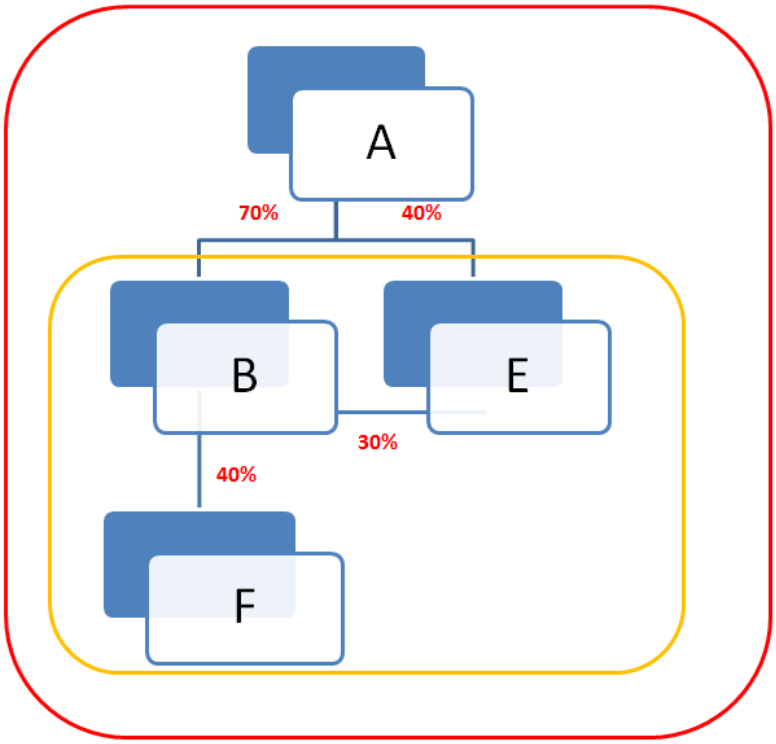


The approach to the consolidation of a group of entities is always FLAT. This means that the data resulting from a sub-consolidation process are never used directly as input data for a higher-level consolidation. The consolidation process always considers the individual entities of the organisational hierarchy.

Example

Based on the original data for the 2020 fiscal year, you can create the following:

- sub-consolidations
- two different consolidation scenarios, one consolidating 10 companies and another consolidating 100 companies
- several consolidation scenarios expressed with a different consolidation currency
- if company A owns 70% of company B and 40% of company E, and company B owns 30% of company E and 40% of company F, it is possible to create two consolidation scenarios, one - SUB_B - in which company B's consolidation is obtained, where company E is consolidated at equity, and another - CONS - in which company A's consolidation is obtained, where company E is consolidated using the line-by-line method.



For more details on the concept of Scenarios, seeThe Scenario: basic concepts in the Data Model section.

Defining a consolidation scenario

Consolidation scenarios can be defined in two different ways:

Method	Characteristics	See
From the scenarios list	All scenarios included in the list are shown. The relationships to the original scenarios/period must be specified. *This method allows you to create a consolidation scenario with a certain currency and a certain hierarchy of entities.*	The scenarios list page in the Data Model section
In the consolidation area definition, from the requirements of the process for consolidation data processing	• Only the consolidation scenarios/periods related to the original scenarios/periods of the process being set up are displayed. • It is possible to create new consolidation scenarios which are necessarily related to original scenarios/periods of the process being set up. The periods created in the new scenarios are the same as those present on the original scenarios.	the Consolidation Requirements page in the Processes section

For more details on consolidation scenarios, see the Consolidation scenario in the Data Model section.

For a list of the attributes that are necessary to define a consolidation scenario, see Scenarios list in the Data Model section.

Defining a consolidation area

A consolidation area can be defined as a requirement of the relative consolidation process. You can carry out this operation from the Consolidation Area page.

The consolidation area allows you to define:

- which entities must be consolidated
- the consolidation method for each individual entity in the area
- the actual consolidation percentage
- any deconsolidation type

***Note**: none of the entities excluded from the consolidation area are considered in the data processing for that area.*

The consolidation area can be defined for individual entities or for nodes of a hierarchy to which individual entities and/or lower level nodes can be added or removed. It is possible to apply different consolidation criteria for specific entities within a node.

The consolidation area must also be defined for each period present in the consolidation scenario. This is because the number or consolidation method of the entities to be consolidated could change from one period to another.

An entity may have different consolidation methods depending on the consolidation scenario, and to this end, data are present on the original scenario. These data are ignored for the consolidation scenario in which the entity is carried at cost and are only processed on scenarios in which the entity has a different consolidation method.

Consolidation method

For consolidation, the following methods can be applied:

Consolidation method	Conditions
Line-by-line	The entity receives branches of ownership from whole entities, where the sum of their percentages exceeds 50%.
Proportional	• The entity receives branches from whole entities, where the sum of their percentages is equal to 50%. or • The entity receives a branch of control from a proportional entity.
At equity	• The entity receives branches from whole entities, where the percentage is between 50% and the listed/non-listed entity ownership percentage.defined in configuration. or • The entity receives a branch of control from an entity at equity.
At cost	In all other cases

Assignment of the consolidation method in the area

If, for an entity or node of entities on the consolidation area, the consolidation method is set to **from entity table**, CCH Tagetik chooses the method present in the table for that entity, or for all the entities of the selected node that are included in the deployment. But this only occurs if the **entity: time-dependent management** field is set to **No**. Otherwise, it sets the consolidation method defined on the entity table by scenario/period. The scenario that is considered is the original scenario associated with the processed consolidation scenario.

If, for an entity or node of entities, the consolidation method is set to **calculated**, CCH Tagetik chooses the consolidation type obtained from the ownership structure register for that entity or for all entities in the deployed node. In particular, for every entity, it considers all branches of ownership originating from entities belonging to the same consolidation scenario. The consolidation method is assigned following the principle of propagation of control. For the definition of the **equity** consolidation method, CCH Tagetik also considers the **Listed** attribute defined in the list of entities (or in the entities table by scenario/period) and the listed/non-listed entity ownership percentages defined in configuration.

For the holding company, the **line-by-line** consolidation method is always chosen.

For the other items in the **Consolidation method** field, the setup is directly copied from the definition table. If a particular consolidation method is defined for a node, this is overridden on all the entities belonging to the node.

This does not happen for deconsolidated entities, for which the consolidation method is obtained automatically, if possible.

Define consolidation area by period page

Admin

Application database > Processes tile > select process > ⋮ > Process setup (Data Processing Section) Consolidation > ⚙ > Define Consolidation Area > ⋮ > Periods > ⋮ > Consolidation Area Definition

Application database > Navbar > Processes & Workflows > Process > select process > ⋮ > Process definition (Data Processing Section) Consolidation > ⚙ > Define Consolidation Area > ⋮ > Periods > ⋮ > Consolidation Area Definition

Purpose of the page

This page allows you to define a consolidation area, on a period, for which to specify requirements and percentages to be used in the consolidation data processing.

Buttons and/or links on the page

Field	Description
Definition result	Opens a page summarising the settings.

Attributes tab

Field	Description
Action	Allows you to include or exclude the selected elements from the data processing.
Entity	Allows you to select the entity or nodes of entities involved in consolidation.
Rules	
Consolidation method	Allows you to select the applied consolidation method. See The Consolidation scenario, in the Consolidation section.
Deconsolidation method	Allows you to select the applied deconsolidation method. See The Consolidation scenario, in the Consolidation section.
Include even if it isn't owned	Indicates whether the Entity must be included in the consolidation scope even if it is not owned by any Entity present in the scope. This setting is useful for management consolidation.
Period of the first Consolidation	Indicates the first consolidation period for entities that entered the consolidation scope during the year. Only for In Memory consolidation.
Percentage	
Consolidation % type - Proportional	To be defined if the entity's consolidation type is "Proportional". See The Consolidation scenario, in the Consolidation section.
Consolidation %	Only to be set if the "Consolidation method" is "Proportional" and the "Consolidation % type - Proportional" is overridden. Must be a value between 0 and 100, inclusive.
Override Equity ratio %	Allows you to enter the equity ratio percentage manually (e.g. when the legal ownership structure is not defined).
Equity ratio %	Overridden equity ratio percentage
Equity ratio % of the period	Equity ratio percentage of the period, if the periodic minorities calculation is active

Consolidation area definition result page

Application database > Processes tile > select process > ⋮ > Process Definition (Data Processing Section) > Consolidation > ⚙ > Define Consolidation Area > ⋮ > Periods > ⋮ > Consolidation Area Definition > Definition result

Purpose of the page

This page shows the result of the deployment of saved data for the definition of a consolidation area. If an entity included in the definition, directly or through a node, cannot be deployed in the **Definition result** table, a warning message will be displayed.

Page tabs

Element	Description
Deployed	Shows the outcome of the configurations and overrides run on the individual consolidation area.
Equity Owner Entities	Shows the table's deployment with details of equity owners.

Fields in the Deployed tab

Field	Description
Entity	Entity involved
Consolidation method	Consolidation method used
Entity at equity type	Only for entities consolidated at equity. At equity consolidation type: • **Related** - (default) entities for which the holding company has a percentage of shares or units of between 20% (10% for companies listed on the stock exchange) to 50%. • **Joint Venture** - entities for which the holding company holds 50% and control is therefore jointly exercised with a company from outside of the group. • **Non-consolidated controlled entity** - entity for which the holding company possesses more than 50% but does not intend to consolidate.
Direct ownership %	Percentage calculated as the sum of the ownership percentages of the respective owner entities in the consolidation area. Only includes own shares, i.e. the owned entity's shares that the entity in question owns directly, not through its controlled entities.
Equity ratio %	Percentage calculated by adding together the entity's branches of ownership multiplied by all the higher branches up to the holding company.
Actual ownership %	Percentage calculated by adding together the investment percentages of the respective investor entities, each multiplied by the consolidation percentage of the owner entity itself. This takes account of own shares.
Consolidation %	Percentage deriving from the consolidation method with which the entity enters the area. • **Line-by-line entities**: 100% • **Entities at cost**: 0% • **Proportional and at equity entities**: proportional percentage
Deconsolidation method	Deconsolidation method used
Period of the first Consolidation	For entities that entered the group perimeter during the year. Only for In Memory consolidation.

The percentages indicated above are calculated automatically, considering the relationships and ownership percentages defined in the ownership structure register, if they are not overridden on the area.

> ***Note**: if the financial investment links are not defined in the ownership structure register, the equity ratio percentages must be entered manually in the **Definition** page.*

All percentages on the holding company are set to 100% by default, while those on entities at cost are set to 0%.

Fields in the Equity Owner Entities tab

Field	Description
Owner entity	Owner entity
<custom dimension 2> Financial investments	Custom dimension 2 element for which the DEST2 elements are totalled for the financial investment where the Process relationship type is Entity/DEST2 or synthetic Entity/DEST2
Owned entity	Owned Entity
Equity ratio %	Percentage calculated by adding together the entity's branches of ownership multiplied by all the higher branches up to the holding company.

Data Processing related to consolidation

Contents

This section covers the following topics:

Preliminary data processing: carry forward 18
Carry forward rules page 19
Reverse journal data processing 20

Preliminary data processing: carry forward

Introduction

The carry forward data processing on the original and consolidation scenarios allows you to carry forward the initial balances and journals on a new year as of the closed year. The data to be carried forward are written on the scenario/period selected when the data processing is run by reading from the last period of the previous scenario. The concatenation of the scenarios is indicated in the list of scenarios (see the scenarios list page in the Data Model section).

The carry forward data processing is run from the processes cockpit. For more details, see the dedicated section in the respective cockpits: contributor and consolidatorin the Processes section cockpit).

The carry forward data processing only acts on the balance sheet, other stock and memorandum accounts.

Managing input and output accounts

The carry forward data processing carried forward all balance sheet accounts belonging to a variation-type control group, writing on its specific initial balance. However, you can carry forward a certain account onto another account by duly managing the balancing of variations.

Example

Consider the carry forward of the balance sheet net result account onto an account, in the subsequent year, called “Net result carried forward”.

In this folder, you can tell the system, given an account/category intersection through the **Normal input account** and **Category** fields, the output account onto which it must be carried forward.

To correctly balance the control groups, it is necessary to indicate the variation of the account to be carried forward on which the write off must be carried out (**Writeoff account**: variation) and the variation of the target account on which the loading must be carried out (**Loading account**: variation).

You must also necessary to indicate the loading and write off accounts on the normal accounts for the carry forward of the adjustments (**Writeoff account**: normal. **Loading account**: normal).

Overriding the carry forward category

It is possible to indicate a change of category on the data in the carry forward step. For every category, it is possible to indicate a corresponding category for the carry forwards where the data carried forward should be reported.

Exclusion of accounts and categories

It is possible to completely exclude certain data from the carry forward by filtering them either by account or by category.

***IMPORTANT**: the defined general rules are valid for all scenarios/periods. However, they can be edited and therefore overwritten for each individual process. See the Data Processing section: carry forward in the Processes section.*

Carry forward rules page

Admin

Operational database > Data Processing > Carry forward

Purpose of the page

This page allows you to set up the basic rules that govern carry forward operations.

Buttons and/or links on the page

Element	Description
Generic rules	
Input and ouput accounts	It allows you to select the accounts to be carried forward onto different accounts, duly managing the balancing of variations. See Carry forward rules - Accounts definition page in the Processes section.
Override carry forward categories	Allows you to change the category of data when the carry forward is performed. See Override carry forward categories page in the Processes section.
Normal and Detail accounts/Categories to exclude	Allows you to exclude certain data from the carry forward. See Normal and Detail accounts/Categories to exclude page in the Processes section.

Options on page

Option	Description
Run carry forward on	Allows you to select the accounts on which to run the carry forward. **Process accounts**: all parent accounts of variation type control groups belonging to the process of the selected scenario/period and all journals indicated in the header as to be carried forward are carried forward. **All accounts**: all accounts on which data is present are carried forward, even if not included in the process.
Journals rows aggregation type	Allows you to define the type of aggregation for rows of journals on the carry forward scenario. Or not to aggregate the rows in order to keep the same detail as the previous year's scenario. **Aggregate according to dimensions**: aggregates the scenario rows by dimension. **Aggregate according to dimensions and notes**: aggregates the scenario rows by dimension and notes. **Don't aggregate**: maintain the same details as the previous year's scenario. ***Note**: aggregating the rows allows you to read the data more easily and reduce the number of records in the database.*
Allow preliminary data processings on data that belongs to submitted steps.	Allows you to carry forward variations and journals onto accounts belonging to submitted steps; normally, such data is excluded from the carry forward.
Carry forward journals: include attachments	Allows you to include any attachments from the previous year when carrying forward a journal.

Reverse journal data processing

Introduction

The reverse data processing forms part of the Preliminary operations, and is run on Entity data filtering by entity, and on Group data filtering by node. The purpose of this data processing is to keep track of all the operations carried out.

The reversal variations are usually converted with the **Initial balance FX rates** conversion type, so that the converted data, especially for normal accounts at the historical FX rate, are entirely written off by the reversal entry. This FX rate is calculated at the same time as the data processing and is obtained from the ratio of the converted data item to the proportional data item of the normal account.

The reversal, like carry forwards, analyses the data of the maximum period of the previous scenario.

The various possible reversal methods are described below.

Set BS accounts to 0 (cut off)

This reversal allows you to manage, for example, cases in which a journal (typically pre-consolidation) is used to complete the financial statement data in a certain year, but the same data are entered directly as amounts in the subsequent year. Therefore, the journal must be carried forward and “deconsolidated”.

The reversal takes place as follows:

1. Immediately after the carry forwards, CCH Tagetik deletes all the rows with origin PREL_REVERSE1, for the processed original scenario/period and for the entities/nodes indicated in the initial filters.
2. All the rows with origin PREL_RESTORE and PREL_RESTORE_RED related to journals entered on Entity Journal and Consolidation Journal categories belonging to the Data Collection Process processed with the **To run** and **Reverse type** option in the header set to **Set BS accounts to 0** will be selected.
3. For every row entered on a variation account, CCH Tagetik inserts a row with the same amount, and the opposite amount on the account which, in the corresponding control group, has the **Reverse** option selected. For the rows entered on normal or detail accounts, it defines a row with the same amount and the opposite amount on the specific account.

In short, the following happens:

1. The rows present on the journal with the following origins are written off:
   - PREL_RESTORE and PREL_RESTORE_RED
   - PREL_DECONSOLIDATION1 and PREL_DECONSOLIDATION2
   - PREL_MERGE1 and PREL_MERGE2
2. The normal and detail accounts are written off on themselves.
3. The variations (initial balance and merger) are written off through the specific variation for “Reversal” of the same control group to which they belong.

Example

In this example, a reclassification is run in year *n* between two balance sheet accounts.

Year *n*

Assets1_Increment	100	From_management
Assets1	100	Basic calculation
Assets2_Decrement	-100	From_management
Assets2	-100	Basic calculation

Year *n*+1

Assets1_IB	+100	Carry forward
Assets1	+100	Carry forward
Assets2_IB	-100	Carry forward

Assets2	-100	Carry forward
Assets1_ann	-100	Reverse journal
Assets1	-100	Reverse journal
Assets2_ann	+100	Reverse journal
Assets2	+100	Reverse

Set BS accounts to 0, write off P&L impact (IC)

This type of reversal allows you to carry our particular restoration entries, particularly useful for balance sheet elimination journals.

If this type of reversal is indicated for a journal, in the carry forward step, CCH Tagetik will carry forward the normal balance sheet rows, but without carrying forward the details. Then it reverses all the balance sheet accounts, inserting a row on the same account with the amount sign changed and with origin PREL_REVERSE2. Net equity accounts, accounts subject to the minorities calculation and accounts that have been indicated as **Deferred taxes fund (debit/credit)** in the list of defined fiscal policies are excluded from the write off.

It also reverses the P&L effect of the opening scenario (normal and detail accounts), inserting a row on the same account, with changed amount sign and with origin PREL_REVERSE2. Exception is made for the P&L net result and deferred tax accounts (debit/credit) present in the list of fiscal policies. For these, no write off operation is performed.

The rows entered on the P&L accounts which have origin PREL_REVERSE2 on the opening scenario are also excluded from the reversal.

In short, the following happens:

1. The values of the Normal and Detail Balance Sheet accounts with the following origins are written off:
   - PREL_RESTORE and PREL_RESTORE_RED
   - PREL_DECONSOLIDATION1 and PREL_DECONSOLIDATION2
   - PREL_MERGE1 and PREL_MERGE2
2. The variations (initial balances or merger) are not written off.
3. On the Balance Sheet Accounts, only the initial balance or merger is obtained.

***IMPORTANT**: this configuration must be used in IC eliminations because every year the value is eliminated based on the final balance, and not as the sum of the eliminations on the individual variations.*

Example

In this example, the deferred taxes calculation is run in the journal to be reversed.

Year *n* (tax rate=30%)

Credits	-1500	Ctp Elimination
Debts	500	Ctp Elimination
Account of P&L nature	1000	Counterparty / Balancing
P&L net result	-1000	Basic calculation
BS net result_ current year	1000	Basic calculation
BS net result	1000	Basic calculation
Taxes (P&L)	-300	Deferred taxes
Tax provisions_ variation	+300	Deferred taxes
Tax Provisions	300	Deferred taxes
P&L net result	300	Basic calculation
BS net result_ current year	-300	Basic calculation
BS net result	-300	Basic calculation

Year *n*+1 with reversal type 2 (tax rate 20% - delta=-10%).

Credits_IB	-1500	Carry forward
Credits_	-1500	Carry forward
Credits	1500	Reverse journal2
Debits_IB	500	Carry forward
Debts	500	Carry forward
Debts	-500	Reverse journal2
Tax Provisions_IB	300	Carry forward
Tax Provisions	300	Carry forward
Profit_IB	1000	Carry forward
BS net result _ previous result	-1000	Carry forward
Reserve_ previous result	1000	Carry forward
Reserve	1000	Carry forward
P&L nature account (used as balancing of the elimination of year n)	-1000	Reverse journal2
Tax provision_ variation of the year	-200	Deferred taxes
Tax provision_ rate variance variation	-100	Deferred taxes
Tax Provisions	0	Deferred taxes
Tax (P&L) - annual impact	+200	Deferred taxes
Tax (P&L) - exchange rate	+100	Deferred taxes
P&L profit	+700	
BS profit_current year	-700	
BS profit	-700	

Set BS accounts to 0, write off P&L impact and variations

As regards the **Set BS accounts to 0, write off P&L impact (IC)** type, it has the following differences:

- In addition to the normal deferred taxes accounts, the related variations are also excluded.
- The origin is PREL_REVERSE3.
- The variations (initial balances) are written off, except for the Net result variation, using the variation defined on the opening journal.
- The Net Equity accounts are also written off, except for the Carry forward account. The reversal of the reserve takes place indirectly by reversing the P&L accounts present in the opening journal.

In short, the following happens:

1. Rows present on the journal with the following origins are written off:
    - PREL_RESTORE and PREL_RESTORE_RED
    - PREL_DECONSOLIDATION1 and PREL_DECONSOLIDATION2
    - PREL_MERGE1 and PREL_MERGE2
2. All Normal accounts are written off on themselves.

3. The variations are written off, except for the Net result variation, not using the “reverse” variation, but using the variation valued on the opening journal.
4. The variations are read from the opening journal and reported, with inverted signs and origin PREL_REVERSE3, on the processed journal.

Example

Year *n*

Assets_F1	1000
Assets	1000
Depreciation	-1000
Year's BS Profit	-1000
Year's P&L Profit	1000

Year *n*+1

Assets_IB	1000	PREL_RESTORE
Assets	1000	PREL_RESTORE
Year's Profit_IB	-1000	PREL_RESTORE
Year's Profit_ Allocation of profit	1000	PREL_RESTORE
Reserve_ Allocation of profit	-1000	PREL_RESTORE
Reserve	-1000	PREL_RESTORE
Assets_F1	-1000	PREL_REVERSE3
Assets	-1000	PREL_REVERSE3
Depreciation	1000	PREL_REVERSE3
Year's BS Profit	1000	PROC_CALCULATED_ BASIC
Year's P&L Profit	-1000	PROC_CALCULATED_ BASIC

IC matching and elimination logics

Contents

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Report Financial Investment Elimination Rules window 47
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Examples of defining elimination logic and IC matching logics 49

Intercompany matching and elimination logics

Introduction

The matching and elimination of intercompany entries are two fundamental consolidation processes. Through the logics that govern these two aspects, you can manage the automatic matching and elimination of al the declared intercompany amounts.

You can define an unlimited number of logics. By filtering the data collection and calculation process on the logics to be used, it is possible to implement different strategies in different contexts; for example, more rigorous and analytical matching on statutory consolidation processes, more simplified and aggregated matching for the consolidation of forecast and management data.

Before creating an intercompany matching or elimination logic, you must verify that the accounts to which to attribute the intercompany entries and the relative checks are correctly set in the Data Model. See the data of the Account List in the Data Model section.

Intercompany Matching

This represents the process of balancing intercompany entries between companies in the same group. It tries to make the amounts that a declaring entity presents to a counterparty entity consistent with the corresponding amounts that the counterparty presents to the declaring entity.

Typical examples of matching include: cost/revenue matching, financial income/financial charges matching and trade payables/trade receivables matching.

From the process cockpit, it is possible to manage the approval and rejection statuses and the consequent intercompany transaction matching between groups and complex business structures, both for “nodes” of entities and for individual entities. For more details, see the section dedicated to the intercompany cockpit in the Processes section.

***Note**: where necessary, the matching process can also be carried out by individual document (see Invoice IC matching).*

Example of matching

Declaring Entity	Account	CTP	Product	Amount
A00	Product Revenues	B00	Antivirus	$ -125 (€ -96)
B00	Commercial costs	A00	Antivirus	€ 100
A00	Exchange rate diff.		Antivirus	€ -4

In this case, A's declaration to B is different from B's declaration to A. This is because small differences are often generated when using two different currencies. The matching process consists of justifying the origin of the difference by inserting the amount on particular accounts called **Reconciliation accounts**. In the example, the difference of 4 euros is justified as an FX rate difference.

Automatic IC matching

You can exclude entities from the IC matching cockpit and automatically balance the elimination journals related to these entities. This function is useful for small entities consolidated in large groups, for which the matching of IC entries has no effect.

To that end, the **IC matching** option is present in the list (see Entity list in the Data Model section) which allows you to specify the following matching characteristics:

- **mandatory**: if IC matching is not run, submission will be blocked.
- **optional**: IC matching is not mandatory for the entity because, for example, for reasons known in advance, it cannot carry out that activity in time for the closing date of the relative step.
  If A and B are entities for which IC matching is not mandatory while it is mandatory for entity C, then:
  - C does not have to match its own intercompany entries to A and B
  - A and B must match their own intercompany entries to C
  - in cases of IC relationships between A and B, the first to submit data does not have to match, while the other is obliged to do so.
- **automatic**: the relationships in which at least one of the two entities has this option active are matched automatically, i.e.:
  - they do not appear in the IC cockpit
  - failure to run matching does not block submission
  - the relationships are automatically balanced in the IC elimination journals regardless of the balancing threshold value

The value of this parameter can be overridden for individual processes using the **Override Entity parameters on Original scenarios** option (see Data Entry & Submission Rules section in the Processes section).

Reconciliation account

The reconciliation account, defined in the matching logic, is represented by an account, present in the list, chosen to register amounts that must "reconcile" IC entries in case of unbalanced amounts. For example:

- Goods in transit
- Invoices to be received
- Invoices to be issued
- Invoicing differences
- FX rate difference

For every matching logic, you can define several reconciliation accounts, or the difference between two groups of declarations can be justified by several causes.

Elimination

Indicates the consolidation impact that makes it possible to eliminate the intragroup relationships between entities included in the consolidation perimeter. A matching logic has the elimination as its impact, while the opposite is not always true. In many cases you must define elimination logics which, however, do not involve a matching process between the entities involved. For example, this happens for the elimination of dividends, financial investments, inventory profit, etc.

For more details on the definition of IC matching and elimination logics, see page the Define IC matching and elimination logics page in the Data Processing section.

Grouping

You can organise intercompany matching and elimination logics into a grouped aggregation structure. A predefined aggregation structure is available ($), but it is also possible to create customised ones by indicating the nodes to which each logic is to be related. These nodes are then used to simplify the selection of a set of logics: by selecting the desired node on the Requirements page, all the logics related to the node are enabled for that process. See the IC Eliminations and Matching Requirements page in the Processes section.

For more details on the management of logic groupings, see Groupings in the section dedicated to the Data Model.

Accounts involved in journals

Two different situations may arise:

- **Two sets of accounts**: for matching logics where it is necessary to compare the value declared by an Entity on a group of accounts (e.g. revenues), with the counterparty's declaration on another group of accounts (e.g. costs). The details of the accounts must therefore be defined for two sets: the "primary" accounts and the "dependent" accounts
- **One set of accounts**: the intragroup data item is only present on one side of the relationship; for example, in dividends or inventory profit, so it is sufficient to define a single set of accounts, because typically the counterparty is generated automatically.

CCH Tagetik does not restrict the accounting nature of "Primary accounts" and "Dependent accounts". For example, in a Revenues/Costs matching logic, the revenues can be inserted indifferently. Based on their own business requirements, the administrator then decides to insert as "Primary accounts" those accounts which, from an accounting point of view, must prevail in the event of an unbalanced situation. The entity that declares on the primary accounts is called the "Declaring" entity, while the entity that declares on the dependent accounts is called the "Counterparty" entity.

Matching and elimination logic reports

You can extract specific matching and elimination logics to Excel format. The following information is reported for every logic:

- if the logic is a counterparty matching logic and/or an elimination logic,
- the list of primary accounts specifying whether the account belongs to the counterparty matching logic and/or elimination logic,
- the list of dependent accounts specifying whether the account belongs to the counterparty matching logic and/or elimination logic,
- the reconciliation accounts,
- the categories.

Matching thresholds

The matching thresholds specify a value below which it is possible to submit an IC relationship even if it is not matched. It is also possible to define the threshold in a more sophisticated manner, not only as an absolute value, but also as a percentage. To keep the (dynamic) percentage threshold below a certain value, you must set the **Maximum difference allowed**.

The percentage threshold is therefore applied when the unbalanced amount is greater than the threshold in absolute terms, but lower than the maximum difference allowed. The value of the percentage threshold is calculated using the lower of the amount calculated for the declaring entity and the amount calculated for the counterparty entity, in respect of the total of the amounts.

Example

Consider a threshold set as follows:

- absolute value = 10
- calculated % threshold = 5
- maximum difference allowed = 100

If the unbalanced amount is...	And...	Then...
≤ 10	-	the relationship is balanced
> 10 and > 100	-	the relationship is unbalanced
> 10 and ≤ 100	the calculated amounts for the declaring entity and the counterparty entity are both equal to 0	the relationship is balanced
> 10 and ≤ 100	only one of the two amounts is equal to 0	the relationship is unbalanced
> 10 and ≤ 100	both amounts are different from 0, the percentage ratio of the lower of the two (as an absolute value) out of the total and, if that ratio is lower than or equal to the % threshold, in this case 5	the relationship is balanced

Automatic balancing and counterparties

Elimination logics can manage automatic balancing and counterparties. These journals are generated automatically by CCH Tagetik but must be appropriately set.

- **Generate contra-entry**: this field is generally used when you only have the declaration from one side and you ask the system to balance the journal generated on the suitably chosen balancing accounts.
- **Generate balancing**: this option is activated when you want to use a tolerance threshold below which the system automatically balances the difference present in the journal.

***IMPORTANT**: the two options cannot be activated simultaneously.*

Automatic balancing and counterparties are generated considering the rows of the elimination journal on the accounts indicated as **Main accounts on Journals** in the process.

This attribute is automatically associated with accounts that have the following characteristics:

- They are Normal accounts, not calculated by a calculation rule deriving from a control group whose parent is equal to the sum of the children.
- If a Normal account is calculated by a calculation rule deriving from a control group whose parent is equal to the sum of the children, then the attribute is removed from the normal account and activated on the children accounts. This happens in a recursive manner if the children are in turn calculated by that type of calculation rule.

***IMPORTANT**: To obtain a correct automatic balancing of the elimination journals, it is necessary to avoid defining, in the same elimination logic, balance sheet/profit & loss accounts and other stock/other variation accounts indicated as **Main accounts on Journals**. This is because the balancing amount would be calculated by totalling the contribution of both the balance sheet/profit & loss accounts and the other stock/other variation accounts. It is advisable to use Detail type other stock/other variation accounts where the **Main accounts on Journals** attribute is not activated, so they will not contribute to the calculation of the automatic balancing amount.*

*For elimination logics that only involve primary accounts, with the "Primary accounts only" option active, always use the automatic contra-entry. To do this, it is necessary to specify, in the **Contra-entry** tab, how and where to load the values of the automatic contra-entry for balancing of the elimination journal.*

Manual deployment of logics

The deployment of IC matching and elimination logics can be performed manually from the tile dedicated to general deployment. See General deployment in the Deployment section. Deployment will be run on all the defined logics.

Intercompany matching and elimination logics: advanced settings

Data Processing tile > Basic Consolidation > IC matching and elimination logics > List > IC Matching and IC Elimination Logics tab

Data Processing > Basic Consolidation > IC matching and elimination logics > List > IC Matching and IC Elimination Logics tab

Introduction

Details and examples of more complex attributes for defining intercompany matching and elimination logics are provided below.

Attribute: Move Reconciliation accounts to the elimination logic

Intercompany Matching tab > Advanced section

Allows you to cover specific cases. For example, there may be several matching logics that operate on several details of a single main item of information. In this case, an elimination-only logic must be defined containing the main information and all the details into which any amounts loaded onto the reconciliation accounts of the various detail logics must also flow.

Example

The model contains two revenue accounts with relative geographical details:

- 50010: Revenues from sales of products
  - 50010_500: Revenues from sales of products Italy Area
  - 50010_510: Revenues from sales of products Europe Area
  - 50010_520: Revenues from sales of products America Area
- 50020: Other revenues
  - 50020_500: Other revenues Italy Area
  - 50020_510: Other revenues Europe Area
  - 50020_520: Other revenues America Area

Two cost accounts are also present, with the same details as the revenue accounts:

- 50110: Cost of sales
  - 50110_500: Cost of sales Italy Area
  - 50110_510: Cost of sales Europe Area
  - 50110_520: Cost of sales America Area
- 50220: Advertising/publicity costs
  - 50220_500: Advertising/publicity costs Italy Area
  - 50220_510: Advertising/publicity costs Europe Area
  - 50220_520: Advertising/publicity costs America Area

The matching strategy requires that three matching-only logics be defined to match Revenues and Costs for every individual geographical area. The consolidation must therefore obtain these outcomes:

- Eliminate the total of the amounts on the revenue and cost accounts.
- Eliminate the individual details.

To do this, it is necessary to define the following logics:

- An initial logic that manages the elimination only on all the accounts, normal and detail.
- Three matching-only logics that compare the details of the various geographical areas. These logics must have the **Move Reconciliation accounts to the elimination logic** option activated. Moreover, the move must take place on the elimination logic created in the previous point. This creates a link between the three matching logics and the elimination logic that logically includes them.

This makes it possible to move any data loaded onto reconciliation accounts in the three logics of the details to the elimination logic. Thus, the generated journal takes account of the matched values, even if they are inserted on different logics.

Attribute: Invoice matching

Intercompany Matching tab > Advanced section

In the matching process, you may need to not be restricted to the relationship between entities but also go down to a more analytical level of detail, introducing information on the invoice number, the date sent/received, the date booked, etc. into the declaration.

This attribute is useful for this purpose.

***IMPORTANT**: to manage these additional fields in the intercompany entry declaration step, you must activate their management in the advanced Data Entry rules Setup & Admin > Data Entry & Submission rules tile > Amount & Intercompany rules) with the **Enable additional fields on IC** option.*

On the pages dedicated to intercompany entries, in both the web interface and Excel, the fields related to invoicing appear, such as:

- invoice number
- date received
- invoice type

The IC matching cockpit and the elimination journals remain unchanged. The validation of the relationship between entities is effective for both of them. Since CCH Tagetik has saved the additional information, it can be used. This is possible through dedicated data processing (see Invoice IC matching).

Attribute: Bundle on Elimination Rule

Eliminations tab > Rows advanced configuration section

This attribute allows you to generate a single journal containing the impacts of two or more logics. In fact, two elimination logics can concern accounts that are similar at the conceptual level, but which you want to keep separate because they have different settings.

Example

You want to keep trade payables/receivables separate from financial considerations, while generating a single Receivables/Payables elimination journal.

To obtain this outcome, you must:

- Define 2 “standard” elimination logics, one for Trade Receivables/Payables and one for Financial Receivables/Payables.
- Select the **Bundle on elimination rule** attribute.

This brings the impacts of the two eliminations into a single Receivables/Payables elimination journal.

Attribute: Enumerate on elimination rule

Eliminations tab > Rows advanced configuration section

In some cases, it may be useful to create a new matching/elimination logic (e.g. for trade payables/receivables) to include the new accounts. To prevent spurious situations from being generated when past scenarios are re-processed, it is necessary to define a new logic in which the additional accounts will be included.

The automatic journals created on the basis of elimination logics contain the following information in the journal number:

- the code of the entities involved in the journal
- the category code
- the currency code
- the code of the logic that generated the journal.

Consequently, when a new logic is defined, CCH Tagetik generates a new journal, with a code linked to this new logic. The new IC declarations on trade payables/receivables would not therefore be eliminated on the journal carried forward from the previous years.

This attribute allows you to avoid doubling journals between the old and new model (existing logic vs. new logic) by imposing a sort of automatic “recoding” on the new logic. The new elimination rows generated by the new logic are therefore inserted into the journal carried forward from the journal generated by the pre-existing logic.

The new eliminations are inserted into the carry forward and reversal entries provided for by the set restoration.

Attribute: Change sign on Dependent accounts

Intercompany Matching tab > Advanced section

If the declarations on the accounts involved in the logic are all inserted with positive signs instead of applying standard “accounting signs”, the balancing checks on the generated journals are all incorrect, because CCH Tagetik expects a “opposite signs” approach by default. This attribute allows you to prevent this, but ensuring that the system correctly calculates the journal balancing.

Example

The IC declarations both have positive values, as in the table, and the **Change sign on Dependent accounts** attribute is selected.

Entity	Account	CTP entity	Value
Entity 1	Quantity sold	A04	340
Entity 2	Quantity purchased	A00	330

The matching cockpit shows an unbalanced amount of 10 (340 - 330) = 10.

Attribute: Plug Account

Eliminations tab > Rows advanced configuration section

In some cases, one of the project’s requirements is for the Consolidated Financial Statements to contain Profit and Loss and Balance Sheet statements that are balanced in contribution. The Plug account enables precisely this: all the elimination entries generated by the counterparty elimination data processing are balanced on it by entity. CCH Tagetik therefore automatically creates, by deploying the relative calculation logics, one or several calculated system accounts (one for the normal account and one for each of its variations, where applicable) that the calculation data processing uses exclusively in the journals generated by the same logic.

To satisfy this requirement, it is necessary to set the account on which the system creates a balancing contra-entry as the Plug account.

This account is set by the **Plug Account** field. The financial investment elimination logics from the ownership structure register contain two plug accounts: one to be used for the part pertaining to the owner entity and the other to be used for the part pertaining to the owned entity. The two accounts can also be the same.

Every Entity will therefore have a balanced contribution on every journal.

Example

This journal shows elimination between Revenues and Costs, with the contra-entries generated on the plug account (equal and opposite amount):

Entity	Account	Description	Amount	Ctp Entity	Declaring entity curre	Currency amount of de	Notes
A00	50010	Product Revenues	2,000.00	C00_E	EUR - Euro	2,000.00	Ctp elimination
A00	50099	Revenues/Costs elimination plu...	-2,000.00	C00_E	EUR - Euro	-2,000.00	$L_50099
C00_E	50099	Revenues/Costs elimination plu...	2,000.00	A00	EUR - Euro	2,000.00	$L_50099
C00_E	50110	Cost of Good Sold	-2,000.00	A00	USD - US Dollar	-2,700	Ctp elimination

The presence of the plug account does not invalidate the coherence of any consolidation impacts.

***IMPORTANT**: in processes whose relationship type is “by entity/custom dimension 2”, for the journals with the same entity as both the owner and owned entity in their header, the system always uses the owner entity’s plug account.*

IC Matching and Elimination Logics page

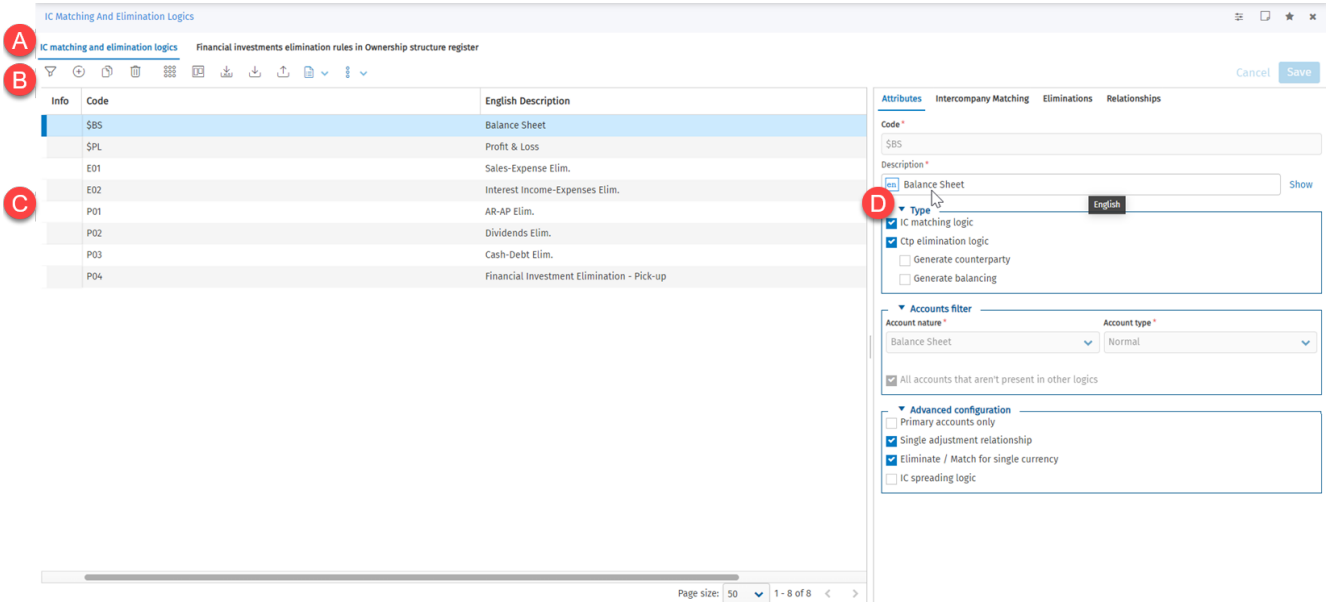
Data processing tile > Basic Consolidation > IC matching and elimination logics > List

Navbar > Data processing > Basic Consolidation > IC matching and elimination logics > List

Purpose of the page

This page allows you to set up intercompany matching and elimination logics.

What it looks like



Element	Description
A	Elements table tabs
B	Tool bar
C	List related to the selected tab
D	Configuration tab

Page tabs

Tab	Description
IC matching and IC elimination logics	This allows you to manage IC matching and elimination logics. Elements that obtain input data from intercompany declarations (costs/revenues, receivables/payables, dividends, etc.).
Financial investments elimination rules in Ownership structure register	This allows you to manage elimination-only logics which deal with specific aspects of financial investments. For example, elimination of the financial investment against the owned entity's net equity, elimination of the financial investment's revaluation/devaluation, etc.

Actions on this page

Button	Description
	(**IC matching and elimination logics** tab) • **Accounts**: opens a page to set up the accounts involved in the selected logic. • **Category**: opens a page to set up the categories on which to read and write for the selected logic. • **Reconciliation accounts**: opens a page to define the reconciliation accounts for the selected logic. • **Copy from**: opens a page to copy, onto the selected logic, accounts, categories and variation/detail types from another logic. (**Financial investments elimination rules in Ownership structure register** tab) • **Accounts**: opens a page to set up the accounts involved for the selected logic. • **Category**: opens a page to set up the categories for the selected logic. • **Goodwill variation/detail types** opens a page to define the Goodwill variation/detail types for the account in the selected logic. • **Goodwill accounts**: opens a page to select the Goodwill accounts for the selected logic. • **Copy from**: opens a page to copy, onto the selected logic, accounts, categories and variation/detail types from another logic.
	(**IC matching and elimination logics** tab) • **Report IC Logic**: opens a window to export specific matching logics to Excel format. (**Financial investments elimination rules in Ownership structure register** tab) • **Report Financial Investment Elimination Rules**: opens a window to export specific financial investment elimination logics in Excel format.

IC Matching and Elimination Logics tab

Data Processing tile > Basic Consolidation > IC matching and elimination logics > List > IC Matching and IC Elimination Logics tab

Data Processing > Basic Consolidation > IC matching and elimination logics > List > IC Matching and IC Elimination Logics tab

Purpose of the tab

This tab allows you to set the characteristics of intercompany matching and elimination logics.

Attributes tab

Field	Description
Code	Unique code of the logic
Description	Description of the logic in all languages enabled on the system
type	
IC matching logic	Indicates that it is an intercompany matching logic. Available to contribute to setting up an IC matching cockpit (see IC matching cockpit). If selected, the **Matching** tab appears.
Ctp elimination logic	Indicates that it is a counterparty elimination logic and that it can be used to generate an elimination entry with a consolidation journal among the accounts defined in the logic. The journals are generated by the “Counterparty Eliminations” data processing. If selected, the **Eliminations** tab appears.

Field	Description
Generate counterparty	Only for counterparty elimination logics. Generates an automatic contra-entry to balance the elimination journals. This is used when the IC declaration was made by one entity only, and it is necessary to generate the contra-entry on the second entity in the relationship, according to the attributes set in the **Contra-entry** tab. *For example, it is used for the Dividends elimination logic in which **Primary accounts only** is also selected.* If selected, the **Contra-entry** tab appears.
Generate balancing	Only for counterparty elimination logics. Allows you to set a tolerance threshold below which any difference within the journal will be automatically balanced. If selected, the **Balancing** tab appears.
Accounts filter	
Account nature	Nature of the account involved in the logic (Balance Sheet, Profit & Loss, Order, Other Variation, Other Stocks)
Account type	Type of accounts subject to the logic. It cannot be Variation if the nature of the account is Profit & Loss or Other Variation.
All accounts that aren't present in other logics	Inserts in the logic all the accounts **not** present in other logics with the same nature and type selected in the previous two items. Useful when it is not necessary to define all the accounts of the logic in detail. If accounts from the specific definition window (Account definition page) have already been inserted, they will be removed in order to be able to select this option.
Advanced configuration	
Primary accounts only	Indicates that only the accounts subject to the logic which belong to the **Primary accounts** section must be specified. If selected, the logic only shows the section related to the primary accounts.
Single adjustment relationship	Allows you to unite, into a single “element”, the IC impacts of entity A towards B and B towards A. A single journal, not a double journal, is therefore generated for every relationship. A single row is shown in the IC matching cockpit. • The elimination generates a single journal which includes all declarations of A and B for a given set of accounts. This is also the case if both involved entities have both primary accounts. Do not select if **Primary accounts only** and **Generate contra-entry** are selected for the logic.
Eliminate/match for single currency	If selected, the matching/elimination journal will be generated in the document currency. Otherwise, it will be generated in the currency of the entity that has the primary accounts.
IC spreading logic	Only for processes whose relationship type includes Custom dimension 2 and if you do not want to manually insert the information on Counterparty custom dimension 2 in the intercompany declarations. Enables the writing off of all intercompany declarations whose Counterparty custom dimension 2 is not significant, by reallocating the relative amounts on Counterparty custom dimension 2 obtained from the other entity’s declarations.

Matching tab

Tab only visible if the **IC matching logic** option is selected. In this tab, it is possible to set thresholds, or values below which CCH Tagetik allows you to submit an IC relationship even if they are not matched, in the presence of automatic balancing. Also allows you to specify the entities that can or must match IC declarations.

Field	Description
Threshold	
Absolute value	Absolute amount of the threshold below which it is possible to submit an IC relationship even if it is not matched. This usually assumes that there is automatic balancing.

Field	Description
Unit	Currency of the threshold value. ***Note**: to run the balancing check, the threshold value is converted into the IC cockpit currency at the final FX rate.* If a preferred currency is configured, this is assigned as the default currency for the threshold. The field is mandatory in the following cases: • **Matching threshold**, **Balancing threshold** or **Variation/Detail types threshold** is defined. • The rule is an IC matching rule and **Matching threshold** = 0.
%	Percentage for calculating the threshold dynamically
Maximum difference allowed	Value that the dynamic threshold percentage must not exceed
Reconciliation account	
Inserted by	Entity that can insert reconciliation accounts: • the entity with the primary accounts • the entity with the dependent accounts • both
Threshold	Amount of the reconciliation accounts below which an IC relationship can be submitted. The comparison is performed on the total number of the reconciliation accounts associated with the reconciliation logic. ***Note**: If the value of the reconciliation accounts exceeds the threshold, only the consolidator of the relationship can perform the reconciliation.*
Unit	Currency of the reconciliation accounts threshold value
Advanced	
Change sign on Dependent accounts	Allows you to invert the sign for the dependent accounts on the IC matching cockpit. *Select to run matching between accounts whose amounts have been inserted with the same sign.*
Invoice matching	Allows you to run the matching of intercompany entries for a single document/invoice. See Advanced matching logics.
Move Reconciliation accounts to the elimination logic	(Only for IC matching logics) Indicates the elimination logic on which to move the values loaded onto the accounts present in the logic in which it is activated. See Advanced elimination logics.
FX rate used for Conversion	FX rate used for conversion. Defined with the conversion type of the first of the primary accounts deployed for the elimination logic. If historical, the final FX rate is used. If at initial balance or period average FX rate, the previous final FX rate is used. In all other cases, the same conversion rate as the account is used.

Eliminations tab

Tab only visible if the **Ctp elimination logic** option is selected. Allow you to manage the information needed to create an elimination entry through a consolidation journal among the accounts defined in the logic. The journals are generated by the “Counterparty eliminations” data processing.

Field	Description
Journal attributes	
Proportional calculation method	Method for calculating the proportional percentage calculation to be applied to the generated elimination journal. To be set if there are entities consolidated according to the proportional or equity method in the consolidation perimeter. **None**: ignores the amounts due to the presence of an entity valued according to the proportional method. **Lower %**: the journal amounts are weighted in respect of the lowest % out of the two entities involved in the journal. If one of the entities is proportional, its proportional percentage will be used; however, if both entities are proportional then the system will apply the lower %. Typically used for IC reconciliation logics. **Greater %**: as for **Lower %**, applying the greater %. **Entity 1**: the amounts will be weighted based on the % of the entity that has values on the **Primary accounts**. Typically used for financial investment elimination logics and the related impacts (investment revaluations, devaluations, dividends, etc.). **Entity 1 * Entity 2**: • If the consolidation method both entities in the header is **Proportional**, the lesser proportional percentage of the two entities in the header will be applied. • If the consolidation method entity 1 in the header is **Equity**, of **Non-consolidated controlled entity** type, and the consolidation method of entity 2 in the header is **Line-by-line**, then the proportional percentage of entity 2 in the header will be applied. • In all other cases, the proportional percentage of entity 1 is multiplied by the proportionality percentage of entity 2 in the journal header. ***IMPORTANT**: this option cannot be used in processes which use the "Database" consolidation engine.*
Minorities calculation method	Specifies how the system will behave if the generated journal is included in the minorities calculation. See Minorities calculation. A minorities calculation is normally necessary if net equity accounts are involved. ***Note**: the net equity accounts also include the net result, so, normally, if the journal impacts the net result, the minorities calculation is always necessary.* • **None**: minorities are not calculated. It is not normally necessary in IC matching logics; in fact, there should be no impact on net equity and, in particular, on the net result. • **Based on Entity 1 %**: sets the entity's minorities calculation with entries on the "Primary accounts". E.g. for the financial investment elimination journals and the associated impacts (investment revaluations, devaluations, dividends, etc.), where the primary entity holds the financial investment. • **Advanced**: allows you to customise the calculation separately for each of the two entities, considering the minorities percentages of Entities 1 or 2. • **Normal**: automatically applies each entity's specific equity ratio percentage and consolidation percentage to Entity 1 and 2.
Minorities calculation on Entity 1/2	Fields can only be customised if **Advanced** is selected in **Minorities calculation method**. Sets the minorities percentage of Entities 1 and 2.

Field	Description
Equity evaluation method	This attribute is considered when one of the entities involved in the generated journal is defined with the net equity method. If a journal has an impact on the net equity of an entity valued at equity, it must be considered in the valuation using the net equity method. The amounts must be duly "weighted" according to the consolidation %. Consequently, there is a calculation that increases or decreases the financial investment value for the entity that holds the investment. • **None**: does not apply the equity evaluation, even if the journal entities include entities consolidated at equity. • **Delete**: ignores the journal. Useful if one of the two entities is valued according to the net equity method and the journal does not impact net equity. (e.g. IC costs/revenues matching). The consolidable amount type is not generated. • **Evaluate with equity method: single Entity journals**: this is used for consolidation journals which arise from an entity relationship, but in which the rows are only attributed to entity 1 of the relationship; for example, for the elimination of a dividend or the elimination of the write-off of a financial investment. Only the rows which contribute to the entity with amounts on the "Primary accounts" will be considered. Any rows on the other entity (including manual rows) will be ignored. See Single entity journals. • **Evaluate with equity method: if entity 2 is at equity:**: only used for financial investment/net equity eliminations. In this type of journal, net equity should impact entity 2, but the NE could also be adjusted for entity 1 (e.g. FX rate differences on the financial investment account at the historical FX rate). In this case, the system also subjects entity 1's rows to equity evaluation.
Tax calculation method	This field must be configured if you intend to calculate the taxes on the generated journal. **None**: the taxes calculation is not performed for that journal. **Entity 1**: Taxes are calculated according to the fiscal policy associated with the entity with amounts on the "Primary accounts". **Entity 2**: Taxes are calculated according to the fiscal policy associated with the entity with amounts on the "Dependent accounts". **Entity 1 invert credits/debits**: Taxes are calculated in the same way as the "Entity 1" and "Entity 2" methods, but the choice between the "Deferred taxes fund" and "Credits for prepaid taxes" accounts must be inverted. In other words: if the amount has the debit sign, the Deferred taxes fund is chosen; otherwise, the Credits for prepaid taxes account is chosen. **Entity 2 invert credits/debits**: As above but only for consolidation journals. **Permanent OCI:** Value for information purposes only. The tax calculation is not performed. **Permanent P&L**: Value for information purposes only. The tax calculation is not performed.
Reverse journal type	If you want to consider the new amounts of the current year only, ignoring the impacts of previous years, it is necessary to "reverse" the value carried forward by CCH Tagetik. Indicates how the reversals are performed for the carry forward on the subsequent year. See Journal reversal data processing. • **None**: no reversal. • **Set BS accounts to 0 (cut off)** • **Set BS accounts to 0 and Write off P&L impact (IC)** • **Set BS accounts to 0, write off P&L impact and variations**

Field	Description
Enable carry forward	Indicates whether or not the generated elimination journal must be carried forward into the subsequent scenario. Normally, every journal that involves balance sheet accounts open on variations must be carried forward. This is particularly the case if a journal has an impact on the net result account, since the net result account is always open on variations. Select for all logics regarding financial investments (eliminations with net amounts, revaluations, devaluations, dividends) or assets in general (elimination of profit from the intercompany sale of assets, for example). Do not select for profit and loss matching logics.
Periodic journal	Makes the automatic elimination journal periodic, not cumulated.
Exclude Reclassifications and NER	Excludes accounts and entries of the generated journal from any accounts or NER (Net Equity Reclassification) that may take place in the original or consolidated scenario.
Rows advanced configuration	
Keep Ctp on Reconciliation accounts	Allows you to keep the counterparty entity and the counterparty custom dimension 2 on the elimination rows related to reconciliation accounts. By default, the elimination rows related to reconciliation accounts are generated without defining the counterparty entity. This is because the reconciliation account represents a balancing of the IC relationship more than a declaration. However, it may be useful to use reconciliation accounts instead of IC declarations. In these cases, the counterparty must be defined.
Sum up generated journal	Indicates whether the amounts of the journal generated on the basis of the logic must be summed up with the same dimensions. If not selected, the generated rows have the same detail as the generating intercompany entries.
Plug Account	Account on which all the elimination entries generated by the counterparty elimination data processing are balanced, by entity. The plug account is used to balance contributing financial statements. See Plug Account.
Generate P&L result ctp	If the result calculation method is **P&L: Calculated - BS: Copied from P&L result**, CCH Tagetik separately calculates the net result on the Entities involved in the elimination journal on which the rows were generated: the rows that involve accounts of P&L nature. In the presence of intercompany (profit and loss) eliminations in currencies other than the consolidation currency, this behaviour feeds the FX rate differences on the net result in the balance sheet. Select this option only makes sense on rows that eliminate profit and loss intercompany entries. Allows you to generate, on every entity, a counterparty on the indicated “Ctp P&L result debit account” and “Ctp P&L result credit account” accounts in order to reverse the impact of the net result on the individual entity. The possible values are: • Yes • No (default value) Only for CTP elimination rules of a P&L nature. If selected, the **Counterparty** tab will be displayed.
Ctp P&L result debit account	Only defined if **Generate P&L result ctp** is selected. Account to be used to generate the contra-entry that reverses the impact on the debit net result.
Ctp P&L result credit account	Only defined if **Generate P&L result ctp** is selected. Account to be used to generate the contra-entry that reverses the impact on the credit net result.
Bundle on elimination rule	Allows you to generate a single journal containing the impacts of two or more logics. See Bundle on elimination rule.
Enumerate on elimination rule	Following the definition of a new logic, to include new accounts, the system generates a new journal, with a code linked to the new logic. Allows you to avoid the duplication of journals between the existing logic and the new logic. See Enumerate on elimination rule.

Contra-entry tab

Field	Description
Generate Counterparty in journal currency	Indicates the currency with which the automatic contra-entry for balancing elimination journals must be generated. If selected, the **Entity currency amount journal field** of the contra-entry is populated in the journal currency, otherwise it is populated in the currency of the entity involved.
Generate Counterparty figure with Counterparty	Indicates whether counterparty's data must be defined in generating the automatic contra-entry for balancing the elimination journals. This only has an impact if the management of intercompany entries is enabled on the account.
Debit Account / Credit Account	Indicates the account on which to load the contra-entry. There may be two different accounts for debit and credit.
Entity for contra-entry	**Declaring Entity**: with the Primary Accounts **Counterparty**: with Dependent Accounts.
Contra-entry <custom dimension >	Allows you to set, for every custom dimension, whether to use, in generating the contra-entry, the same custom dimension as the value loaded by the **Declaring Entity** (custom dimension X of the source row), or the **Entity Default** defined for the entity in the list (default custom dimension X of the entity on which the contra-entry is generated). For custom dimension 2 only, the **Counterparty** (counterparty custom dimension 2 of the source row) is also available.

Balancing tab

Field	Description
Threshold	
Absolute value	Absolute amount of the threshold below which it is possible to submit an IC relationship even if it is not matched. This usually assumes that there is automatic balancing.
Currency	Currency of the threshold value. ***Note**: to run the balancing check, the threshold value is converted into the IC cockpit currency at the final FX rate.*
Account	
Debit Account/Credit Account	Indicates the account on which to load the balancing. There may be two different accounts for debit and credit.
Generate Balancing in journal currency	Indicates the currency with which the automatic balancing of elimination journals must be generated. If selected, the contra-entry's **Entity currency amount** field is populated in the journal currency, otherwise it is populated in the currency of the entity involved.
Generate Balancing with Counterparty	Indicates whether the counterparty data must be defined in the automatic elimination journal balancing step. This only has an impact if the management of intercompany entries is enabled on the account.

Field	Description
Entity	
Debit Entity / Credit Entity	This can be the **Entity with the primary accounts** or the **Entity with the dependent accounts**. The comparison of the unbalanced amount with the balancing threshold and the choice of entity for debit/credit balancing is carried out on the basis of the total value of the unbalanced amount, without considering the split between custom dimensions. ***IMPORTANT**: If the **Single adjustment relationship** attribute is selected in the logic, there is not enough information to choose the entity on which to write the balancing account. Therefore, Entity 2 from the journal header is selected automatically.*
<Custom dimension> for balancing	Allows you to set, for every custom dimension, whether to use, when generating the balancing, the same element as the custom dimension of the value indicated on the **Entity maximum amount row** of the entity to be adjusted, or the **Default** defined for the entity in the list. Or, with the **Of the row** option, it is possible to balance while maintaining the custom dimensions of the journal rows subject to balancing. If the latter option is chosen for at least one custom dimension, the same choice must be made for all managed custom dimensions. With this setup, the balancing is calculated separately for each combination of custom dimension fields present on the journal rows. The balancing will be performed on the custom dimensions of the row even if they are not included in the restrictions of the entity selected for the balancing. The custom dimension restrictions of the account used for the balancing, and the specific relationship type restrictions, will be applied.

If...	Then...
the account is restricted on the entity's default custom dimension.	the balancing is carried out on that custom dimension.
the account is restricted on one custom dimension element only.	the balancing is performed on that custom dimension code.
the relationship type is **By entity/Custom Dimension 2** or **By entity/Synthetic Custom Dimension 2**.	the Custom Dimension 2 fields are defined keeping the entities/custom dimension 2 relationship.

Relationships tab

Field	Description
Nodes	Node of matching and elimination logics to which to relate the logic

Account definition page

Data Processing tile > Basic Consolidation > IC matching and elimination logics > List > IC Matching and IC Elimination Logics tab > select matching logic > ⋮ > Accounts

Data Processing > Basic Consolidation > IC matching and elimination logics > List > IC Matching and IC Elimination Logics tab > select matching logic > ⋮ > Accounts

Purpose of the page

This page allows you to set up the primary accounts and dependent accounts involved in the selected logic.

In the proposed account hierarchies, it only shows accounts that match any filters on the nature and type specified in the logic header.

Page tabs

Tab	Description
Define primary accounts	Allows you to set the primary accounts on which to declare the entity defined in the “Declaring” relationship.
Define dependent accounts	Allows you to set the dependent accounts on which to declare the entity defined in the “Counterparty” relationship.

Links or buttons on the page

Element	Description
Definition result	Shows the deployment of the accounts according to the defined rule, subdivided between primary and dependent accounts.

Attributes tab

Field	Description
Action	Action to be run on the selected element or node.
Account	Code of the element or the node of the account.
IC matching logic	For the account, the relative amounts are shown in the IC reconciliation cockpit. *For example, the detail/variation accounts are present in the definition but cannot be shown in the cockpit to avoid making it too confusing to read them.*
Ctp elimination logic	The selected account is included by the system in the elimination journals.
Deploy for elimination logic	Used for the counterparty elimination logics. Simplifies the definition of the logic in cases in which the selected normal accounts have related detail and/or variation accounts. If a new detail is created for the account, the system inserts it automatically. *For example, it is possible to have revenue accounts with relative detail accounts by geographical area, to provide a breakdown of the turnover. By activating this option, the user only needs to select the Normal accounts: the deployment of the logic also includes the relative detail and/or variation accounts.* If this option is selected for an account, in the deployment step the relative detail or variation accounts have the **Ctp elimination logic** selected by default, and do not have the **IC matching logic option** selected.

Category definition page

Data Processing tile > Basic Consolidation > IC matching and elimination logics > List > IC Matching and IC Elimination Logics tab > select matching logic > ⋮ > Categories

Data Processing > Basic Consolidation > IC matching and elimination logics > List > IC Matching and IC Elimination Logics tab > select matching logic > ⋮ > Categories

Purpose of the page

This page allows you to set up the categories for the selected logic.
The category defines the data to be read and where to insert the generated journals.

Links or buttons on the page

Element	Description
Definition result	Shows the deployment of the categories to be eliminated and the corresponding category to be used to generate the elimination journal for each one of them.

Attributes tab

Field	Description
Action	Action to be run on the selected element or node.
Category	Category, or nodes of the category group, associated with the data to be read. Only the available “Amount” or “Entity journal” categories are shown. ***Note**: by definition, the intercompany declaration is included in the individual data of an entity, and those data are identified by the aggregation between the Amount and Entity journal categories.*
Generated category	Category to be used for the elimination consolidation journal. This is always a “Consolidation journal” category. Generally, a node of categories containing the whole of the entity’s contribution is set as the category from which to read the data and a single category type is set as the generated category, or it is eliminated in a single journal type. It can be useful to specify different categories from which to generate data, depending on the category from which the data is read, to obtain the following outcomes: • Catalogue the consolidation journals: journals on different categories can be brought onto different rows or columns of forms. • Process different accounting standards at the same time, keeping the data separate during consolidation. This is obtained by keeping different target categories when the data to be eliminated originate from categories that relate to different accounting standards.
Category for FX rate difference	Category to be used to generate journals for IC FX rate differences. It may be the same as the generated category.

Reconciliation account definition page

Data Processing tile > Basic Consolidation > IC matching and elimination logics > List > IC Matching and IC Elimination Logics tab > select matching logic > ⋮ > Reconciliation accounts

Data Processing > Basic Consolidation > IC matching and elimination logics > List > IC Matching and IC Elimination Logics tab > select matching logic > ⋮ > Categories > Reconciliation accounts

Purpose of the page

This page allows you to define the reconciliation accounts that can be used for the selected logic.

The contributor can only use the defined reconciliation accounts if the entity for which they are entering data is included among those of the type defined in the **Inserted by:** field (see IC Matching and Elimination Logics tab).

Attributes tab

Field	Description
Code	Code of the account to be used as the reconciliation account. Must already be registered in the accounts list.
Sign restriction	Amount type accepted by the account (Debit/Credit or both). Useful when two different accounts are used for positive or negative unbalanced amounts.

Financial investments elimination rules in Ownership structure register tab

Data Processing tile > Basic Consolidation > IC matching and elimination logics > List > Financial investments elimination rules in Ownership structure register tab

Data Processing > Basic Consolidation > IC matching and elimination logics > List > Financial investments elimination rules in Ownership structure register tab

Attributes tab

Field	Description
Code	Logic ID code
Description	Description of the logic in all languages enabled on the system
Net equity elimination	Allows you to generate the contra-entry based on the net equity data present in the financial investments module.
Generate counterparty	Generates an automatic contra-entry to balance the elimination journals. This is used when you only have the declaration of the financial investments account and you ask the system to balance the journal generated on the suitably chosen balancing accounts, according to the attributes set in the **Contra-entry** tab. If selected, it makes the **Contra-entry** tab visible.
Generate balancing	Allows you to set a tolerance threshold below which any difference within the journal will be automatically balanced. If selected, the **Balancing** tab appears. Only for logics with **Net equity elimination** selected.
Generate Entries by event	If selected, it generates journals for every ownership structure register event. Otherwise, it will generate a single journal. Only for logics with **Net equity elimination** selected.

Eliminations tab

Field	Description
Journal attributes	
Proportional calculation method	Method for calculating the proportional percentage calculation to be applied to the generated elimination journal. To be set if there are entities consolidated according to the proportional or equity method in the consolidation perimeter. **None**: ignores the amounts due to the presence of an entity valued according to the proportional method. **Lower %**: the journal amounts are weighted in respect of the lowest % out of the two entities involved in the journal. If one of the entities is proportional, its proportional percentage will be used; however, if both entities are proportional then the system will apply the lower %. Typically used for IC reconciliation logics. **Greater %**: as for **Lower %**, applying the greater %. **Entity 1**: the amounts will be weighted based on the % of the entity that has values on the **Primary accounts**. Typically used for financial investment elimination logics and the related impacts (investment revaluations, devaluations, dividends, etc.). **Entity 1 * Entity 2**: • If the consolidation method both entities in the header is **Proportional**, the lesser proportional percentage of the two entities in the header will be applied. • If the consolidation method entity 1 in the header is **Equity**, of **Non-consolidated controlled entity** type, and the consolidation method of entity 2 in the header is **Line-by-line**, then the proportional percentage of entity 2 in the header will be applied. • In all other cases, the proportional percentage of entity 1 is multiplied by the proportionality percentage of entity 2 in the journal header. ***IMPORTANT**: this option cannot be used in processes which use the "Database" consolidation engine.*

Field	Description
Minorities calculation method	Specifies how the system will behave if the generated journal is included in the minorities calculation. See Minorities calculation. A minorities calculation is normally necessary if net equity accounts are involved. ***Note**: the net equity accounts also include the net result, so, normally, if the journal impacts the net result, the minorities calculation is always necessary.* • **None**: minorities are not calculated. It is not normally necessary in IC matching logics; in fact, there should be no impact on net equity and, in particular, on the net result. • **Based on Entity 1 %**: sets the entity's minorities calculation with entries on the "Primary accounts". E.g. for the financial investment elimination journals and the associated impacts (investment revaluations, devaluations, dividends, etc.), where the primary entity holds the financial investment. • **Advanced**: allows you to customise the calculation separately for each of the two entities, considering the minorities percentages of Entities 1 or 2. • **Normal**: automatically applies each entity's specific equity ratio percentage and consolidation percentage to Entity 1 and 2.
Minorities calculation on Entity 1/2	Fields can only be customised if **Advanced** is selected in **Minorities calculation method**. Sets the minorities percentage of Entities 1 and 2.
Equity evaluation method	This attribute is considered when one of the entities involved in the generated journal is defined with the net equity method. If a journal has an impact on the net equity of an entity valued at equity, it must be considered in the valuation using the net equity method. The amounts must be duly "weighted" according to the consolidation %. Consequently, there is a calculation that increases or decreases the financial investment value for the entity that holds the investment. • **None**: does not apply the equity evaluation, even if the journal entities include entities consolidated at equity. • **Delete**: ignores the journal. Useful if one of the two entities is valued according to the net equity method and the journal does not impact net equity. (e.g. IC costs/revenues matching). The consolidable amount type is not generated. • **Evaluate with equity method: single Entity journals**: this is used for consolidation journals which arise from an entity relationship, but in which the rows are only attributed to entity 1 of the relationship; for example, for the elimination of a dividend or the elimination of the write-off of a financial investment. Only the rows which contribute to the entity with amounts on the "Primary accounts" will be considered. Any rows on the other entity (including manual rows) will be ignored. See Single entity journals. • **Evaluate with equity method: if entity 2 is at equity:**: only used for financial investment/net equity eliminations. In this type of journal, net equity should impact entity 2, but the NE could also be adjusted for entity 1 (e.g. FX rate differences on the financial investment account at the historical FX rate). In this case, the system also subjects entity 1's rows to equity evaluation.

Field	Description
Tax calculation method	This field must be configured if you intend to calculate the taxes on the generated journal. **None**: the taxes calculation is not performed for that journal. **Entity 1**: Taxes are calculated according to the fiscal policy associated with the entity with amounts on the “Primary accounts”. **Entity 2**: Taxes are calculated according to the fiscal policy associated with the entity with amounts on the “Dependent accounts”. **Entity 1 invert credits/debits**: Taxes are calculated in the same way as the “Entity 1” and “Entity 2” methods, but the choice between the “Deferred taxes fund” and “Credits for prepaid taxes” accounts must be inverted. In other words: if the amount has the debit sign, the Deferred taxes fund is chosen; otherwise, the Credits for prepaid taxes account is chosen. **Entity 2 invert credits/debits**: As above but only for consolidation journals. **Permanent OCI:** Value for information purposes only. The tax calculation is not performed. **Permanent P&L**: Value for information purposes only. The tax calculation is not performed.
Reverse journal type	If you want to consider the new amounts of the current year only, ignoring the impacts of previous years, it is necessary to “reverse” the value carried forward by CCH Tagetik. Indicates how the reversals are performed for the carry forward on the subsequent year. See Journal reversal data processing. • **None**: no reversal. • **Set BS accounts to 0 (cut off)** • **Set BS accounts to 0 and Write off P&L impact (IC)** • **Set BS accounts to 0, write off P&L impact and variations**
Enable carry forward	Indicates whether or not the generated elimination journal must be carried forward into the subsequent scenario. Normally, every journal that involves balance sheet accounts open on variations must be carried forward. This is particularly the case if a journal has an impact on the net result account, since the net result account is always open on variations. Select for all logics regarding financial investments (eliminations with net amounts, revaluations, devaluations, dividends) or assets in general (elimination of profit from the intercompany sale of assets, for example). Do not select for profit and loss matching logics.
Periodic journal	Makes the automatic elimination journal periodic, not cumulated.
Exclude Reclassifications and NER	Excludes accounts and entries of the generated journal from any accounts or NER (Net Equity Reclassification) that may take place in the original or consolidated scenario.
Rows advanced configuration	
Keep Ctp on Reconciliation accounts	Allows you to keep the counterparty entity and the counterparty custom dimension 2 on the elimination rows related to reconciliation accounts. By default, the elimination rows related to reconciliation accounts are generated without defining the counterparty entity. This is because the reconciliation account represents a balancing of the IC relationship more than a declaration. However, it may be useful to use reconciliation accounts instead of IC declarations. In these cases, the counterparty must be defined.
Sum up generated journal	Indicates whether the amounts of the journal generated on the basis of the logic must be summed up with the same dimensions. If not selected, the generated rows have the same detail as the generating intercompany entries.
Plug Account	Account on which all the elimination entries generated by the counterparty elimination data processing are balanced, by entity. The plug account is used to balance contributing financial statements. See Plug Account.

Field	Description
Generate P&L result ctp	If the result calculation method is **P&L: Calculated - BS: Copied from P&L result**, CCH Tagetik separately calculates the net result on the Entities involved in the elimination journal on which the rows were generated: the rows that involve accounts of P&L nature. In the presence of intercompany (profit and loss) eliminations in currencies other than the consolidation currency, this behaviour feeds the FX rate differences on the net result in the balance sheet. Select this option only makes sense on rows that eliminate profit and loss intercompany entries. Allows you to generate, on every entity, a counterparty on the indicated “Ctp P&L result debit account” and “Ctp P&L result credit account” accounts in order to reverse the impact of the net result on the individual entity. The possible values are: • Yes • No (default value) Only for CTP elimination rules of a P&L nature. If selected, the **Counterparty** tab will be displayed.
Ctp P&L result debit account	Only defined if **Generate P&L result ctp** is selected. Account to be used to generate the contra-entry that reverses the impact on the debit net result.
Ctp P&L result credit account	Only defined if **Generate P&L result ctp** is selected. Account to be used to generate the contra-entry that reverses the impact on the credit net result.
Bundle on elimination rule	Allows you to generate a single journal containing the impacts of two or more logics. See Bundle on elimination rule.
Enumerate on elimination rule	Following the definition of a new logic, to include new accounts, the system generates a new journal, with a code linked to the new logic. Allows you to avoid the duplication of journals between the existing logic and the new logic. See Enumerate on elimination rule.

Balancing tab

Tab only visible if the **Generate balancing** option is selected.

Field	Description
Threshold	
Absolute value	Absolute amount of the threshold below which it is possible to submit an IC relationship even if it is not matched. This usually assumes that there is automatic balancing.
Currency	Currency of the threshold value. ***Note**: to run the balancing check, the threshold value is converted into the IC cockpit currency at the final FX rate.*
Account	
Debit Account/Credit Account	Indicates the account on which to load the balancing. There may be two different accounts for debit and credit.
Generate Balancing in journal currency	Indicates the currency with which the automatic balancing of elimination journals must be generated. If selected, the contra-entry’s **Entity currency amount** field is populated in the journal currency, otherwise it is populated in the currency of the entity involved.
Generate Balancing with Counterparty	Indicates whether the counterparty data must be defined in the automatic elimination journal balancing step. This only has an impact if the management of intercompany entries is enabled on the account.

Field	Description
Entity	
Debit Entity / Credit Entity	This can be the **Entity with the primary accounts** or the **Entity with the dependent accounts**. The comparison of the unbalanced amount with the balancing threshold and the choice of entity for debit/credit balancing is carried out on the basis of the total value of the unbalanced amount, without considering the split between custom dimensions. ***IMPORTANT**: If the **Single adjustment relationship** attribute is selected in the logic, there is not enough information to choose the entity on which to write the balancing account. Therefore, Entity 2 from the journal header is selected automatically.*
<Custom dimension> for balancing	Allows you to set, for every custom dimension, whether to use, when generating the balancing, the same element as the custom dimension of the value indicated on the **Entity maximum amount row** of the entity to be adjusted, or the **Default** defined for the entity in the list. Or, with the **Of the row** option, it is possible to balance while maintaining the custom dimensions of the journal rows subject to balancing. If the latter option is chosen for at least one custom dimension, the same choice must be made for all managed custom dimensions. With this setup, the balancing is calculated separately for each combination of custom dimension fields present on the journal rows. The balancing will be performed on the custom dimensions of the row even if they are not included in the restrictions of the entity selected for the balancing. The custom dimension restrictions of the account used for the balancing, and the specific relationship type restrictions, will be applied.

If...	Then...
the account is restricted on the entity's default custom dimension.	the balancing is carried out on that custom dimension.
the account is restricted on one custom dimension element only.	the balancing is performed on that custom dimension code.
the relationship type is **By entity/Custom Dimension 2** or **By entity/Synthetic Custom Dimension 2**.	the Custom Dimension 2 fields are defined keeping the entities/custom dimension 2 relationship.

Relationships tab

Field	Description
Nodes	Node of matching and elimination logics to which to relate the logic

IFRS3 tab

Field	Description
Goodwill account	Account on which the value of the entity's goodwill is saved
Group full goodwill account	Account on which the difference between the actual market value of the owned entity (fair value) and its net equity value when the purchase is made is saved. Group portion.
Minorities full goodwill account	Account on which the minorities portion of the full goodwill value is saved.
Positive consolidation differences account (credit)	Account to which any positive consolidation differences flow. The differences emerge when the value of the financial investment stated in the holding company's financial statements differs from the value of the corresponding fraction of the owned entity's net equity.
Negative consolidation differences account (debit)	Account to which any negative consolidation differences flow.
Capital gain/capital loss account	Account on which the profit or loss is saved in the event of the total or partial disposal of an entity. A capital gain occurs when the value of the financial investment sold is greater than the set equity sold. If the value is lower, a capital loss occurs.

Report IC Logic window

Data Processing tile > Basic Consolidation > IC matching and elimination logics > List > IC matching and elimination logics tab > > Report IC Logic

Data Processing > Basic Consolidation > IC matching and elimination logics > List > IC matching and elimination logics tab > > Report IC Logic

Fields in window

Field	Description
Logics	Allows you to select one or several logics. If not selected, all logics are included.
Information to show	Allows you to select the information to be inserted in the report. **Accounts**: includes the primary accounts and the dependent accounts. **Categories**: includes the categories of data to be eliminated and the corresponding categories used to generate the elimination journals. **Reconciliation accounts**: includes the reconciliation accounts.
Synthetic	Shows the accounts that make up the logic and the categories of data to be eliminated synthetically.
Analytic	Shows the accounts that make up the logic and the categories of data to be eliminated at the maximum level of detail.

Report Financial Investment Elimination Rules window

Data Processing tile > Basic Consolidation > IC matching and elimination logics > List > IC matching and elimination logics tab > > Report Financial Investment Elimination Rules

Data Processing > Basic Consolidation > IC matching and elimination logics > List > IC matching and elimination logics tab > > Report Financial Investment Elimination Rules

Fields in window

Field	Description
Logics	Allows you to select one or several logics. If not selected, all logics are included.
Information to show	Allows you to select the information to be inserted in the report. **Accounts**: includes the primary accounts **Categories**: includes the categories of data to be eliminated and the corresponding categories used to generate the elimination journals. **Goodwill**: includes information on the entity's Goodwill. The value is generated by the difference between the purchase price and the sum of the market values of the entity's assets and liabilities.
Synthetic	Shows the accounts that make up the logic and the categories of data to be eliminated synthetically.
Analytic	Shows the accounts that make up the logic and the categories of data to be eliminated at the maximum level of detail.

Set up matching and elimination logics

Data processing tile > Basic Consolidation > IC matching and elimination logics > List

Navbar > Data processing > Basic Consolidation > IC matching and elimination logics > List

Create IC matching logics

1. In the **IC matching and elimination logics** tab, click : a new row will be added to the list to configure the logic.
2. In the **Attributes** tab, in the **Type** section, select **IC matching logic**.
3. Set all the other data on the page, then click **Save**: the new logic will now appear in the list.

Create IC elimination logics

1. In the **IC matching and elimination logics** tab, click : a new row will be added to the list to configure the logic.
2. In the **Attributes** tab, in the **Type** section, select **Ctp elimination logic**.
3. Set all the other data on the page, then click **Save**: the new logic will now appear in the list.

Relate intercompany matching and elimination logics to the process

This procedure allows you to relate IC matching and elimination logics to the process for which you want to perform the elimination or matching of counterparty declarations in intercompany relationships.

Application database > Processes tile > select process >

1. Select the process for which to run the elimination.
2. Click > **Process Definition**: a page to set up the selected process will appear.
3. In the Data Processing section, unlock editing.
4. In **Consolidation** > **Basic Consolidation** > **IC eliminations and matching**, click : the **IC eliminations and matching** page will open.
5. To relate an elimination logic to the process, select it in **IC elimination logics**.
6. To relate a matching cockpit to a step of the process, click **Add IC cockpit** in the IC cockpits section.
7. Select the desired cockpit and step.
8. Repeat the previous step for every IC matching cockpit to be related.

Define reconciliation accounts for other accounting

This procedure allows you to define the reconciliation accounts for other accounting. When a relationship in the IC matching cockpit is locked/submitted, CCH Tagetik verifies that the reconciliation accounts for the various pairs of defined debit/credit accounts are balanced.

Data Processing tile > Basic Consolidation > IC matching and elimination logics > IC cockpit

1. Select the desired IC cockpit.
2. Click > **Reconciliation accounts for other accounting**: the set up page will open.
3. Select the debit or credit accounts. These must be accounts that are used as reconciliation accounts in the matching logics associated with the selected IC cockpit.

   ***Note**: if the same account is specified as the debit and credit account, the balancing check is performed for the individual account.*

Examples of defining elimination logic and IC matching logics

Introduction

Some examples of setting up some commonly used elimination and IC matching logics are provided below.

Intercompany elimination of Costs/Revenues or Receivables/Payables

In this case, it must be set up as follows:

Parameter	Settings
Attributes	
IC matching logic	Select to view the related IC entries in the matching cockpit.
Ctp elimination logic	Select to automatically generate an elimination journal for the relative IC entries.
Generate contra-entry	Do not select.
Generate balancing	Select.
Primary accounts only	Do not select if the accounts of two different sections (Costs/Revenues or Receivables/Payables) must be specified.
Single adjustment relationship	Do not select if you want to match and eliminate the cases of reciprocal relationships separately.
Intercompany Matching	
Absolute value **Currency**	Set to define a matching threshold.
Change sign on Dependent accounts	Do not select.
(Reconciliation account) **threshold**	Enter the amount above which the submission of the relationships on the cockpit is prevented. It can be 0. If the unbalanced amount BEFORE applying the reconciliation accounts exceeds the threshold, only the node's consolidator can run the matching of the relationship.
Eliminations	
Proportional calculation method	**Lesser %**
Minorities calculation method	**None**
Equity evaluation method	Only set if there are consolidation scenarios with entities consolidated at equity, otherwise ignore. In the case of IC eliminations, select **Eliminate**.
Tax calculation method	**None**
Reverse type	If carry forward is enabled, the balance sheet IC declarations are guided by the normal accounts and P&L accounts are used to attribute the FX rate differences, select **Set BS accounts to 0, write off P&L impact (IC)**.
Enable carry-forward	Do not enable on P&L IC declarations. Enable on balance sheet IC declarations guided by variations. On balance sheet IC declarations guided by normal accounts, only enable if P&L accounts are used to attribute FX rate differences.

Parameter	Settings
Sum up generated journal	Select if you want the generated elimination to be summed up keeping the same dimensions, and for it therefore not to contain the details of the IC entries.
Balancing	
Debit/Credit account	Indicate the account to be used to generate the automatic balancing for unbalanced amounts below the threshold.

Elimination of dividends

The distribution of a dividend can be considered a “unilateral” intercompany entry.

Owner Entity	Account	CTP	Amount
A00	Revenues - Dividends	B00	-100

The owner entity registers an intercompany earning received from the owned entity. Only a reduction of reserves is registered on the owned entity due to the distribution of dividends. For example, entity A00 receives a dividend of € 100 from entity B00. In this case, B00 does not make any IC declaration. In order to eliminate this effect, CCH Tagetik behaves as follows:

- It generates an automatic contra-entry on entity B00.
- It eliminates the balanced IC declaration as a standard IC declaration.

In this case, it must be set up as follows:

Parameter	Settings
Attributes	
IC matching logic	Leave unselected in order not to view the declared IC entries in the matching cockpit.
Ctp elimination logic	Select to automatically generate an elimination journal.
Generate contra-entry	Select to generate an automatic contra-entry to balance the elimination of the dividends.
Primary accounts only	Select because the IC declaration only concerns the dividends and not the contra-entry.
Eliminations	
Proportional calculation method	**Entity 1**
Minorities calculation method	**Entity 1**
Tax calculation method	**None**
Equity evaluation method	Only set if there are consolidation scenarios with entities consolidated at equity, otherwise ignore. For dividend eliminations, select **Evaluate with equity method: single Entity journals**
Enable carry-forward	Select.
Contra-entry	
Entity for contra-entry	Select the entity to which the contra-entry must be made out (**Declaring** or **Contra-entry**). In the case of dividends, select **Declaring**.
Debit/Credit account	Indicate the account to be used to generate the contra-entry. If the account can only be adjusted with variations, indicate the variation account. Otherwise, indicate a Normal account.

Elimination of Revaluations/Devaluations

Revaluations and devaluations can also be eliminated from the ownership structure register.

The settings mirror those used for dividends, see Elimination of dividends.

Elimination of Financial investments (with financial investment value derived from Financial Statements)

The settings mirror those used for dividends, see Elimination of dividends. This is because the financial investment variations must be declared as normal intercompany entries.

Eliminate Financial investments (from Ownership structure register)

This example applies to all event types except for the revaluation and devaluation of financial investments.

It must be set up as follows:

Parameter	Settings
Attributes	
Net equity elimination	Select.
Generate contra-entry	Do not select.
Generate balancing	Select.
Generate Entries by event	Do not select.
Eliminations	
Proportional calculation method	**Entity 1**
Minorities calculation method	Entity 1
Tax calculation method	**None**
Equity evaluation method	Only set if there are consolidation scenarios with entities consolidated at equity, otherwise ignore.
Reverse type	**None**
Enable carry-forward	Select.
Exclude Reclassifications and NER	Do not select.

Revaluation/Devaluation of financial investments (from Ownership structure register)

In this case, it must be set up as follows:

Parameter	Settings
Attributes	
Net equity elimination	Do not select.
Generate contra-entry	Select.
Generate balancing	Do not select.
Generate Entries by event	Do not select.
Eliminations	
Proportional calculation method	**Entity 1**
Minorities calculation method	Entity 1
Tax calculation method	**None**
Equity evaluation method	Only set if there are consolidation scenarios with entities consolidated at equity, otherwise ignore.
Reverse type	**None**
Enable carry-forward	Select.
Exclude Reclassifications and NER	Do not select.
Contra-entry	
Entity for contra-entry	**Declaring**

Basic consolidation data processing

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Contribution data processing

Introduction

The contribution data processing is the first data processing that is run on the consolidation scenario. It generates the consolidable amounts.

Contribution sub-data processing

Contribution data processing is made up of the following sub-data processing, which is not all mandatory:

<table>
<tr><th>Data Processing</th><th>Description</th><th>Mandatory</th></tr>
<tr><td>Generate proportional</td><td>Generates the proportional amount type on the consolidation scenario (see Proportional calculation data processing).</td><td>Yes</td></tr>
<tr><td>Generate converted</td><td>Values the converted amount type, in the consolidation currency, based on the proportion amount type. This amount is expressed in local currency for amounts and entity journals and in any currency for consolidation journals.</td><td>Yes</td></tr>
<tr><td>Generate consolidable and Equity evaluation</td><td>Copies converted data onto the consolidable amount type.

<table><tr><th>If...</th><th>Then...</th></tr><tr><td>the entities are consolidated using the line-by-line or proportional method.</td><td>It copies the data as-is.</td></tr><tr><td>the entities are consolidated using the equity method.</td><td>It copies the data, generating the at equity valuation journals.</td></tr></table></td><td>Yes</td></tr>
</table>

Data Processing	Description	Mandatory
Minorities	Reclassifies the portion of net equity and of the year's result for minorities in specific FS items. For amounts and entity journals, specific journals are generated, and for consolidation journals new rows are generated in the journal itself.	No
Use FX rates from ownership structure register	The use FX rates on consolidation scenarios data processing generates overridden FX rates on the consolidation scenario based on the FX rates entered in the ownership structure register (see FX rate loading on consolidation scenarios data processing).	No

If the three mandatory data processes are not carried out, the three related consolidation scenario amount types will not be defined and consolidation will not be possible.

The contribution data processing is the only data processing and it includes all consolidation data processing, plus the non-mandatory data processing in order to perform the overrides on the proportional, converted and consolidable amount types.

Proportional calculation data processing

Introduction

The proportional calculation data processing is the first contribution data processing and generates the proportional amount type on the consolidation scenario.

How it works

The data processing reads the following data:

- Amounts, intercompany declarations and entity journals of entities belonging to the consolidation area. For intercompany declarations, the filter is only applied to the declaring entity.
- Consolidation journals in which both entities in the header (entity 1 and entity 2) belong to the consolidation area. For journals, the filter is applied considering the entities in the header and not the entities in the journal rows.

The data processing excludes data related to the following:

- Entities to be consolidated using the at cost consolidation method.
- Entities which are labelled as "To be deconsolidated - initial balances only" or "to be deconsolidated - from previous period" in the consolidation area. For entities to be deconsolidated, the data processing only considers the elimination journal of the financial investment/net equity from the ownership structure register, which is therefore processed in any case.

If an accounts or categories filter has been set on the consolidation scenario, only the accounts and categories that are in the list or belong to the indicated node are processed.

To generate the proportional data, the proportional percentage indicated for the entity in the consolidation area is applied to the original data.

Proportional calculation options

The proportional calculation percentage applied to the consolidation journals can have the following values:

Value	Description
None	No percentage is applied. The journal is copied by reading from the original scenario.
Lesser %	The lesser consolidation scenario proportional percentage of the two entities in the header is applied. The journal amounts are weighted in respect of the lowest % out of the two entities involved in the journal. If one of the entities is proportional, its proportional percentage will be used; however, if both entities are proportional then the system will apply the lower %. *Typically used for IC reconciliation logics.*
Greater %	The greater consolidation scenario proportional percentage of the two entities in the header is applied.
Entity 1	The proportional percentage of Entity 1 in the journal header is applied.
Entity 1 * Entity 2	• If the consolidation method of both entities in the header is **Proportional**, the lesser proportional percentage of the two entities in the header will be applied. • If the consolidation method of entity 1 in the header is **Equity**, of **Non-consolidated controlled entity** type, and the consolidation method of entity 2 in the header is **Line-by-line**, then the proportional percentage of entity 2 in the header will be applied. • In all other cases, the proportional percentage of entity 1 is multiplied by the proportionality percentage of entity 2 in the journal header. ***IMPORTANT**: this option cannot be used in processes which use the "Database" consolidation engine.*

This information is indicated as **Proportional calculation method** (see the categories list in the Data Model section) and can be manually overridden on the header of each consolidation journal.

Other variations accounts and *Other stocks* accounts with the **Exclude from proportional calculation** option are simply copied onto the proportional amount type.

Particular cases for intercompany amounts and declarations

The proportional calculation data processing writes the amounts and intercompany declarations on the proportional amount type according to a different method from the one used for saving them on the tables of original data.

In particular, on the original amount type the gross figure is saved in the amounts and the intercompany declarations are saved as additional details of the gross figure. In the proportional amount type, however, the data are stored by counterparty. To obtain the gross figure, it is necessary to add up all the rows present on the proportional amount type, including those with an undefined counterparty, which represent the portion to minorities.

Change in proportional percentage compared with the opening scenario

In the case of a change in the proportional percentage between the scenario/period to be processed and the opening scenario/period, CCH Tagetik automatically defines the variation accounts which, in the Control Group, have been indicated as entry or exit **Modify % variations** or as **Area change variations**.

The choice between area change variations or modify % variations and, within these, between increase/decrease or entry/exit, is made on the basis of the change in the proportional percentage:

If...	Then...
the percentage increases from zero to X or from X to zero.	the area change variations are chosen.
another type of change takes place.	the percentage change variations are chosen.

The origin generated for these rows is 'CONS_PROP_CHANGE'.

Percentage change in proportionality compared with the previous period (Periodic calculation)

To manage the percentage change in proportionality compared with the previous period, it is necessary to activate the proportional calculation in periodic mode and indicate the account on which CCH Tagetik will write the difference between the P&L net result and the BS net result.

The algorithm for the periodic calculation is applied to the following accounts:

- Profit & loss accounts
- Other variation accounts
- Variation accounts
- Normal net result account in the Balance Sheet

***IMPORTANT**: The data processing must be run using the same calculation type for all periods linked to a scenario. To change the calculation strategy from a certain period onwards, it is also necessary to reprocess the previous periods of the scenario.*

The current period's cumulative proportional figure is calculated by adding up the following figures:

- the cumulated proportional figure from the previous period
- the periodic original figure multiplied by the period proportional percentage

To identify the previous period, CCH Tagetik considers the period length set on the consolidation scenario period.

The difference between the proportional P&L net result account calculated on a periodic basis and the proportional Balance Sheet net result account, calculated on a cumulated basis, is allocated to the reserve account defined in the configuration for the data processing for the calculation of the Proportional and Consolidable figure (**Contra-entry account for BS and P&L result alignment**). The percentage variation account defined in the variation control group is also adjusted at the same time.

For all balance sheet accounts, the percentage variations on the variation accounts compared with the previous period are allocated to the variation accounts dedicated to the percentage variation.

Requirements for the periodic calculation

To obtain the correct periodic values, the entity data, including the journals, must be present on the original scenario, in the period prior to its entry into the consolidation area. This normally happens when the entity is already consolidated line-by-line/proportionally in the previous period in other consolidation areas.

However, if the data are not present, the following will happen:

- CCH Tagetik returns the results as if the calculation had been cumulated.
- To have the periodic calculation, it is necessary to insert the data on the previous scenario and run certain data processing (e.g. counterparty eliminations) to have the data, amounts and journals with which to calculate, by difference, the periodic figure.

***IMPORTANT**: If the data are not complete, e.g. if the financial statements of the entity at Equity or at Cost, and the Intercompany declarations but not the Intercompany eliminations, exist on the previous period, then it is necessary to insert only the periodic part of the IC declarations in the data processing period. Otherwise, there could be incorrect contributions on the accounts of entities that were valued using the at Equity or at Cost method in the previous period.*

Management of journals present in the previous period but not in the processed period

When a journal is present in the previous period but not in the period being processed, CCH Tagetik creates the journal header, and writes the proportional figure calculated on a periodic basis in the proportional amount type.

In the run step, it runs the following preliminary checks:

- In order to be calculated, the selected periods must be consecutive.
- The entities must be present in the consolidation area of all selected subsequent periods (of the same scenario).

Proportional Percentage		
Period 01	Period 02	Period 03
50%	75%	100%

	Original			Periodic Proportional calculation			YTD Proportional calculation		
Account	Period 01	Period 02	Period 03	Period 01	Period 02	Period 03	Period 01	Period 02	Period 03
Profit & Loss - 1	10	10	20	5	5	15	5	7.5	20
Profit & Loss - 2	10	35	60	5	23.75	48.75	5	26.25	60
Profit & Loss - 3	10	0	25	5	-2.5	22.5	5	0	25
Profit & Loss - Net result	-30	-45	-105	-15	-26.25	-86.25	-15	-33.75	-105
Balance Sheet - 1	-30	-45	-105	-15	-33.75	-105	-15	-33.75	-105
Balance Sheet - Net result	30	45	105	15	33.75-7.5	105-18.75	15	33.75	105
Balance Sheet - Retained earnings					7.5	18.75			

***IMPORTANT**: The data of the entity that enters or re-enters the consolidation scenario during the same year are calculated on a cumulative basis.*

Entities that entered the consolidation area during the fiscal year

CCH Tagetik also manages entities that entered the consolidation area during the fiscal year on the proportional amount type. In this case, the proportional calculation considers the “period data” to be consolidated and therefore performs the calculation on the P&L accounts, other variation accounts and all variation accounts. The proportional amount type is calculated by obtaining the difference between the figures for the current period and the figures for the period prior to the period in which the entity entered the area. To identify the previous period, it uses the period length defined on the period to be processed.

The flows related to the change in consolidation area are also regularly populated.
Entities that entered during the fiscal year are identified in the consolidation area by the **First consolidation period** field.

***Note**: This functionality only appears on the in memory consolidation engine.*

Reclassification of variations in financial investment elimination journals

The financial investment elimination data processing generates a journal on the original scenario and, if the proportional percentage changes, uses the percentage change or consolidation area change variations, as an increase or decrease, or an entrance or exit, respectively. The change in the proportional percentage is calculated by comparing the direct financial investment percentage of the processed event with the same percentage of the last event of the previous scenario.

The percentage change or consolidation area change variations and their sign might not be the same as those that were chosen in the consolidation area. In fact, the consolidation area is considered in its entirety and all the shareholding relationships are considered in the calculation of the percentages, not just those of individual events.

When this happens, the proportional calculation data processing writes off, on the proportional amount type, the variation account originating from the original one and reallocates that amount onto the correct variation account, choosing the appropriate sign.

Net equity merger variations are not subject to reclassification because, in the event of a merger, the event is unique both on the original scenario and on the consolidation scenario.

Conversion data processing

Introduction

CCH Tagetik manages the currency conversion calculation and can convert amounts in the financial statements and entity and consolidation journals into the consolidation currency.

Consequently, the FX rate differences generated by the currency conversion itself are also managed. One of the typical FX rate differences is the one related to the application of the historic FX rate.

Conversion Rules page

Admin

Data Processing tile > Basic Consolidation > Conversion

Navbar > Data processing > Basic Consolidation > Conversion

Purpose of the page

This page allows you to set up the conversion data processing in the modes and accounts that you are using.

IMPORTANT: *the rules defined on this page can be edited and overridden for each individual process.*

Page fields

In **Generic rules**:

Field	Description
Conversion at historical FX rate	Tells the system if any FS items, typically the net equity accounts, must be converted with the historical FX rate method.
P&L conversion method for the Consolidation	Strategy for currency conversion of P&L entries in the context of contribution data processing.
FX rate difference accounts	Allows you to set up accounts that the conversion data processing must use to allocate the FX rate difference, namely the FX rate difference accounts (Credit/Debit) and the Intercompany FX rate difference accounts (Credit/Debit) for the balance sheet and P&L.
Advanced	Allows you to manage FX rates in particular cases.

In **FX rate difference accounts**:

Field	Description
Balance sheet	Defines the accounts that the conversion data processing must use to allocate the FX rate difference, namely the FX rate difference accounts (Debit/Credit) for the balance sheet.
Intercompany Balance Sheet	Defines the accounts that the conversion data processing must use to allocate the Intercompany FX rate difference (Debit/Credit) for the balance sheet.
Profit & Loss	Defines the accounts that the conversion data processing must use to allocate the FX rate difference, namely the FX rate difference accounts (Debit/Credit) for the profit and loss.
Intercompany Profit&Loss	Defines the accounts that the conversion data processing must use to allocate the FX rate difference, namely the Intercompany FX rate difference accounts (Debit/Credit) for the profit and loss.
Override FX rate difference accounts	Opens a page to specify the FX rate difference type for each individual account. See Override FX Rate Difference Accounts page.

In **Advanced**:

Field	Description
Overridden Var. - Det. type for the FX rate difference on the year's net result	To highlight the FX rate effect deriving from the previous year's profit, an ad-hoc variation can be specified, on which the system will allocate the FX rate difference. The same account defined for the balance sheet FX rate difference will be used, but on a different variation/detail type.
FX rates loading mode	Tells the *Use FX rates from ownership structure register* data processing the entities on which it must download the FX rates entered in the ownership structure register (see FX rate loading on consolidation scenarios data processing). • Amounts and Entity journals • Financial investments elimination journal/Net equity • Amounts, Entity journals and Financial investments elimination/Net equity
Alternative FX rates to Initial balance FX rate when the Initial balance variation is missing	For variations to be converted at the FX rate of the initial balance, the system calculates the rate to be applied by calculating the ratio of the converted amounts to proportional amounts of the initial balance variation. If there is no variation, it is necessary to specify the alternative conversion strategy, which may consist of using the Previous final FX rate or the Previous average FX rate.
Anticipate Intercompany FX rate difference on Original Scenario	
Calculate	Anticipates the calculation of the IC FX rate differences on the original scenario to allow the minorities calculation to take place. ***Note**: this option only applies to processes that use the standard consolidation engine (Databases). The In Memory consolidation engine does not need these settings since the conversion precedes the minorities calculation.*
Reverse journal type	Defines the behaviour for the elimination journals for the anticipation of IC FX rate differences. • **As IC elimination logic**: the standard IC elimination logics are followed. • **Set BS and Variations accounts to 0 and Write off P&L impact (IC)**: the variations will also be set to 0.

Override FX rate difference accounts page

Admin

Operational database > Processes tile > select process > ⋮ > Process setup (Data Processing section) > Consolidation > Basic Consolidation > Generate Contribution > Generate converted amount > ✎ > Override FX rate difference accounts

Operational database > Processes & Workflow > Processes > select process > ⋮ > Process setup (Data Processing section) > Consolidation > Basic Consolidation > Generate Contribution > Generate converted amount > ✎ > Override FX rate difference accounts

Purpose of the page

This page allows you to override, for every desired account, the accounts that the conversion data processing should use to allocate any FX rate difference.

Attributes tab

Field	Description
Action	Allows you to include or exclude the account that is selected by conversion operations.
FX rate difference type	FX rate difference type to which to apply the override
Account	Account for which to override the FX rate difference account
Category	Category for which to override the FX rate difference account
IC elimination logic	IC elimination logic for which to override the FX rate difference account
FX rate difference account: debit	Account on which to write the FX rate difference as a debit amount
FX rate difference account: credit	Account on which to write the FX rate difference as a credit amount

Minorities calculation

Introduction

CCH Tagetik manages the calculation of minority interests, or the financial investments made by non-controlling shareholders that are not in the group, in the capital of entities included in the consolidation area.

When an entity is controlled but not fully owned by one of the entities in the group, it is necessary to attribute part of the controlled entity's net equity to the minorities outside of the group who own a share of it. To do this, CCH Tagetik highlights the part of the controlled entity that does not belong to the group in the journals. In particular, the minorities calculation data processing reclassifies the share of net equity and the net result for the fiscal year pertaining to minorities in specific items in the financial statements.

In order for the minorities to be calculated correctly, you must prepare and properly set up the following Data Model dimensions. For more details on CCH Tagetik's Data Model dimensions see the dedicated module.

Dimension	Requirements
Account	The list of accounts must contain the following accounts: • group P&L net result account and group BS net result account • minorities P&L net result account and minorities BS net result account
Variation/Detail types	The following variation/detail types must exist: • at least one variation/detail type to allocate the amounts arising from the change in area • at least one variation/detail type for the amounts arising from the change in equity ratio percentage and proportional percentage. ***Note**: these variation/detail types are used to create/update the variation accounts in the control groups.* The variation/detail types setup (Variation/Detail types setup) determines how the balance sheet variation accounts in the minority journals are used to allocate the amounts arising from the change in area or the change in the equity ratio or proportional percentage.
Control groups	The **Area variation** field indicates whether, for the control group, the child account should be used to allocate the area variation amounts. The **Modify %** field indicates whether the child account should be used to allocate the minorities calculation amounts due to the change in the equity ratio or proportional percentage. See Control groups in the Data Model section.
Categories	The minorities calculation for the Consolidation Journals categories is controlled by the **Minorities calculation method** attribute For manual Consolidation journals, the default values specified in the list of categories are used, but the consolidator can choose to change that default (Categories Setup). The minorities calculation method for automatic IC elimination journals is inherited from the elimination logics that generate the journals. The minorities calculation on balance categories and entity journals is performed if the category is included in the categories on which to calculate minorities indicated in the minorities rules.

Variation/Detail types setup

The fields can be set as follows:

Field	Description
Area variation	• **No** (default): the account is not used to allocate the amounts linked to the area variation. • **Entry/Exit**: the account is used to indiscriminately allocate the amounts due to the entry into/exit from the consolidation area. • **Entry**: the account is used to allocate the amounts due to the entry into the consolidation area. • **Exit**: the account is used to allocate the amounts due to the exit from the consolidation area.
Modify %	• **No** (default): the account is not used to allocate the amounts linked to the change in the equity ratio or proportional percentage. • **Increase/Decrease**: the account is used to indiscriminately allocate the amounts due to the increase or decrease in the percentage. • **Increase**: the account is used to allocate the amounts due to the increase in the percentage. • **Decrease**: the account is used to allocate the amounts due to the decrease in the percentage.

Categories setup

The fields can be set as follows:

Field	Description
Minorities calculation method	• **Normal**: the minorities on the two entities are calculated using the respective equity ratio and consolidation percentages. • **None**: minorities are not calculated. • **Advanced**: allows you to define different calculation methods for entity 1 and entity 2. If selected, it is possible to set a different strategy for each of the two entities. ◦ **Based on Entity 1 %**: minorities are calculated applying the equity ratio and consolidation percentage of entity 1 in the journal. Method used for the financial investment / net equity elimination journals. ◦ **Based on Entity 2 %**: minorities are calculated applying the equity ratio and consolidation percentage of entity 2 in the journal. ◦ **None**: minorities are not calculated.

Ownership structure register and Consolidation area

For the minorities calculation, CCH Tagetik uses the consolidation, direct ownership, actual ownership and interest percentages deployed in the consolidation area by processing the relationships and ownership percentages defined in the ownership structure register, unless they have been directly overridden on the consolidation area. For more details, see the module dedicated to the Ownership Structure Register.

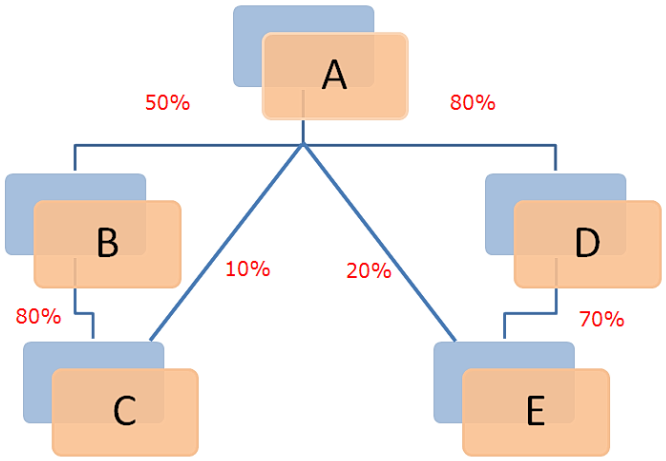
The calculation of these percentages considers ownership structure register events whose previous date is closest to the scenario/period end date. On the holding company, all these percentages are always set to 100%, and on entities at cost they are 0%.

The percentages are calculated as follows:

Percentage type	Calculation method
Direct ownership percentage	Calculated as the sum of the financial investment percentages of the respective owner entities present in the consolidation area, considering own shares.
Actual ownership percentage	Calculated as the sum of the ownership percentages of the respective owners, each multiplied by the owner's consolidation percentage, considering own shares.
Equity ratio percentage	Calculated as the sum of the branches owned by the entity in question, multiplied by all the higher branches up to the holding company.
Consolidation percentage	Depends on the consolidation method with which the entity enters the area. 100% for line-by-line entities, 0% for at cost entities, proportional percentage for proportional entities and at equity entities.
Total minorities percentage	Percentage not specified or deployed in the consolidation area but used in calculations. This is the difference between the consolidation percentage and the equity ratio percentage.

Example

With the following organisational structure:



The following percentages are applied:

Azienda	Metodo consolidamento	% consolidamento	% interessenza	% terzi totale	% partecipazione effettiva	% partecipazione diretta
A	Integrale	100	100	0 (100-100)	100	100
B	Proporzionale	50	50	0 (50-50)	50	50
D	Integrale	100	80	20 (100-80)	80	80
C	Proporzionale	50	50 (80*50+10)	0 (50-50)	50 (80*50 +10*100)	90 (80+10)
E	Integrale	100	76 (70*80+20)	24 (100-76)	90 (70*100+20*100)	90 (70+20)

Moreover, the following percentages are also used in the periodic minorities calculation:

- Period equity ratio percentage
- Period actual ownership percentage

The period percentages are calculated considering the events to be included in the period based on the specific rules of the process indicated in the Setup periodic minorities calculation.

Specifics of the periodic minorities calculation

If the periodic minorities calculation is active, in the process rules override window (Minorities page in the Processes section), the **Setup Periodic Minorities Calculation** link will appear, allowing you to select the ownership structure register events to include in the period percentages calculation in the table deployed in the consolidation area.

The original scenarios/periods belonging to the process are displayed, and for each of these you can to change the reference date for the periodic minorities calculation. This date is used to determine the events to include in the period: CCH Tagetik considers events whose date is included between the start date and the reference date for the periodic minorities calculation.

The reference date for the periodic minorities calculation is preset to be the same as the period end date and, if changed, must be between the scenario/period start and end dates.

From the Setup Periodic Minorities Calculation page (see Minorities page in the Processes section), from the ⋮ menu > **Events management** you can override the events to be included in or excluded from the selected period. The ownership structure register events included in the selected period's validity range are displayed.

Event	Description
Included	Have a date <== than the reference date for the periodic minorities calculation or overridden in the included events.
Excluded	Have a date > than the reference date for the periodic minorities calculation or overridden in the excluded events.

The deployment of the consolidation area calculates the period equity ratio and period actual ownership percentages considering the events included in the period.

Accounts for the minorities calculation

For every account on which you want to calculate minorities, you can specify the accounts whose direct minorities portion (direct minorities account) or the indirect minorities portion (indirect minorities account) must be adjusted.

The setup is typically as follows:

- A “Minorities reserve” account is related to all net equity accounts.
- For variation accounts, every variation is usually related to the same variation type as the minorities account (e.g. Net equity account - FX rate difference > Minorities account - FX rate difference).
- The “Minorities net result” account is related to the net result account (both P&L and BS).

Categories for the minorities calculation

For every Balance and Entity Journals category, it is necessary to indicate whether minorities must be calculated and the categories on which the minorities journal must be generated.

To perform a synthetic definition, you can use nodes of categories.

The minorities are calculated on the consolidation journals on the basis of the “Minorities calculation method” indicated in the journal header.
Third parties are booked in the same journal, and therefore have the same category as the original consolidation journal. For this reason, the minorities rules do not contain the categories of consolidation journals.

Periodic minorities calculation

In the case of the periodic minorities calculation, the minorities amount calculated on the Balance Sheet Net result due to the minorities percentage change is allocated to the Reserves account for carrying forward the Balance Sheet net result, as indicated in the Carry forward rules (Carry forward rules page). The variation to be adjusted is determined based on the variation/detail type indicated in the Area variation entry/exit and Modify % increase/decrease fields.

Therefore, with the setup of the variation/detail types for the periodic minorities calculation, it is possible to set up the variation/detail types to be used to allocate the amount of the minorities % variation of the Balance Sheet Net result keeping the % variation on the Reserves for carry forward account separate.

If the variation/detail types for the periodic minorities calculation are not setup, the amount of the % variation of the Balance sheet net result is allocated to the area variation accounts or modify % variations configured in the control group of the Reserves account for carrying forward the Balance sheet net result.

Data Processing

The minority interests calculation acts on the consolidation scenario after the conversion to consolidation currency data processing. The minority journals (or minorities calculation rows in the consolidation journals) are generated on the Converted amount type and subsequently brought to the consolidable amount type.

The minorities journals are made according to the double entry logic and generate the following rows:

- write off rows on “group” net equity accounts
- reallocation rows on the accounts dedicated to reporting the minorities portion.

CCH Tagetik calculates the minorities portion separately for adjusted amounts (amounts and entity journals) and for consolidation journals.

Minorities calculation on individual data items

Data related to original balances and entity journals (“adjusted” data) are read and processed based on their category. It is considered good practice to calculate minorities based on adjusted data, or the amount category plus all “Entity journal” categories. For the minorities calculation, CCH Tagetik generates a new journal, on the converted amount type, which is identified with a precise journal number and labelled with the category for minorities journals specified in the minority rule.

For example: MIN_CATEGORY MINORITIES_ENTITY

The percentage applied is the total minorities % defined for the entity, or the consolidation % minus the equity ratio %.

For adjusted data, it is possible to calculate the direct minorities portion and the indirect minorities quota but attributing them to different net equity accounts. This behaviour is obtained by indicating a direct minorities account that is different from the indirect minorities account in the minority rule.

The respective portions are calculated as follows:

- direct minorities: the group net equity portion is multiplied by the direct minorities percentage (consolidation % - actual ownership %).
- indirect minorities: the group net equity portion is multiplied by the indirect minorities percentage (total minorities % - direct minorities %).

The amounts and entity journals are subjected to the minorities calculation in these cases:

- If the categories to which they are attributed are present in the minority rule associated with the process to be run.
- If the entity's consolidation method is different from **Cost**.

The entities to be deconsolidated using the **From previous period** deconsolidation method that are also to be deconsolidated in the previous period are excluded from the minorities calculation.

Minorities calculation on consolidation journals

For consolidation journals, the minorities calculation is guided by the "Minorities calculation method" present in the journal header and the system generates rows within the same journal. The minorities calculation method guides the choice of equity ration percentage and consolidation percentage used for the minorities percentage calculation.

***IMPORTANT**: only indirect minorities are calculated in consolidation journals.*

Consolidation journals are subjected to the minorities calculation in these cases:

- If the selected **"Minorities calculation method"** is different from **None**.
- If neither of the two entities has **At cost** as their consolidation method.

Journals in which at least one of the two header entities is to be deconsolidated using the **From previous period** deconsolidation method and is also to be deconsolidated in the previous period are excluded from the minorities calculation. An exception is made for eliminate financial investment/net equity from ownership structure register journals, which are processed in any case.

Algorithm for the minorities calculation

Introduction

The minorities calculation is performed in different ways according to the conditions detailed below.

Net equity: final balances, entries for the period and P&L net result

For every entry specified above, CCH Tagetik writes off the portion pertaining to minorities from the group accounts and re-attributes it to the respective minority accounts. These are indicated in the minority rules in the **Accounts** section. The calculation considers the minority percentages for the period, adjusted with the same amount as the group accounts and minority accounts, but with the opposite sign.

Net equity: valuation of the variations following the changes in ownership percentages

The minorities calculated in the previous fiscal year are carried forward, so the financial statements before the minorities calculation already contains the minorities from the previous year, as carry forward amounts (origin PRCO_RESTORE_MIN). The minorities calculation algorithm considers those carry forward amounts for the appropriate adjustments due to any changes in the corporate structure and therefore as variations of the minority percentages. CCH Tagetik compares the minority percentages for the current year with those from the previous year and, if the minorities percentage increases or decreases, multiplies that difference by the amounts carried forward. It therefore increases or decreases the variations dedicated to the percentage changes both for the group accounts and for the minority accounts (setup of the relative Control Groups). The change in minorities is never the same for the group and for the minorities because a reduction in the minorities portion generally corresponds to an increase in the group portion and vice versa, and so the appropriate variation accounts are chosen from the control groups setup.

Setting to zero and creating minorities

A specific change in the minorities percentage is when those minorities are completely set to zero, or created for the first time. That is, one of the following two situations arises:

- The minorities change from x to zero and the owned entity is purchased in full by the group.
- The minorities are created for the first time and change from zero to x. This is the case when partial acquisitions are made or a 100%-owned company is sold.

In these cases CCH Tagetik uses the same logic to define the variations dedicated to the changes in the perimeter instead of the flows dedicated to the percentage changes.

Separate calculation of balances and entries for the year

The separate calculation for final balances and entries for the year and, on the other hand, the variations due to changes in the area, ensure that the minorities calculated on final balances are always correct and consistent with the percentages for the year. This prevents workflow setup or management errors which could have an effect, from the previous year, on the initial balances or amounts carried forward more generally. Any previous errors can have an effect on initial balances and on the variation adjustment calculations for the period, but not on final balances.

Example - Share Capital

It is useful to calculate an entity's minorities considering not only the data of the entity itself but also the financial investment elimination.

The relationship directly and indirectly involves Entity B01 as follows:

- X00 owns 80% of B00
- B00 owns 70% of B01

For entity B01 the direct percentage is 70% and, on the group side, the equity ratio is 56% (80*70)%

The original amounts of entity B01 are detailed below:

Description	Value
Share Capital	-403040
Other Reserves	-169200
Net result held	-439
Net result held	-113000
Balance sheet net result for the year	-198589

Minorities calculation

The following table shows the double entry adjustment: the original amounts are multiplied by (proportional % - equity ratio %). The formula for the Share Capital is:

-403,040*(100-56)%=177,338

Description	Value
Share Capital	177338
Minorities Reserve	-177338
Other reserves	74448
Minorities reserves	-74448
Net result held	49913
Minorities reserves	-49913
Balance sheet net result for the year	87379
Balance sheet minorities net result	-87379
Minorities net result (Profit&Loss)	87379
Net result (Profit&Loss)	-87379

Financial investment elimination

The financial investment is eliminated on the original scenario as follows:

description	Value
Financial investment	-300000
Share Capital	282128
Other Reserves	118440
Net result held	-100568

The amount of the share capital comprising minorities is calculated as follows:

(282,128)*(1-0.80)= 56,426

where (1-0.80) is B00's minorities percentage

Description	Value
Share Capital	-56426
Other Reserves	-23600
Net result held	20114
Minorities reserves	-20114
Minorities reserves	23600
Minorities reserves	56426

The Share Capital is detailed below, considering all entries during the course of the entire consolidation process:

Description	Value
Contribution on amounts (individual data items)	-403,040
Minorities calculation on amounts	177,338
Financial investment elimination	282,128
Minorities calculation on financial investment elimination	-56,426
Total	**0**

Periodic consolidation

Introduction

With periodic management, events are managed while the take place during the fiscal year and not only the situation that has crystalised at the processing period end date. This is particularly useful for managing P&L accounts.

In fact, whereas for balance sheet accounts it is necessary to have a photograph of the situation at the data processing period end, for P&L accounts the accrual principle prevails. That is, for the Costs and Revenues accounts and then the Net result account, it is necessary to consider the contributions of the various entities according to their own consolidation criteria and proportional percentages in the various periods of the year.

Entity consolidation criteria	Periodic data
Line-by-line	100% of costs and revenues for the contribution of only the periods in which the entity is consolidated using the line-by-line method. The Entity that entered during the year is already included.
Equity	The financial investment revaluation is calculated based on the actual period percentage applied to the global net equity net result. The profit/loss on entities consolidated at equity is calculated considering the contribution of only the periods in which the entity is consolidated using the Equity method.
Proportional	The costs and revenues as they are produced in the various periods with the relative proportional percentages.
Cost	For the periods in which it is at cost, the entity must not contribute to the group consolidation with its financial statements.

If there are changes to the consolidation criteria or percentages during the year, the various methods are combined to correctly calculate the contribution to the Profit and Loss and balance sheet.

The periodic logics can be applied to the following data processing:

- Minorities calculation
- Proportional data calculation
- Converted data calculation (application o f the period average FX rate)
- Equity evaluation or Copy
- Deconsolidation (from current period and from previous period)

Requirements for periodic consolidation

To obtain the correct periodic values, the entity data, including the journals, must be present on the original scenario, in the period prior to its entry into the consolidation area.

> ***Note**: this normally happens when the entity is already consolidated line-by-line/proportionally in the previous period in other consolidation areas.*

If, however, the data are not present, CCH Tagetik runs the cumulated calculation.

To have the periodic calculation, it is necessary to insert the data on the previous scenario and run certain data processing (e.g. counterparty eliminations). This makes it possible to obtain data, financial statements and journals with which to calculate, by difference, the periodic data.

Example

The data are only partially present: the financial statements of the entity at Equity or at Cost, and the Intercompany declarations but not the Intercompany eliminations, exist on the previous period; it is necessary to insert only the periodic part of the IC declarations in the processing period.

Otherwise, there could be incorrect contributions on the accounts of entities that were valued using the at Equity or at Cost method in the previous period.

The data processing must be run using the same calculation strategy for all periods linked to a scenario. To change strategy from a certain period onwards, it is also necessary to reprocess the previous periods. Moreover, entities which exit the group perimeter must in any case be included in the consolidation area of the subsequent periods using the at Cost consolidation criteria.

Periodic minorities calculation

How it works

The minorities calculation can be performed periodically on the following accounts:

- Profit & loss accounts
- Other variation accounts
- Variation accounts
- Normal net result account in the Balance Sheet

On the selected accounts, CCH Tagetik runs the following:

1. It copies the previous period's minorities calculation rows.
2. It adds the minorities calculation of the period being processed to the periodic amount (period amount - previous period amount), applying the minorities percentage of the period to be processed (consolidation % - period equity ratio %).

The difference between minorities on the P&L profit account, calculated on a periodic basis and the minorities on the Balance Sheet profit account, calculated on a cumulated basis, is allocated to the account defined as the carry forward of the balance sheet Net result (group and minorities) in the carry forward rules. The percentage variation account defined in the variation control group is also adjusted at the same time.

For all balance sheet accounts, the percentage variations on the variation accounts compared with the previous period are allocated to the variation accounts dedicated to the percentage variation. The variations for the percentage variation in minorities are calculated based on the value of the normal and detail accounts.

Percentage variance calculation

CCH Tagetik calculates two types of percentage variance:

- previous % variance = previous scenario/period amount * (current period minorities % - previous final minorities %)
- current % variance - amount of scenario/period to be processed * (current final minorities % - current period minorities %). This only produces variation amounts if the period equity ratio percentage is different from the final equity ratio percentage.

In both cases CCH Tagetik generates rows on the following accounts:

- control group percentage variation account
- minorities percentage variation account

These accounts are indicated in the group account control group and the minorities account control group, respectively.

Thiscalculation method is useful for changes to an entity's equity ratio and consolidation % during the year.

In the periodic minorities calculation settings, it is possible to select the events to be considered for the calculation of period percentages, overriding those which the system considers automatically based on the reference date for the periodic minorities calculation. See Minorities Rules page.

***IMPORTANT**: to identify the previous period, CCH Tagetik uses the period length defined on the consolidation scenario/period.*

***IMPORTANT**: the calculation strategy (periodic or cumulated) must be the same for all periods of the same scenario. When the strategy is changed, the previous period must be processed with the new algorithm.*

Example

This example compares the cumulated minorities calculation and the periodic minorities calculation on a Reserves account and on the balance sheet Net result account.

Period 01

- Minorities %: 30%
- Reserves: -1,000
- Net result

Period 06

- Minorities: 20%
- Reserves: -1,000
- Net result: -150

Period 12

- Minorities: 20%
- Reserves: -1,000
- Net result: -200

The following tables show the cumulated minorities calculation and the periodic minorities calculation at period 12.

Period 12 cumulated minorities calculation

Minorities reserves	-200	(-1000*20%)
Minorities net result	-40	(-200*20%)
Reserves	200	
Net result	40	

Period 12 periodic minorities calculation

Minorities reserves	-200	(-1000*20%)
Minorities net result	-55	(-150*30% + 50*20%)
Reserves	200	
Net result	55	
Minorities reserves	15	(-40-(-55))
Reserves	-15	

Minorities page

Admin

Operational database > Processes tile > select process > ⋮ > Process setup (Data Processing section) > Consolidation > Basic Consolidation > Generate Contribution > Minorities >

Operational database > Processes & Workflow > Processes > select process > ⋮ > Process setup (Data Processing section) > Consolidation > Basic Consolidation > Generate Contribution > Minorities >

Purpose of the page

This page allows you to customise the data processing for the minority interests calculation.

Page fields

In **Generic rules**:

Field	Description
Accounts	Opens a page to change the accounts adjusted by the minorities calculation for the direct and indirect minorities portion.
Categories	Opens a page to change the amount and entity journal categories on which minorities should be calculated and the corresponding category on which the minorities journal must be generated.
Periodic minorities	
Periodic minorities calculation	Allows you to customise the variation/detail types to be used to allocate the amount of the % change in minorities for the result shown on the balance sheet.
Area variation - Entrance	Only with **Periodic minorities calculation** selected. Variation/detail type used to generate variations that take account of the change in the consolidation area due to the entry of new entities.
Area variation - Exit	Only with **Periodic minorities calculation** selected. Variation/detail type used to generate variations that take account of the change in the consolidation area due to entities leaving the group.
Modify % - Increase	Only with **Periodic minorities calculation** selected. Variation/detail type used to generate variations that take account of the increase in percentage ownership of a controlled entity.
Modify % - Decrease	Only with **Periodic minorities calculation** selected. Variation/detail type used to generate variations that take account of the decrease in percentage ownership of a controlled entity.

In **Specific rules**:

Field	Description
Setup Periodic minorities calculation	Only with **Periodic minorities calculation** selected. Opens a page to override, for each scenario/period of the process, the **Reference date for periodic minorities calculation** and establish which ownership structure events to include and exclude.

For more details, see The minorities calculation in the Consolidation section.

Equity evaluation

Introduction

Financial investments represent investments in the capital of other companies. Financial investments in controlled entities or associates can be valued according to the cost criteria or for an amount equal to the corresponding fraction of the net equity resulting from those companies' latest financial statements.

This second method, called the *net equity method*, provides that the original purchase cost of a financial investment in another company is periodically adjusted to reflect, in the financial statements of the company that holds the financial investment, both the portion of the net profit or loss that due to it, and other changes in the owned entity's net equity, in the periods subsequent to the purchase date.

For example, for an increase in net equity due to profit, the greater value stated in the Profit and Loss plus a reserve part is allocated. For a decrease in net equity due to losses or the distribution of profit, a reduction of the value originally entered in the financial statements is booked. For a recovery of value, a revaluation is booked.

In CCH Tagetik, the net equity method is associated with the contribution data processing called *equity evaluation*. This data processing, together with the copy data processing, generates the **consolidable** amount type.

Copy data processing

This data processing copies the converted values onto the consolidable amount for entities that are not subject to equity evaluation but are consolidated line-by-line or on a proportional basis.

Equity evaluation portion

There are following types of equity evaluation:

Type	Description
Gross	The minorities accounts, i.e. the net equity and P&L net result of minorities, are also subject to equity evaluation.
Group	No minorities accounts, but only group accounts, are subject to equity evaluation.

The choice of equity evaluation type forms part of the setup of the accounts to be subject to equity evaluation. To run an gross equity evaluation, the minorities accounts must also be defined as to be subject to equity evaluation.

Generation of the consolidable amount

The consolidable amount is calculated differently depending on the consolidation type of the entities involved.

If...	Then...
the entities involved are consolidated on a line-by-line or proportional basis.	the data is copied from the converted amount type to the consolidable amount type. Carry forward is ignored
the entities involved, or even just one of them in the case of consolidation journals, are consolidated at equity.	the converted amount type is subject to the equity evaluation process.

CCH Tagetik also considered the category and consolidation journal settings.

Element	Condition
Category	Must be subject to equity evaluation, or defined in the equity evaluation rules.
Consolidation journals	The equity evaluation method must not be **None**. The **Many to many relationship** option must not be selected. This is to ensure that journals that adjust entities other than those indicated in the header will not be subject to equity evaluation.

***IMPORTANT**: For consolidation journals which have the **Many to many relationship** option active in their header, the consolidable amount type is generated as a copy from the converted amount type, regardless of the equity evaluation method chosen in the header, even if entities consolidated at equity are included among the journal entities.*

Data Model dimensions setup

In order for the minorities to be calculated correctly, you must prepare and properly set up the following Data Model dimensions. For more details on CCH Tagetik's Data Model dimensions see the Data model module.

Dimension	Settings
Account	The list of accounts must contain the following accounts: • normal financial investment accounts, with **Use account for setup** = **Financial investment**, and relative variations • normal net equity accounts, with **Use account for setup** = **Net Equity**, and relative variations • P&L net result account and BS group result account • P&L net result account and BS minorities result account
Variation/Detail type	At least one variation/detail type must be present to allocate the amounts arising from the change to/from the equity method. This is used to create or update variation accounts in the control groups. The attribute for the **Change from/to equity method** indicates whether the account selected in the control group should be used to allocate amounts arising from the change in equity and from the equity evaluation in the event of a change from line-by-line/proportional to equity. See Variation/Detail types setup.
Control groups	The **Change from/to equity method** attribute, in the definition window and in the deployed Control groups window, tells the system whether, for the control group, the child account should be used to allocate change from/to equity method amounts of the equity evaluation data processing. In the financial investment control group variations. the **Reclassification for changed account on equity evaluation method** attribute indicates the variation account to be used if the financial investment account changes and it is necessary to reclassify the initial balance of the equity evaluation journal. See Control groups setup.
Category	Equity evaluation is controlled by the **Equity evaluation method** attribute for the Consolidation Journal categories. See Categories setup.

Variation/detail types and control groups setup

The **Change from/to equity method** field can be set up as follows:

- **No** (default), the selected account is not used to allocate amounts arising from the change to/from the equity method.
- **Entry/Exit**, the account is used to indiscriminately allocate the amounts due to the entry into/exit from the consolidation area.
- **Entry**, the account is used to allocate the amounts due to the entry into the consolidation area.
- **Exit**, the account is used to allocate the amounts due to the exit from the consolidation area.

The **Reclassification for changed account on equity evaluation method** can be set up as follows:

The possible values are:

- **No** (default), the selected account is not used for the reclassification.
- **Decrease/Increase**, the account is used to indiscriminately allocate the amounts due to reclassification.
- **Increase**, the account is used to allocate the amounts due to the increase reclassification.
- **Decrease**, the account is used to allocate the amounts due to the decrease reclassification.

Categories setup

The **Equity evaluation method** field can be set up as follows:

- **None**, for manual journals where you do not want to edit the journal (overrides etc.). The consolidable amount type is generated by copying from the converted amount type, even if companies consolidated at equity are included among the journal entities.
- **Delete**, for IC elimination journals between costs and revenues, receivables and payables. If at least one of the entities involved is consolidated at equity, the consolidable amount type will not be generated.
- **Evaluate with equity method: single Entity journals**, for consolidation journals which have more than one entity in their header, whose rows are only attributed to entity 1 of the relationship: for example, the elimination of a dividend or the elimination of the write-off of a financial investment. In this case, entity 2's consolidation type is ignored. If entity 1 is line-by-line or proportional, then the consolidable amount type is obtained by copying. However, if entity 1 is at equity, the journal is subject to equity evaluation. If associated with journals that are not single entity, or which contain rows on entity 2, only the entity 1 rows are subject to equity evaluation, and the anomaly will be reported.
- **Evaluate with equity method: if entity 2 is at equity**, only for financial investment/net equity eliminations. In this type of journal, net equity should impact on entity 2, but the NE could also be adjusted for entity 1 (e.g. FX rate differences on the financial investment account at the historical FX rate). In this case the entity 1 rows are also subject to equity evaluation.

Data related to Amount and Entity Journals categories relative to entities to be consolidated at equity are subject to equity evaluation if the category is included in the categories to be subject to equity evaluation indicated in the equity evaluation rules, otherwise they are only copied from the consolidable amount type.

Example: entity 1 non-equity/entity 2 equity

This is the most common case. The impact of the net equity is subject to equity evaluation and the financial investment is adjusted on entity 1.

Example: entity 1 equity/entity 2 equity

The same as the previous case. However, the financial investment is not adjusted for entity 1, but rather the non-equity owners of entity 1. The same thing also happens for any net equity adjustments on entity 1.

Example: entity 1 non-equity/entity 2 non-equity

In this case, there is no equity evaluation to be done; the journal is copied.

Example: entity 1 equity/entity 2 non-equity

In this case, a "dummy" equity evaluation is performed. Entity 2 is not to be subjected to equity evaluation, but it is not possible to eliminate the financial investment on entity 1 because, since it is at equity, the financial investment is not taken into consideration. In this case, the journal is split over non-equity owners of entity 1, based on their percentage interest in entity 1 itself.

Single entity journals

Single entity consolidation journals are journals in which every row contributes to a single entity. For example, the elimination of a financial investment revaluation, or a write-down: in both cases the effect on the P&L is normally eliminated against the financial investment account, all in contribution to the entity that holds the financial investment.

The same thing may happen for the elimination of earnings from dividends received. Typically, the consolidator eliminates the profit towards the net equity of the entity recognising the profit, instead of towards the net equity of the distributing entity.



When you want to insert journals, including manual journals, if one of the two entities involved must be evaluated at equity in any perimeter, it is good practice to split the journal in two, making it single-entity in contribution, even if both entities are still reported in the header.

Consolidation area

In consolidation scenarios/periods, it is necessary to indicate the at **Equity** consolidation method for the entities to be consolidated according to that method.

In the **Equity Owner Entities** window, the equity ratio percentages and the relationships with every non-equity owner entity are indicated.

To create an entity's equity evaluation journals, CCH Tagetik must adjust the owner entity's financial investment in relation to the counterparty. If the entity at equity's financial investments are all line-by-line or proportional, the financial investment is moved to the owner entities. If one or several of an entity at equity's owners are also consolidated at equity, CCH Tagetik cannot adjust the value of an entity that is not consolidated. Therefore, whenever an entity is consolidated at equity, CCH Tagetik searches for its "line-by-line" owners, and makes the financial investment adjustment in relation to them.

By processing the ownership percentages, CCH Tagetik attributes, to each of the line-by-line owners of entity X, a portion of that entity X's equity ratio percentage. This portion is then used when an equity evaluation must be attributed to more than one line-by-line owner entity.

For more details on how to define the consolidation area...

Equity evaluation data processing

Introduction

The equity evaluation data processing generates new financial investment equity evaluation journals based on the amounts and journals present on the converted amount type.

Based on the rule according to which an entity's impact on the consolidated net equity does not change as the consolidation method changes, to generate the equity evaluation journals CCH Tagetik checks the impact of all that relates to an entity valued at equity on the consolidated net equity, on the converted amount type. Therefore, it generates a new consolidation journal with the financial statements, the entity journals and the net equity elimination journals and the minorities calculation. These journals only contain values on the consolidable amount type.

Equity evaluation journals

This journal contains the following data:

- Net equity of the entity at equity with financial investment contra-entry, with any separate statement of goodwill on a specific financial investment account.
- P&L net result of the entity at equity
- Any P&L accounts to keep on the equity evaluation journal

The entity on which to generate the rows of the equity evaluation journal is chosen based on the **Entity on which to generate equity evaluation journals** parameter defined in the equity evaluation rules (see Equity evaluation rules page).

The financial investments account to be adjusted on the at equity evaluation journal is read from the financial statements of the owner entity on the original scenario (intercompany amounts and entity journals). If several financial investment accounts not excluded from the equity evaluation in the equity evaluation rules (**Financial investments accounts to exclude**) are involved in the financial statements (the financial investment has a gross value and a write down fund), then CCH Tagetik chooses the one with the highest code.

> ***Note**: the financial investment accounts are normal balance sheet accounts with the **Use account for setup** attribute set to **Financial investment**.*

If the account is not identified in the financial statements, then the account indicated in "**Generic financial investments**" in the general equity evaluation rules is used.

If the chosen financial investments account is different from that of the previous fiscal year, CCH Tagetik reclassifies the value of the old account in the new one when carrying forward. The flows used are the ones configures for **Reclassification for changed account on equity evaluation method** in the control groups of the financial investment accounts (see the definition of accounts for control groups in the Data Model section.

If there are several owner entities, the calculation of the impact of the entity at equity's data on the consolidable amount is performed for each individual owner entity.

The proportion with which the calculation is performed is obtained from the table of at equity owner entities in the consolidation area. The proportional percentage of the entities valued at equity is subdivided among the line-by-line or proportional owner entities themselves. The distribution is performed by applying different percentages for the group accounts and the minorities accounts:

- for the group: % indicated in the table of at equity owner entities * owner entity equity ratio % / 100
- for the minorities: % indicated in the table of at equity owner entities * (owner entity proportional % - owner entity equity ratio %) / 100

If a "dummy" equity evaluation is necessary, the distribution among the owners is performed by applying the group % to all accounts, including the minorities:

group % = % indicated in the at equity owner entities * owner entity equity ratio % / 100

***Note**: This avoids generating unbalanced journals if the group % is different from the minorities %.*

Example

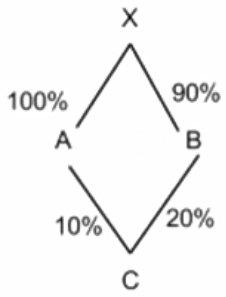
A and B are line-by-line parent entities and C is an entity at equity

The group is distributed based on the following coefficients:

- On A: %AC * A's equity ratio %
- On B: %BC * B's equity ratio %

Minorities are distributed based on the following coefficients:

- On A: %AC * (A's proportional % - A's equity ratio %)
- On B: %BC * (B's proportional % - B's equity ratio %)



C's proportional percentage is 30% (10% + 20%).

C's equity ratio percentage is 28% (20 * 90% + 10 * 100%)

If C's net equity is -10000, the following consolidated net equity is obtained:

- Group net equity -2800 (10000 * 28%)
- Minorities net equity -200 (minorities % = 30% - 28% - 2%)

A's equity ratio percentage in C and B's equity ratio percentage in C present in the deployed table of owner entities at equity are:

- AC 10%
- BC 20%

For the group, the data processing reproportions the following percentages to 100%, dividing them by the total of the percentages:

AC (10*100%/28) * 100 = 35.714%

BC (20*90%/28) * 100 = 64.286%

For minorities, the data processing reproportions the following percentages to 100%, dividing them by the total of the percentages:

- AC (10*(100%-100%)/2) * 100 = 0%
- BC (20*(100-90)%/2) * 100 =100%

Therefore, the following distribution of C's group and minorities net equity on owner entities A and B is obtained:

- A
  - Group net equity = 2800* 35.714% = 1000
  - Minorities net equity = 200 * 0% = 0
- B
  - Group net equity = 2800* 64.286% = 1800
  - Minorities net equity = 200 * 100% = 200

Changes compared with the previous scenario/period

CCH Tagetik treats the changes between the scenario/period to be processed and the previous scenario/period considering the following elements:

- categories equity evaluation rules (changes in accounts are not considered)
- entity consolidation type
- equity evaluation method and **Many to many relationship** attribute for consolidation journals
- owner entities of the entity at equity
- equity ratio percentage and proportionality ratio percentage of the owner entities of the entity at equity

The changes are considered in order to generate the relative adjustments to correct the previous scenario/period amount. For normal and detail BS and other stock accounts, changes to the variation accounts are allocated to the variations dedicated to the change to/from the equity method.

In the presence of different change to/from the equity method variations for entry and exit, the choice between entry and exit is made as follows:

If...	Then...
entity changes from Line-by-line to at Equity	• Equity evaluation journal: entry variation • Amounts and other journals: exit variation
changes from at Equity to Line-by-line	• Equity evaluation journal: exit variation • Amounts and other journals: entry variation
entity remains at Equity, but the equity ratio % of its owner entities changes	• Equity evaluation journals on owner entities present in the scenario/period to be processed, but not present in the previous scenario/period: entry variation • Equity evaluation journals on owner entities not present in the scenario/period to be processed, but present in the previous scenario/period: exit variation • Equity evaluation journals on owner entities present both in the scenario/period to be processed and in the previous scenario/period: entry variation. The sign of the percentage change is not taken into account.

Generation of the journal

Once the data processing is activated on the data collection process, this is run whenever the area data processing is run.

The journal numbers of the equity evaluation journals are composed as follows:

- prefix 'EQ'
- category:
  - for equity evaluation: category for journals at equity indicated in the categories rules
  - for "dummy equity evaluation": category of the source journal
- relationship: line-by-line or proportional owner entity – owned entity
- source journal number, only in the following cases:
  - dummy equity evaluation journals
  - equity evaluation of consolidation journals for which the individual category has been associated with the at equity category

The following origins are generated:

- CONS_EQUITYEVAL_CALC for the equity evaluation rows
- CONS_EQUITYEVAL_CHANGE for the change to/from the equity method rows

***Note**: any headers of journals without rows will not be deleted. To delete them, use the Purge journals function (see Utilities for draft journals in the Data Entry section).*

For the headers of pre-existing journals, CCH Tagetik updates the **Carry forward** and **Exclude Reclassifications and NER** fields. For equity evaluation journals that relate to a single consolidation journal, these fields are updated based on the source journal, otherwise they are updated based on the fields of the same name of the category of the journal to be generated

***Note**: the **Override journal parameters** setting is ignored because the attributes of these journals cannot be overridden manually.*

Periodic calculation and change of consolidation criteria

Periodic calculation of consolidable data

This calculation copies the data from the previous periods for the following accounts and adds it according to the correct amount for the data processing period:

- Profit & loss accounts
- Other variation accounts
- Variation accounts
- Normal net result account in the Balance Sheet

To identify the previous period, the period length set on the consolidation scenario period is considered.

Change of consolidation criteria

Some examples related specifically to the valuation of the financial investment are provided below.

Example of changing from Equity to Line-by-line

Amounts and journals

From the first period in which the company is valued according to the Line-by-line method, CCH Tagetik proceeds as follows:

- Profit & loss accounts: the part that was originated in the period is considered
- Balance sheet and other stock accounts:
    - Normal and detail accounts are considered according to their cumulated amounts.
    - The part of variation accounts that was originated in the period is considered.
    - The amount of the variation accounts from the previous period (in which the entity was valued at equity) is allocated to the change to/from the equity method variation in Entrance or Entrance/Exit defined in the control group. The origin of these rows is CONS_EQUITYEVAL_CHANGE.
    - The part of the BS period Net result account that was originated in the period is considered, or is adjusted to the P&L result calculated according to the periodic method. The difference between the cumulated calculation and the periodic calculation is allocated to the contra-entry account to align the balance sheet result with the profit and loss result defined in configuration for the Proportional and Consolidable data calculation data processing. The origin of the change to/from the equity method rows for the balance sheet result is CONS_EQUITYEVAL_SP_RESULT.
    - The part of the minorities Balance Sheet Net result account that was originated in the period is considered. The minorities balance sheet result from the previous period is allocated to the minorities account related in the minorities rules to the contra-entry account to align the balance sheet result with the profit and loss result. The origin of these rows is CONS_EQUITYEVAL_SP_RESULT.

Financial investment valuation

The Financial investment elimination journal is generated periodically following the generic rule. From the first period in which the owned entity is valued according to the line-by-line method, CCH Tagetik behaves as above for amounts and journals. This means that if the journal present on the original scenario has a P&L effect, only the portion of this that arose in the entity's contribution period is allocated to the journal. The difference between the P&L net result and the BS net result is allocated to the account for the alignment defined in configuration for the Proportional and Consolidable data calculation data processing.

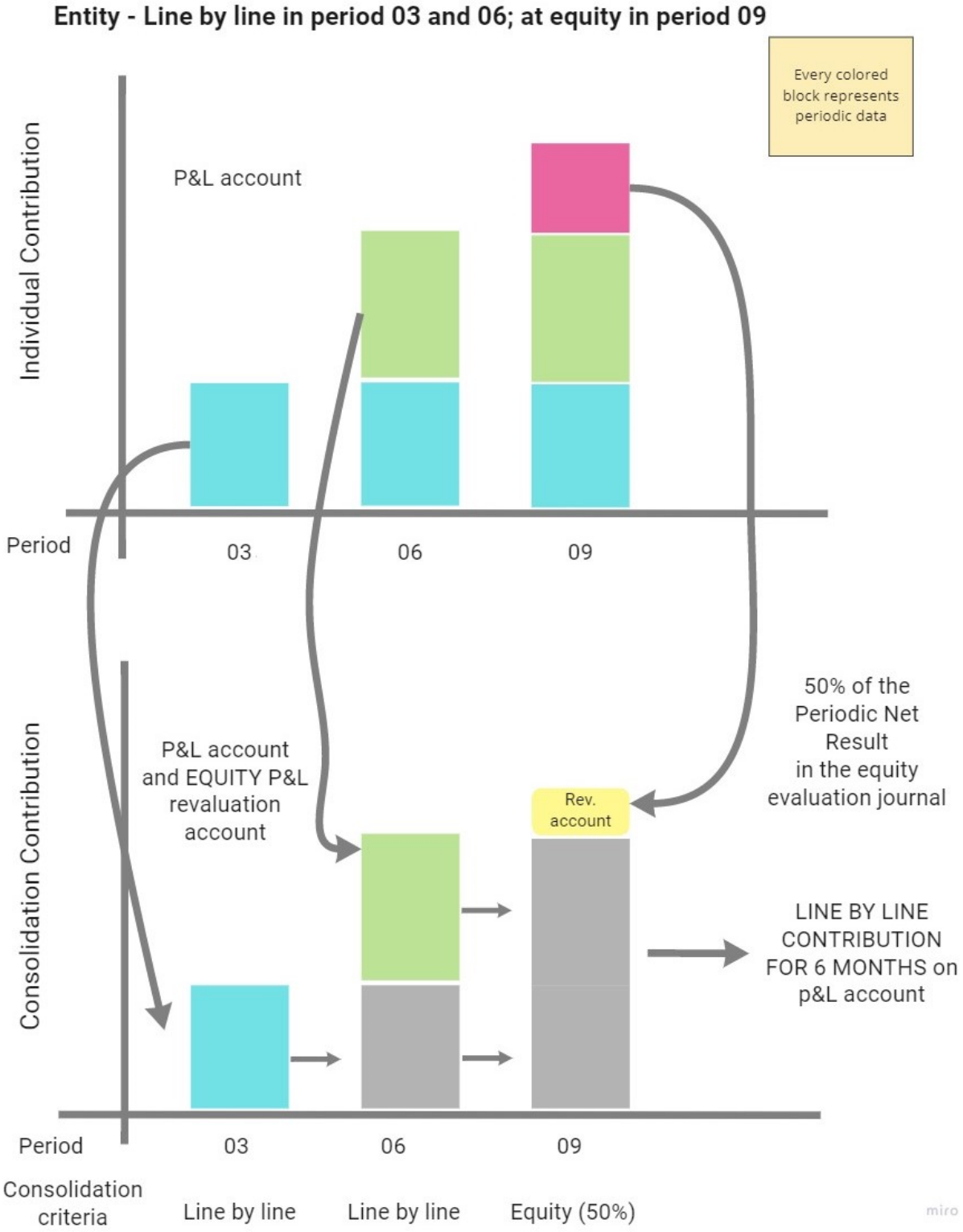
The Equity evaluation journal on the consolidable data is copied from the previous period to maintain the effect of the P&L account related to the revaluation/write-down. The financial investment and reserve accounts are written off. The variation accounts from the previous periods are written off by generating a row on the change to/from the equity method variation defined in the control group. The balance sheet net result account contains the result from the previous period (in which the entity was valued at equity). To keep the journal balanced, CCH Tagetik adjusts the account which, in the carry forward rules configuration, is defined as the carry forward for the Net result account.

In more detail, from the first period in which the entity is valued according to the line-by-line method, CCH Tagetik behaves as follows:

- P&L accounts: contain the amount copied from the previous period
- Balance sheet and other stock accounts:
    - The normal and detail accounts contain the carry forward and the write-off. The total value is zero.
    - The variation accounts contain the initial balance and the value copied from the previous period.
    - The amount of the variation accounts for the initial balance and previous period (in which the entity was valued at equity) is written off on the change to/from the equity method variation in Entrance or Entrance/Exit defined in the control group. The origin of these rows is CONS_EQUITYEVAL_CHANGE.
    - The Balance Sheet Net result account contains the amount copied from the previous period (in which the entity was valued at equity). This value is written off in the account defined as the carry forward of the Balance Sheet Net result in the carry forward rules. The origin of these rows is CONS_EQUITYEVAL_SP_RESULT.
    - The minorities Balance Sheet Net result account contains the amount copied from the previous period. This value is written off in the account defined as the carry forward of the minorities Balance Sheet Net result in the carry forward rules. The origin of these rows is CONS_EQUITYEVAL_SP_RESULT.

The choice of carry forward account is linked to the need for the equity journal to be exhausted within the year. By using the net result carry forward account during the carry forward data processing, the journal will be eliminated as its total will be zero.

Below is a diagram of how the Profit and Loss part of the change of consolidation criteria from Line-by-line to Equity is managed.



Example of changing from Line-by-line to Equity

Amounts and journals

CCH Tagetik copies the values of the profit and loss accounts and the balance sheet and other stock variations onto all periods subsequent to the one in which the entity is valued according to the line-by-line method. The amount of the variations copied from the previous period is written off by generating a row on the change to/from the equity method variation defined in the control group. The normal profit and loss accounts are not copied, with the exception of the Balance Sheet net result (of the opposite amount and sign as the P&L net result) and, when balancing, the carry forward account for the BS net result account.

In more detail, from the first period in which the entity is valued according to the equity method, the system behaves as follows:

- P&L accounts: contain the amount copied from the previous period.
- Balance sheet and other stock accounts:
    - The normal and detail accounts are not copied from the previous period; therefore, no rows are present on the amounts, while the carry forward and the write off are present on the journals. The total value is zero.
    - The variation accounts contain the initial balance and the value copied from the previous period.
    - The amount of the variation accounts for the initial balance and previous period (in which the entity was valued according to the line-by-line method) is written off on the change to/from the equity method variation in Entrance or Entrance/Exit defined in the control group. The origin of these rows is CONS_EQUITYEVAL_CHANGE.
    - The Balance Sheet Net result account contains the amount copied from the previous period (in which the entity was valued according to the line-by-line method). This value is written off in the account defined as the carry forward of the Balance Sheet Net result in the carry forward rules. The origin of these rows is CONS_EQUITYEVAL_SP_RESULT.
    - The minorities Balance Sheet Net result account contains the amount copied from the previous period. This value is written off in the account defined as the carry forward of the minorities Balance Sheet Net result in the carry forward rules. The origin of these rows is CONS_EQUITYEVAL_SP_RESULT.

Financial investment valuation

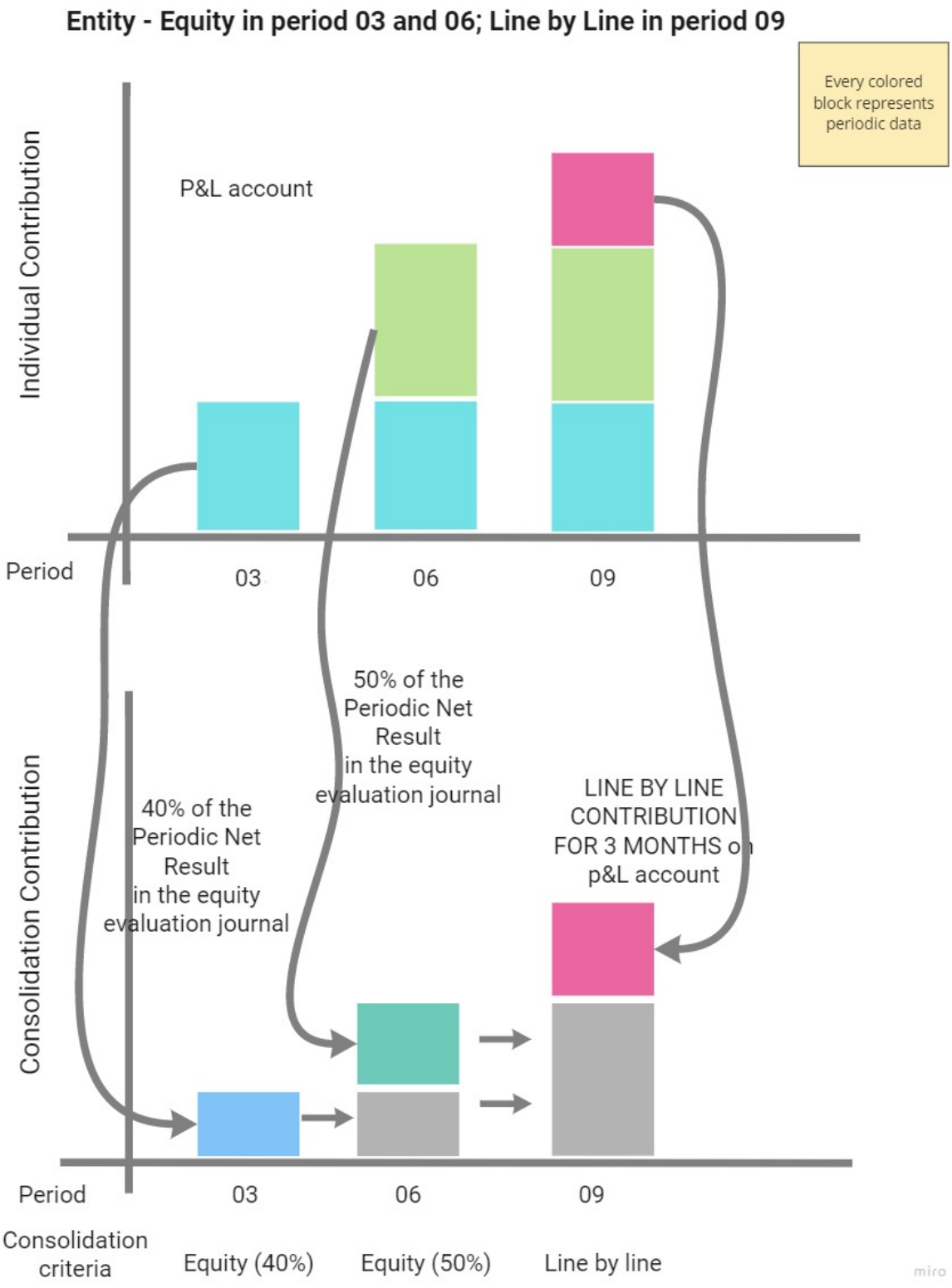
The Financial Investment Elimination journal is treated as indicated above for amounts and journals; therefore, it is copied from the previous period to carry forward the P&L accounts and written off for the balance sheet accounts. The contra-entry for the write-off of the balance sheet net result account is the configuration account for the carry forward of the net result defined in the carry forward rules.

The Equity evaluation journal arises in the first consolidation period in which the entity is valued according to the net equity method. The revaluation of the financial investment account only considers the contribution to the net result that was originated in the period.

In more detail, from the first period in which the entity is valued according to the equity method, the system behaves as follows:

- Profit & loss accounts: the part that was originated in the period is considered
- Balance sheet and other stock accounts:
    - Normal and detail accounts are considered according to their cumulated amounts.
    - The part of variation accounts that was originated in the period is considered.
    - The amount of the variation accounts from the previous period (in which the entity was valued according to the line-by-line method) is allocated to the change to/from the equity method variation in Entrance or Entrance/Exit defined in the control group. The origin of these rows is CONS_EQUITYEVAL_CHANGE.
    - The part of the BS period Net result account that was originated in the period is considered, or is adjusted to the P&L result calculated according to the periodic method. The difference between the cumulated calculation and the periodic calculation is allocated to the contra-entry account to align the balance sheet result with the profit and loss result defined in configuration for the Proportional and Consolidable data calculation data processing. The origin of the change to/from the equity method rows for the net result is CONS_EQUITYEVAL_SP_RESULT.
    - The part of the minorities Balance Sheet Net result account that was originated in the period is considered. The minorities balance sheet result from the previous period is allocated to the minorities account related in the minorities rules to the contra-entry account to align the balance sheet result with the profit and loss result. The origin of these rows is CONS_EQUITYEVAL_SP_RESULT.

Below is a diagram of how the change of consolidation criteria from Line-by-line to Equity is managed as far as the Profit and Loss part is concerned.



Preconditions

To obtain the correct periodic values, the entity data, including the journals, must be present on the original scenario, in the period prior to its entry into the consolidation area. This normally happens when the entity in other consolidation areas was already consolidated line-by-line/proportionally in the previous period.

However, if the data are not present, the following will happen:

- CCH Tagetik returns the results as if the calculation had been cumulated.
- To have the periodic calculation, you must insert the data on the previous scenario and run certain data processing (e.g. counterparty eliminations) to have the data, amounts and journals with which the system can calculate the periodic figure as the difference.

If the data are only partially present – for example the financial statements of the entity at Equity or at Cost and the Intercompany declarations but not the Intercompany eliminations exist in the previous period – you must insert only the periodic part of the IC declarations in the data processing period. Otherwise, there could be incorrect contributions on the accounts of entities that were valued using the at Equity or at Cost method in the previous period.

Equity evaluation rules

Introduction

These rules allow for the valuation of Entities consolidated using the Net Equity method. With this method, the financial investments in associated entities are valued at an amount equal to the corresponding fraction of net equity resulting from the latest financial statements of the same companies.

To process an entity valued according to the equity method, you must run the **Generate contribution** data processing (Generate consolidable and Equity evaluation). This generates one or several valuation consolidation journals on the consolidation scenario.

Equity evaluation journals

The entity on which to generate the rows of the equity evaluation journal is chosen based on the **Entity on which to generate equity evaluation journals** parameter defined in the equity evaluation rules.

The equity evaluation journal is defined according to the following criteria:

Attribute	Settings
Financial investment	If the row entity is the owner entity, the counterparty entity is the owned entity at equity. Otherwise the counterparty entity is the owner entity.
Net Equity	If, in the list, the account has **IC management** selected, the counterparty entity present on the amounts data and journals subject to equity evaluation will be kept. Otherwise, the counterparty entity will be empty.
Profit/loss for entities consolidated at equity	If, in the list, **IC Management** is selected for the account, the counterparty entity will be the owned entity at equity. Otherwise, the counterparty entity will be empty.
P&L net result and other P&L accounts to keep	The counterparty entity is empty.

Equity evaluation rules page

Admin

Data Processing tile > Basic Consolidation > Equity evaluation

Navbar > Data Processing > Basic Consolidation > Equity evaluation

Purpose of the page

This page allows you to set up the following information, necessary for the equity evaluation rules:

- accounts and categories to be subject to equity evaluation
- accounts involved for the purposes of financial investment valuation
- advanced setup

***IMPORTANT**: the rules defined on this page can be edited and overridden for each individual process.*

Links on the page

Element	Description
Accounts and categories	
Net equity Accounts	Opens a page to set up the accounts to be considered to calculate the value of the share of the owned entity's net equity.
Categories to evaluate with equity method	Opens a page to select the categories or nodes of categories whose data will be considered for the net equity valuation.
Advanced	
Goodwill	Opens a page to set up the accounts involved in the management of goodwill.
P&L accounts to keep	Opens a page to define the accounts on which to keep certain P&L effects on the original accounts (e.g. capital gains). The difference between the P&L net result and the accounts to keep goes on the "Entities at equity profit or loss" account. The accounts to keep must appear in the equity evaluation journal, so they must be subject to equity evaluation. This setting is only considered for data related to consolidation journals.
Financial investments accounts to exclude	Opens a page to define the financial investment accounts to be excluded from the equity evaluation. These accounts are normal balance sheet accounts with the **Use account for setup** field set to **Financial investment**.

Page fields

In **Revaluation/Devaluation accounts**:

Field	Description
Loss account for entities consolidated at equity	Account used as the contra-entry to the losses that make up the P&L result
Net result account for entities consolidated at equity	Account used as the contra-entry to the profits that make up the P&L result
Generic financial investments account	Used to adjust the financial investment on the equity evaluation journal when the account to be used cannot be reached through the (intercompany) financial statements or entity journals.

In **Advanced**:

Field	Description
Entity on which to generate the equity evaluation journals	Specifies the entity to which to attribute the entries. • **On Owner entity** • **Financial investment on Owner entity, net equity and P&L net result on Entity at equity** • **On Entity at equity**, i.e. all equity evaluation entries (financial investment, net equity and P&L net result) are attributed to the entity at equity.
Listed entity ownership restriction %	Not used in the equity evaluation data processing but considered in the deployment of the consolidation area if the "calculated" consolidation method is used.
Unlisted entity ownership restriction %	
Sum up DEST2 in equity evaluation journals	Determines the totalling of the Custom dimension 2 elements if the Relationship Type is set to Entity/DEST2 or Entity/Synthetic DEST2 in the Process's journal rules. If selected, the DEST2 element code present in the **Equity Owner Entities** of the consolidation area will be used. If not selected, the entity's default DEST2 element code will be used.

Net Equity page

Admin

Data Processing tile > Basic Consolidation > Equity evaluation > Net Equity Accounts

Purpose of the page

This page allows you to set up accounts for calculating the value of the share of the owned entity's net equity.

Normal and Detail accounts tab

Field	Description
Account	Account used to calculate the value of the share of the owned entity's net equity. The contra-entry to the variation of these accounts is allocated on the financial investment account. ***Note**: the entry on the financial investment is only generated for normal balance sheet accounts. The detail accounts are only subject to equity evaluation to bring them to the consolidable amount type, but they do not have any influence on the value of the financial investment.*

Variations tab

Field	Description
Account	Net equity variation account to be fed as contra-entry.
Variation/Detail types: Financial investments with equity evaluation method	Variation/detail type of the financial investment account to be fed as the contra-entry.

Categories to evaluate with equity method page

Admin

Data Processing tile > Basic Consolidation > Equity evaluation > Categories to evaluate with equity method

Data Processing > Basic Consolidation > Equity evaluation > Categories to evaluate with equity method

Purpose of the page

This page allows you to set up the categories or nodes of categories whose data are used in the net equity valuation.

To generate the financial investment at equity evaluation journal, CCH Tagetik must consider the following data:

- the financial statement data (amounts) of the entity consolidated at equity
- its entity journals
- the net equity elimination journals in which the involved entity is the child
- the journal for the minorities calculation.

Page attributes

Field	Description
Category	Category code
Category for journals at equity	If associated with a node of categories, the generated equity evaluation journals include all data for the node's categories. If associated with several categories of amounts and/or entity journal, the calculated equity evaluations are incorporated into a single journal for every owner entity. If associated with individual categories of consolidation journals, an equity evaluation journal is generated for every journal to be subject to equity evaluation/owner entity. ***IMPORTANT**: the minorities calculation on amounts journals and entity journals must in any case be configured for equity evaluation.*

Goodwill accounts page

Admin

Data Processing tile > Basic Consolidation > Equity evaluation > Goodwill

Navbar > Data Processing > Basic Consolidation > Equity evaluation > Goodwill

Purpose of the page

This page allows you to set up the accounts involved in the management of Goodwill.

Page tabs

Field	Description
Financial investments	Allows you to specify the financial investment accounts dedicated to goodwill on which to reclassify the effect of Goodwill for every financial investment account used in the equity evaluation journal (**Account with goodwill equity evaluation method**).
Goodwill - Normal and Detail accounts	Allows you to add the Goodwill accounts generally adjusted on the financial investment elimination journal whose value must be reclassified on the dedicated ad hoc Financial Investment accounts.
Goodwill - Variations	Allows you to indicate, for every variation of every Goodwill account, the variation/detail types on which the reclassification is run between the financial investment account variations used in the equity evaluation procedure and the goodwill financial investment account variation. For the corresponding goodwill variation accounts, the **Financial investment variation/detail type for equity evaluation** (Net Equity page) and **Financial investment variation/detail type for goodwill equity evaluation** attributes are selected.

Proportional and Consolidable data rules page

Admin

Data Processing tile > Basic Consolidation > Proportional and Consolidation

Purpose of the page

This page allows you to enable the periodic calculation of the proportional and consolidable data, or the data processing of only the Entity data validated for the calculation of the proportional data

***IMPORTANT**: For all periods linked to a scenario, the calculations must be launched using the same calculation type (periodic or year-to-date). To change the calculation strategy from a certain period onwards, you must also reprocess the previous periods.*

Options on page

Option	Description
Periodic calculation	Enables the periodic calculation for the proportional data and the consolidable data The periodic calculation is disabled if the option 'Process only validated data of the Entity' is enabled.
Counterparty account for alignment of BS and P&L result	Account on which the alignment between the BS net result and the P&L net result is run. This account can be adjusted if the following elements change: • Proportional percentage during the year (for proportional entities and entities at equity) • Consolidation criteria **IMPORTANT**: In order to ensure the correct balancing of the control groups on the amounts of the next scenario, it is necessary to fill the specified account in one of the following ways: • with the reserve account for the BS net result carry-forward or • with an account that is carried forward to the reserve account for BS net result carry-forward
Process only validated data of the Entity	Enables the processing of only Entity data belonging to submitted/approved steps, for the calculation of the proportional data. The 'Process only validated data of the Entity' option is disabled if the periodic calculation is enabled.

FX rate loading on consolidation scenarios data processing

Introduction

The FX rate loading on consolidation scenarios data processing generates overridden FX rates on the consolidation scenario based on the FX rates entered in the ownership structure register. The type of loading to be performed is defined by the FX rate loading method indicated in the advanced conversion rules. For more details, see the Conversion rules page in the Data Processing section.

The FX rate loading method can also be overridden by process. For more details, see the Generate converted page in the Processes section.

***Note**: to enable the FX rate loading data processing, the data processing for the generation of the proportional, converted and consolidable amount must be enabled.*

FX rate loading on amounts and entity journals

For financial investment and net equity variations present in ownership structure register events in a currency other than the consolidation currency, CCH Tagetik generates generic overridden FX rates. These are not associated with any category and are calculated as the weighted average of the FX rates inserted in the ownership structure register events with dates that fall within the validity period of the scenario/period to be processed.

The weighted average FX rate is calculated taking account of the fact that, if the amount of the data inserted in the ownership structure register is not equal to the amount stated in the financial statements, then the difference will be valued at the account FX rate.

FX rate loading on financial investment elimination/net equity from ownership structure register journals

For the rows of variations present in the financial investment elimination/net equity from ownership structure register journals (and relative reclassification) in which the event number is defined and which

have a currency other than the consolidation currency, CCH Tagetik generates an overridden FX rate equal to the one inserted in the ownership structure register for the event of the row.

FX rate loading on amounts, entity journals and financial investment elimination/net equity from ownership structure register journals

CCH Tagetik defines the data as indicated for the previous loading. In in-memory consolidation, FX rate loading from the ownership structure register onto the amount and entity journals categories is performed by consolidation scenario, only for the data that exists for those categories on the proportional amount type and for the following currencies:

- the row currency
- the consolidation currency
- the preferred currency

***IMPORTANT**: FX rate loading on amounts and entity journals is only performed if the preferred currency is defined in the currencies list.*

***IMPORTANT**: The event scenario must be linked to the Process. Moreover, the financial investment and net equity from ownership structure register must be present in the process's elimination logics.*

Reclassification data processing - Rules Engine Designer

Contents

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Rules Engine Designer data processing

Introduction

The Rules Engine Designer data processing allows you to generate journals, or amounts, based on data present on specific input amounts and journals. One of the main use cases is data reclassification.

Common concepts useful for managing Rules Engine Designer data processing, on both original scenarios and consolidation scenarios, are outlined below. For a synthetic view of the functionality available on each amount type, see the Explanatory Tables .

Rules Engine Designer rules

Rules can be defined for the following dimensions:

- Accounts
- Custom dimensions enabled in the environment
- Ctp Entity
- Custom Dimension 2 of the Counterparty entity (for processes whose **Relationship type** is not **Entity**)
- Category

For every rule, the following data must be specified:

- Tuple of input and output dimensions and any Markup % to be applied
- Input and output categories

***IMPORTANT**: the data processing can only be activated in Processes which use the "In-Memory" consolidation engine.*

Custom Dimension management

When an output row is generated on an account that is different from the source account, the custom dimension of the source account might not be compatible with the restrictions present on the output account, so it may also be necessary to change the Custom Dimension value.

When the input account is different from the output account, the rows on the output dimensions are generated as follows:

If...	Then...
the output account is restricted on the entity's Custom Dimension.	the custom dimension is replaced with the default custom dimension of the entity subject to the change.
the output account is only restricted on one element of the Custom Dimension.	the custom dimension is replaced with the only valid element.
• the output account is not restricted on any element of the entity's Custom Dimension, or • the output account is only unrestricted on one element of the Custom Dimension.	• For Custom Dimensions not enabled on the rule: the output custom dimension is replaced with the source element, even if it is not compatible. • For custom dimensions enabled on the rule: the custom dimension is replaced with the output custom dimension indicated on the rule.

If a Custom Dimension is managed for the rule, but that custom dimension is not enabled for amounts (for IC amount rules) or journals (for Entity journal and Consolidation journal rules) in the process definition, then the rule cannot be applied and a warning message is displayed when the data processing is run.

***IMPORTANT**: for consolidation journal rules which have the **Write in same journal** option active, if the process's relationship type is by entity/custom dimension 2, then the custom dimension 2 is defined in such a way that respects the entity/custom dimension 2 relationship in the journal header.*

Management of Segment Information

The **Segment Counterparty Entity** and **Segment Counterparty Custom Dimension 2** fields are present on the consolidation journals and contain information which, through the reporting system, allows you to analyse aggregated data by Segment.

Therefore, when the Rules Engine Designer data processing involves the Entity or Counterparty Custom Dimension 2, it is important to manage the dimensions with the same name related to the Segment.

For this reason, when the **Counterparty entity** option is selected on the rule, Segment Counterparty entity management is also activated and when the **Counterparty Custom Dimension 2** option is selected, Segment Counterparty Custom Dimension 2 management is also activated.

Standard use cases

Typically, you will not want to actively manage information concerning the Segment. The following behaviours are expected, based on the value of CTP after it has been changed:

If...	Then...
the output CTP is defined.	• the output Segment CTP must have the same value as the Output CTP. This is because the segment CTP is usually the same as the CTP, when present.
the output CTP is not defined.	• the output Segment CTP must have the same value as the input segment CTP. Or it must be equal to the segment CTP present in the data that you want to edit.

The first case is obtained by selecting, in the **Input Segment CTP Entity** field, a root of a hierarchy containing all the entities and setting the **Output Segment CTP** field to **Same as the Output Counterparty entity**.

In the second case, if you want to process an input record with a counterparty in an output record without a counterparty (therefore with **Output CTP Entity** equal to **Remove CTP**), you cannot set the **Output Segment CTP** field to **Same as the Output Counterparty entity** because this field must necessarily contain a counterparty.

Therefore, in this second case, the **Input Segment CTP Entity** field must be defined with a root of a hierarchy containing all the entities while **Output Segment CTP** must be set to **Same as Input**.

The same rules apply for the management of the Segment Counterparty Custom dimension 2.

***IMPORTANT**: the input data on the categories of Amounts and Entity journals do not have information related to the segment, since they belong to the entity's sector. Therefore, the filter on the CTP for Segment is not applied. Amounts and Entity Journals are processed regardless of the values of the CTP for Segment filter specified in the dimensions settings.*

Management of Counterparty entity dimensions and Counterparty Custom Dimension 2

These two dimensions are managed on the basis of the rules setup and the process's relationship type. The possible contexts are outlined below.

Counterparty Entity and Counterparty Custom Dimension 2 active on the rule

The rule is processed if the process relationship type is not Entity.

Rule definition rows which have their input **Ctp Entity** and **Ctp Custom Dimension 2** equal to **No Ctp** are not processed if one of the following conditions is satisfied:

- Output **Ctp Entity** equal to **Set** and output **Ctp Custom Dimension 2** equal to **Same as input**.
- Output **Ctp Entity** equal to **Same as input** and output **Ctp Custom Dimension 2** equal to **Set**.

Counterparty Entity active and Counterparty Custom Dimension 2 not active on the rule

The rule is processed.

If the **Counterparty Custom Dimension 2** is active in the process, this is not changed: the value for this dimension stays the same as the input value. Exceptions are made in the following cases:

- For Entity journal, Consolidation journal and Amount rules, if the output **Counterparty entity** is equal to **Remove Ctp**, then the content of the **Counterparty Custom Dimension 2** field is deleted.
- For consolidation journal rules which have the **Write on same journal** option active, if the process relationship type is by Entity / Custom dimension 2, and the **Swap Entity with Ctp Entity** option is selected for the counterparty entity, then the **Counterparty Custom dimension 2** field is defined with the input custom dimension 2.
- Rules which have definition rows whose input **Ctp Entity** is equal to **No Ctp** and whose output **Ctp Entity Selection** is equal to **Set** are not processed and a warning message is displayed when the data processing is run.

Counterparty entity not active and Counterparty Custom Dimension 2 active on the rule

The rule is processed if the process relationship type is not Entity.

Rule definition rows whose input **Ctp Custom Dimension** is equal to **No Ctp** and whose output **Ctp Custom Dimension Selection** is equal to **Set** are not processed.

The Counterparty Entity is not changed: the value for this dimension stays the same as the input value. Only for Entity journal, Consolidation journal, and Amount rules, if the output **Counterparty Entity's Custom Dimension 2** is equal to **Remove Ctp**, then the content of the **Counterparty Entity** field is deleted.

Counterparty Entity and Counterparty Custom Dimension 2 not active on the rule

The rule is processed and the dimensions are not changed from the input dimensions.

There are also the following behaviours:

- For Entity journal, Consolidation journal, Gross Amount and Amount rules, if the Counterparty Entity management is activated but, in the input dimensions definition, you do not want to discriminate on the Counterparty entity field for a certain input tuple (i.e. for the other dimensions you want to act independently from the **Counterparty Entity** field), then you must insert at least two records: one with the root of a hierarchy of the Counterparty Entity Dimension containing all the entities and another with the **Counterparty Entity** field equal to **No Ctp**.
- For the Counterparty Custom Dimension 2 field, the system does not take Counterparty Entity restrictions into consideration.
- In processes whose relationship type is entity/synthetic custom dimension 2, for rules which have the **Counterparty Custom dimension 2** option active, output rows can be generated with a different counterparty custom dimension 2 from the segment counterparty custom dimension 2.
- ***Note**: in data entry mode, this behaviour is only permitted in journals with the **Many to many relationship** or the **Manage counterparty independently from the header relationship** option active in the journal rules.*

- If the management of the Counterparty Entity and Counterparty Custom Dimension 2 is not activated, the output Segment Counterparty and Segment Counterparty Custom Dimension 2 are the same as those in the input rows.

Restrictions for input accounts

It is not possible to insert initial balance variation accounts as input accounts. If a node containing an account of this type is inserted, the variations will not be considered in the data processing. This is because the initial balances are generated by the carry forward data processing.

To manage the initial application of the rule and rules that no longer apply, in which it is necessary to process the variance related to the initial balance, for entity journal and consolidation journal rules, proceed as follows:

- complete the **Change rule application from carry forward scenario** section, or
- override the rule manually.

This method also applies to other cases in which the initial balances carried forward onto the output dimensions are not aligned with the initial balances in the input data.

Output dimension selection methods

For every output dimension on the definition page (Rule Dimensions Definition page), you can define the dimension selection method (**Select Account**/**Select Custom Dimension**). The following methods are available:

Value	Description
Set	An element must be specified in the dimension field. In the IC Amount rules for the Account dimension, it is possible to select accounts with the **IC Management** option selected in the list.
Same as input	• The same input dimension is used. Useful when a node of a hierarchy is specified in the input tuple.
Remove Ctp	Only for the **Counterparty Entity** and **Counterparty Custom Dimension 2** fields in the Entity journal, Consolidation journal, Gross Amount and Amount rules. The information concerning the counterparty entity are moved from a group entity to minorities.
Swap Entity with Counterparty entity	Only for the **Counterparty Entity** field in the IC Amount, Consolidation Journal and Amount rules. The value of the Counterparty Entity is replaced with the value of the Entity and vice versa (see Swap Entity with Ctp Entity Management).
Swap Custom Dimension 2 with Counterparty Custom Dimension 2	Only for the **Counterparty Custom Dimension 2** field. The **Counterparty Custom Dimension 2** value is replaced with the **Custom dimension 2** value and vice versa.
Replace Entity with Ctp	Only for the **Counterparty Entity** field in the Gross Amount rules. The value of the Entity is replaced with the value of the Ctp Entity (seeReplace Entity with Ctp).
Replace Custom Dimension 2 with Ctp	Only for the **Ctp Custom dimension 2** field in the Gross Amount rules. The value of **Ctp Custom Dimension 2** is replaced with the value of **Custom Dimension 2**.
Equal to declaring entity	Only for the **Segment Counterparty Custom Dimension 2** field. The field is set as the input **Custom dimension 2**.
Equal to output Ctp Custom Dimension 2	Only for the **Segment Counterparty Custom Dimension 2** field. The field is set as the output **Counterparty Custom Dimension 2**.

The synthetic definition of the elements is deployed by calculating the input and output dimensions table with the maximum level of detail. The order in which the settings are listed is therefore significant.

***Note**: there is no Definition result window; the deployment of the nodes is included in the data processing itself.*

***IMPORTANT**: if the definition of the input/output dimensions of the rules is changed between the between the scenario to be processed and the previous scenario, you must manually reverse, or override, the carry forward rows on the dimensions inserted in the previous setup.*

Management of output Accounts which do not allow IC entries

For output accounts which do not allow intercompany entries in consolidation journals, or for which the **IC Management** option is not selected in the list, information concerning the counterparty is managed on the basis of the activation of the Counterparty Entity Dimension on the rule.

If...	AND...	Then...
the Counterparty Entity Dimension is not active on the rule	the output account allows IC entries	the record generated on the output account has the counterparty defined on the basis of the counterparty present on the input account.
the Counterparty Entity Dimension is not active on the rule	the output account doesn't allow IC entries	the row generated on the output account does not have the counterparty entity field defined.
the Counterparty Entity Dimension is active on the rule	-	the strategy defined in the rule is applied even if the account does not allow IC entries. CCH Tagetik behaves similarly to what happens in the case of the manual data entry of consolidation journals for which it is also possible to insert the counterparty for accounts that do not allow IC entries.

The behaviour described above also applies to the **Ctp Custom dimension 2** field.

Rules Engine Designer data processing on original scenarios

Introduction

Rules Engine Designer on original Scenarios is a data processing that, starting from input data on IC amounts, gross amounts, entity journals and consolidation journals, identified by a certain dimensional set (tuple), allows rows to be generated on a tuple of output dimensions by applying the rules defined by the Consolidator user.

Data processing applies specific rules and generates the following:

- A row on the input dimensions that writes off the amount on input data itself (if the **Writing off** option is selected).
- A row on the input dimensions with the same amount as that on the input data.

***IMPORTANT**: the data processing cannot be activated in processes using the 'Database' consolidation engine.*

CCH Tagetik processes the rules defined for each original scenario and Entity in the Rules Engine Designer execution plan on Original Scenarios specified in the process definition.

Execution Plan Requirements

The following must be specified for each original period scenario:

- the entity or node of entities to be processed
- the node of rules for every entity/node of entities to be processed

***IMPORTANT**: If the same Entity and original scenarios/period are contained in several rows of the execution plan definition, only the last one is considered.*

Data processing on entity

The Rules Engine Designer data processing on Entity is run immediately after the Basic calculation Logic data processing. The Gross Amount, IC Amount and Entity Journal rules are processed as per the following diagram:

- For Gross Amount rules, the rows of Gross Amounts, IC amounts and Entity journals to be processed by Original Amount Type are read, and output rows on Gross Amounts with Original Amount Type are generated.
- For the IC Amounts rules, the rows of IC amounts to be processed are read from the Original amount, and output rows are generated on the IC amounts of the Original amount type.
- For the Entity journal rules, the rows of gross amounts, IC amounts and entity journals to be processed are read from the Original amount type and rows are generated on entity journals with Original amount type.

The data processing for Entities and on the original scenarios defined in the execution plan processes the rules contained in the nodes by reading input combinations on the Input category and generates rows on the Output category.

Entities with **Deconsolidation Type** equal to **Deconsolidate only initial balances** or **Deconsolidate from previous period** are excluded, consistently with the behaviour of the other processes on the original.

IMPORTANT: No order of priority applies to the rules. All rules are processed concurrently, without any execution sequence.

For each rule, the final balance is calculated in Entity currency and in transaction currency for the following elements:

- Entity
- Account
- Managed custom dimensions
- Ctp Entity
- Custom dimension 2 of the Ctp Entity (for Processes with Relationship type Entity/Custom dimension 2)
- Company currency
- Transaction currency
- Category

The Markup percentage (default 100%) is applied to the obtained amounts and the obtained amount is managed as follows:

- If the **Write off input data** option is selected on the rule, the amount is written off from the input tuple at issue.
- In other cases, the amount is allocated to the tuple specified in the output dimensions.

For rules that have the **Enable carry forward Writing off for normal and detail accounts** option enabled , for balance sheet, Guaranties & Commitments or other stock and normal/detail type accounts, the amount of the input data considered includes the value of the carry-forwards. Therefore, for the Entity Journals rules, rows with origin 'Carry forward - Rules Engine Designer' are written off. The write-off is carried out even if the rule definition rows have input accounts of variation type and output accounts of normal/detail type.

On the contrary, for rules that do not have the Enable carry forward Writing off for normal and detail accounts option enabled, rows with origin 'Carry forward - Rules Engine Designer' are not written off. This option is useful in cases where, in the rule definition for a given account, only part of the variation accounts belonging to a specific control group are reclassified to another account.

For Gross Amount and IC Amount rules, the Notes field of the generated rows is filled in with the code and description of the generating rule.

Journal header

For the Entity Journal rules, the data processing generates a journal with the same rule / output category and Entity.

The headers of the journals are identified by the journal number comprising the prefix REDORIG_ followed by the code of the rule, the output category and the entity. The **Notes** field shows the description of the rule.

The new headers are created by assigning the default attributes defined on the rule in the **Journal attributes** tab:

- **Enable carry forward**
- **Tax calculation method**
- **Reverse journal type**

The pre-existing headers, generated by previous runs of the data processing, are updated every time it is run with the default attributes defined on the rule when the data processing is run. Journals having the option **Override journal parameters** selected are not updated.

Generated journals

For the Entity journal rules that read as input gross amounts data and IC amounts data, the data processing generated as output Entity journals where such data are expressed in a different way than the way they are saved in the tables of original data of gross amounts and IC amounts. In particular, the gross data is stored in the Gross amounts and the intercompany declarations are stored in the IC amounts as an “of which” of the gross data. Whereas, on the Entity journals data are written by counterparty. To obtain the gross figure, you must add up all the rows present on the journal, including those with an undefined counterparty, which represent the portion to minorities.

***IMPORTANT**: for the entity journal rules, if the output account has not the **IC Management** flag enabled, the row generated on that output account will not include the Ctp Entity.*

For rules that have the **Ctp Entity** dimension enabled, the setting of the option **Allow intercompany declarations towards same Entity** in the IC Amount rules is not considered. Thus, the data processing may generate IC declaration rows to the same declaring Entity.

Data processing on group

The Rules Engine Designer data processing on Group is run immediately after the Basic calculation Logic data processing. The Consolidation journals rules are processed by reading the rows of Gross Amounts, IC Amounts, Entity journals and Consolidation journals to be processed from the Original amount type and generating rows on Consolidation journals with Original amount type.

For rules that read from consolidation journals, only consolidation journals that do not have the **Many to many relationship** option selected are processed. Journals in which at least one of the two header entities has its **Deconsolidation Type** equal to **Deconsolidate only initial balances** or **Deconsolidate from previous period** are excluded.

For the rules reading from Amounts and Entity journals, Entities with **Deconsolidation Type** equal to **Deconsolidate only initial balances** or **Deconsolidate from previous period** are excluded.

The data processing for Entities and on the original scenarios defined in the execution plan processes the rules contained in the nodes by reading input combinations on the Input categories and generates rows on the Output categories.

IMPORTANT: No order of priority applies to the rules. All rules are processed concurrently, without any execution sequence.

For each rule, the final balance is calculated in journal currency, in Entity currency and in transaction currency for the following items:

- Journal number (for rules reading from consolidation journals)
- Entity
- Account
- Managed custom dimensions
- Ctp Entity
- Custom dimension 2 of the Ctp Entity (for Processes with Relationship type Entity/Custom dimension 2)
- Ctp Entity for Segment
- Ctp Custom Dimension 2 for Segment (for Processes with Entity / Custom dimension 2 relationship type)
- Journal currency
- Entity currency
- Transaction currency
- Category

The Markup percentage (default 100%) is applied to the obtained amounts and the obtained amount is managed as follows:

- It is allocated to the tuple indicated in the output dimensions.
- If the **Write off input data** option is selected on the rule, the amount is written off from the input tuple at issue.

For rules that have the **Enable carry forward Writing off for normal and detail accounts** option enabled , for balance sheet, Guaranties & Commitments or other stock and normal/detail type accounts, the amount of the input data considered includes the value of the carry-forwards. Therefore, rows with origin 'Carry forward - Rules Engine Designer' are written off. The write-off is carried out even if the rule definition rows have input accounts of variation type and output accounts of normal/detail type.

On the contrary, for rules that do not have the Enable carry forward Writing off for normal and detail accounts option enabled, rows with origin 'Carry forward - Rules Engine Designer' are not written off. This option is useful in cases where, in the rule definition for a given account, only part of the variation accounts belonging to a specific control group are reclassified to another account.

IMPORTANT: In order to take full advantage of the possibility of deactivating the write-off, even if the 'Write in same journal header' functionality is used, the note field of the rows produced by the RED must contain the information about the rule that generated them. For this purpose, it is necessary to ensure that in the Carry-forward Rules the 'Journals rows aggregation type' field is set with the options 'Don't aggregate' or 'Aggregate according to dimensions and notes'

Journal header

For rules reading from consolidation journals, the data processing generates a journal with the same output rule/category and source journal. The headers of the journals are identified by the journal number comprising the prefix REDORIG_ followed by the code of the rule, the output category and the source journal number. The **Notes** field shows the description of the rule.

For rules reading from amounts and Entity journals, the data processing generates a journal with the same output rule/category, Entity and Ctp Entity. Journal headers are identified by the journal number formed by the prefix REDORIG_ followed by the rule code, the output category, the Entity and the Ctp Entity.

If the process has relationship type by Entity/Custom dimension 2, the header shows also the fields Custom dimension 2 and Ctp Custom dimension 2.

IMPORTANT: For input rows that do not have ctp Entities, the header has Entity 2 equal to Entity 1.
If the Write Off option is disabled and the Dimension definition row has outpout Ctp Entity equal to 'Remove ctp', the header has Entity 2 equal to Entity 1.

The attributes of the new headers created by the data processing are assigned based on the definition in **Journal attributes** of the rule:

- For rules reading from consolidation journals, if the **Define Manually** option is not selected, the header is created with the same attributes as the input journal.
- Otherwise, the header is created with the attributes specified on the rule.

The following attributes are available:

- **Proportional calculation method**
- **Minorities calculation method**
- **Equity evaluation method**
- **Tax calculation method**
- **Reverse journal type**
- **Enable carry forward**

The **Exclude reclassifications and NER** option is set to the value defined on the output category.

The pre-existing header attributes, generated by previous runs of the data processing, are updated every time it is run, as for the new headers, based on the setup present when the data processing is run. The update is not run for the journals having the **Override journal parameters** option selected.

The behaviour described above also applies to the **Ctp Custom dimension 2** field.

***IMPORTANT**: In the event of a change of parametrization of the input/output dimensions of the rules between the scenario to be processed and the previous one, it is necessary to manually write off, meaning to override, the carry-forward rows on the dimensions entered in the previous parametrization.*

Origin

The origin generated by this data processing is 'PROC_RED'.

For rows generated in the previous year and carry forward to the subsequent year, the origin generated by the carry forward data processing is 'PREL_RESTORE_RED'.

Data Processing Requirements

The following conditions must be fulfilled for this data processing to take place:

1. In the Data Processing section of the process, the following items are selected
    - **Rules Engine Designer** > **on** Entity Processes Gross Amount, IC Amount and Entity Journal rules
    - **Rules Engine Designer** > **on** group Processes the Consolidation journal rules
2. There is an execution plan with at least one Entity and one rule node containing at least one rule parameterised with the following:
    - at least one input dimensions record
    - at least one input categories record
3. Rules can only be run if the following conditions are met:
    - The output account belongs to the process.
    - for the IC Amount rules, have **IC Management** enabled in the list of elements
4. The Custom dimension is enabled in the Data Entry rules.
   For the Gross Amount and IC Amount rules, the custom dimension must be enabled in the data entry rules of Gross and IC Amounts; for the Entity journal and Consolidation Journal rules, the custom dimension must be enabled in the Journal data entry rules.
5. The elements of the Custom Dimension on which to generate output rows meet the restrictions of the output accounts.
6. Ctp Custom Dimension 2, if enabled on the rule, is handled in the Process (**Relationship Type** other than Entity).
7. Input categories are set to **Run.**
8. Output categories belong to the process.
9. If the process type is by account/category, the output account/category pair must be eligible for the Process Types linked to the Entities to be processed.

Cases where no output rows are generated

In these cases, the data processing does not generate write-off rows or output rows, even if input tuples are present:

- The output account id not present in the Process Type of the Entity
- The output Category is not enabled in the process
- The account/category pair is not enabled in the Entity's process type.
- The rule defined for an unmanaged Custom Dimension on the process for amounts (for IC Amounts rules) of Gross Amounts or for journals (for Entity journal rules).
- The management of the Ctp Custom Dimension 2 is enabled for the rule, while the process relationship type is by Entity.
- The rule contains rows that do not consist of the dimension definition or definition rows with undefined input dimensions (active in the header).
- The conditions in the rule are not fulfilled.
- For consolidation journals where it is not possible to swap between the Entity and the Ctp Entity. In the consolidation journals , it is possible for the Ctp Entity to be different from the two header Entities even if the **Many-to-many** Relationship option is disabled. This may occur if the **Manage Counterpart regardless of header relationship** option is enabled in the journal rules. In this case, input data rows that have Ctp Entity other than the two header Entities are not processed based on

the rule definition rows that have the Ctp Entity dimension active and **Selection** = **Swap Entity with Ctp Entity**. The swap cannot be performed because the Entity cannot be parametrized differently from the two header Entities. In case of Entity /Custom dimension 2 relationship type, the input rows with Ctp Entity / Ctp Custom dimension 2 different from the two Entity /Custom Dimension 2 header pairs are excluded.

Further conditions on the application rule

Below are the options available for each condition that the input data must fulfil in order for the rule to be applied.

Condition	Options
Entity - Deconsolidation Method	• Not to deconsolidate • Initial balances • From previous period • From current period
CTP Entity - Deconsolidation Method	• Not to deconsolidate • Initial balances • From previous period • From current period
CTP Entity for Segment - Deconsolidation Method	This condition is only managed for the Consolidation journal rules. • Not to deconsolidate • Initial balances • From previous period • From current period

Period of application of the conditions

For all conditions, an application period can be defined. For this purpose, the following options are available:

- **Current Period**: the condition is checked in the Entity parameters on the original data processing scenario/period.
- **Opening Period**: the condition is checked in the Entity parameters on original scenarios of the carry-forward scenario/period.

Conditions application specificities

For input data rows with **Ctp Entity** undefined, the condition 'CTP Entity - Deconsolidation Method' cannot be fulfilled as it is based on the Ctp Entity .

Moreover, for the **Entity** and **CTP Entity for Segment** the options of the Deconsolidation Method **Initial Balances** and **From Previous Period**, combined with the **Current Period** option, are not applied because the data processing excludes Entities to be deconsolidated with these Deconsolidation Methods in the data processing period.

Rules Engine Designer data processing on consolidation scenarios

Introduction

Rules Engine Designer on Consolidation Scenarios is a data processing that starting from input data on amounts and journals of proportional, converted and consolidable amount types, identified by a set of dimensions (tuple), allows amounts and journals to be generated by applying the rules and conditions defined by the Consolidator user.

Data Processing Requirements

The following conditions must be fulfilled for this data processing to take place:

1. In the Data Processing section of the process, the following items are selected
    - **Rules Engine Designer** > **on Consolidation Area**
2. There is an execution plan with at least one Entity included in the consolidation area and a rule node containing at least one rule parameterised with the following:
    - at least one input dimensions record
    - at least one input categories record
3. Rules can only be run if the following conditions are met:
    - The output account belongs to the process.
    - The output account belongs to the Accounts node that might be present as a filter on the Consolidation Scenario.
4. The Custom dimension is enabled in the Data Entry rules.
   For the Amount rules, the custom dimension must be enabled in the data entry rules of Gross and IC Amounts; for the Consolidation journal rules, the custom dimension must be enabled in the Journal data entry rules.
5. The elements of the Custom Dimension on which to generate output rows meet the restrictions of the output accounts.
6. Ctp Custom Dimension 2, if enabled on the rule, is handled in the Process (**Relationship Type** other than Entity).
7. Input and Output categories are set to **Run.**
8. Input and Output categories belong to the process.
9. Input and Output categories belong to the categories node that may be present as a filter on the Consolidation Scenario.
10. If the process type is by account/category, the output account/category pair must be eligible for the Process Types linked to the Entities to be processed.
11. In the case of rules with Periodic Calculation Mode, the periods selected at runtime must be consecutive.

Execution Plan Requirements

The following must be specified for each consolidation scenario period:

- the entity or node of entities to be processed
- as an alternative to Entities, it is possible to specify a consolidation method. In this case, the Entities that have the consolidation method indicated in the selected consolidation scenario/period are taken into account.
- the rules node for each Entity/ Entity node to be treated

***IMPORTANT**: If the same Entity and original scenarios/period are contained in several rows of the execution plan definition, only the last one is considered.*

Data processing on consolidation scenarios

Rules Engine Designer data processing on consolidation scenarios is run on the following amount types:

- Consolidable: the data processing processes rules with Position equal to Consolidable and is launched after the Net Equity Reclassification and before the Calculation Logics. The input data rows of amounts and journals are read from the Consolidatable amount type and the output rows generated by the data processing are entered on amounts or consolidation journals on the Consolidatable amount type.
- Converted: the data processing processes rules with Position equal to Converted and is launched after Conversion and before the Minorities calculation. The input data rows of amounts and journals are read from the Converted amount type and the output rows generated by the data processing are entered on consolidation journals on the Converted amount type.
- Proportional: the data processing processes rules with Position equal to Proportional and is launched after Deconsolidation. The input data rows of amounts and journals are read from the Proportional

amount type and the output rows generated by the data processing are entered on consolidation journals on the Proportional amount type.

For the data processing to be properly completed, the tuples to be processed must have been parameterised correctly.

For example, if a normal account is processed, the related detail/variation accounts must also be generated, otherwise the control groups in which the normal account is contained will be unbalanced.

For the entities and on the consolidation scenarios defined in the execution plan, the data processing runs the rules contained in the nodes by reading the input combinations on the Input category, and generates a new consolidation journal on the Output category.

IMPORTANT: No order of priority applies to the rules. All rules are processed concurrently, without any execution sequence.

For each rule, the final balance is calculated for the following elements:

- Entity
- Account
- Managed custom dimensions
- Ctp Entity
- Custom dimension 2 of the counterparty entity (for Processes whose relationship type is Entity/Custom Dimension 2)
- Ctp Entity for Segment
- Custom dimension 2 of the segment counterparty entity (for Processes whose relationship type is Entity/Custom Dimension 2)
- Currency:
    - Consolidation currency for rules with position 'Consolidable' and 'Converted'
    - Entity currency for rules with the position 'Proportional' for which the 'Write in same journal header' option is not enabled
    - for rules with position 'Proportional' for which the 'Write in same journal header' option is enabled, the final balance is calculated in the journal currency, in the entity currency and in the transaction currency
- Category

The Markup percentage (default 100%) and the indicated Dynamic Markup, if any, is applied to the amounts obtained. The amount obtained is managed as follows:

- If the **Write off input data** option is selected on the rule, the amount is written off from the input tuple at issue.
- In other cases, the amount is allocated to the tuple specified in the output dimensions.

For rules that have the **Enable carry forward Writing off for normal and detail accounts** option enabled , for balance sheet, Guaranties & Commitments or other stock and normal/detail type accounts, the amount of the input data considered includes the value of the carry-forwards. Therefore, for the Consolidation Journals rules, rows with origin 'Carry forward - Rules Engine Designer' are written off. The write-off is carried out even if the rule definition rows have input accounts of variation type and output accounts of normal/detail type.

On the contrary, for rules that do not have the Enable carry forward Writing off for normal and detail accounts option enabled, rows with origin 'Carry forward - Rules Engine Designer' are not written off. This option is useful in cases where, in the rule definition for a given account, only part of the variation accounts belonging to a specific control group are reclassified to another account.

IMPORTANT: In order to take full advantage of the possibility of deactivating the write-off, even if the 'Write in same journal header' functionality is used, the note field of the rows produced by the RED must contain the information about the rule that generated them. For this purpose, it is necessary to ensure that in the Carry-forward Rules the 'Journals rows aggregation type' field is set with the options 'Don't aggregate' or 'Aggregate according to dimensions and notes'

For amount rules, the Notes field of the generated rows is defined with the code and description of the generating rule.

IMPORTANT:*In the Amount rules, the option Swap Entity with Ctp Entity generates rows only if the Entity and Ctp Entity belong to the selected Entity node filter (both for the output dimension row and the input data write off row) .The Notes of the generated rows contain the prefix '[Swap]'.*

Calculation method

For each rule, it is possible to choose the calculation method for the period data amount, i.e. P&L and other variation type input accounts, variation type accounts and group and minorities balance sheet net result accounts:

- Year-to-daye: the year-to-date amount for the data processing period is processed by applying any dynamic markup for the period
- Periodic - Start of period: the periodic amount is processed. The dynamic markup variance and the rule execution change with respect to the previous period are deemed to have occurred at the beginning of the period.
- Periodic - End of Period: the periodic amount is processed. The dynamic markup variance and the rule execution change with respect to the previous period are deemed to have occurred at the end of the period.

The periodic calculation allows for more precise amounts in the presence of dynamic markup. Moreover, it allows the generation of variation flows for rule execution change with respect to the previous period.

The following rows are generated in the periodic calculation:

- Period quota: the difference between the value of the current data processing period and that of the previous period (The calculation is carried out even in the absence of data from the data processing period.) Any dynamic markup is applied:
    - Start of period: dynamic markup of data processing period
    - End of period: dynamic markup of previous period
- Copy from previous period: from the second period of the scenario, the rows generated in the previous period are copied.
- Dynamic markup - variation compared to the previous period (only if parameterised):
    - Start of period: Parent account amount of previous period * markup variance
    - End of period: parent account amount of the data processing period * markup variance

The rows produced by the periodic calculation are identified by the content of the Notes field, which is labelled '[Periodic]'.

Generated journals

For consolidation journal rules that have the **Write on same journal** option enabled, the data processing generates rows in the same input journal. The code and description of the rule are indicated in the **Notes** field of the rows produced.

For the Consolidation journal rules that do not have the **Write on same journal** option enabled, the data processing generates a journal with the same rule/output category and entity.

The new headers are created by assigning the default attributes defined on the rule in the **Journal attributes** tab:

- **Enable carry forward**
- **Minorities calculation method.** For rules with Position equal to 'Converted' and 'Proportional'.

The pre-existing headers, generated by previous runs of the data processing, are updated every time it is run with the default attributes defined on the rule when the data processing is run.

The **Many to many relationship** option is enabled as the following rows can be available:

- Rows with Counterparty entities that are different from the output entity
- Rows with Ctp Entity for segment different from Output Entity
- Rows whose Entity/Custom Dimension 2 pair is different from the header's Entity/Custom dimension 2 pair (for Processes whose type is Entity/Custom Dimension 2)

***IMPORTANT**: If the input/output dimensions to be processed are changed between the scenario to be processed and the previous one, it is necessary to manually write off, i.e. override, the entries on the dimensions entered in the previous parameterisation.*

Journal header

The journal headers generated by the data processing are identified by the journal number formed by the prefix RED_ followed by the rule code, the output category and the Entity. The description of the rule is indicated in the **Notes** field of the produced header.

If the **Entity/Custom dimension 2** Relationship Type is defined for the process, the header shows the fields of Destination 2 with the Entity's default Custom Dimension 2.

Hence, the data processing generates only one header with the same output rule/category and Entity even if several elements of Custom Dimension 2 are moved. The single header facilitates the analysis of the journal and does not reduce the quality of Segment reports. These in fact do not read the header but only consider the information contained in the journal rows.

Origin

The origin generated by the Rules Engine Designer data processing is:

- CONS_RED for rules with 'Consolidable' Position
- CONS_RED_2_CONV for rules with 'Converted' Position
- CONS_RED_1_DECO for rules with 'Proportional' Position

In the case of rows generated in the previous year and carried forward the following year, the origin generated by the carry forward data processing is:

- PRCO_RESTORE_RED for rules with 'Consolidable' Position
- PRCO_RESTORE_RED_2_CONV for rules with 'Converted' osition
- PRCO_RESTORE_RED_1_DECO for rules with 'Proportional' Position

In the case of deconsolidation of rows on the converted amount type generated by rules with Position 'Converted', the origins generated by the deconsolidation data processing are:

- CONS_DECONSOLIDATION_RED_2_CONV
- CONS_COPY_PREVIOUS_RED_2_CONV

"Read input data from entities node" option

This option, available for rules with Position equal to 'Consolidable', is useful where it is necessary to read input data from several Entities.

A parameterisation that matches hierarchies of Entity nodes to output Entities allows the system to read input data from multiple Entities and generate the journal or the amounts on the output Entity.

For Amount rules, the notes of the generated rows contain the Entity node.

For Consolidation journals, the generated journal number contains the output Entity and the node.

*The **Read input data from Entities node** option combined with the Map dimensions based on sign option can be used when reclassifying the Credits for prepaid taxes / Debits for deferred taxes , all on Credits or all on Payables based on the sign of the sum of Credits and Payables of an Entities node and obtain the output journal on a reference Entity.*

Parametrisation:

- **Read input data from Entities node** must be enabled in the Advanced tab of the rule. This option cannot be enabled along with the **Write in the same journal header** option.
- In the Entity Definition window, it is necessary to enter the Entity nodes from which to read input data and for each node, the output Entity on which to generate journals.
- In the execution plan, it is necessary to associate the rule node with the Output Entity specified in the Entity definition.

The data processing calculates the sum of the input data of the Entities belonging to the node. The rule is applied to the input data aggregated by entity node.

***IMPORTANT**: In the sum of the aggregated input data per node, the Entity and the Ctp Entity for Segment are replaced with the Output Entity, while the Ctp Entity remains that of the input data.*

Therefore, the following effects occur:

- Conditions: Condition attributes on the Entity and the Ctp Entity for segment refer to the Output Entity. Condition attributes on the Ctp Entity refer to the input Ctp Entity as usual.
- Generation of write-off journals: Entity and Ctp Entity for Segment are equal to the Output Entity. The Ctp Entity is the input entity.
- Generation of journal's reclassification rows: the Entity is equal to the Output Entity, the Ctp Entity can be handled with the rule excluding the option **Swap Entity with Ctp Entity**, the Ctp Entity for Segment can be handled with the rule excluding the 'Equal to Input' option.

Journals with an impact on Net result

In the rule it is possible to specify that a normal account of BS nature is to be processed on a normal account of P&L nature or vice versa.

In such cases, there is likely to be an impact on the Net result account. In order to recognize the impact, the account calculation rules must be enabled to also be applied to the consolidation scenario.

There may be effects on the profit considered in its 'split' on the Custom Dimension even when an element of the Custom Dimension is treated.

Cases where no output rows are generated

In these cases, the data processing does not generate write-off rows or output rows, even if input tuples are present:

- The output account is not present in the Entity Process Type or in the filter of the Consolidation Scenario.
- The output category is not enabled in the process or filter of the Consolidation Scenario.
- The account/category pair is not enabled in the Entity's Process type.
- The rule is defined for a Custom dimension that is not managed on the process for the amounts (for Amount rules) or for the journals (for the Consolidation journal rules).
- The management of the Ctp Custom Dimension 2 is enabled for the rule, while the process relationship type is by Entity.
- The rule contains rows that do not consist of the dimension definition or definition rows with undefined input dimensions (active in the header).
- The conditions in the rule are not fulfilled.
- The dimension definition row has a dynamic markup equal to zero or that cannot be calculated.
- Rules with the **Write in the same journal header** option enabled - case in which it is not possible to Swap the Entity with the Ctp Entity.
  In the consolidation journals, the Ctp Entity might be different from the two header Entities (even if the **Many-to-many Relationship** option is disabled), if the **Manage Counterpart regardless of header relationship** option is enabled in the header rules. In this case, input data rows that have Ctp Entity other than the two header Entities are not processed in the rule definition rows that have the Ctp Entity dimension active and Selection = **Swap Entity with Ctp Entity**. The swap is not possible because the entity cannot be defined as anything other than the two header entities. If the relationship type is entity/custom dimension 2, the system excludes input rows whose Counterparty entity/Counterparty custom dimension 2 is different from the two Entity/Custom Dimension 2 pairs in the header.

Further conditions on the application rule

Below are the options available for each condition that the input data must fulfil in order for the rule to be applied.

Condition	Options
Entity - Consolidation Method	• Line-by-line • Proportional • Equity • Cost • Not present. The Entity is not included in the consolidation area.
Entity - Deconsolidation Method	• Not to deconsolidate • Initial balances • From previous period • From current period
Entity - Equity Type	• None • Associate • Joint Ventures • Non-consolidated controlled entity
Entity - Holding Consolidation Area	• Only applies to the holding company • Applies to all entities excluding the holding company
Entity - Merger event	• Incorporating • Incorporated • Not present as Incorporating Entity • Not present as Incorporated Entity
CTP Entity - Consolidation Method	• Line-by-line • Proportional • Equity • Cost • Not present. The CTP Entity is not included in the consolidation area.
CTP Entity - Deconsolidation Method	• Not to deconsolidate • Initial balances • From previous period • From current period
CTP Entity - Equity Type	• None • Associate • Joint Ventures • Non-consolidated controlled entity
CTP Entity - Merger event	• Incorporating • Incorporated • Not present as Incorporating Entity • Not present as Incorporated Entity

Condition	Options
CTP Entity for Segment - Consolidation Method	This condition is considered only for input data on Consolidation Journal categories. • Line-by-line • Proportional • Equity • Cost • Not present (the Segment CTP entity is not present in the consolidation area)
CTP Entity for Segment - Deconsolidation Method	This condition is considered only for input data on Consolidation Journal categories. • Not to deconsolidate • Initial balances • From previous period • From current period
CTP Entity for Segment - Merger event	This condition is considered only for input data on Consolidation Journal categories. • Incorporating • Incorporated • Not present as Incorporating Entity • Not present as Incorporated Entity

Period of application of the conditions

For all conditions, except **Entity - Holding Consolidation Area**, an application period can be defined. For this purpose, the following options are available:

- **Current Period**: the condition is verified on the consolidation area of the data processing scenario/period except for the **Merger Event** conditions which are verified on the merger events of the original scenario associated with the data processing consolidation scenario and merger period equal to or preceding the processing period
- **Opening Period**: The condition is verified on the consolidation area of the carry forward scenario/period except for the **Merger Event** conditions which are verified on the merger events of the original scenario associated with the previous consolidation scenario and any merger period.

Conditions application specificities

For input data rows with an unvalued **Ctp entity**, the following conditions on the CTP Entity cannot be fulfilled as they are based on the Ctp Entity:

- CTP Entity - Consolidation Method
- CTP Entity - Deconsolidation Method
- CTP Entity - Equity method type
- CTP Entity - Merger event

In addition, rules that have conditions on the field **CTP Entity for Segment** and input categories of Amounts and Entity journals are also applied to the rows of input data of Amounts and Entity journals and the condition is always considered fulfilled. If the condition on the segment counterparty entity's consolidation method is combined with the OR operator or another condition, the set of conditions is always satisfied for the Amounts and Entity journals input data.

Explanatory tables

The following tables summarise the main features of Rules Engine Designer data processing.

Functionality

Original scenarios

	Original			
	Gross Amounts	Intercompany Declarations	Entity Journals	Consolidation Journals
Standard dimensions management	✓	✓	✓	✓
Segment dimensions management	Not applicable	Not applicable	Not applicable	✓
Conditions definition	✓	✓	✓	✓
Mark up	✓	✓	✓	✓
Dynamic Mark Up and Delta	✓	✓	✓	✓
Allow multiple relationship	✓	✓	✓	✓
Enable writing off	✓	✓	✓	✓
Swap	✓	✓	Not applicable*	✓
Change of the application of the rule	✓	✓	✓	✓
Intial Balance handling	✓	✓	✓	✓
Map dimensions based on sign	✓	✓	✓	✓
Run Basic Calculation logics	✓	✓	✓	✓

* Available for Dest2 ctp

Consolidation scenarios

	Proportional	Converted	Consolidable	
	Consolidation Journals	Consolidation Journals	Amounts	Consolidation Journals
Standard dimensions management	✓	✓	✓	✓
Segment dimensions management	✓	✓	Not applicable	✓
Conditions definition	✓	✓	✓	✓
Mark up	✓	✓	✓	✓
Dynamic Mark Up and Delta	✓	✓	✓	✓
Allow multiple relationship	✓	✓	✓	✓
Enable writing off	✓	✓	✓	✓
Swap	✓	✓	✓	✓
Write in the same journal	✓	✓	Not applicable	✓
Change of the application of the rule	✓	✓	✓	✓
Read input data from entities node	Not Appicable	✗	✓	✓
Intial Balance handling	✓	✓	✓	✓
Map dimensions based on sign	Not applicable	✗	✓	✓

Input data

Original scenarios

	Gross Amounts	Intercompany Declarations	Entity Journals	Consolidation Journals (Reading from Consolidation Journals)	Consolidation Journals (Reading from Entity data)
Gross Amounts	✓		✓		✓
IC Amounts	✓	✓	✓		✓
Entity Journals	✓		✓		✓
Consolidation Journals				✓	

Output journals

Original scenarios

	Entity Journals	Consolidation Journals (Reading from Consolidation Journals)	Consolidation Journals (Reading from Entity data)
Generate a new Entity Journal	✓		
Generate a new Consolidation Journal linked to the input Journal		✓	
Generate multiple Consolidation Journals			✓

Consolidation scenarios

	Proprortional	Converted	Consolidable	
	Consolidation Journals	Consolidation Journals	Amounts	Consolidation Journals
Generate a new Entity journal				
Generate a new conso journal linked to the input journal				
Generate a new Conso journal	✓ if input are Amounts and/or Entity Journals	✓ if input are Amounts and/or Entity Journals		✓
Write in the same Conso journal	✓ if input are Consolidation Journals	✓ if input are Consolidation Journals		✓ As an option if input are Consolidation Journals

Conditions

Original scenarios

	Gross Amounts	Intercompany Declarations	Entity Journals	Consolidation Journals
Deconsolidation Method	✓	✓	✓	✓
Consolidation Method				
Equity type (JV, Subsidiary....)				
Consolidation Area Holding				
Merger event				

Consolidation scenarios

	Proportional	Converted	Consolidable	
	Consolidation Journals	Consolidation Journals	Amounts	Consolidation Journals
Deconsolidation Method	✓	✓	✓	✓
Consolidation Method	✓	✓	✓	✓
Equity type (JV, Subsidiary....)	✓	✓	✓	✓
Consolidation Area Holding	✓	✓	✓	✓
Merger event	✓	✓	✓	✓

Rules Engine Designer List - Original

Data Processing tile > Basic Consolidation > Rules Engine Designer on Original Scenarios > List

Purpose of the page

This page allows you to define the reading rules for the data of Gross Amounts, IC Amounts, Entity journals and consolidation journals on the original scenario, and then generate rows on Gross amounts, IC amounts, Entity journals and consolidation journals.

Page tabs

Tab	Description
Gross Amounts	It allows rules to be defined that read the data on gross amounts, IC amounts and Entity journals and generate rows on gross amounts.
Intercompany amounts	Allows you to define rules which read the data present on IC amounts and generate rows on IC amounts.
Entity journals	Allows you to define rules which read the data present on gross amounts, IC amounts and entity journals and generate entity journals pertaining to this data processing.
Consolidator journals	It allows you to define rules that read data on gross amounts, IC amounts, Entity journals and consolidation journals and generate the consolidation journals for this data processing.

Action buttons common to all tabs

Button	Description
	Only available if there are rules to be configured in the tab. **Category Definition**: opens a page to map the input categories onto the corresponding output categories (Rule Category Definition). **Dimensions Definition**: opens the page for mapping input dimensions to output dimensions, for both accounts and cost centres (Dimensions Definition Rule). **Conditions Definition**: opens the page for defining the rule application conditions (Rule Conditions Definition page) .

Attributes in all tabs

Field	Description
Attributes	
Code	Rule code
Description	Rule description in set languages
Dimensions management	• List of enabled custom dimensions to be processed in addition to the Account dimension. • List of the counterparty entities or custom dimensions 2 to be processed, if enabled for the rule.
Groupings	Node/node of rules to which to relate the rule. By default, each new rule is matched to the $ - Rules node. There are also the following relationships: • The Gross amount rules are matched with the $AMOUNT -Amounts node. • The IC amount rules are matched to the $IC - IC node. • The Entity journal rules are matched to the ENTITY_JOURNAL - Entity journals node. • The Consolidation journal rules are matched to the $CONSOLIDATION_JOURNAL - Consolidation journals node. ***Note**: you can also relate the rule to nodes previously created in the Groupings window (see Rules Engine Designer Groupings - On Original Scenarios page).*
Journal attributes	
Tax calculation method	Indicates the calculation type for deferred taxes. **None** (default): excludes the tax calculation. **Entity 1**: taxes are calculated according to the fiscal policy associated with the journal's entity 1. **Entity 1 - Invert credits/debits**: as for **Entity 1**, but the choice between the "Deferred taxes fund" and "Credits for prepaid taxes" accounts is inverted. If the amount has the debit sign, the "Deferred taxes fund" account is chosen, otherwise the "Credits for prepaid taxes" account is chosen. **Permanent OCI**: value for information purposes only. The tax calculation is not performed. **Permanent P&L**: Value for information purposes only. The tax calculation is not performed.
Reverse journal type	Indicates whether the journal must be automatically reversed in the carry forward step. ◦ **None** (default) ◦ **Set balance sheet accounts to 0** ◦ **Set BS accounts to 0 and Write off P&L impact** ◦ **Set BS accounts to 0, write off P&L impact and variations**
Enable carry forward	Indicates that the journal must be carried forward into the subsequent scenario.
Advanced	
Map dimensions based on sign	Indicates whether you want to manage a rule based on the sign of the sum of the input data (see Map dimensions based on sign).
Enable writing off	Allows you to choose whether to generate the input tuple reversal row. This is active by default, because the data processing's standard behaviour is the reclassification that reverses the data present on the input dimensions and sets the same value on the output dimensions. Deactivate to use the value present on an input account/dimensions to generate rows on other output dimensions only. In this case, an input data reversal row is not generated, but only the rows on the output dimensions based on the value present on the input dimension data.
Allow multiple relationships	Indicates whether to deploy and then generate the same tuple of input dimensions several times within a rule (see Allow Multiple Relationships).

Field	Description
Run basic calculation logic	Specifies whether basic formulas are to be run after the rule rows have been generated (see Run Basic Calculation Logic)
Enable carry forward Writing off for normal and detail accounts	For rules that have this option enabled, the write-off of the RED carry-forward rows is performed on the journals for Normal and Detail type accounts (and of BS, Guaranties & Commitments or Other Stocks nature)
First application of the rule	For the entity journal and consolidation journal rules, this defines whether and how to manage the change in the application of the rule compared with the carry forward scenario. Rule which, for a given entity, is present in the execution plan for the first time in the data processing scenario/period. Rule which has **Map dimensions based on sign** active and the sum of the rule's input data changes sign between the carry forward scenario/period and the data processing scenario/period (see Change rule application from carry forward scenario).
Initial Application Variation/detail type	Only if **First application of the rule** = **Specific variation/detail type**. Code of a variation type variation/detail type to be used to identify the control group variation.
Rule no longer applied	Rule which, for a given entity, is no longer present in the execution plan associated with the data processing scenario/period. Rule which has **Map dimensions based on sign** active and the sum of the rule's input data changes sign between the carry forward scenario/period and the data processing scenario/period (see Change rule application from carry forward scenario).
Variation/detail type for terminated application	Only if **Rule no longer applied** = **Specific variation/detail type**. Code of a variation type variation/detail type to be used to identify the control group variation.
Dynamic Markup - Increase	It defines whether and how to handle the variation of the dynamic markup compared to the carry-forward scenario. The markup of the carry-forward scenario/period is non-zero and less than the markup of the data processing scenario/period (see Dynamic Makup - Variation compared to Carry-forward).
Dynamic Markup - Increase Cause	Code of a variation type variation/detail type to be used to identify the control group variation.
Dynamic Markup - Decrease	It defines whether and how to handle the variation of the dynamic markup compared to the carry-forward scenario. The markup of the data processing scenario/period is non-zero and less than the markup of the carry-forward scenario/period (see Dynamic Makup - Variation compared to Carry-forward).
Dynamic Markup - Decrease Cause	Code of a variation type variation/detail type to be used to identify the control group variation.
Dynamic Markup - 0 to N	It defines whether and how to handle the variation of the dynamic markup compared to the carry-forward scenario. The markup of the carry-forward scenario/period is zero and the markup of the data processing scenario/period is non-zero. (see Dynamic Makup - Variation compared to carry-forward).
Dynamic Markup - Cause 0 to N	Code of a variation type variation/detail type to be used to identify the control group variation.
Dynamic Markup - N to 0	It defines whether and how to handle the variation of the dynamic markup compared to the carry-forward scenario. The markup of the carry-forward scenario/period is non-zero and the markup of the data processing scenario/period is zero (see Dynamic Makup - Variation compared to Carry-forward).
Dynamic Markup - Cause N to 0	Code of a variation type variation/detail type to be used to identify the control group variation.

Consolidation Journals tab

The fields displayed in this tab only are listed below:

Field	Description
Journal attributes	
Read from	Specifies the source of input data : • Consolidation Journals • Amounts and Entity journals
Define manually	Only present if 'Read from' equals Consolidation journals. If enabled, you will be able to view and set the following attributes in order to define them differently in the output journal from the input journal.
Proportional calculation method	This indicates how to determine the proportional calculation percentage.
Minorities calculation method	Indicates the method to be used for calculating minorities.
Equity evaluation method	This indicates what the system should do during the equity evaluation step where there is an entity at equity.

Rules Engine Designer Groupings on Original Scenarios page

Data Processing tile > Basic Consolidation > Designer Engine Rules on Original scenarios > Groupings

Navbar > Data Processing > Basic Consolidation > Designer Engine Rules on Original scenarios > Groupings

Purpose of the page

This page allows you to create groupings among the rules to be applied to original scenarios.

It also allows you to drag a rule from one node to another.

Attributes on the page

Field	Description
Attributes	
Code	Code of the rule grouping
Description	Description of the grouping in the enabled languages

Rules Engine Designer - Consolidation

Tile Data Processing > Basic Consolidation > Rules Engine Designer on Consolidation Scenarios > List of Elements

Purpose of the page

This page allows you to define the reading rules for data of Amounts, Entity journals and consolidation journals on the consolidation scenario, and then generate rows on amounts and consolidation journals.

Page tabs

Tab	Description
Amounts	It allows rules to be defined that read the data on amounts, Entity journals and consolidation journals and generate rows on the amounts.
Consolidator journals	It allows rules to be defined that read the data on amounts, Entity journals and consolidation journals and generate consolidation journals.

Action buttons

Button	Description
	Only displayed if there are rules to be configured in the tab. **Category Definition**: opens the page for mapping input categories to output categories (Category Definition Rule). **Dimensions Definition**: opens the page for mapping input dimensions to output dimensions, for both accounts and cost centres (Dimensions Definition Rule). **Conditions Definition**: opens the page for defining the rule application conditions (Condition Definition Rule). **Entity Definition**: opens the page for defining the Entities of the rule (Rule Entity Definition Page).

Attributes

Field	Description
Attributes	
Code	Rule code
Description	Rule description in set languages
Location	Indicates the Amount Type on which to execute the rule: • Consolidable: the rule is processed on the Consolidable amount type after the Net Equity Reclassification data processing and before the Calculation Logics. • Converted: the rule is processed on the Converted amount type after the Conversion data processing and before the Minorities calculation. Only for the Consolidation journal rules. • Proportional: the rule is processed on the Proportional amount type after Deconsolidation. Only for the Consolidation journal rules.
Calculation method	Indicates how the amount of period data is calculated (see Calculation Moethod): • Year-to-date: year-to-date amount of the data processing period with the application of any dynamic markup of the period • Periodic - Start of period: in the data processing period, the periodic amount is calculated with the application of the dynamic markup for the period. In addition, the rows generated in the previous period are copied. The dynamic markup variance and the rule execution change with respect to the previous period are deemed to have occurred at the beginning of the period. • Periodic - End of period: in the data processing period, the periodic amount is calculated by applying the dynamic markup of the previous period. In addition, the rows generated in the previous period are copied. The dynamic markup variance and the rule execution change with respect to the previous period are deemed to have occurred at the end of the period.
Dimensions management	List of custom dimensions to be processed in addition to the Account dimension.

Field	Description
Write in the same journal header	For Consolidation journal rules, it allows you to choose where to generate the rows produced by the rule's data processing: Only with **Multiple Ratio** inactive The default value is inactive: rows are generated in journals specific to this data processing identified by the prefix RED_.. if this option is enabled, rows are generated in the same input journal ***IMPORTANT**: The option is only manageable when entering a new rule. It cannot be changed on rules that are already present.* The rule definition therefore has restrictions on the category (see Category Definition Rule) and dimensions: in the dimensions definition, if the Ctp Entity dimension has been enabled, it is not possible to indicate a fixed value for the output Ctp Entity and nor the output Ctp Entity for segment (to prevent the generation of rows that do not respect the relationship of the header Entities of the input journal)
Groupings	Node/node of rules to which to relate the rule. By default, each new rule is matched to the $ - Rules node. There are also the following relationships: • Amount rules are matched to the $AMOUNT -Amounts node. • The Consolidation journal rules are matched to the $CONSOLIDATION_JOURNAL - Consolidation journals node. ***Note**: it is also possible to match the rule to previously created nodes in the Groupings window (see Rules Engine Designer Groupings - Consolidation).*
Journal attributes	
Enable carry forward	For the Consolidation journal rules, only if **Write on same journal** is disabled Indicates that the journal must be carried forward into the subsequent scenario.
Minorities calculation method	For the Consolidation journal rules, only if the Position is **Converted or Proportional** and the option **Write on same journal** is disabled. Indicates how minorities are to be calculated (the Advanced option is not available because the journals are generated with the Many to many Relationship option active).
Advanced	
Enable writing off	Allows you to choose whether to generate the input tuple reversal row. This is active by default, because the data processing's standard behaviour is the reclassification that reverses the data present on the input dimensions and sets the same value on the output dimensions. Deactivate to use the value present on an input account/dimensions to generate rows on other output dimensions only. In this case, an input data reversal row is not generated, but only the rows on the output dimensions based on the value present on the input dimension data.
Allow multiple relationships	Indicates whether to deploy and then generate the same tuple of input dimensions several times within a rule (see Allow Multiple Relationships).
Read input data from Entity node	Only if the Position is **Consolidable**. It allows reading the input data of the Entities belonging to a node and generating the journal or amounts on the output Entity indicated. (see Read input data from Entity node) The option cannot be activated along with the **Write in the same journal header** option.
Enable carry forward Writing off for normal and detail accounts	For rules that have this option enabled, the write-off of the RED carry-forward rows is performed on the journals for Normal and Detail type accounts (and of BS, Guaranties & Commitments or Other Stocks nature)
Map dimensions based on sign	Only if the Position is **Consolidable**. Indicates whether you want to manage a rule based on the sign of the sum of the input data (see Map dimensions based on sign).

Field	Description
First application of the rule	For the entity journal and consolidation journal rules, this defines whether and how to manage the change in the application of the rule compared with the carry forward scenario. Rule which, for a given entity, is present in the execution plan for the first time in the data processing scenario/period. Rule which has **Map dimensions based on sign** active and the sum of the rule's input data changes sign between the carry forward scenario/period and the data processing scenario/period (see Change rule application from carry forward scenario).
Initial Application Variation/detail type	Only if **First application of the rule** = **Specific variation/detail type**. Code of a variation type variation/detail type to be used to identify the control group variation.
Rule no longer applied	Rule which, for a given entity, is no longer present in the execution plan associated with the data processing scenario/period. Rule which has **Map dimensions based on sign** active and the sum of the rule's input data changes sign between the carry forward scenario/period and the data processing scenario/period (see Change rule application from carry forward scenario).
Variation/detail type for terminated application	Only if **Rule no longer applied** = **Specific variation/detail type**. Code of a variation type variation/detail type to be used to identify the control group variation.
Dynamic Markup - Increase	It defines whether and how to handle the variation of the dynamic markup compared to the carry-forward scenario. The markup of the carry-forward scenario/period is non-zero and less than the markup of the data processing scenario/period (see Dynamic Makup - Variation compared to Carry-forward).
Dynamic Markup - Increase Cause	Code of a variation type variation/detail type to be used to identify the control group variation.
Dynamic Markup - Decrease	It defines whether and how to handle the variation of the dynamic markup compared to the carry-forward scenario. The markup of the data processing scenario/period is non-zero and less than the markup of the carry-forward scenario/period (see Dynamic Makup - Variation compared to Carry-forward).
Dynamic Markup - Decrease Cause	Code of a variation type variation/detail type to be used to identify the control group variation.
Dynamic Markup - 0 to N	It defines whether and how to handle the variation of the dynamic markup compared to the carry-forward scenario. The markup of the carry-forward scenario/period is zero and the markup of the data processing scenario/period is non-zero. (see Dynamic Makup - Variation compared to carry-forward).
Dynamic Markup - Cause 0 to N	Code of a variation type variation/detail type to be used to identify the control group variation.
Dynamic Markup - N to 0	It defines whether and how to handle the variation of the dynamic markup compared to the carry-forward scenario. The markup of the carry-forward scenario/period is non-zero and the markup of the data processing scenario/period is zero (see Dynamic Makup - Variation compared to Carry-forward).
Dynamic Markup - Cause N to 0	Code of a variation type variation/detail type to be used to identify the control group variation.

Rules Engine Designer Groupings - Consolidation

Tile Data Processing > Basic Consolidation > Rules Engine Designer on Consolidation Scenarios > Groupings

Purpose of the page

This page allows the creation of groupings between rules to be applied to consolidation scenarios. It also allows you to drag a rule from one node to another.

Fields of the Attributes Tab

Field	Description
Cod.	Rule Grouping Code
Description	Description of the grouping in set languages
Dimensions management	List of custom dimensions to be processed in addition to the Account dimension.
Enable carry forward	Indicates that the journal must be carried forward into the subsequent scenario.
Advanced	
Enable writing off	Allows you to choose whether to generate the input tuple reversal row. This is active by default, because the data processing's standard behaviour is the reclassification that reverses the data present on the input dimensions and sets the same value on the output dimensions. Deactivate to use the value present on an input account/dimensions to generate rows on other output dimensions only. In this case, an input data reversal row is not generated, but only the rows on the output dimensions based on the value present on the input dimension data.
Multiple input dimensions	Indicates whether to deploy and then generate the same tuple of input dimensions several times within a rule (see Allow Multiple Relationships).
Map dimensions based on the sign	Indicates whether you want to manage a rule based on the sign of the sum of the input data (see Map dimensions based on sign).
First application of the rule	For the entity journal and consolidation journal rules, this defines whether and how to manage the change in the application of the rule compared with the carry forward scenario. Rule which, for a given entity, is present in the execution plan for the first time in the data processing scenario/period. Rule which has **Map dimensions based on sign** active and the sum of the rule's input data changes sign between the carry forward scenario/period and the data processing scenario/period (see Change rule application from carry forward scenario).
Variation type - First application	Only if **First application of the rule** = **Specific variation/detail type**. Code of a variation type variation/detail type to be used to identify the control group variation.
Rule no longer applied	Rule which, for a given entity, is no longer present in the execution plan associated with the data processing scenario/period. Rule which has **Map dimensions based on sign** active and the sum of the rule's input data changes sign between the carry forward scenario/period and the data processing scenario/period (see Change rule application from carry forward scenario).
Variation type - Termination of the application	Only if **Rule no longer applied** = **Specific variation/detail type**. Code of a variation type variation/detail type to be used to identify the control group variation.

Fields of the Relationships tab

Field	Description
Nodes	Node of rules to which the rule is matched in order to be used.

Dynamic Markup

Data Processing tile > Basic Consolidation > Rules Engine Designer > Dynamic Markup

Purpose of the page

This page allows you to define dynamic markup to be associated with rule dimension definition rows on original and consolidation scenarios.

For each Markup it is possible to define a formula that may contain:

- Objects: Percentage from consolidation area and Coefficient from gross amounts
- Previously inserted custom markup
- Numbers, arithmetic operators (+ - * /) and round brackets

Buttons on the page

Tab	Description
Create new	Allows a new markup to be added (see Dynamic Markup).
Add	Allows custom objects and markup to be inserted in the formula.
Edit	Allows the description of the selected markup to be modified.
Delete	Allows the selected markup to be deleted. A markup can only be deleted if: • Is not used in any row of the rules' dimension definition • is not used in another markup

Settings in the Rules Engine Designer list pages

Tile Data Processing > Basic Consolidation > Rules Engine Designer on Original Scenarios > Elements list > Gross Amounts tab > select rule > Advances tab

Tile Data Processing > Basic Consolidation > Rules Engine Designer on Original Scenarios > Elements list > IC Amounts tab > select rule > Advances tab

Tile Data Processing > Basic Consolidation > Rules Engine Designer on Original Scenarios > Elements list > Entity journals tab > select rule > Advances tab

Tile Data Processing > Basic Consolidation > Rules Engine Designer on Original Scenarios > Elements list > Consolidation journals tab > select rule > Advances tab

Data Processing tile > Basic Consolidation > Rules Engine Designer on Consolidation Scenarios > Elements list > Amounts tab > select rule > Advanced tab

Tile Data Processing > Basic Consolidation > Rules Engine Designer on Consolidation Scenarios > Elements list > Consolidation journals tab > select rule > Advances tab

Introduction

Below are some insights into the more complex settings that can be made.

Rule execution change vs opening/previous

In the **Rule execution change vs opening/previous** section, it is possible to set the data processing behaviour when a rule is applied only on the previous scenario/period or only on the data processing scenario/period.

***IMPORTANT**: completing this section is only useful for rules containing definition rows of the dimensions on input variation accounts with output variation accounts.*

CCH Tagetik automatically generates the variation flows compared to the previous scenario / period in the journals and amounts related to rules that handle variation accounts, in order to ensure the balancing of the control groups.

The variation is calculated based on the previous scenario/carry forward period, except for rules related to consolidation scenarios with period-based calculation mode. In this case, starting with the second period, the change is generated based on the previous period.

This behaviour requires the following settings:

Field	Description
First application of the rule	• Rules having a condition which is met for the first time in the data processing scenario / period • Rule that, for a given Entity, exists in the execution plan for the first time in the data processing scenario / period • Rule that has the option **Map dimensions based on sign** active and the sum of the rule's input data changes sign between the previous scenario/period and the data processing scenario/period for which the following conditions occur: ◦ The sign of the sum of the input data in the previous scenario/period (initial balance variations, except for rules with periodic calculation mode for which - starting from the second period - the value of the parent account from the previous period is taken into account) is different from the sign specified in the dimension definition row. Therefore, the row was not applied in the previous scenario/period. ◦ The sign of the sum of input data in the carry-forward scenario / period (flows specified in the rule, including the initial balance) is the same as the sign specified in the dimensions definition row, thus the row is applied to the data processing scenario / period
Rule no longer applied	• Rules having a condition which is met in theprevious scenario / period and no longer met in the data processing scenario. • Rule that, for a given Entity, does no longer exist in the execution plan linked to the data processing scenario / period. • Rule that has the option **Map dimensions based on sign** active and the sum of the rule's input data changes sign between the previous scenario/period and the data processing scenario/period for which the following conditions occur: ◦ The sign of the sum of the input data in the previous scenario/period (initial balance variations, except for rules with periodic calculation mode for which - starting from the second period - the value of the parent account from the previous period is taken into account) is equal to the sign specified in the dimension definition row. Therefore, the row was applied in the previous scenario/period. ◦ The sign of the sum of input data in the carry-forward scenario / period (flows specified in the rule, including the initial balance) is different from the sign specified in the dimensions definition row, thus the row is no longer applied to the data processing scenario / period

You can choose the variation type and thus the variation account to be used to balance the control groups.

The possible values for both fields are as follows:

- Area variation - Entry
- Area variation - Exit
- Modify % - Increase
- Modify % - Decrease
- Merger - Incoming
- Merger - Outgoing
- Change from/to equity method - Entry
- Change from/to equity method - Exit
- IFRS 5 reclassification - Entry
- IFRS 5 reclassification - Exit
- IFRS5 Reclassification - Initial balance write off on IC elimination journals
- Reverse
- Balancing

- Calculation logic
- Specific variation/detail type

Output rows on variation flows with respect to the previous scenario/period are only generated under the following conditions:

- In the rule definition row, the input account and the output account are of variation type.
- The specified variation type is defined within the control group of the output account. If the rule has the option 'Enable input data Writing off' enabled, it must also be defined in the control group of the input account.

  ***Note**: only the control groups of variation type belonging to the process are taken into account.*

The amount of the variation is:

- rules on original scenarios and rules on consolidation scenarios with Year-to-date calculation mode: initial balance variation amount
- rules on Consolidation Scenarios with Calculation Mode 'Periodic - Start of Period': Parent Account Amount of Previous Period
- rules on Consolidation Scenarios with 'Periodic - End of Period' Calculation Mode: Parent Account Amount of data processing period

In case of rule definition rows with dynamic markup, the markup value of the data processing scenario/period is applied.

In order to obtain a correct amount on the rows of the variation flows, the following must occur:

- All handled flows of the control group are entered as input accounts in the definition of the rule's dimensions.
- If the option **Allow multiple relationship** is not selected, there are no more rows with the same control group (account extracted) / input dimensions in the rule's dimensions definition, but different output dimensions or a different dynamic markup. Otherwise, variation flows compared to the carry-forward scenario are generated by considering the output dimensions and dynamic markup of the definition row with the highest sorting order.
- In input data, the initial balance variation is detailed on the Custom dimensions in the same way as the input flows For rules with periodic calculation mode, the parent account is detailed on the Custom Dimensions in the same way as the input flows.
- the dimension definition of the rule does not include the following rows:
  - balance sheet input accounts and profit & loss output accounts (or vice versa)
  - input accounts or output accounts present in the Carry forward rules
- If the rule has conditions defined with **Opening Period** option (seeRule application conditions), the following behaviour occurs:

If...	Then...
the condition is verified in the carry-forward scenario/period.	the rule is applied on the data processing scenario/period.
if the condition is verified in the scenario/period preceding the carry-forward scenario/period (previous scenario of the previous scenario).	the rule is applied on the carry-forward scenario/period.

For Rules Engine Designer settings on Consolidation Scenarios, the following condition also applies:

- If the rule is for Consolidation Journals and the **Write in the same journal header** option is enabled, or if the rule is for Amounts and the output category is the same as the input category, then in the rule's dimensions definition, the parent accounts (either normal or detail type) of the specified flows are also included as input accounts.

For Rules Engine Designer settings on Original Scenarios, the following condition also applies:

- If the rule is set to 'Gross Amounts' or 'IC Amounts' and the output category matches the input category, the parent accounts of the specified flows are also included as input accounts in the rule

dimensions definition. Alternatively, the rule has the 'Run Basic Calculation Logics' option enabled and there is a basic calculation logic that calculates the parent account as the sum of the flows.

For rules on original scenarios of Gross Amounts, IC Amounts and Consolidation journals that read data from amounts and Entity journals, when dimension definition rows include 'Swap Entity with Ctp Entity' option, the entity currency amount in the output dimension row is populated based on the transaction currency amount of the input initial balance row, applying the FX rate of the variation flow account from the data processing scenario/period (see Management of Swap Entity with Ctp Entity).

For rules with Periodic calculation mode, the rule execution change is not generated for the input accounts of Group and Minorities Balance Sheet net result(since these accounts are processed in periodic mode).

Dynamic Markup - Variation compared to the opening/previous

In this section, you can configure how the data processing behaves when there is a variation in the dynamic markup value between the data processing scenario/period and the previous one.

The variation is calculated based on the previous scenario/carry forward period, except for rules related to consolidation scenarios with period-based calculation mode. In this case, starting with the second period, the change is generated based on the previous period.

IMPORTANT: completing this section is only useful for rules containing definition rows of the dimensions on input variation accounts with output variation accounts.

CCH Tagetik automatically generates the variation flows compared to the previous scenario / period in the journals and amounts related to rules that handle variation accounts, in order to ensure the balancing of the control groups.

This behaviour requires the following settings:

Field	Description
Increase	The markup of the previous scenario/period is non-zero and less than the markup of the data processing scenario/period.
Decrease	The markup on the data processing scenario/period is non-zero and less than the markup of the previous scenario/period.
0 to N	The markup of the previous scenario/period is zero and the markup of the data processing scenario/period is non-zero.
N to 0	The markup in the previous scenario/period is non-zero and the markup in the data processing scenario/period is zero.

You can choose the variation type and thus the variation account to be used to balance the control groups.

The possible values and conditions for obtaining a correct amount on the variation flows are the same as those specified for the Rule execution change.

The amount of the variation is:

- rules on original scenarios and rules on consolidation scenarios with Year-to-date calculation mode: initial balance amount * markup variance
- rules on consolidation scenarios with calculation mode 'Periodic - Start of period': Parent account amount of previous period * markup variance
- rules on consolidation scenarios with 'Periodic - End of Period' calculation mode: parent account amount of data processing period * markup variance

when there is a change in the dynamic markup value in the case of a Rule that is no longer applied, both Rule Execution Change rows (using the markup in the data processing scenario/period) and Markup Change rows are generated.

In the case of first-time rule application, markup change rows are not generated.

For rules with Periodic calculation mode, the markup variance is not generated for the input accounts of Group and Minorities Balance Sheet net result (since these accounts are processed in periodic mode).

Allow Multiple Relationships

This option allows the same tuple of the input dimensions to be deployed and generated several times within the same rule.

If not selected, if the same tuple of input data is contained in more than one rule definition row, it is considered only once and the definition row with the highest sorting among those appearing in the window prevails.

If selected, the same tuple of input data is expldeployed in all definition rows with **Action** equal to **Include** that contain it, regardless of the order in which the rows appear in the rule's input/output dimension definition window. Rule definition rows with **Action** equal to **Exclude** are treated according to the order in which they are displayed.



This option allows the same input tuple to be used within the rule to generate multiple rows on different output dimensions (possibly using a % Markup or the Dimension Mapping based on the Sign functionality).

If this option is selected, but **Map Dimensions based on sign** is not selected, the option **Enable Writing off** is automatically deselected. In fact, if you have several definition rows in the same rule with the same input dimensions but different output dimensions, CCH Tagetik would perform the write off more than once, causing misalignments.

Map dimensions based on sign

This option allows you to manage a rule according to the sign of the input data. If selected, it shows the **Sign** field on the dimension definition page.

CCH Tagetik calculates the following values:

- Entity currency amount, for the rules of Gross Amounts, IC Amounts, Entity Journals and Consolidation Journals reading from entity journals and amounts
- the journal currency amount, for the rules of consolidation journals on original scenarios reading from consolidation journals
- the amount in consolidation currency, for the rules of Amounts and Consolidation Journals on consolidation scenarios

These amounts are calculated as the sum of all input data rows that match the rule definition rows. Output rows are generated only for definition rows that have the **Sign** field corresponding to the sign of the calculated total amount.

For rules containing accounts of variation type, the sum of the input data calculated to evaluate the sign includes the value of the initial balance variations.

If the same input tuple with the sign >=0 and sign <0 needs to be entered in the definition on two different output accounts/dimensions, it is necessary to enable the **Allow multiple relationship** option. In this way, the expected output account is chosen based on sign.

This can be useful, for example, for the reclassification of Deferred Tax Receivables / Deferred Tax Payables, all on Receivables or all on Payables according to the sign of the sum of Receivables and Payables. In this case, you can define a single rule in which the variations of the debits and credits are inserted with output account equal to Credits for prepaid taxes for the Sign >= 0 and Debits for deferred taxes for Sign < 0.

Run basic calculation logic

This option is only present for rules on original scenarios.

This option allows the basic calculation logic to be launched at the end of the processing of the rule, e.g. when it is necessary to calculate the Profit and Loss Result or the parent accounts as the sum of the flows.

If selected, the basic calculation logic with 'Sum' calculation type is executed on the rows generated by the rule. For Gross Amounts and IC Amounts rules, the calculation also considers the rows on the initial balance flow accounts with origin PREL_RESTORE_RED.

The origin generated is 'PROC_RED'. The notes field is filled in with the code of the calculation logic.

Rule Dimensions Definition page (Original and Consolidation scenarios)

Data Processing tile > Basic Consolidation > Rules Engine Designer on Original Scenarios > List > select rule > ⋮ > Dimension Definition

Data Processing tile > Basic Consolidation > Rules Engine Designer on Consolidation Scenarios > List > select rule > ⋮ > Dimension Definition

Purpose of the page

This page allows you to map input dimensions of data to be processed and output dimensions on which to write the rows generated by the data processing. This page shows the following information, in addition to the Account dimension and the Custom dimensions enabled in the environment.

- Counterparty entity, if enabled for the rule
- Counterparty custom dimension 2, if enabled for the rule
- Se, only for Consolidation journal rules and if the Counterparty entity is enabled for the rule
- Segment Counterparty Custom Dimension 2, only for Consolidation journal rules, if the Ctp custom dimension 2 is enabled for the rule and only in processes whose relationship type is by entity/synthetic custom dimension 2.

Attributes on the page

Tab	Description
Action	Allows you to select the action to be run on the selected mapping.
Input Dimension	
Accounts	Account or node of accounts to be used as the input
Custom Dimension	Other dimensions, or nodes, to be used as the input, if enabled for the environment
Ctp Entity	Counterparty entity to be used as the input, if included in the header
CTP Custom Dimension 2	Counterparty custom dimension 2 to be used as the input, if included in the header
Sign	Only if **Map dimensions based on sign** is selected for the rule. The possible values are: • >=0 • <0
Apply Markup	If selected, it allows output rows to be generated with an amount equal to the value of the input data multiplied by a percentage and/or a dynamic markup. It is possible to indicate the percentage to be applied to the amount in the entity currency, to the amount of the input data in the transaction currency and in the journal currency. The indicated percentage is also applied to the write-off row of the input data. The percentage can have a negative value. A dynamic markup can also be specified (see Dynamic Markup). **Note**: the amounts obtained are rounded to the same number of decimals as the currency to which they refer. An exception is made for accounts in which the **Manage maximum number of decimals** attribute is set. If not selected, a 100 % percentage is applied, resulting in the full amount from the input data.
Output Dimensions	
Account selection	Account dimension selection method (see Dimension selection method).
Accounts	Account to be used as the output
Custom Dimension selection	Custom dimension selection method (see Dimension selection method).
Custom Dimension	Other dimensions to be used as the output, if enabled for the environment
Ctp Entity selection	Counterparty entity dimension selection method (see Dimension selection method), if included in the header.

Tab	Description
Ctp Entity	Counterparty entity to be used as the output, if included in the header.
Ctp Custom Dimension 2 selection	Counterparty custom dimension 2 selection method (see Dimension selection method), if included in the header.
CTP Custom Dimension 2	Counterparty custom dimension 2 to be used as the output, if included in the header.

Swap Entity with Ctp Entity (IC Amount Rules)

Based on an IC entry on a declaring entity, this option for IC Amount rules allows you to create an IC entry for the counterparty entity on the output dimensions specified in the Rules Engine Designer on original scenarios.

For each run entity, the system considers the rows of IC Amounts on the input dimensions whose counterparty entity is the same as the run entity, and rows are generated on the IC amounts on the output dimensions by swapping the declaring entity with the counterparty entity.

The amount of the row generated on the output dimensions, in the entity currency, is defined on the basis of the amount of the input row transaction currency.

If...	Then...
the transaction currency is the same as the output entity currency (input Ctp entity) in the process.	the amount in the entity currency is set to be equal to the amount in the transaction currency.
the transaction currency is different from the output entity currency in the process.	the amount in the entity currency is defined as the amount in the transaction currency converted into the currency of the output entity in the process. The conversion is made by applying the associated FX rate to the conversion type of the input account in the list.

The following conversion options are possible:

Option	Description
None	The amount in the entity currency is set to be equal to the amount in the transaction currency.
Final FX rate	The final FX rate will be applied
Historical FX rate	The final FX rate will be applied
P&L FX rate	The chosen FX rate is applied on the basis of the conversion method for the countervalue calculation specified in the amount and IC rules: • **Final FX rate** • **Average FX rate** • **Period average FX rate**: the period average FX rate is applied to the cumulated amount in the transaction currency as at the processing period. The periodic conversion algorithm is not applied. • **Override Period average FX rate on P&L or on Variations accounts**: the final FX rate is applied.

All other conversion types are treated as **P&L FX rates**.

To obtain an intercompany declaration of the opposite sign to the input sign, you must apply a negative Markup percentage (-100% for the entire amount).

The amount obtained is rounded to the same number of decimals as the output entity currency, except for accounts for which the **Manage maximum number of decimals** option is selected.

For rules which have the Output Ctp Entity selection option set to **Account Entity Ctp Entity Swap**, it is not possible to select the **Write off inpu**t data **option.**

Example

IC amounts - input rows:

Company	Account	CTP entity	Entity currency	Entity currency amount	Transaction currency	Transaction currency amount	Origin
A	Revenues	B	USD	-80	EUR	-100	INPUT_WEB
C	Revenues	B	USD	-220	USD	-220	INPUT_WEB

Rule - Dimensions definition:

Input Account	Input Ctp Entity	Markup %	Output account	Output Ctp Entity Selection
Revenues	$\|$	-100%	Costs	Swap entity with Ctp entity

The rule is related to a node inserted in the execution plan of entity B for the data processing scenario/period.

Entity B's currency is EUR. EUR FX rate = 1, USD FX rate = 1.1

IC amounts - Output rows generated by the data processing of Entity B

Company	Account	CTP entity	Entity currency	Entity currency amount	Transaction currency	Transaction currency amount	Origin
B	Costs	A	EUR	100	EUR	100	PROC_RED
B	Costs	C	EUR	200 (=220 * 1/1.1)	USD	-220	PROC_RED

Replace Entity with Ctp (Gross Amount Rules)

Based on an IC entry on a declaring entity, this option for Gross Amount rules allows you to create a Gross amount for the counterparty entity on the output dimensions specified in the Rules Engine Designer on original scenarios.

For each run Entity, the rows of IC Amounts and Entity journals on the input dimensions with Ctp Entity equal to the run Entity are considered and rows are generated on the Gross mounts on the output dimensions by replacing the declaring Entity with the Ctp Entity. The Ctp Entity is not defined because it does not exist on the Gross Amounts

The Entity currency amount of the generated row on the output dimension is defined from the transaction currency amount of the input row in the same way as for the 'Swap Entity with Ctp Entity' option of the IC Amount rules.

For rules which have the **Output Ctp Entity selection** option set to **Replace Entity with Ctp Entity**, it is not possible to select the **Write off input data** option.

Dynamic Markup

This option allows you to apply a dynamic markup to the input data amount.

The dynamic markup is a formula that can include Percentages from consolidation area, Coefficients from gross amounts, and can be composed using other markups.

The markup value is determined by calculating the indicated formula based on the data processing scenario/period and the dimensions in the input data row.

If the formula consists of more than one object or markup and the value of an object cannot be calculated (for the reasons given below) or there is a division by zero, only that part of the formula will be considered to be zero.

If the amount obtained by applying the markup has a number of integer digits greater than the output amount field (18), the output amount is considered to be zero and the row is not generated.

The following attributes can be chosen for the **Percentage from consolidation area** object:

- Apply to:
  - Original scenario. For rules on original and consolidation scenarios

    When this option is enabled, the Suffix field is displayed. It is appended to the code of the original data processing scenario to generate the code of the consolidation scenario
  - Consolidation Scenario (Default) For rules on consolidation scenarios
- Measure:
  - Direct ownership %
  - Equity ratio %
  - Equity ratio % of the period
  - Actual ownership %
  - Period - Actual F.I. %
  - Consolidation %
- Scenario:
  - From context. It is the data processing scenario (Default)
  - Linked. It is possible to choose between the following scenarios linked to the data processing scenario:
    - Previous
    - Opening: is the previous scenario/open period
    - Next
    - Reference 1
    - Reference 2
    - Reference 3
    - Reference 4
    - Reference 5
- Period. Not visible if the scenario is 'Opening' because the open period is automatically chosen.
  - From context. It is the data processing period (Default)
  - Previous. Calculated by applying the period length of the Scenario selected above / data processing period. If the period length is equal to the data processing period, the scenario/opening period related to the scenario selected above is considered. If the period length is zero, the preceding period is deemed not to exist.
- Entity:
  - From context. It is the input data Entity. (Default)
  - Ctp from context. It is the input data Ctp Entity.
  - Ctp segment from context. It is the Ctp Entity for Segment of input data. Only for input data on categories of consolidation journals.

The value of the percentage is read from the Definition Result Table of the consolidation area and is automatically divided by 100.

In the following cases, the Consolidation Area Percentage is taken to be zero:

- the selected scenario/period is not defined or does not exist in the elements list
- the row is not present in the Definition result table of the consolidation area for the selected scenario/period and Entity
- the percentage definition has Entity = Ctp from context and the input data row does not have Ctp Entity

- the definition of the percentage has Entity = Ctp Segment from context and the input data row has Amount or Entity journal category.

The following attributes can be chosen for the **Gross amount Coefficient** object:

- Account: an account must be selected.
- Scenario and Period: same options as specified for the consolidation area percentage object. For rules on consolidation scenarios, the coefficient is read from the original scenario/period associated with the consolidation scenario specified on the object (determined using the period length of the consolidation scenarios/periods)
- Entity:
    - From context (Default). It is the input data Entity. Exception: for rules on consolidation scenarios with the option 'Read input data from entity node', it is the Output Entity specified in the Entity definition.
    - Ctp from context. It is the input data Ctp Entity.
    - Ctp segment from context. It is the Ctp Entity for Segment of input data. Only for input data on categories of consolidation journals.
    - Fixed. An Entity must be selected.
- Category:
    - From context. It is the input data category.
    - Fixed (Default) An amount type category must be selected.
- Custom dimensions. The dimensions managed on amounts in at least one process are displayed:
    - From context. It is the input data dimension.
    - Fixed (Default) . A dimension must be selected.
    - Not relevant. No filter is applied.
    - The following options are only visible for custom dimension 2 if there is at least one process with Entity/custom dimension 2 relationship type.
        - Ctp Custom dimension 2 from context. It is the Ctp custom dimension 2 of the input data.
        - Ctp Custom dimension 2 for segment from context This is the Ctp Custom dimension 2 for segment of the input data. Only for input data on categories of consolidation journals.
- Amount:
    - Entity currency
    - Transaction currency. Visible if there is at least one process with the option 'Manage on gross amounts' active.
- Entity currency:
    - From context. It is the currency of the input data:
        - Entity currency for amounts and Entity journals of the original scenario and proportional amount type
        - Journal currency for consolidation journals of original scenario and proportional amount type
        - Consolidation currency for amounts, consolidation and entity journals of Converted and Consolidable amount type
    - Fixed (Default). A currency must be selected.
    - Not relevant. No filter is applied.
- Transaction currency. Visible if there is at least one process with the option 'Manage on gross amounts' active.

- From context. It is the transaction currency of the input data.
- Fixed (Default). A currency must be selected.
- Not relevant. No filter is applied

The coefficient is read from the Gross Amounts table by filtering on the dimensions according to the specified options:

- **Fixed**: a filter is applied to the specified code
- **From context:** a filter is applied on the dimensions of the input data
- **Not relevant:** no filter is applied

Special cases where no filter is applied:

- Custom dimensions defined in the object and not managed in the data processing
- Transaction currency defined in the object and the data processing has 'Manage on gross amounts' option disabled

The value of the coefficient is read from the specified **Amount** field. If the transaction currency amount has been selected and in the data processing the transaction currency is not managed on the gross amounts, the data processing still reads the transaction currency amount (because in this case the Transaction Currency Amount is equal to the Entity Currency Amount).

In the event that, by applying the specified filters, more than one row of the Gross Amounts is read, the coefficient is given by the **sum of the amount of** the extracted rows.

In the following cases, the coefficient from Gross Amounts is assumed to be zero:

- the selected scenario/period is not defined or does not exist in the elements list
- the row is not present in the Gross Amounts table for the selected scenario/period and dimension
- the definition has Entity = Ctp from context and the input data row does not have Ctp Entity (Input data are either Gross Amounts or data row without Ctp Entity)
- the definition has Entity = Ctp Segment from context and the input data row has Amount or Entity journals category.
- the definition has Custom dimension 2 = Ctp from context, the Process relationship type is by Entity/custom dimension 2 and the input data row does not have Ctp Entity
- the definition has Custom dimension 2 = Ctp segment from context, the Process relationship type is by Entity/custom dimension 2, and the input data row is Amounts and Entity journals.

IMPORTANT: The recoding and deletion utilities for Entity, account, category, custom dimension and currency do not affect the coefficient objects from Gross Amounts, so if fixed codes are used, they must be changed manually. Coefficients with fixed codes that no longer exist are considered equal to zero.

Rule Category Definition page (Original scenarios)

Data Processing tile > Basic Consolidation > Rules Engine Designer on Original Scenarios > List > select rule > ⋮ > Category Definition

Purpose of the page

This page allows you to map input categories onto output categories, to apply the selected rule. The categories can be selected as single elements or as nodes of a group of categories.

When the settings on this page are saved, a deployment which feeds the Definition result table is run. This table is not shown, but the data processing reads the Definition result.

Attributes on the page

Tab	Description
Action	Allows you to select the action to be run on the selected mapping.
Input category	For IC Amount rules, it is possible to select categories of amounts. For Gross Amount and Entity journal rules, it is possible to select amount and entity journal categories. For the Consolidation journal rules, it is possible to select the categories specified in the 'Read from' option: • consolidation journals • amounts and Entity journals ***IMPORTANT**: if a single input category is selected, this must have the **To run** option selected in the list.*
Output category	For the Gross Amount and IC Amount rules, it is possible to select Amount categories. For Entity journal rules, it is possible to select Entity journal categories. For Consolidation journal rules, it is possible to select categories of consolidation journals.

Rule Category Definition (Consolidation scenarios) page

Data Processing tile > Basic Consolidation > Rules Engine Designer on Consolidation Scenarios > List > select rule > ⋮ > Category Definition

Navbar > Data Processing > Basic Consolidation > Rules Engine Designer on Consolidation Scenarios > List > select rule > ⋮ > Category Definition

Purpose of the page

This page allows you to map input categories onto output categories, to apply the selected rule. The categories can be selected as single elements or as nodes of a group of categories.

When the settings on this page are saved, a deployment which feeds the Definition result table is run. This table is not shown, but the data processing reads the Definition result.

Attributes on the page

Tab	Description
Action	Allows you to select the action to be run on the selected mapping.
Input category	For rules which do not have the **Write on same journal** option active, you can select categories of amounts, entity journals and consolidation journals. For rules which do have the **Write on same journal** option active, you can select categories of consolidation journals. ***IMPORTANT**: if a single input category is selected, this must have the **To run** option selected in the list.*
Output category	It is possible to select categories of consolidation journals. For rules that have the **Write in same journal** option active, the output category is not visible.

Rule Conditions Definition (Original Scenarios)

Tile Data Processing > Basic Consolidation > Rules Engine Designer on Original Scenarios >Elements list > select rule > ⋮ > Conditions Definition

Purpose of the page

This page allows you to define the conditions that the input data must fulfil for the rule to be applied.

Buttons on the page

Tab	Description
Add condition	Allows a new condition to be added (see Rule Application Conditions).
New Group	It allows conditions to be organised in groups. A separate logical operator can be selected for each group. ***Note**: Groups created at the first level are numbered from 1. Groups created within another group are numbered with the number of the higher-level container group (e.g. 1.1).*
Logical operator	Allows you to select the logical operator with which to combine the various selected conditions: • **AND**: the rule is applied if all conditions are met. • **OR**: the rule is applied if at least one of the conditions is fulfilled. ***IMPORTANT**: If two conditions of the same type with different values are entered with the AND operator (e.g. CTP Entity - Deconsolidation Method = 'Initial Balances' and CTP Entity - Deconsolidation Method = 'From Previous Period') the rule cannot be applied.*

Rule Conditions Definition page

Data Processing tile > Basic Consolidation > Rules Engine Designer on Consolidation Scenarios > List > select rule > ⋮ > Conditions Definition

Navbar > Data Processing > Basic Consolidation > Rules Engine Designer on Consolidation Scenarios > List > select rule > ⋮ > Conditions Definition

Purpose of the page

This page allows you to define the conditions that the input data must satisfy in order for the rule to be applied.

Buttons on the page

Tab	Description
Add condition	Allows you to add a new condition (see Rule application conditions).
New group	Allows you to organise the conditions into groups. It is possible to select a different logic operator for every group. ***Note**: the groups created at the first level are numbered, starting with 1. Groups created within another group are numbered specifying the number of the higher-level containing group (e.g. 1.1).*

Tab	Description
Logic operator	Allows you to select the logic operator with which to combine the various selected conditions: • **AND**: the rule is applied if all the conditions are satisfied. • **OR**: the rule is applied if at least one of the conditions is satisfied. ***IMPORTANT**: if two conditions of the same type with different values (e.g. Entity - Consolidation Method = "Line-by-line" and Entity - Consolidation method = "Equity") are inserted with the AND operator, then the rule cannot be applied.*

Rule Entities Definition page (Consolidation scenarios)

Data Processing tile > Basic Consolidation > Rules Engine Designer on Consolidation Scenarios > List > select rule > ⋮ > Entities Definition

Purpose of the page

This page allows you to map a node of input entities onto output entities for the application of the selected rule.

When the settings on this page are saved, the **Definition result** table is updated. This table is not shown, but the data processing reads its content.

***Note**: the page is only available for rules which have the **Read input data from node of entities** option active.*

When settings are saved on this page, the system runs a deployment that feeds the Definition Result table. This table is not shown but the data processing reads the Result of the definition.

Attributes on the page

Tab	Description
Action	Allows you to select the action to be run on the selected mapping.
Input Entity	Allows you to select nodes of non-time dependent hierarchies
Output Entity	Allows you to select the reference entity on which to generate output journals.

Working with the Rules Engine Designer

Relate rules and nodes from the rules page

Data Processing tile > Basic Consolidation > Rules Engine Designer on Original Scenarios > List

Navbar > Data Processing > Basic Consolidation > Rules Engine Designer on Original Scenarios > List

Data Processing tile > Basic Consolidation > Rules Engine Designer on Consolidated scenarios > List

Navbar > Data Processing > Basic Consolidation > Rules Engine Designer on Original Scenarios > List

1. Select the rule type tab (amounts, entity journals, consolidation journals) in which to create relationships.
2. In the **Attributes** tab > **Groupings**, click ⋯: the **Nodes** window will open.
3. In **Groupings**, select the node of rules to relate, then click **Confirm operation**.

Relate rules and nodes from the groupings page

Data Processing tile > Basic Consolidation > Designer Engine Rules on Original scenarios > Groupings

Navbar > Data Processing > Basic Consolidation > Designer Engine Rules on Original scenarios > Groupings

Data Processing tile > Basic Consolidation > Rules Engine Designer on Consolidated scenarios > Groupings

Navbar > Data Processing > Basic Consolidation > Rules Engine Designer on Consolidated scenarios > Groupings

1. In the left-hand column, select **All elements**, then select the rule to be related.
2. Drag the rule into the desired node or sub-node in the left-hand column, or, if they are displayed in the central section, into the folder that shows the desired node.

Enable the running of Rules Engine Designer data processing

Before activating the data processing, the process must have been correctly set up; see Rules Engine Designer Requirements page in the Processes section.

Application database > Processes tile

Application database > Navbar > Processes & Workflow > Process

1. Select the desired process.
2. Select ⋮ > **Process Definition**.
3. In the **Data Processing** section, to enable the editing of settings, click **Locked**.
4. Select **Basic Consolidation** data processing > **Rules Engine Designer**.
5. Click **Save**.

Enable Rules Engine Designer - on entity data processing

This activation is only possible in Processes that use the “In-Memory” consolidation engine.

Application database > Processes tile

Application database > > Navbar > Processes & Workflow > Process

1. Select the desired process.
2. Select ⋮ > **Process Definition**.
3. In the **Data Processing** section, to enable the editing of settings, click **Locked**.
4. Select **Basic Consolidation** data processing > **Rules Engine Designer** > **On entity**.
5. Click **Save**.

Enable Rules Engine Designer - on group data processing

This activation is only possible in Processes that use the “In-Memory” consolidation engine.

Application database > Processes tile

Application database > > Navbar > Processes & Workflow > Process

1. Select the desired process.
2. Select ⋮ > **Process Definition**.
3. In the **Data Processing** section, to enable the editing of settings, click **Locked**.
4. Select **Basic Consolidation** data processing > **Rules Engine Designer** > **On group**.
5. Click **Save**.

Enable Rules Engine Designer - on consolidation area data processing

This activation is only possible in Processes that use the “In-Memory” consolidation engine.

Application database > Processes tile

Application database > Navbar > Processes & Workflow > Process

1. Select the desired process.
2. Select ⋮ > **Process Definition**.
3. In the **Data Processing** section, to enable the editing of settings, click **Locked**.
4. Select **Basic Consolidation** data processing > **Rules Engine Designer** > **On consolidation area**.
5. Click **Save**.

Prepare an execution plan

This procedure allows you to indicate, in the process, the node of Rules Engine Designer rules to be applied by individual scenario/period, differentiating by entity for the original scenario and by entity and/or consolidation for the consolidation scenarios, if desired.

Application database > Processes tile

Application database > Navbar > Processes & Workflow > Process

1. Select the desired process.
2. Select ⋮ > **Process Definition**.
3. In the **Data Processing** section, to enable the editing of settings, click **Locked**.
4. Select **Basic Consolidation** data processing > **Rules Engine Designer** > : the **Rules Engine Designer - Execution Plan** page will open.
5. In the Define Original Scenarios tab, specify the following:
   - the entity or node of entities to be processed
   - the node of rules for every entity/node of entities to be processed
6. If desired, you can specify the scenario/period from among those belonging to the process.
7. In the **Define Consolidation Scenarios** tab, specify the following:
   - the entity or node of entities to be processed
   - the node of rules for every entity/node of entities to be processed
8. If desired, you can specify the scenario/period from among those belonging to the process.
9. If useful, filter the entities by consolidation method.
10. Click **Save**: a deployment of the entities belonging to the indicated nodes will be run on saving.
11. Click **Definition result** to view details of the generated rows.

Deferred taxes

Contents

This section covers the following topics:

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Manage deferred taxes 137

Deferred taxes calculation

Introduction

CCH Tagetik natively supports the calculation of deferred taxes both on amounts and on journals. The impact of deferred taxes must be stated when there are temporary differences between the values of the asset and the liability and the values for tax purposes resulting from the annual financial statements of consolidated entities. These different can be generated individually for each consolidated entity, including through consolidation journals.

The differences are made up of revenues and costs that contribute to forming the taxable income in a tax period other than the one in which they contribute to forming the statutory result. For consolidation journals, one such example is the intragroup profit elimination journals: if, against intragroup profits, taxes have been set aside in the financial statements of the entity that booked them, said taxes will be deferred to the realisation of the operations with minorities outside of the group.

Once the tax rules have been defined, they are used as the default rules for every process unless they are overridden for the individual process.

Elements of the deferred taxes calculation

The element with which income taxes and the relative rates are defined is the **fiscal policy**. Through the fiscal policy, the rates used to calculate the following taxes are associated with an entity:

- direct taxes in Cash Flow Planning
- deferred taxes in consolidation data processing.

Deferred taxes calculation data processing

Introduction

The deferred taxes calculation data processing operates on the original scenario and can be run as two different sub-data processes.

Data Processing	Description
Entity data processing	Data processing run on amounts and entity journals
Group consolidation data processing	Data processing run on the consolidation journals

For each tax, the system determines the list of accounts sensitive to tax and their “taxability/deductibility” percentage, thus determining the taxable base on which to apply the tax rate. If this percentage is zero for an account, then the account is not considered to be sensitive to tax.

The percentage used for the calculation of taxes on a certain account is the result of the following formula:

taxable / deductible % * tax rate %

The data processing calculates the deferred taxes separately for all the taxes associated with the fiscal policy of the entity being processed. In particular, it calculates the tax impacts of the following elements:

- data of the scenario to be processed
- any change in the tax rate between the scenario to be processed and the carry forward scenario

Tax calculation on journals

Data related to journals are read and processed on the basis of the **Tax calculation method** specified in the header of the journal itself.

Calculation method	Description
None	The taxes calculation is not performed for that journal.
Entity 1	The taxes on the journal are calculated on the basis of the rates under the fiscal policy of the primary entity, or the Entity for the entity journals and Entity 1 for the consolidation journals. The output account corresponding to the debit sign is used.
Entity 2	Only for consolidation journals. The deferred on the journal are calculated on the basis of the rates under the fiscal policy of the dependent entity, or the Entity for the entity journals and Entity 2 for the consolidation journals. The output account corresponding to the debit sign is used
Entity 1 -Invert credits/debits	The taxes on the journal are calculated on the basis of the rates under the fiscal policy of the primary entity, or the Entity for the entity journals and Entity 1 for the consolidation journals. The choice between the “Debits for deferred taxes” and “Credits for prepaid taxes” accounts is inverted: debit sign for debits and credit sign for credits.
Entity 2 -Invert credits/debits	Only for consolidation journals. The deferred on the journal are calculated on the basis of the rates under the fiscal policy of the dependent entity, or the Entity for the entity journals and Entity 2 for the consolidation journals. The choice between the “Debits for deferred taxes” and “Credits for prepaid taxes” accounts is inverted: debit sign for debits and credit sign for credits.
Permanent OCI	Value for information purposes only. The tax calculation is not performed.
Permanent P&L	Value for information purposes only. The tax calculation is not performed.

For journals in which the **Invert credits/debits** option is selected, the calculation is identical to the one performed for the “Entity 1” and “Entity 2” methods, but the choice between the “Debits for deferred taxes” and “Credits for prepaid taxes” accounts is inverted. If the amount has the debit sign, the “Debits for deferred taxes” account is chosen, otherwise the “Credits for prepaid taxes” account is chosen.

***IMPORTANT**: the deferred taxes calculation of a journal generates new rows within the journal itself.*

The choice between the “Debits for deferred taxes” and “Credits for prepaid taxes” accounts to be used to generate the deferred taxes of the scenario to be processed is made on the basis of the sign of the total tax amount.

If...	Then...
the amount has the debit sign.	the “Credits for prepaid taxes” account is chosen.
the amount has the credit sign.	the “Debits for deferred taxes” account is chosen.

The debit sign is indicated in configuration in the **Accounting classes signs** property from the **Debit**: positive or negative field (see Account dimension settings in the Data Model section).

The entity or consolidation journals subject to the deferred taxes calculation can represent a write off of what is inserted in the financial statements as they constitute adjustments of financial statement data and can therefore have the opposite sign to the standard signs. For this reason, it may be necessary to invert the choice between the Debits for deferred taxes and Credits for prepaid taxes accounts.

Fiscal Policy and Taxes page

Admin

Data Processing tile > Taxes - Fiscal policies and taxes

Application database > Navbar > Data Processing > Taxes - Fiscal policies and taxes

Purpose of the page

This page allows you to set up various fiscal policies with one or several taxes to associate with the entities. For more details on this topic, see Fiscal policy, Tax rates and sensitive accounts in the Cash Flow Planning section.

Attributes on the page

Option	Description
Code	Unique code of the fiscal policy
Description	Description of the fiscal policy in all enabled languages
Taxes	Taxes linked to the selected fiscal policy.

Taxes Setup page (output accounts)

Admin

Data Processing tile > Taxes > Taxes setup - output accounts

Application database > Navbar > Data Processing > Taxes setup - output accounts

Purpose of the page

This page allows you to set up the target accounts for the taxes defined for the various fiscal policies. You can also distinguish the tax impact of the current year from the tax impact due to any change in the tax rate compared with the previous year.

If a fiscal policy provides for several taxes, it is very useful to define a different output account for each tax.

Fields in the Attributes tab

Campo	Descrizione
Regime fiscale	Regime fiscale tra quelli configurati nel sistema
Imposta	Imposta tra quelle configurate nel sistema

Fields in the Deferred and prepaid taxes tab

***IMPORTANT**: if variation accounts have not been created for the Normal "Debits for deferred taxes" and "Credits for prepaid taxes" accounts, you cannot view the annual tax impact and the impact of any change in tax rate separately on the balance sheet account.*
*However this distinction is maintained on the P&L tax rows related to the journals. Even if the accounts for the annual impact and the percentage variance are the same, two rows are still written, specifying the annual impact and the rate change impact in the **Notes** field.*

Field	Description
Deferred Taxes P&L	
Annual impact account - debit	P&L account on which the system registers the annual impact depending on whether the value has a debit or credit sign
Annual impact account - credit	
% variance account - debit	P&L account on which the impact of the adjustment to the tax fund/credits for prepaid taxes, resulting from the change in the rate compared with the previous year, depending on whether the value is registered as a debit or credit amount
% variance account - credit	
Debits for deferred taxes	
Normal account	Balance sheet account on which the payable for deferred tax is registered
Variation annual impact - debit	Variation account of the Deferred taxes fund account, depending on whether the value has a debit or credit sign, on which the tax adjustment due to the impact of the year's taxes is registered. This typically coincides with a variation account of the Deferred taxes fund. To keep track of both the impact of the year and the impact of the fund adjustment due to the FX rate, ad-hoc variation accounts identifying those variations must be created.
Variation annual impact - credit	
Variation % variance - debit	Variation account of the Deferred taxes fund account, depending on whether the value has a debit or credit sign, on which the tax adjustment due to the change in rate compared with the previous year is registered.
Variation % variance - credit	
Credits for prepaid taxes	
Normal account	Normal balance sheet account on which the amount receivable for tax is registered. This account may coincide with the Deferred taxes fund if no distinction needs to be made between receivables and payables.
Variation annual impact - debit	Variation account of the Credits for Prepaid taxes account, depending on whether the value has a debit or credit sign, on which the tax adjustment due to the impact of the year's taxes is registered. This typically coincides with a variation account of the Credits for Prepaid taxes account. To keep track of both the impact of the year and the impact of the fund adjustment due to the FX rate, ad-hoc variation accounts identifying those variations must be created.
Variation annual impact - credit	
Variation % variance - debit	Variation account, depending on whether the value has a debit or credit sign, of the Credits for prepaid taxes account on which the tax adjustment due to the change in rate compared with the previous year is registered.
Variation % variance - credit	

Fields in the Direct Taxes tab

The necessary fields for defining the accounts for generating the adjustments related to direct taxes for the year, as well as the value of the tax credits and the carry forward of tax losses are set up in this tab.

Field	Description
Direct taxes	
Taxes	P&L account on which the taxes are booked
Accrual - credit variation	Variation balance sheet account on which the accruals for the tax that has already accrued but has not yet been recognised are booked
Tax loss	P&L account from which to read the negative result for the year. This may correspond to the P&L account used to book the net result for the year.
Tax loss spreading: No. of years	Specifies the number of years for which the tax loss for a specific tax period can be deducted from the taxable income in subsequent years. If set to zero, there is no spreading.
Direct taxes monthly splitting rule	Monthly splitting rule to be applied to the taxes for the year: • **based on statutory result**. Monthly splitting takes place on the basis of the statutory result for every period of the year. • **based on weight**. Monthly splitting takes place on the basis of the "Weight for direct taxes monthly splitting".

Field	Description
Weight	Weight by means of which the monthly splitting of annual taxes is obtained. It is possible to choose from among all the types of weights present in the weights list (accessible from the administrator-user's web interface) See Weight Types and Weights in the Cash Flow Planning module.
Accounting	
Accrual - debit variation	Variation BS account of monthly accruals write off for the booking of tax at year end
Tax fund	Balance sheet account from which to read the tax debit/credit
Tax fund: variation account	Variation account of the **Tax fund** normal account used for booking the year's taxes at the end of the debit/credit year
Tax credits	
Tax credit account (P&L)	P&L contra-entry on which to define the tax credit
Tax credit account (BS variation)	BS variation account on which to define the tax credit

Fields in the Direct Taxes - Payments tab

Field	Description
Holidays	Allows you to shift the tax payments that fall on a holiday to a work day based on what is specified in the selected holiday.
Bank - credit variation	Variation account of the standard bank account for the down payments and tax balances
Down payment	
Credits due to down payments	Balance sheet account for credit with the tax authorities for tax down payments
Statistical account: prev. year tax	Reference tax account of the previous year used for the calculation of down payments of the first year of planning. In subsequent years, the system uses the direct taxes account.
Credits due to down payment variation	Variation account of the **Credits due to down payments** account defined during the down payment of taxes
Bank - debit variation	Write off variation of the banking account for down payments if the balance of the tax fund is in credit
Tax fund: down payment write off	Credit variation of the tax fund account for the down payment write off if the balance of the tax fund is in credit
Down payment %	Percentage down payment to be paid
Day	Day on which to pay the tax down payment
Period	Period in which to pay the tax down payment
Balance payment and down payment write off	
Down payment write off method	Write off method for the down payment made during the year. • **Fiscal year end**: the amount payable to the tax authority is written off with the balance of the credit due to down payments on 31/12. • **Balance payment**: the amount payable to the tax authority is written off with the balance of the **credit due to down payments** made upon the settlement of the tax liability.
Credit write off variation for down payments	Write off variation of the credits due to down payments account that the system uses at year end or upon payment of the tax balance, in order to make a sort of account transfer and move the balance of the down payment account to the tax fund
Tax balance payment fund	Debit variation of the Tax fund account entered upon the tax balance payment. This is understood to be the difference between the down payments made the previous year and the value of the taxes due for the previous year.
Day	Day on which to pay the tax balance
Period	Period in which to pay the tax balance

Deferred and prepaid taxes - Input accounts page

Admin

Data Processing tile > Taxes - Deferred and Prepaid Taxes - Input accounts

Application database > Navbar > Data Processing > Taxes - Input accounts

Purpose of the page

This page allows you to set up the balance sheet accounts sensitive to the defined taxes and indicate the percentage of those accounts subject to taxes. Those data are used for the deferred taxes calculation.

Fields in the Attributes tab

Field	Description
Fiscal policy	Fiscal policy from among those configured
Set	Tax applied for the chosen fiscal policy
Account	Accounts sensitive to tax. Identifies all of the accounts that contribute to the definition of the tax base for the calculation of deferred taxes.
Taxable income % / Deductible taxes %	Percentage of the account subject to tax

Algorithm for deferred taxes

Deferred tax amount calculation

To determine the deferred tax amount, CCH Tagetik follows the following process:

Step	Description
1	Sums up amounts on sensitive balance sheet accounts.
2	Changes the amount's sign.
3	Multiplies the amount obtained by the tax rate of the current scenario.
4	Performs **target matching on the debit and credit balance sheet accounts** equal to the value of the tax on the "Deferred taxes fund" account or the "Credits for prepaid taxes" account (debit or credit based on the sign) configured in the tax rule and target matching to zero on the other account.
5	Moves the **"annual impact" variation onto the balance sheet account for the year**. Or moves the **Debits for deferred taxes - annual impact** account (debit or credit based on the sign) or the **Credits for prepaid taxes - annual impact** (debit or credit based on the sign) of an amount equal to the sum, with the opposite sign, of the amounts of the sensitive accounts (both for the year and carried forward) multiplied by the year's calculation percentage.
6	Moves the "% variance" variation onto the opening balance sheet account. Or moves the **Debits for deferred taxes - % variance** account (debit or credit based on the sign) or the **Credits for prepaid taxes - % variance** (debit or credit based on the sign) of an amount equal to the sum, with the opposite sign, of the amounts of the sensitive accounts carried forward multiplied by the difference between the year's calculation percentage and the opening calculation percentage.
7	Moves the "annual impact" variation onto the opening accounts. Or adjusts the fund or credits account calculated in the previous year and carried forward. The amount to be adjusted is equal to the sum of the sensitive accounts with origin "PREL_RESTORE" multiplied by the year's calculation percentage.
8	Generates the P&L contra-entry by adjusting the following accounts: ◦ the "Deferred taxes - annual impact" account (debit or credit based on the sign) with an amount equal to the sum of the sensitive accounts adjusted in the year by the tax rate for the year. ◦ the "Deferred taxes - % variance" account (debit or credit based on the sign) with an amount equal to the sum of the sensitive accounts carried forward for the difference between the tax rate for the year and the opening tax rate.

All the generated rows are attributed to the reference entity for the tax calculation. The reference entity is determined based on the tax calculation methods for the journals while for amounts it is the entity itself. In those rows, the counterparty entity is never defined.

All the rows generated by the deferred taxes calculation have the origin PROC_DEFERRED_TAXES.

Example

In the following typical case, there are the following conditions:

- tax rate for year n - 1 = 30%
- tax rate for year n = 40%
- debit sign = +
- Depreciation fund = account sensitive to tax

Journal year n-1.

Account	Amount	Data origin
Depreciation (P&L)	100	INPUT_WEB
Depreciation fund (BS)	-100	INPUT_WEB

Result after deferred taxes calculation year n-1

Account	Amount	Data origin
Depreciation (P&L)	100	INPUT_WEB
Depreciation fund (BS)	-100	INPUT_WEB
Credits for prepaid taxes	30	PROC_DEFERRED_TAXES
Credits for prepaid taxes debit - annual impact	30	PROC_DEFERRED_TAXES
Deferred taxes: credit - annual impact	-30	PROC_DEFERRED_TAXES

Output account overrides

In the presence of overrides on output accounts, the deferred taxes data processing behaves as follows:

- For sensitive normal accounts *that do not have overrides*, the output accounts defined in the general rule are used.
- For sensitive normal accounts *with overrides*, the overridden output accounts are used: the calculation is run by fiscal policy / tax / sensitive account.

In the presence of overrides on output accounts on normal accounts, the amount whose sign is checked to choose between Credit/Debit accounts and debit/credit is the amount of the tax for the overridden sensitive account.

For variation accounts that are children of sensitive normal accounts and have a variation/detail type override, the System searches for the variations of the Process, in which the normal Credit/Fund account is the parent (of the general rules or overridden on the parent account) and runs the calculation of the amount of the annual impact of the tax. In practice, a reclassification between the generic variation and the overridden variation is carried out since the generic variation is already defined on the basis of the normal account.

Define deferred taxes

Sequence of procedures for defining deferred taxes

1. "Define a fiscal policy and the relative taxes" on the next page.
2. "Associate the fiscal policy with an entity" on the next page.
3. "Define the tax rates" on the next page.
4. "Define the output accounts" on the next page.
5. "Define the input accounts" on the next page.

1. ## Define a fiscal policy and the relative taxes

   Data Processing tile > Taxes > Fiscal Policy and Taxes

   Application database > Navbar > Data Processing > Taxes > Fiscal Policy and Taxes

   This procedure allows you to define, in the list, a fiscal policy with the relative associated taxes to be able to subsequently associate it to specific entities.

   1. Click ⊕ in the tool bar to define a new fiscal policy.
   2. In the **Attributes** tab, define the code and description, then in **Taxes** click ⊕ to associate one or several taxes with the selected fiscal policy.
   3. Click **Save** to confirm.

2. ## Associate the fiscal policy with an entity

   Dimensions tile > Entity > List

   Application database > Navbar > Dimensions > Entity > List

   1. Select the desired entity.
   2. In the **Rules** tab, in **Fiscal policy**, select the desired policy.
   3. Click **Save** to confirm.

3. ## Define the tax rates

   Application database > Rates > Tax rates

   Application database > Navbar > Rates > Tax rates

   1. Click ⊕ in the tool bar to define a new tax rate.
   2. In the **Attributes** tab, define the characteristics of the rate.
   3. Specifically, in **Tax**, select the tax to which the rate applies and select the percentage value of the rate in **Rate**.
   4. Click **Save** to confirm.

4. ## Define the output accounts

   Data Processing tile > Taxes > Taxes setup - output accounts

   Application database > Navbar > Data Processing > Taxes > Taxes setup - output accounts

   1. Click ⊕ in the tool bar to add a fiscal policy and the related tax.
   2. In the **Deferred and prepaid taxes** tab, define the accounts on which to register the deferred and prepaid taxes.
   3. In the **Direct Taxes** tab, define the necessary information for booking the direct taxes.
   4. In the **Direct Taxes - Payments** tab, define the information related to direct tax payments.
   5. Click **Save** to confirm.

5. ## Define the input accounts

   Data Processing tile > Taxes - Deferred and Prepaid Taxes - Input accounts

Application database > Navbar > Data Processing > Taxes - Deferred and Prepaid Taxes - Input accounts

1. Click in the tool bar to add an input account.
2. In the **Attributes** tab, define the particular accounts to be considered for calculating the taxable base and the percentage of the account subject to tax.
3. Click **Save** to confirm.

Manage deferred taxes

Activate the running of deferred taxes

Processes tile > select process > > Process Definition (Data Processing section) > Taxes > Deferred taxes

Application database > Navbar > Data Processing > Taxes - Deferred and Prepaid Taxes - Input accounts

To enable the running of data processing on entity data only, or on amount categories and equity journals, select **on entities**.

To enable the running of data processing on consolidation journals only, select **on group**.

Otherwise, select both.

Override the management of taxes by process

Processes tile > select process > > Process Definition (Data Processing section) > Taxes

Application database > Navbar > Data Processing > Taxes - Deferred and Prepaid Taxes - Input accounts

This procedure allows you to override the accounts used for the taxes data processing for a specific process. It is only possible to run it after the running of deferred taxes has been activated.

1. Click to open the overrides page (Tax Rules page in the Processes section).
2. Customise the desired rules, then click **Save** to confirm.

Advanced consolidation data processing

Contents

This section covers the following topics:

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International Financial Reporting Standard 5

Introduction

The IFRS5 accounting standard sets out accounting practices for assets held for sale, how to report discontinued operations in the financial statements, and related supplementary information. In particular, it establishes the following standards for this type of asset:

1. They must be valued at either the book value or the *fair value* net of the cost of sale, whichever is lower, and that the depreciation on such assets ceases.
2. They must be stated separately in the balance sheet, and the results of discontinued operating activities must be stated separately in the Profit and Loss account.

The accounting journals needed to satisfy point 1 represent adjustments to the book value or write off value of the depreciation journals originating from the financial statements and are managed by the consolidator manually. Those journals fall within the scope of the consolidator's ordinary manual insertion activity.

CCH Tagetik automatically manages the generation of the reclassification journals needed to satisfy point 2.

Data model setup

For the purposes of IFRS5, it is necessary to run the following setup on CCH Tagetik's data model:

- Compile the list of accounts for reclassification.
- Compile the list of variation/detail type with the one dedicated to IFRS5.
- Generate the variation accounts in the relative control groups.
- Compile the list of categories with the one dedicated to IFRS5.

- Set up the IFRS5 rules.
- Activate IFRS5 data processing in the Process.

The specific attributes for managing IFRS5 for each affected dimension are detailed below.

For more details on the Data Model, see the module on.

Preparation of the Account dimension

For reclassification for IFRS5 purposes, in addition to preparing the loading variation accounts from the financial statement accounts, the assets/liabilities/results of the entities held for sale or deriving from discontinued operations are required to be stated separately.

For example, an entity must present a non-current asset classified as held for sale and the assets of a disposal group classified as held for sale separately from the other assets on the balance sheet. The liabilities of a disposal group classified as held for sale must be presented separately from the other assets on the balance sheet.

The entity must indicate a single amount to state in the Profit and Loss, represented by the total net result deriving from discontinued operations.

To do this, it is necessary to create new normal accounts in the list of accounts. Depending on the financial statement policies, the net result P&L account may or may not be reclassified: if reclassified, it is necessary to create a specific reclassification account.

Preparation of the Variation/Detail types dimension

To manage the balance sheet adjustment variations in the reclassification journals, it is necessary to define at least one variation/detail type which manages the IFRS5 event. This variation/detail type is used to create or update the variation accounts in control groups.

In the control groups definition page (Control groups page in the Data Model section), the field in the definition window and the Control groups deployment window indicates whether the child account should be used to allocate the IFRS5 data processing reclassification amounts for the control group.

The variation/detail type attribute to be set is **IFRS5** in the **Control group data** section, and can have the following values:

Value	Description
No	(Default value) the account is not used to allocate amounts related to IFRS5 events.
Entrance/Exit	The account is used to indiscriminately allocate the amounts due to incoming IFRS5 reclassification.
Entrance	The account is used to allocate the amounts due to incoming (revocation) IFRS5 reclassification.
Exit	The account is used to allocate the amounts due to outgoing (sale approval) IFRS5 reclassification.
IC eliminations write off	The account is used by the system to write off the initial balance variation of any IC journals that have been carried forward but are to be written off.

The same attribute can alternatively be set manually to the child account or accounts of a control group.

IFRS5 events

IFRS5 management is done by event. This means that whenever a change in IFRS5 management takes place, it is necessary to create a new event to register it. IFRS5 events are managed by process.

IFRS5 events page

User | <application database>

Events tile > IFRS5 events > select process

Application database > Navbar > Events > IFRS5 events > select process

Purpose of the page

This page allows you to define the characteristics of assignment events that are relevant for IFRS5 purposes.

Actions on this page

Element	Description
⋮	Only available if there are events to be configured on the page. **History of the event**: opens a page to insert accounting events related to the IFRS5 event (History of the event page (IFRS5)). **Filters**: opens a page to filter the data (Filters page (IFRS5 events)). **Event data**: opens a page to view the reclassification data processing result rows (Event Data (IFRS5) page).

Attributes on the page

Tab	Description
Event code	The event's unique code
Description	Event description in enabled languages
Buyer entity	Buyer entity. This can be recovered automatically from the list of entities, if the relative entity is present in the list.
Notes	Free text to be inserted in the header of the reclassification journals generated by the event.
IC elimination logics node to exclude from the reclassification	Node of intercompany elimination logics to be excluded from the amounts to reclassify.

History of the event page (IFRS5)

Events tile > IFRS5 events > select process > select event > ⋮ > History of the event

Purpose of the page

This page allows you to insert, in chronological order, the operations that are relevant for the IFRS5 event for accounting purposes.

Attributes on the page

Field	Description
Event date	Date on which the event is registered
Operation type	Operation characterising the event. **Sale approval**: operation that triggers the IFRS5 reclassification journal. For this operation, it is also necessary to defined the **Entity held for sale** and **Discontinued operation** fields. It is possible to define just one of them, or both. **Change Sale approval**: this allows you to classify an approval that had previously been defined as **Entity held for sale** as a discontinued operation. **Revoke Sale approval** **Sale**
Entity held for sale	To be set for **Sale approval** and **Change Sale approval** operations. If selected, only the balance sheet accounts present in the rule will be reclassified, considering the event filters.
Discontinued operation	To be set for **Sale approval** and **Change Sale approval** operations. If selected, both the balance sheet accounts and the P&L accounts will be reclassified.

Filters page (IFRS5 events)

Events tile > IFRS5 events > select process > select event > ⋮ > Filters

Purpose of the page

This page allows you to filter the data to be reclassified by Entity, Account and the custom dimensions managed by the selected process. For every dimension, a different filter can be set in the relative tab.

Links in the page tabs

Element	Description
Definition result	Shows the deployment of the elements of the specific dimension affected by the IFRS5 event.

Attributes in the page tabs

Tab	Description
Action	Allows you to select the action to be run on the selected dimension.
Entity tab	
Entity	Entity or node of a non-time-dependent hierarchy of entities affected by the IFRS5 event. ***IMPORTANT**: in order for the event to be managed, it is essential to define at least one Entity filter. Otherwise, no amounts can be managed.*
Account tab	
Account	Account or node of a hierarchy of accounts to be used in the IFRS5 event. If no filter is set on the accounts, all of the accounts configured in the IFRS5 rule will be considered.
Custom dimensions tab	
Custom dimension	Custom dimension or node of a hierarchy of custom dimensions affected by the IFRS5 event. If no filter is set on the custom dimensions, all those which have been included on the list will be considered.

Event Data (IFRS5) page

Events tile > IFRS5 events > select process > select event > ⋮ > Event Data

Purpose of the page

This page shows the rows that are reclassified by IFRS5 data processing. In particular, it shows the following data, sorted by scenario/period, in decreasing order:

- the consolidation scenario
- the period
- the entity subject to reclassification
- the reclassified account
- the custom dimensions, if managed
- the currency, i.e. the consolidation scenario currency
- the amounts read by the data tables, already converted and consolidated
- the amount to be reclassified, in read only mode for automatic events and in editable mode for events in which amounts are to be manually overridden
- the target account of the reclassification journal
- the source journal number of the data item to be reclassified
- the counterpart entity for segment
- the custom dimension 2 of the counterparty for segment, if managed

Actions on this page

Element	Description
	**Rows wizard**: allows you to select a consolidation scenario and the period for which the system will open the rows that will be reclassified by the IFRS5 data processing. ***Note**: the system will only show active and non-locked consolidation scenarios/periods whose date is compatible with the date of the IFRS5 event.*  ***IMPORTANT**: the user must run the utility on the scenarios/periods following the correct progression.*

IFRS5 journal reclassification and generation data processing

Reclassification journal generation

Once activated, IFRS5 data processing is run every time the area data processing is run and generates the IFRS5 reclassification journal automatically: for every IFRS5 event belonging to the process being run, with data compatible with the consolidation scenario being processed and given a sale approval, a reclassification journal is generated by processing the event data.

The journal number is composed as follows:

- For amount categories, IFRS5_Event number_target category of the applied IFRS5 rule_Event filter entity.
- For non-amount categories, IFRS5_Event number_target category of the applied IFRS5 rule_Source journal number.

If custom dimension 2 is managed, and the Process relationship type is by Entity/CustomDimension2, then the journal number is composed as follows:

- For amount categories, IFRS5_Event number_Target category of the applied IFRS5 rule_Event filter entity_CustomDimension2.
- For non-amount categories, IFRS5_Event number_target category of the applied IFRS5 rule_Source journal number.

Two rows are generated in the journal for every amount to reclassify present in the event data table: one row for the write off on the account to reclassify and one row for reallocation to the Target account.

The journal has the following characteristics:

- It is generated in the consolidation currency.
- It is only present on the consolidated amounts of the processed scenario with origin CONS_IFRS5_ RECLASSIFICATION and specific generator type “IFRS5 reclassification” and generator code equal to the IFRS5 event code.
- The **Advanced** options cannot be overridden manually.

The amounts of that journal work according the periodic method, leaving the amount of the first useful date after the sale approval on the variation dedicated to the IFRS5 reclassification.

Therefore, in the first period in which the sale approval date is included, two records are generated in the reclassification journal for every row to reclassify present in the event data: one row for the write off on the account to be reclassified and one row on the target account with amount equal to the amount to be reclassified. For variation accounts, the specific variation/detail type for the IFRS5 event is used.

In periods after the first period that includes the sale approval date, the effect of the first IFRS5 variation is kept separate from the other variation accounts related to the adjustments in subsequent periods.

In the scenario following the scenario in which the sale approval date is included, the IFRS5 reclassification journal is carried forward and the first IFRS5 variation is no longer highlighted. Instead,the variation accounts adjusted in the same scenario are used.

 ***IMPORTANT**: for **Sale** or **Revoke Sale approval** operations, the IFRS5 reclassification journal is only generated for normal and detail accounts. Variation accounts are not managed.*

Example

The event data are detailed below.

Common to all rows:

- Scenario 2013STAT_00
- Period 09
- Entity A00
- Currency EUR
- Dest1 G01

Account	Dest2	CTP	Amount	Amount to reclassify	Reclassification reclassification
10040	A2	A01	-107258.06	-107258.06	33333
10040-470	A2	A01	-107258.06	25741.94	33333-470
10040-IFRS5_U	A2			28000.00	33333-IFRS5_E
10040-IFRS5_U	A1	A01		-133000.00	33333-IFRS5_E
10040-380	A1			-28000.00	33333-380
50010	A1		13317.00	13317.00	50999
50010-500	A1		12111.00	12111.00	50999_500
50010-510	A1		1206.00	1206.00	50999_510

Journal generated

Header: IFRS5_IFRS5 event code_Target category code_Entity “being sold”

The data of the generated journal is detailed below.

Common to all rows:

- Scenario 2013STAT_00
- Period 09
- Entity A00
- Currency EUR
- Dest1 G01

Account	Dest2	CTP	Reclassified amount
10040	A2	A01	107258.06
10040-470	A2	A01	-25741.94
10040-IFRS5_U	A2		-28000.00
10040-IFRS5_U	A1	A01	133000.00
10040-380	A1		28000.00
50010	A1		-13317.00
50010-500	A1		-12111.00
50010-510	A1		-1206.00
33333	A2	A01	-107258.06
33333-470	A2	A01	25741.94
33333-IFRS5_E	A2		28000.00
33333-IFRS5_E	A1	A01	-133000.00
33333-380	A1		-28000.00
50999	A1		13317.00
50999_500	A1		12111.00
50999_510	A1		1206.00

IC elimination write off journal generation

Since the IFRS5 reclassification data processing only generates a journal on the consolidable amount type and on the consolidation scenario, technically it is not possible to exclude intercompany eliminations based on the original amount type.

If that field is defined, CCH Tagetik generates, on the consolidated amount type, a write off journal for every IC elimination journal generated, linked to the elimination logics of the selected node.

This write off journal has the following characteristics:

- It contains the written off journal number preceded by the prefix: IFRS5_WRITEOFF.
- It uses the same category as the IFRS5 journals.
- It has a specific generator type “IFRS5 reclassification - IC eliminations write off”.
- The generated origin is "CONS_IFRS5_CTP_ELIM_WRITEOFF".

The generated journal writes off every account of the elimination journal on itself (P&L, balance sheet, normal or variation accounts).

An exception is made for the variation dedicated to the initial balance, which is written off in the sale approval scenario on a dedicated variation account set up within a control group with the **IC eliminations write off** option.

For IC eliminations write off journals, the **Enable Carry forward** field is defined according to what is indicated in the header of the source IC elimination journal.

IFRS5 rules page

Admin | <application database>

Data Processing tile > Advanced Consolidation > IFRS5

Application database > Navbar > Data Processing > Advanced Consolidation > IFRS5

Purpose of the page

This page allows you to define rules to indicate the data to be reclassified and how to reclassify it by configuring categories and accounts.

Links on the page

Element	Description
Accounts	Opens the **Accounts** page to define the accounts to be used for reclassification.

Page fields

Element	Description
Categories node to reclassify	Node of categories from which to read the data to be reclassified. This is usually the node to be processed in the consolidation scenario.
Category for IFRS5 reclassification journals	Category (lowest level element) on which to generate the reclassification journal.

Accounts page

Admin | <application database>

Data Processing tile > Advanced Consolidation > IFRS5 > Accounts

Application database > Navbar > Data Processing > Advanced Consolidation > IFRS5 > Accounts

Purpose of the page

This page allows you to define the accounts to be used for reclassification

Attributes on the page

Element	Description
Action	Allows you to include or exclude the account from the reclassification operation.
Account	Allows you to select the account or node of accounts on which to run the reclassification.
Reclassification Account	Allows you to select the reclassification target account.
Deploy detail accounts	Allows you to select a mode for deploying the details. • **No**: Does not deploy details. • **On accounts to reclassify**: all child accounts of the “detail” control groups in which the accounts to reclassify are parent accounts will be included in the deployed table. The target account for those detail accounts is not defined. • **On accounts to reclassify and reclassification accounts for var. or detail type**: all child accounts of the “detail” control groups in which the accounts to reclassify are parent accounts will be included in the deployed table. The target account for those detail accounts is defined with detail accounts of the control groups in which the target account is the parent account, given the same variation or detail type.
Definition result	Shows the accounts to be reclassified and the target accounts. Includes the detail accounts, but not the net equity accounts, i.e. the accounts which have the **Use Account for setup** option set to “net equity” in the list.

Equity pick-up data processing

Introduction

Equity pick-up (EPU) data processing allows you to revalue an owner entity’s financial investments based on the current value of the corresponding portion of the owned companies’ net equity. The data processing is run on the original scenario.

This operation is carried out on a progressive basis, that is, if company A owns company B and company B owns company C, the operation takes place as follows:

- In B’s financial statements, a revaluation of the financial investment in C is carried out on the basis of the entries on company C’s net equity.
- In A’s financial statements, a revaluation of the financial investment in B is carried out on the basis of B’s net equity entries, C’s net equity entries, and the entries for B’s financial investment in C.

The calculation method is “flat”, so the user running the data processing can only run it freely for an individual entity (including the holding company), without having to run the same data processing for all the controlled entities at the same time.

Entity setup

The equity pick-up data processing is run on the original scenarios, so the entities involved in this data processing are those which are related to the Process with which it is run.

For every owner entity/owned entity pair and for every scenario/period related to the process, the direct and indirect ownership percentages needed for the calculation are considered, starting with what is present on the ownership structure register.

The result of the calculation is visible in the process rules configuration window, from which it is also possible to check the percentages for each scenario/period; see the Percentages pick-up page in the Processes section.

The percentages can be overridden in any case; see the Override Pick-up percentages page in the Processes section.

Equity pick-up data processing frequency

The EPU data processing can be calculated in two modes.

Mode	Description
Cumulated	The figure is calculated taking account of the cumulated data up until the selected period.
Periodic	The periodic data is calculated taking account of the amount of the last period in which the EPU was calculated and the selected period. In this mode, EPU journals created in the last EPU period are copied into the selected period.

The method to be used is selected by setting the EPU period length fields in the Process rules configuration window, where it is possible to set the equity pick-up calculation period length for each scenario/period (see the Equity pick-up requirements page in the Processes section).

Definition of accounts for setup

The **Use account for setup** option in the list of accounts selected for the pick-up rules must be set as follows:

Account type	Settings
Normal/detail balance sheet account	**Net Equity**
One or several balance sheet variation accounts present as the child account not containing the initial balance within a variation control group	**Net Equity**
Financial investment balance sheet account of normal or variation type	**Financial investments**
Normal net result account in the Balance Sheet	**Net Equity**

The Net result account in the Balance Sheet must be set up as follows:

Account	Net equity/financial investment account	Financial investments account
Normal Net Result account in the Balance Sheet	Revaluation/devaluation P&L account	Normal financial investment account
Net result variation account in the Balance Sheet	Net result variation account in the Balance Sheet	Financial investment variation account

The variation net result account in the Balance Sheet is then recalculated by the formulas, but this row is needed to define the financial investment variation and to convert the normal net result account in the Balance Sheet to the historical FX rate.

Example of P&L accounts setup

The setup of P&L accounts that do not relate to FX rate differences for conversion of the balance sheet to the historical rate and the overridden FX rate is described below.

Account	Net equity/financial investment account	Financial investments account
Normal/Detail P&L account	• Same account • Other P&L account which is populated by the pick-up value	-

The Financial investments account is not necessary and, if indicated, will not be used by the application.

The Pick-up amount on the Profit and Loss (revaluation of the financial investment) associated with the normal net result account in the Balance Sheet is the difference between the EPU value of the net result account in the Balance Sheet and the EPU value of the P&L accounts set up.

Example of P&L account setup for the FX rate differences

The setup for FX rate difference P&L accounts for the conversion of the balance sheet to the historical FX rate and the overridden FX rate is described below.

Account	Net equity/financial investment account	Financial investments account
FX rate differences P&L account for the conversion of the Balance Sheet to the historical FX rate and the overridden FX rate, set up on P&L accounts.	• Same account • Other P&L account which is populated by the pick-up value	Financial investment variation account

The financial investment's variation account must be indicated in the Financial investments account.

In order to generate the FX rate difference on the financial investment normal account, that amount must be calculated based on the variations.

Equity pick-up calculation

The Equity pick-up data processing generates pre-consolidation adjustments with adjustment numbers composed as follows:

- prefix 'EPUT' for CCH Tagetik pick-up and 'EPUA' for simulation of the accounting pick-up as at the previous period
- category for pick-up
- entity whose pick-up is calculated

Each component/code is separated from the next by the '_' character.

For every change, a pick-up double entry is generated on the net equity/P&L account with the same sign and on the financial investment account with the opposite sign.

Pick-up rules page

Admin | <application database>

Data Processing tile > Advanced Consolidation - Equity pick-up

Navbar > Data Processing > Advanced Consolidation - Equity pick-up

Purpose of the page

This page allows you to set the general rules for Equity pick-up data processing.

The rules defined here can be overridden for individual processes (see the page dedicated to overriding Equity pick-up rules in the Processes section).

Links on the page

Element	Description
Accounts	Financial investment and net equity accounts used in the equity pick-up calculation.
Categories	Category from which to read the amounts to be processed and the category on which to generate the equity pick-up journals. The third field contains the category for accounting pick-up journals simulation.

Page fields

Field	Description
Use Financial investments FS	If active, for each relationship, the system uses the financial investment account indicated in the financial statements, not the one indicated in the pick-up rules.
Generate detailed information for the pick up query	Provides useful information for understanding how the equity pick-up journal was generated. The data processing of this information makes the equity pick-up data processing slower.
Fair value and look-through	Runs the look-through data processing on original scenarios at the end of the pick-up data processing. If enabled, participation accounts are not included in the Pick-up processing. If enabled, Company D is not visible in the EPU percentages window, and the deployment generates rows with Company C = Company D.
Cumulated fair value and look-through	Runs the look-through data processing on original scenarios at the end of the pick-up data processing by calculating the values on a progressive basis, i.e. the amount of the generated journal rows is the progressive value as at the period to be processed, without reading data from previous scenarios/periods (not even the carry forward). If enabled, participation accounts are not included in the Pick-up processing. If enabled, Company D is not visible in the EPU percentages window, and the deployment generates rows with Company C = Company D.
Classifier for methods	Classifier used to distinguish “investment vehicle” companies
Classifier for equivalent	Classifier used to distinguish “equivalent” companies
Classifier for sectoral	Classifier used to distinguish “sectoral” companies
Element: classifier for methods	Classifier element for selecting “investment vehicle” companies
Elements: classifier for equivalent	Classifier element for selecting “equivalent” companies
Elements: classifier for sectoral	Classifier element for selecting “sectoral” companies
Account filter to exclude from the look-through	Filter for excluding accounts or account nodes from the look-through results

Pick-up rules - Accounts page

Admin | <application database>

Data Processing tile > Advanced Consolidation - Equity pick-up > Accounts

Purpose of the page

This page allows you to set the financial investment and net equity/P&L accounts to be adjusted for every account affected by the pick-up calculation.

Page fields

Field	Description
Account	Account subject to the pick-up calculation
Net equity/P&L	Account to be adjusted with the same sign as the source data.
Financial investments account	Financial investment account to be adjusted with the opposite sign to the source data.

Pick-up rules - Categories page

Admin | <application database>

Data Processing tile > Advanced Consolidation - Equity pick-up > Categories

Purpose of the page

This page allows you to indicate the categories/aggregates of amounts/pre-consolidation adjustments of the contributor for which pick-up must be calculated.

Page fields

Field	Description
Category	Category on which to calculate pick-up
Category for pick-up journals	Category for generating pick-up journals ***Note**: when the pick-up category is associated with individual categories of amounts and/or pre-consolidation journals, in assigning several categories to the same category for pick-up journals, the pick-up calculated on the categories in question is incorporated into a single journal.*
Category for accounting pick-up journals simulation	Category for the accounting pick-up journals simulation

Equity pick-up on consolidation scenario data processing

Introduction

The equity pick-up on consolidation scenario data processing was developed to meet the specific needs of the North American market, and is limited by them.

The data processing uses the same setup as the data processing that generates the data on the original scenario. For this reason, it generates entries on the Consolidable amount type within the entity journal generated on the original scenario.

It requires the following additional setup:

- Enable data processing for the process (see Enable the running of data processing in the Processes section).
- Apply a category filter on the consolidation scenarios to exclude the category on which the EPU entries are generated (see Define Consolidation area page in the Processes section).

Data processing logic

This data processing uses the same data processing logics on the original scenario. However, the calculation input data are not the original data but the data converted into the consolidation currency.

By using the data present on the consolidation scenario (Consolidable amount type), you have input data already converted with the maximum level of accuracy. The data processing also works periodically, reading the data of the previous period only, so it is not necessary to reprocess all previous periods.

For this reason, the data of the Equity pick-up journal on the original scenario are not converted. This is carried out by excluding the category among those processed in the consolidation scenario. Therefore, if the data processing on consolidation scenarios is also used, the data is only obtained on two types of data:

- Original: data generated by the EPU calculation data processing on the original scenario
- Consolidable: data generated by the EPU calculation data processing on the consolidation scenario.

The data on the Proportional and Converted amount types are not present.

***IMPORTANT**: the journal is not subject to conversion. This means that any rows inserted manually on the journal on the original scenario will not be reported on the consolidation scenario. Any adjustments must be made in a new journal or overridden on the same journal on the consolidation scenario.*

Data processing restrictions

The equity-pick up on consolidation scenario data processing has the following limitations:

- The amounts due to minorities cannot be calculated on the journals and cannot be subject to IFRS5 reclassification.
- The equity evaluation data processing does not deal with EPU journals.
- Cases in which entities are consolidated using the proportional method are not managed.
- Entities that are deconsolidated during the year are not managed.

Intragroup asset assignment data processing

Introduction

This data processing automatically generates the required consolidation journals when an asset is assigned within the group. You can choose to eliminate the capital gain/loss reported by the assigning entity, or the sales revenues and the book value. You can also decide to adjust the depreciation journals of the acquiring entity to reconstruct the historical cost and the depreciation fund of the asset within the group.

Data processing description

An intercompany asset assignment event involves two entities belonging to the same group, and is a neutral operation from the consolidated point of view. The data processing therefore adjusts the values of the asset, the depreciation fund and the yearly depreciation as if the assignment had never taken place. The *return to group historical cost* principle is therefore applied.

If an asset is sold, the following entries are made in the financial statements of the individual entities involved in order to register the asset at the accounting situation that existed prior to the event:

Entities involved	Registration
Assigning entity	• Registration of the capital gain/loss deriving from the difference between the sale price and the net book value of the assigned asset or separate registration of the sale price and the net book value, depending on the management type. • Write off of any impairment of the assigned asset and closing of its relative depreciation fund.
Acquiring entity	• Registration of the purchase of the new asset, with a single entry with the difference between the original asset value and the assignment value, or with two different entries for the two values. • Registration of any impairment and the yearly depreciation amount calculated on the basis of the asset's useful life and at the assignment price.

The data processing runs the following actions:

- Writes off the capital gain/loss, or separately writes off the sale revenue and the book value registered by the assigning entity and thus adjusts the consolidated profit.
- Adjusts the historical cost of the asset which, following the assignment event, is registered according to the new sale price.
- Adjusts the value of any impairment to report the asset's loss of value.
- Adjusts the value of the annual depreciation amount and the relative provisions to bring them back to the original scenario before the assignment event.

To restore the value of the depreciation fund, the intragroup asset assignment data processing reconstructs both the assigning entity's depreciation plan and the acquiring entity's new depreciation plan.

> ***Note**: while the capital gain/loss write off journal is only generated in the fiscal year in which that P&L component materialises, i.e. the year in which the assignment event occurs, the adjustment journals of the yearly depreciation amounts and the relative funds are generated up until the end of the asset's book life. That is, until the asset has been completely depreciated in the acquiring entity's financial statements.*

Data processing setup

To run this data processing, the following must be specified:

- the accounts and categories to be entered in the adjustment journals, or the asset classes (Asset classes for Intercompany assignments page)
- the data on the assignment event (Intercompany asset assignment page)

Running the data processing

Since the calculation of intercompany asset assignments is group data processing, it can be run in the following ways:

- from the consolidator processes cockpit
- from a data entry form
- from a workflow task
- from a job task

Generated journals

For the first fiscal year in which the assignment event occurs, two consolidation journals are generated:

- one capital gain elimination journal or, a journal that eliminates the sale price and the net book value separately
- one journal to restore the group historical cost and the ordinary depreciation plan

Both journals have the assigning entity and the acquiring entity in their header but they are single-entity on the rows. This indicates the sub-consolidations in which the two journals must be reprocessed.

All the rows of the generated journals have “PROC_IC_PROFIT” as their origin.

Capital gain or sale price and net book value elimination journals

Given a historical cost of the asset subject to assignment and the value of the depreciation fund when the assignment takes place, CCH Tagetik obtains the book value of the asset from the assigning entity’s financial statements. The difference between that book value and the assignment price in the transaction represents the capital gain/loss to be eliminated.

Depending on the data processing setup, the following journals can be generated:

If...	Then...
the capital gain is managed.	an elimination journal with a reserve contra-entry is created.
the sale revenues and book value is managed.	two journals are generated: • one to report the sale revenue (with reserve contra-entry) • one to report the book value, calculated taking account of the historical costs and the depreciation fund (always with reserve contra-entry)

The assigning entity has also booked the sale of the asset in its financial statements by reducing the dedicated asset variation account and writing off the value of the depreciation fund and any impairment (those write offs are also made on a variation account).

To correctly restore the value of the group historical cost, CCH Tagetik adjusts the outgoing entry of the asset variation account and reports it in the variation account on which the acquiring entity registered the assignment event. It works in a similar way on the variation entries of the depreciation fund and impairment.

Journal to restore the group historical cost and the ordinary depreciation plan

This journal adjusts both the consolidated value of the asset and its relative fund, by bring those values back to the value that it would have had in the absence of a transaction, and the annual depreciation amount.

Depending on the data processing setup, the system may generate one adjustment on the assets account for an amount equal to the difference between the asset’s historical cost and its new acquisition price, or two different entries to report the historical cost and the acquisition price.

Therefore, given the historical cost of the asset and its new acquisition price, an adjustment is generated on the assets account for an amount equal to the difference between the two amounts. The value of the depreciation fund and the value of any impairment at the time of the assignment are then transferred to the acquiring entity.

The yearly depreciation amount to be adjusted is obtained from a comparison between the depreciation plans generated for the assigning entity and the acquiring entity.

In the years following the assignment event, the capital gain elimination journal is no longer generated, given that there are no P&L events to be cancelled in the financial statements of the entities involved.

In the journal to restore the asset's historical cost, new adjustment rows for the yearly depreciation amounts are generated every year until the asset has completely depreciated.

Example

The ownership structure register specifies that company A owns companies B and C and that company B owns an asset booked as follows:

Historical cost	100
Depreciation fund	-20
Annual depreciation %	10%

Company B sells the asset to company C at a assignment price of 90.

In company B's financial statements, the assignment is booked as follows:

	Initial balance	Purchases	Increases	Sale	Final balance
Assets	100			-100	0
Depreciation fund	-20			20	0

Profit & Loss	
Capital gain	-10

In company C's financial statements, supposing that the annual depreciation % is 10%, the new acquisition is registered as follows:

	Initial balance	Purchases	Increases	Sale	Final balance
Assets		90			90
Depreciation fund			-9		-9

Profit & Loss	
Amortisation/Depreciation	9

In the A-B-C aggregated financial statements, we have the following:

	Initial balance	Purchases	Increases	Sale	Final balance
Assets	100	90		-100	90
Depreciation fund	-20	0	-9	20	-9

Profit & Loss	
Capital gain	-10
Amortisation/Depreciation	9

Due to the group historic cost principle, the A-B-C consolidated financial statements without an intercompany assignment is the accounting situation to be restored:

	Initial balance	Purchases	Increases	Sale	Final balance
Assets	100				100
Depreciation fund	-20		-10	20	-30

Profit & Loss	
Capital gain	
Amortisation/Depreciation	10

The elimination journal for the capital gain is shown below:

B	Capital gain	10	Write off of the capital gain on the IC sale
B	Reserve	-10	
B	Assets - Sale	100	Write off of sale in B
B	Assets - Purchase	-100	Write off of sale in B
B	Depreciation fund - Sale	-20	Write off of sale in B
B	Depreciation fund - Increases	20	Write off of sale in B

The journal for restoring the group historic cost is as follows:

C	Assets - Purchases	10	
C	Assets	10	Restoration of the historic cost
C	Depreciation fund - Increases	-1	
C	Depreciation fund - Sale	-20	
C	Depreciation fund	-21	Restoration of the value of the fund
C	Amortisation/Depreciation	1	Restoration of the yearly depreciation amount
C	Reserve	10	

Asset classes for Intercompany assignments page

Admin | <application database>

Data Processing tile > Advanced Consolidation > Asset classes for Intercompany assignments

Application database > Navbar > Data Processing > Advanced Consolidation> Asset classes for Intercompany assignments

Purpose of the page

This page allows you to insert the following information, which is essential to generate the necessary adjustment journals in the cases of the assignment of an asset between companies in the group:

- the accounts to be used for generating the journals
- the categories to be populated by the capital gain elimination journals and the journals for the restoration of the asset's historical cost and depreciation fund.

Fields in the Attributes tab

Field	Description
Code	Unique code of the asset class
Description	Description of the asset class in all enabled languages
Management type	• **Capital gain**, i.e. the difference between the sale price and the net book value of the assigned asset. • **Sale revenues and book value**
Disable automatic depreciation management	Depreciation is not managed, as is the case for financial assets, for example.

Fields in the Seller tab

Field	Description
Capital gain	Only for **Management type** = **Capital gain** Normal P&L account on which to eliminate the capital gain/loss registered in the assigning entity's financial statements.
Reserve	Only for **Management type** = **Capital gain** Balance sheet account to be used as the contra-entry to eliminate the capital gain.
Profit from the sale of assets	Only for **Management type** = **Sale revenues and book value** Normal P&L account on which to eliminate the sale revenue registered in the assigning entity's financial statements.
Reserve: contra-entry for Profit from the sale of assets	Only for **Management type** = **Sale revenues and book value** Balance sheet account to be used as the contra-entry for the profit from sale of assets.
Assets: book value in P&L	Only for **Management type** = **Sale revenues and book value** Normal P&L account on which to register the book value of the assigned asset.
Reserve: contra-entry of the book value	Only for **Management type** = **Sale revenues and book value** Balance sheet account to be used as the contra-entry of the book value.
Assets: assignment variation (only for reclassification)	Balance sheet variation account on which the assigning company has registered the sale of the asset in its financial statements. ***Note**: for consolidation purposes, this variation entry must be reclassified because the intercompany assignment event is a neutral operation.*
Depreciation fund: assignment variation (only for reclassification)	Balance sheet variation account adjusted in the financial statements of the assigning entity to extinguish the depreciation fund of the asset subject to assignment. In consolidation, this adjustment cannot be registered.
Impairment: assignment variation (only for reclassification)	Balance sheet variation account on which the assigning company has registered the impairment value in its financial statements.
Category for capital gain	Category on which the elimination journal is generated. Must be a Consolidation adjustment category.

Fields in the Buyer tab

Field	Description
Assets: purchase	Balance sheet account on which the acquiring entity has registered the acquisition event.
Depreciation fund: transfer	Balance sheet account on which to reclassify the assigning company's depreciation fund.
Depreciation fund: depreciation	Balance sheet account on which the acquiring company books annual depreciation.
Impairment: transfer	Balance sheet account on which to reclassify the value of the impairment registered by the assigning company.
Assets: transfer	Balance sheet account on which to reclassify the historical cost of the asset subject to assignment
Reserve	Only for **Management type** = **Capital gain** Reserve balance sheet account of the acquiring company, used as the contra-entry in the journal for restoring the group historic cost.
Reserve: contra-entry of Profit from the sale of assets of the Seller	Only for **Management type** = **Sale revenues and book value** Reserve balance sheet account of the acquiring company, used as the contra-entry of the profit from the sale of assets realised by the assigning company.

Field	Description
Reserve: contra-entry of the book value of the Seller	Only for **Management type** = **Sale revenues and book value** Reserve balance sheet account of the acquiring company, used as the contra-entry of the book value of the seller.
Amortisation/Depreciation	Normal P&L account on which the acquiring company books the annual depreciation amount.
Category for Assets	on which the system generates the journal for restoring the historical group cost (must be a Consolidation adjustment category).

Intercompany asset assignment page

User | <application database>

Events tile > Intragroup asset assignment > select process

Navbar > Events > Intragroup asset assignment > select process

Purpose of the page

This page allows you to insert data related to an intercompany asset assignment event, used to generated the capital gain elimination journals and to restore the historical cost and depreciation fund. These data are used by the Intercompany asset assignment data processing.

***Note**: every intercompany assignment event relates to a specific process. The data contained on this page therefore relate to the process selected on opening.*

Actions on this page

Element	Description
	Create Depreciation Plans: allows you to create a depreciation plan for the event for the assigning and/or acquiring entity. **Depreciation Plan**: allows you to view the depreciation plans that have been created (by assigning entity and acquiring entity).

Fields in the Attributes tab

Field	Description
Event number	Unique number of the assignment event. Allows you to manage several assignments within the same period among the same entities in the group. ***IMPORTANT**: only events in which the entities on which the user has reading rights are called up in the**Buyer** entity or **Seller** entity fields are displayed.*
Event date	Date on which the intercompany assignment operation was registered
Asset model	Identifies the set of accounts and categories to be adjusted in the journals generated by the Intercompany asset assignment data processing.
Depreciation frequency	Frequency with which the depreciation plans must be calculated. Only present if the automatic management of depreciation is enabled for the selected asset model.
Notes	Any notes on the event
Seller	
Annual depreciation %	Depreciation percentage of the assigned asset applied by the assigning entity. Used to reconstruct the depreciation plan that the asset would have followed if it had remained the property of the assigning entity. Only present if the automatic management of depreciation is enabled for the selected asset model.

Field	Description
Calculation start date	Date for reconstructing the depreciation plan that the asset would have followed if it had remained the property of the assigning entity. Only present if the automatic management of depreciation is enabled for the selected asset model.
Entity	Assigning entity ***IMPORTANT**: the user can only select entities on which they have visibility and writing rights.*
Currency	Currency of the assigning entity, defined automatically.
Entity custom dimension 2	Custom dimension 2 of the assigning entity. Only present on processes whose relationship type is **by entity/custom dimension 2**.
Assignment price	Price at which the asset is assigned, in the assigning entity's currency
Original amount	Historical cost of the asset paid by the assigning company for the acquisition of the asset.
Depreciation fund (credit)	Value of the asset's depreciation fund at the time of the assignment in the assigning entity's currency. This information must be inserted with the book sign of the account. Only present if the automatic management of depreciation is enabled for the selected asset model.
Impairment	Only if **Asset model** = **Impairment: transfer** account Loss (or gain) in the asset's value at the time of the assignment.
Buyer	
Annual depreciation %	Depreciation percentage of the assigned asset applied by the acquiring entity. Used to reconstruct the asset's depreciation plan for the acquiring entity. Only present if the automatic management of depreciation is enabled for the selected asset model.
Calculation start date	Date from which the acquiring entity starts the asset's depreciation. Used to reconstruct the depreciation plan that the asset has for the acquiring entity. Only present if the automatic management of depreciation is enabled for the selected asset model.
Entity	Acquiring entity. ***IMPORTANT**: the user can only select entities on which they have visibility rights.*
Currency	Currency of the acquiring entity, defined automatically. ***Note**: to avoid unwanted FX rates differences, currencies other than the one associated with the entity in the Process can be used.*
Entity custom dimension 2	Custom dimension 2 of the acquiring entity. Only present on processes whose relationship type is **by entity/custom dimension 2**.
Assignment price	Price at which the asset is purchased, in the acquiring entity's currency.

If the process's relationship type is not **Entity**, the user restrictions will only apply to the **Entity** field, and not the **Entity Custom Dimension 2** field.

Fields in the Accounting model tab - seller

Field	Description
Asset	
Assets: assignment variation	Account selected for the field of the same name present on the asset model.
Depreciation fund: assignment variation	Account selected for the field of the same name present on the asset model. Only present if the automatic management of depreciation is enabled for the selected asset model.
Impairment: assignment variation (only for reclassification)	Only if **Asset model** = **Impairment: transfer** account Account selected for the field of the same name present on the asset model.

Field	Description
Custom dimensions	Custom dimensions active on the environment in which to define the elements on which to adjust the accounts indicated above.
Capital gain	
Capital gain	Account selected for the field of the same name present on the asset model.
Assets	Only if the asset model manages **Sale revenues and book value**. Book value in P&L - shows the selected account for the field of the same name present in the asset model.
Custom dimensions	Custom dimensions active on the environment in which to define the elements on which to adjust the accounts indicated above.

Fields in the Accounting model tab - buyer

Field	Description
Asset	
Purchase account	Account selected for the field of the same name present on the asset model.
Depreciation fund: transfer	Account selected for the field of the same name present on the asset model. Only present if the automatic management of depreciation is enabled for the selected asset model.
Depreciation fund: depreciation	Account selected for the field of the same name present on the asset model. Only present if the automatic management of depreciation is enabled for the selected asset model.
Impairment: transfer	Only if **Asset model** = **Impairment: transfer** account. Account selected for the field of the same name present on the asset model.
Assets: transfer	Only if **Asset model** = **Assets: transfer** account Account selected for the field of the same name present on the asset model.
Custom dimensions	Custom dimensions active on the environment in which to define the elements on which to adjust the accounts indicated above.
Amortisation/Depreciation	
Depreciation account	Account selected for the field of the same name present on the asset model. Only present if the automatic management of depreciation has not been disabled for the selected asset model.
Custom dimensions	Custom dimensions active on the environment in which to define the elements on which to adjust the accounts indicated above. Only present if the automatic management of depreciation has not been disabled for the selected asset model.

Depreciation plan of an asset assignment event

Introduction

It is possible to manage two different depreciation plans for every intercompany assignment event: one for the assigning entity and one for the acquiring entity. Every depreciation plan is saved by process with the relative event scenario.

Generation of the depreciation plan for the assigning entity

The depreciation plan is generated according to the following steps:

<table>
<tr><th>Step</th><th>Action</th><th>Description</th></tr>
<tr><td>1</td><td>Cancels any pre-existing plans.</td><td>-</td></tr>
<tr><td>2</td><td>Generates pre-existing depreciation.</td><td>If the Depreciation fund amount (Credit) indicated on the assignment event is anything other than zero, it inserts a row with the following characteristics in the depreciation plan:
Date = last day of the month prior to the assignment event calculation start date.
Amount = value of the Depreciation fund amount (Credit) of the assignment event, with its sign changed.</td></tr>
<tr><td>3</td><td>Generates the depreciation plan until the ORIGINAL VALUE - PRE-EXISTING VALUE OF PROVISIONS has reached zero.</td><td>To do this, it determines the following values:
Total amount as the sum of the original amount and the depreciation fund amount
Frequency based on the value of the depreciation frequency. In particular:<table><tr><th>If the depreciation frequency</th><th>Then the frequency</th></tr><tr><td>Monthly</td><td>12</td></tr><tr><td>Quarterly</td><td>4</td></tr><tr><td>Four-monthly</td><td>3</td></tr><tr><td>Semiannual</td><td>2</td></tr><tr><td>Annual</td><td>1</td></tr></table>
% as depreciation percentage/frequency</td></tr>
<tr><td>4</td><td>Generates depreciation instalments.</td><td>To determine instalment (n), it calculates:
Cumulated percentage (n) = percentage * n
Cumulated instalment (n) = Original amount * Cumulated percentage (n)/100. If Cumulated instalment (n) > Total amount, then Cumulated instalment (n) = Total amount
Instalment (n) = Cumulated instalment (n) - Cumulated instalment (n-1)
The generation of instalments ends when the cumulated value of the instalments generated reaches the total amount calculated previously.</td></tr>
<tr><td>5</td><td>Inserts closing row.</td><td>The row has the following characteristics:
date = month end (date (n-1) + frequency).
Note: for the first row to be generated, the date (n - 1) is the month end prior to the calculation start date.
amount = amount of the previously calculated instalment (n)
origin = INPUT_WEB</td></tr>
</table>

Example

- Calculation start date: 01/01/2005
- Depreciation fund amount: -2000 euros
- Instalment frequency: annual (1000 euros)
- Original amount of the asset: 5000 euros.

The following depreciation plan will be generated:

- +2000 at 31/12/2004, the pre-existing depreciation fund is allocated to the month end prior to the calculation start date.
- +1000 at 31/01/2005, first depreciation instalment
- +1000 at 31/01/2006
- +1000 at 31/01/2007

Generation of the depreciation plan for the acquiring entity

The depreciation plan is generated according to the following steps:

<table>
<tr><th>Step</th><th>Action</th><th>Description</th></tr>
<tr><td>1</td><td>Cancels any existing depreciation plan</td><td>-</td></tr>
<tr><td>2</td><td>Generates the depreciation plan until the ASSIGNMENT VALUE has reached zero.</td><td>To do this, it determines the following values:
Total amount equal to the asset's assignment price expressed in the acquiring entity's currency
Frequency based on the value of the depreciation frequency. In particular:
<table><tr><th>If the depreciation frequency</th><th>Then the frequency</th></tr><tr><td>Monthly</td><td>12</td></tr><tr><td>Quarterly</td><td>4</td></tr><tr><td>Four-monthly</td><td>3</td></tr><tr><td>Semiannual</td><td>2</td></tr><tr><td>Annual</td><td>1</td></tr></table>
% as depreciation percentage/frequency</td></tr>
<tr><td>3</td><td>Generates depreciation instalments.</td><td>To determine instalment (n), it calculates:
Cumulated percentage (n) = percentage * n
Cumulated instalment (n) = Assignment price expressed in the acquiring entity's currency * Cumulated percentage (n)/100. If Cumulated instalment (n) > Total amount, then Cumulated instalment (n) = Total amount
Instalment (n) = Cumulated instalment (n) - Cumulated instalment (n-1)
The generation of instalments ends when the cumulated value of the instalments generated reaches the total amount calculated previously.</td></tr>
<tr><td>4</td><td>Inserts closing row.</td><td>The row has the following characteristics:
date = month end (date (n-1) + frequency).
Note: for the first row to be generated, the date (n - 1) is the month end prior to the calculation start date.
amount = amount of the previously calculated instalment (n)
origin = INPUT_WEB</td></tr>
</table>

Example

- Calculation start date: 22/09/2009
- Assignment price: 5000 euros
- Instalment frequency: annual
- Depreciation percentage: 25%

The following depreciation plan will be generated:

- +1250 at 31/08/2010, first depreciation instalment
- +1250 at 31/08/2011
- +1250 at 31/08/2012
- +1250 at 31/08/2013

Restatement Utility

Application Database > Navigation Panel > Processes > select process > Utility icon > Restatement (path from Process Hub)

Introduction

The restatement utility allows data on a stacked scenario to be generated as the sum of data from a basic scenario and delta scenarios.

Workflow

Below are the restatement generation steps.

The administrator user enables the contributor and consolidator's activities:

- Template Definition (see Restatement)
- Process deployment
- User rights deployment
- Preliminary data processes on the original stacked scenario and on the stacked consolidation scenarios.

The contributor or consolidator user collects data on delta scenarios:

- Data entry
- Possible execution of data processes on the original scenarios

The consolidator user generates new consolidated data:

- Copy of consolidation scenario configurations on stacked scenarios (consolidation area and execution plans)
- Deployment of configurations on consolidation scenarios
- Copy of time-dependent information (time-dependent hierarchy relationships for Entity and custom dimensions)
- Execution of Restatement Utility
- Execution of data processing on original and consolidation scenarios

Available options

Element	Description
Input Dimension	
Template	Template / basic original scenario You can select the templates that have an active stacked original scenario, with at least one non-stacked period belonging to the process, and at least one active stacked consolidation scenario.

Element	Description
Periods	It is possible to choose among the periods defined for the basic scenario/template selected. Periods that belong to the process and are not blocked for the stacked scenario are available.
Advanced settings	
Copy data	Allows you to copy data from the basic and delta scenarios to the stacked scenario.
Copy configurations	Allows you to copy configurations from the basic scenario to the delta and stacked scenarios

Copy of data

Data are copied if the corresponding 'Copy Data' option is enabled.

The following data is copied:

- Gross amount
- IC amounts
- Entity and consolidation journals (including consolidation scenario filters)
- Reconciliation account
- Note
- IC cockpit - Comments
- Overridden FX rates in memory
- Overrides on Original Scenario - Carry Forward on Gross Amounts, IC amounts, Entity and consolidation journals

Data is read from the original basic and delta scenarios for the selected periods and copied onto the original stacked scenario.

For data rows with consolidation scenarios (journal filters on consolidation scenarios and overridden FX rates), data is read from the basic consolidation scenarios selected and copied to the relevant stacked consolidation scenarios, if enabled and with unlocked run periods.

Before copying, data already present on the stacked scenario for the selected periods is deleted, with the exception of rows with origin generated by carry forward data processing.

Data rows with input sources (INPUT_WEB, INPUT_DEFORM, MAP_%, BREAK_BACK, SUB_INPUT_WEB , SUB_INPUT_DEFORM, SUB_MAP_%, SUB_BREAK_BACK, COPY_GENERAL, COPY_PERIOD, COPY_SEGMENT) are copied.

For tables containing amounts (amounts, journals, Reconciliation accounts and overrides), the data rows are grouped together, and the amount fields are summed when all fields match (except Scenario, User Upd, Date Upd and Origin).

For tables that do not contain amounts, rows are not grouped.

Journal headers

For journal headers, the input source filter does not apply; therefore, all manual and automatic headers are copied.

The deletion of existing headers on the stacked scenario is only carried out if the journal has no rows.

If the same journal number is present in more than one reading scenario (basic and delta) with the same value for the following header fields:

- Entities
- Custom dimension 2 (only for entity/custom dimension 2 relationship type)
- Category
- Currency

The header attributes are taken from the journal in the basic scenario, if present; otherwise, from the journal in the delta scenario with the lowest code.

If, on the other hand, the value of the above-mentioned fields differs, a blocking message is displayed and the copying process cannot continue.

The draft journals' headers are copied but the rows are not.

Overridden FX rates

For the overridden FX rates, the rows are copied:

- without consolidation scenario
- or with basic consolidation scenario present in the selected template, provided that the respective stacked consolidation scenario is active and the run periods are not blocked.

The sorting of the rows of overridden FX rates copied to the stacked scenario is as follows:

1. FX rates of the basic scenario
2. FX rates of delta scenarios (in ascending order of scenario code)

the overridden FX rates in each delta scenario have a higher order than those in the basic scenario and in the previous delta scenarios.

Manual overridden FX rates on the stacked scenario are permitted. The deletion of rows already existing in the stacked scenario only affects rows whose origin is generated by the restatement (COPY_GENERAL) and by the FX rate loading data processing (CONS_EXCHRATE_DEPLOY).

Any manually entered overridden FX rates in the stacked scenario are automatically placed after the FX rates copied from the restatement, in terms of sorting.

IMPORTANT: If it is necessary to modify the overridden FX rates generated by the restatement in the stacked scenario, it is recommended to insert new manual rows with a higher sorting order, and not to delete or modify the rows generated by the utility, because:

- in case of deletion, at the next restatement launch, the rows present in the basic scenario and in the delta scenarios will be inserted again in the stacked scenario
- in case of modification, modified rows will be considered as manually entered rows

Copy of configurations

If the 'Copy configurations' option is enabled, the following configurations will be copied to the original scenarios:

- FX Rates
- Tax rates
- Time-dependent entity list
- Override Entity parameters on original scenarios
- Rules Engine Designer execution plan on original scenarios
- Accounts reclassification and NER execution plan on original scenarios
- Minorities - Setup Periodic minorities calculation - Event management
- Override Pick-up percentages

Configurations are taken from the original basic scenario for the run periods and are copied to the original delta and stacked scenarios.

For execution plans, rows with undefined period are also copied.

IMPORTANT:

- Before copying, any existing configurations on the original delta and stacked scenarios for the run periods are deleted. Therefore, any rows entered or modified on the stacked and delta scenarios will be lost.
- Configurations are copied even if the process parameterisation is locked.

Generated origin

The origin generated by the restatement utility is COPY_GENERAL

Warnings and restrictions

IMPORTANT:

- For Rules Engine Designer, dynamic markup is not supported on delta and stacked scenarios (due to scenario coding).
- If the utility generates an error, the stacked scenario may contain inconsistent data, meaning that only part of the data and configurations may have been copied.
- The 'Import financial investment data into ownership structure register' data processing must not be performed on the delta and stacked scenarios, otherwise the input from the basic scenario will be lost.
- Consolidation scenarios saved in the selected template, but no longer connected to the original basic scenario, are excluded from the copy.
- The restatement utility cannot be used for processes with a 'Unique' number of business cycles, because after submission, delta and stacked scenarios/periods cannot be changed.
- The utility does not copy the data and configurations of the archived basic and delta scenarios/periods.
- Journal documents are not copied.
- The merger configuration is not copied.

Restatement Page

Data Processing tile > Advanced Consolidation > Restatement

Purpose of the page

This page allows you to define the templates to be used in theRestatement utility.

The page consists of three main areas:

- left area: it shows the original scenarios that represent the baseline for the restatement
- central area: displays the templates associated with the selected original scenario
- right area: lists the attributes to be configured when creating a new template or editing an existing one

A template involves the definition of the following elements:

- Basic scenario: this is the original scenario containing the basic restatement version
- Suffixes for delta scenarios: used to create original scenarios dedicated to entering correction and integration data compared to the basic scenario
- Suffix for stacked scenario:
    - for the creation of an original scenario automatically populated by the restatement utility as the sum of the basic scenario data and delta scenarios

    - for the creation of stacked consolidation scenarios
- Periods to be processed

Buttons on the page

Tab	Description
Add	Allows you to add an original scenario to the list of scenarios subject to restatement and to create the first scenario template . Active scenarios that have at least one period are available. **IMPORTANT**: the restatement utility is only available from the Process Hub. It is possible to create templates for scenarios/periods associated with standard processes; however, the template will not be usable.
Template creation	Allows you to create a new template for the original scenario of the selected row in the scenario list.

Attributes on the page

Tab	Description
Code	Template Code
Template name	Description of the template in the set languages.
Suffix for delta scenario	Suffix to be concatenated with the selected original scenario code to generate the delta scenario code. The scenario code has a maximum length of 15 characters; thus, the number of characters available for the suffix depends on the length of the base scenario. The delta scenario is used for data input to correct or integrate basic scenarios. It is possible to insert multiple suffixes, thus creating multiple delta scenarios.
Suffix for stacked scenario	Suffix to be concatenated with the selected original scenario code to generate the stacked scenario code. The stacked scenario is automatically populated by the restatement utility as the sum of the data in the basic and delta scenarios. The same stacked suffix may be used in more than one template of the same basic scenario, only if the selected periods are different.
Periods	Periods to be included in the restatement It is possible to choose from the existing periods for the original basic scenario. The selected periods may also belong to different processes.
Consolidation scenarios	After selecting the periods, the consolidation scenarios linked to the original basic scenario, which include at least one of the selected periods, are displayed. The toggle is active by default. If the concatenation of the consolidation scenario code with the stacked suffix exceeds the 15-character limit, the consolidation scenario cannot be selected. It is recommended to use a synthetic coding for scenarios in order to avoid length problems.
Update scenarios grouping relationships	It allows delta and stacked scenarios to be combined with the same nodes to which the basic scenario belongs.

Save template

When the template is saved, the system automatically performs the following operations:

- Creation of delta and stacked scenarios and periods, if not already existing.
- Scenarios/periods relationship with the same processes to which the basic scenarios/periods belong. The relationship is set even if the process parameterisation is locked.

- If the **Update scenario grouping relationship** option is enabled, relationships with the same nodes to which the basic scenario belongs are added for delta and stacked scenarios.

IMPORTANT: Recoding scenarios may cause template inconsistency

Working with advanced consolidation data processing

Set the Equity pick-up data processing calculation method

Admin | <application database>

Processes tile > select process > > Process Definition (Data Processing Section) > Consolidation > Advanced Consolidation > Equity pick-up >

Navbar > Process & Workflows >Process > select process > > Process Definition (Data Processing Section) > Consolidation > Advanced Consolidation > Equity pick-up >

- To apply the cumulated method, insert the selected period number in **Pick-up period length**.
- To apply the periodic method, insert the number of periods between the selected period and the previous period processed with EPU data processing in **Pick-up period length**, and the selected period number in **Pick-up account period length**.

Activate the running of data processing for intercompany asset assignments

Admin | <application database>

Processes tile

Navbar > Process & Workflows > Process

Once the asset classes have been defined and the data related to assignment events has been entered, this procedure allows you specify the processes for which the calculation of intercompany asset assignments is activated.

1. Select the process on which to activate the data processing.
2. Click > **Process Definition** .
3. In the **Data Processing** > **Consolidation** > **Advanced Consolidation** section, select **Intercompany Asset Assignment**.
4. Repeat step 1 for all processes on which the data processing is to be activated.

CCH Tagetik applies the return to group historical cost principle and automatically generates the necessary consolidation journals.

Gene a depreciation plan for an intercompany asset assignment

User | <application database>

Events tile > Intercompany asset assignment > select process

Navbar > Events > Intragroup asset assignment > select process

1. If necessary, click to generate a new intercompany asset assignment event.
2. In the **Attributes** tab, set all the fields related to the event.

3. Click ⋮ > **Create depreciation plans**.
4. Select the desired depreciation plans (**Seller** and/or **Buyer**) then click **Run**: the depreciation plans will be generated by overwriting any pre-existing plans.

Run intercompany asset assignments data processing from the consolidator processes cockpit

User | <application database>

Processes tile > select process > Consolidator

Navbar > Processes > select process > Consolidator

***IMPORTANT**: Intercompany asset assignment data processing must be enabled for the selected process.*

Procedure from the Overview tab

1. In the **Overview** tab, select one or several nodes on which to run the data processing.
2. To run all data processing, in the **Actions** section, select **Consolidation data processing** > **Standard**.
3. To run consolidation data processing only, in the **Actions** section, select **Consolidation data processing** > **Custom**: the consolidation data processing setup window will open.
4. For the **Group Data Processing** option, select **Run**.
5. Click **Run** to activate the data processing.

Procedure by the Consolidation scenarios tab

1. In the **Consolidation scenarios** tab, select one or several nodes on which to run the data processing.
2. To run all data processing, in the **Actions** section, select **Consolidation data processing** > **Standard**.
3. To run consolidation data processing only, in the **Actions** section, select **Consolidation data processing** > **Custom**: the consolidation data processing setup window will open.
4. For the **Group Data Processing** option, select **Run**.
5. Click **Run** to activate the data processing.

Run the intercompany asset assignments data processing from a data entry form

Excel > CCH Tagetik

For more details on how to configure the data processing, see Configure data processing in the Reporting section.

1. Open the desired form in design mode.
2. Click **Data processing** in the Design tool bar.
3. Alternatively, in the left-hand **Open items** panel, select the form in which to insert the data processing and right click **Run Data processing** > **New Data processing**.
4. In the window that appears, select **Consolidation > CONSOLIDATION_ELAB - Consolidation**, then click **Next**.
5. Set the parameters necessary for the data processing.

   ***Note**: parameters shown in bold are mandatory.*
6. Specify how the value of the parameter is to be retrieved.

   For detailed information on the values that can be selected in these fields, see the section dedicated to data processing in the Reporting section.
7. In **Original scenario/period**, indicate the scenario/period on which to run the data processing.
8. In **Consolidator nodes**, indicate the nodes of entities on which to run the data processing.
9. Select the **Run Group consolidation data processing** option.

10. Assign a code and description to the data processing.
11. To run the data processing, reopen the form in data entry mode, click **Data Processing** in the tool bar and select the desired data processing.

Run the intragroup asset assignments data processing from a workflow task

Admin | <application database>

Data Processing tile > Business Workflows > > Steps

Navbar > Process & Workflows >Business Workflows > >Steps

This procedure illustrates how to run intercompany asset assignment from a task specifically created within a business workflow.

1. Select the workflow step within which to insert the run data processing task.
2. Click **Edit**: you can then edit the graph.
3. From the **Core data processing** group, select and drag the **Consolidation** icon to the graph: a task parameter configuration window will open.
4. Select the **Run Group consolidation data processing** option.

Run the intragroup asset assignments data processing from a job task

Admin | <application database>

Data Processing tile > Jobs

Navbar > Data Processing > Jobs

This procedure illustrates how to run intercompany asset assignment from a task specifically created within a job.

1. Select the job within which to insert the running of the data processing.
2. Click **Edit**: you can then edit the graph.
3. From the **Core data processing** group, select and drag the **Consolidation** icon to the graph: a task parameter configuration window will open.
4. Select the **Run Group consolidation data processing** option.
5. To run or schedule the job, click **Review and launch** from the read only view of its graph.
6. In the next step, define all the parameters for each task and click **Run** to run the data processing immediately or on **Schedule** to schedule the data processing to run at another time.

The IC Cockpit

Contents

This section covers the following topics:

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IC entry management page 177
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Link cockpits and processes 182
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IC matching by invoice 183
Working with IC Spreading 184
Create IC Cockpits page 185

The matching process

Introduction

In CCH Tagetik, the term “matching” means the process of balancing intercompany entries between companies in the same group. Matching therefore represents an attempt to make the amounts that a declaring entity presents to a counterparty entity consistent with the corresponding amounts that the counterparty presents to the declaring entity.

Matching, together with the elimination of intercompany entries, is one of the fundamental processes for consolidation and can be carried out thanks to the definition of dedicated logics; see Matching logics and intercompany elimination.

Matching and eliminations ensure that transactions between controlled entities in the same group are not presented at the consolidated level

The matching process can start when all the IC declarations that can be inserted have been inserted. If the relationship between the two entities is not correctly balanced, the managers of the two entities must collaborate to ensure that relationship respects the previously defined balancing rules.

Example

Declaring Entity	Account	CTP	Product	Amount
A00	Product Revenues	B00	Antivirus	$ -125 (€ -96)
B00	Commercial costs	A00	Antivirus	€ 100

In this example, entity A00 has sold “Antivirus” products worth $ 125 (around € 96 at the current FX rate) and entity B00 has declared a purchase cost of € 100 to A00. Generally, this happens between two entities in the same group and generates an unbalanced elimination journal. The relationship between A00 and B00 can be balanced in two different ways.

If...	Then...
one of the two entities has made an error.	one or both of the amounts must be corrected.
the data are correct for both entities.	the missing amount must be inserted in a special account (**Reconciliation accounts**) that justifies the unbalanced amount in the IC relationships.

In this example, the difference of € 4 can be identified as the “FX rate difference”: B00 has declared a cost of € 100 for each purchase of the antivirus product but A00 has declared a profit of € 96 because it registered the amount on a different day with a different FX rate. Therefore, both of the amounts are correct and the unbalanced amount is due to an external factor.

Declaring Entity	Account	CTP	Product	Amount
A00	Product Revenues	B00	Antivirus	$ -125 (€ -96)
B00	Commercial costs	A00	Antivirus	€ 100
A00	Exchange rate diff.		Antivirus	€ -4

IC matching details

Matching can be done according to one of the following methods:

Relationship type	Description
By Entity	Matching is done at the entity level. In the IC cockpit, the individual entities involved in the relationships between entities are listed.
By Entity / Custom dimension 2	Only visible if the Relationship Type is Entity/Custom dimension 2 for the data collection process. Allows you to match the intercompany entries at a more detailed level than the entity level. *For example, for entities that operate in different sectors where the consolidator needs to produce aggregated data for each line of business. The data included in the IC declarations are collected by also specifying the line of business from which the revenues or expenses are obtained.* The IC cockpit displays not only the individual entities in the relationship but also the specific custom dimensions 2 items.
By Entity Node	Matching is done at the node level instead of by individual entity. The nodes used for this analysis are those of the first level of the entity hierarchy associated with the process. The IC cockpit displays the entity nodes and not the individual entities. All the entities of the node are therefore detailed in the management page (IC entry management page).

The IC matching cockpit

What it allows you to do

The IC matching cockpit allows you to compare the amounts declared by each entity with the declarations of the respective counterparties and then insert the reconciliation accounts where the IC relationships are balanced.

In particular, it allows you to perform the following actions:

- manage approval/submission (and rejection) status
- manage IC Matching/Elimination activities at the “holding company” level and at the individual “entity” level. Ideally, this can take place up to the last level, so as not to lose traceability for each insertion or for how the final figures were generated.

Displayed amounts

The amounts displayed on each row of the IC cockpit represent the IC relationships between the various entities in the group. For every relationship/matching rule combination, the values and any unbalanced amounts present on the declared IC relationships:

- the first amount includes the IC entries between the entities of the relationship when the first entity has inserted the IC entries on the primary accounts and the second entity has inserted them on the dependent accounts
- the second amount includes the IC entries between the entities of the relationship when the second entity has inserted the IC entries on the primary accounts and the first entity has inserted them on the dependent accounts

The amount displayed is determined by the contribution of the IC entries, the entity journals with defined counterparty and the reconciliation accounts for the categories belonging to the step/cockpit to be matched and the matching logic.

The amounts are displayed in the currency indicated when the cockpit was opened (IC cockpit opening window) using the conversion rule specified in each matching rule. This means that in the case of period average FX rate rules, the amounts in the IC cockpit are calculated taking into account the amounts on all periods that are less than or equal to the selected period. An appropriate coefficient, calculated on the basis of the period FX rate and the previous period FX rate is applied to the amount of every period.

IMPORTANT: Whenever the IC cockpit has to work with split source data (period display, period average FX rate), all scenarios/periods involved in the calculation must be either online or offline.

***IMPORTANT**: when running the balancing check, the threshold value set on the rule is converted into the IC cockpit currency. The FX rate used for the conversion is the final FX rate.*

Actions on the relationship between entities

From the IC cockpit, and from the indicator that shows the status of the relationship between entities in particular, certain actions can be run in order to change the status of the entity and the relationship.

In single certification processes, actions run on the entities and on the relationships (e.g. IC insertion is complete, submit IC data, etc.) are registered simultaneously on all scenarios/periods linked to the process.

If scenarios/periods are added to/removed from the process when data collection and submission activities have been started, it is a good rule to reset the submission states. See the Reset submission states in the contributor cockpit in the Processes section.

***IMPORTANT**: if you do not want to run the reset, the colours of the IC cockpit traffic lights may not be correct and error messages could be returned in the audit.*

IC cockpit opening window

User

Processes tile > select process > Contributor > Detail summary tab > (Actions) IC Cockpit

Navbar > Processes & Workflows > Process > select process > Contributor > Detail summary tab > (Actions) IC Cockpit

Processes tile > select process > Consolidator > Detail summary tab > (Actions) IC Cockpit

Navbar > Processes & Workflows > Process > select process > Consolidator > Detail summary tab > (Actions) IC Cockpit

from a workflow task > select task that requires the running of the IC cockpit > Run

Purpose of window

This window allows you to configure the parameters and filters for opening the intercompany matching cockpit. The parameters are shown on two pages in the same window.

Buttons in the window

Button	Description
Previous	Shows the previous page of parameters to be configured.
Next	Shows the next page of parameters to be configured.
Run	Opens the IC matching cockpit according to the set parameters.
Reverse	Closes the window without opening the IC matching cockpit.

Fields in window

Field	Description
Process	Shows the selected process when entering the cockpit, and is not editable.
Show on columns	If the selected process is a single submission process, it allows you to choose what is displayed on the IC cockpit columns: • **IC matching logics**: the scenario/period can be selected from a list. • **Scenario/Period**: the IC matching logics can be selected from a list. In the IC cockpit, therefore, it is not the matching logics but the scenarios/periods that will be shown on the columns. If you also choose to view P&L on periodic data (or on logics at the period average FX rate), the data of each scenario/period will be shown considering the period length of the last significant scenario/period of the process. When the IC matching cockpit reports and the FX rate differences detail report are exported for all scenarios/periods, they take account of the period length of the individual scenario/period and therefore, different values may be found in the event that the periods are of different lengths.
Scenario /Period	For scenario/period submission processes, the field is defined with the scenario/period selected on accessing the cockpit and it cannot be edited. For single submission processes, the field is defined with the last significant scenario/period of the process (if it is visible to the user and is not offline). The user can change this scenario/period, unless the scenarios/periods are not shown in a column.
Step/Cockpit	Step/cockpit for which to run matching ***Note**: the IC cockpit with the highest code present on the lowest step will be shown by default.*
Show P&L on periodic data	If selected, the amounts are shown considering the period value rather than the cumulated value. The displayed figure is the difference between the amounts present on the selected period and the amounts present on the previous period, applying the appropriate FX rates. This setting only has an effect on matching logics with a P&L or Other Variations accounts filter. By clicking on amounts from the IC cockpit, you can thus see the following information: • **Show IC**: the periodic values with amounts converted to the Cockpit amount. However, the displayed IC entries cannot be edited. • **Edit IC**: the cumulated IC entries. The transactions of the period can be inserted.  **IMPORTANT**: For the period value to be displayed correctly, all scenarios/periods involved in the calculation must be either offline or online.
Cockpit currency	Currency with which the cockpit is opened. The chosen preferred currency is proposed.
Relationship type	The way in which you want to run matching, see Matching method.
Entity	Only displayed if the 'by Entity Node' relationship type is not selected. Entities selected in the cockpit; cannot be edited. If nodes are selected, the Entities belonging to those nodes are displayed.

Field	Description
Entity node	Only shown if the “by Entity Node” relationship type is selected. Nodes selected in the cockpit, not editable. If entities are selected, the cockpit displays the nodes to which those entities belong.
Show non-editable entities	Only displayed if the 'Entity Node' relationship type is not selected. Also shows the relationships in which the selected entities are involved, even if they cannot be edited by the user.
Exclude relationships between entities that belong to the same node	Only shown if the “by Entity Node” relationship type is selected. Only relationships between entities belonging to different nodes are shown.
CTP entity	Only displayed if the “by Entity Node” relationship type is not selected. Filters for the counterparty entities that you want to be displayed in the IC cockpit.
CTP Entity Node	Only shown if the “by Entity Node” relationship type is selected. Filters the counterparty nodes that you want to be displayed in the IC cockpit.
CTP Entity filter by consolidation scenario	Allows you to select a consolidation scenario to populate the list of counterparty entities that will be used for opening the cockpit. To match IC relationships between the entities belonging to a specific consolidation scenario, the IC cockpit must be accessed from a consolidation node and the consolidation scenario that includes the desired entities must be elected in this field.
IC matching logic	Matching logics/rules to be shown in the cockpit columns.
Account nature filter	Filters the IC matching logics, displaying only those with accounts of the specified nature in the cockpit.
Show only columns with related data	Default settings. If selected, only IC matching logics that have at least one associated figure or do not influence the outcome of the matching will be shown. For example, those which are linked to entities/matching logics not to be matched or those with unbalanced amounts below the threshold, if the **Show unbalanced amounts above the threshold** option is selected. ***IMPORTANT**: deselect this option to see all the columns in the IC cockpit.*
Manual matching greater than	Shows only the pairs of relationships/IC matching logics for which there is manual matching greater than the specified value.
Presence of FX rate differences greater than	Shows only the pairs of relationships/IC matching logics for which there is FX rate differences greater than the specified value.
Unbalanced amounts	Shows only the pairs of relationships/IC matching logics for which the unbalanced amount exceeds one of the following thresholds: **Unbalanced amount above the threshold**: the threshold is defined for every rule. **Unbalanced amount above**: the threshold is the value indicated in the field below. ***IMPORTANT**: to run the balancing check, the threshold value is converted into the IC cockpit currency. The FX rate used for the conversion is the final FX rate.*
Hide Balanced rules	This can only be set if the **Unbalanced amounts** option is selected. Only unbalanced pairs of relationships/IC matching logics will be shown.
Ignore currency	If selected, CCH Tagetik ignores the currency for the IC matching logics for which balancing by individual currency is required. Useful for running a check that does not take account of any declarations made on incorrect currencies.
Detect errors in the Setup	If selected, before displaying the cockpit CCH Tagetik runs preliminary checks on the validity of the configuration.

IC cockpit page

Processes tile > select process > Contributor > Detail summary tab > (Actions) IC Cockpit

Navbar > Processes & Workflows > Process > select process > Contributor > Detail summary tab > (Actions) IC Cockpit

Processes tile > select process > Consolidator > Detail summary tab > (Actions) IC Cockpit

Navbar > Processes & Workflows > Process > select process > Consolidator > Detail summary tab > (Actions) IC Cockpit

from a workflow task > select task that requires the running of the IC cockpit > Run

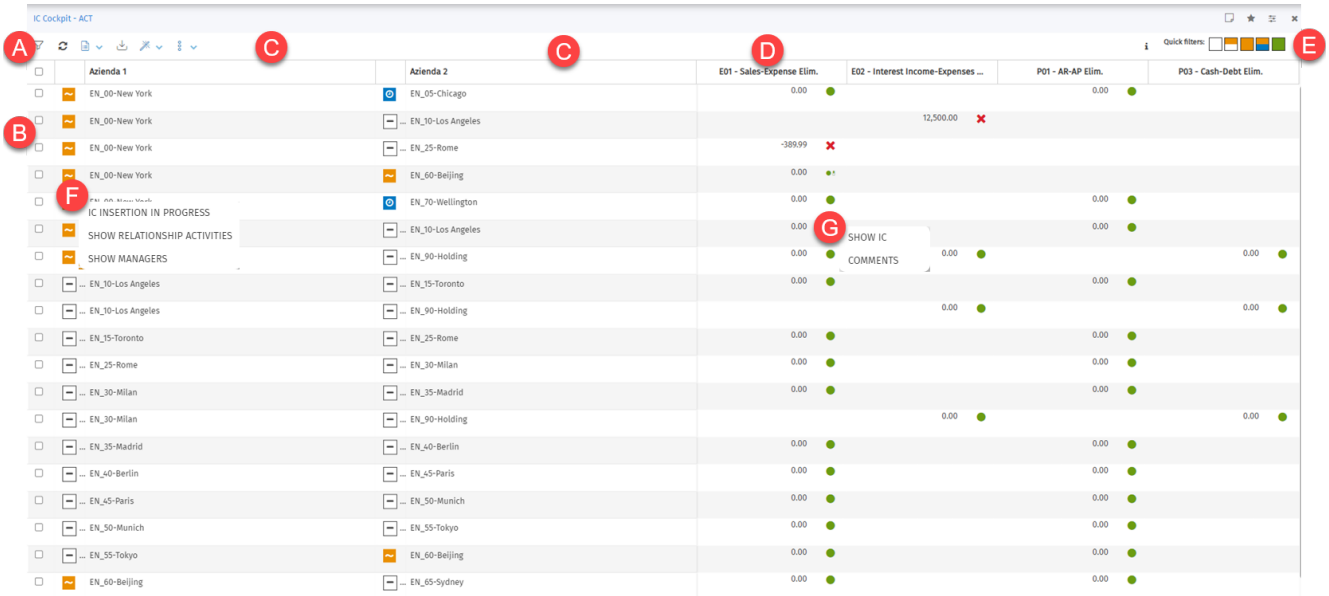
Purpose of the page

This page shows the IC relationships between the various entities. In particular, a row is shown for every pair of entities that declare IC amounts in accounts present in an IC matching rule. The displayed accounts depend on the filters set in the cockpit opening window and on the user rights.

The IC matching rules related to the process, or those indicated in the opening window, are shown on the columns. Every column represents a logic/rule, normally with a different group of accounts. For every relationship/matching logic combination, two amounts are typically shown, representing the unbalanced amount (see Displayed amounts).

For single submission processes only, if the **Scenario/Period** option is selected as **Show on columns** in the opening window, the scenarios/periods are shown on the columns and the matching logics can be selected from a drop-down menu.

What it looks like



Element	Description
To	Tool bar
B	List of inter-company relationships. Within the relationships, Entities are sorted alphabetically.
C	Entities, or nodes of entities, part of the relationship and specific targets, depending on the selected relationship type.
D	Matching logic applied or scenario/period, depending on the submission type and on the **Show on columns** option
E	Filter displayed relationships by status
F	Indicator and actions on the IC data management status
G	Indicator and actions on the unbalanced amount

Actions on this page

Element	Description
	Allows you to extract reports from the IC Cockpit. See IC cockpit reports.
	**Actions on Entities**: allows you to run the same operation on several selected entities. The same actions can be run for individual entities, see Activities from the IC data management status indicator. Multiple actions are only available on cockpits that do not have the option 'Allow IC matching even without Balancing' enabled.
	Actions on multiple relationships: allows you to run the same operation on several selected relationships. The same actions can be run for individual relationships, see Activities from the IC data management status indicator. Multiple actions are only available on cockpits that do not have the option 'Allow IC matching even without Balancing' enabled. **IC relationship by invoice**: allows you to set the run parameters and start the relative data processing, see IC Matching window - Invoice matching. Only visible if invoice matching has been activated.
	Shows the legend of symbols and colours shown on the page.
Quick filters	Allows you to filter the relationships shown in the list by relationship status.
IC data management step indicator	Indicates the current status of the relationship between the entities and the IC data processing status. Also shows you a list of actions that can be run on the entity.
Unbalanced amount indicator	Indicates the current status of the unbalanced amount and displays a list of actions that can be run on it.

Quick filters

Allow you to filter the displayed relationships and see matching statuses when multiple actions are run. The filters follow the criteria below.

Symbol	Description
 **White**	Shows only relationships in which the status of both entities is **IC insertion in progress**.
 **White/yellow**	Shows only relationships in which the status of one of the entities is **IC insertion in progress**, while the status of the other entity is **IC insertion is complete**.
 **Yellow**	Shows only relationships in which the status of both entities is **IC insertion is complete**.
 **Yellow/Blue**	Shows only relationships in which the status of one of the entities is **IC insertion is complete**, while the status of the other entity is **Waiting for matching**.
 **Green**	Shows only relationships in which the status of both entities is **Submitted**.

Several filters can be selected at once.

IC data management status

The status of the relationship between two entities is shown by the indicator for each entity that forms part of a relationship.

Symbol	Description
	The entity is still inserting the IC entries and matching cannot yet be carried out.
	The entity has finished inserting the IC entries. The matching process can only start once both entities in the relationship have this status.
	The entity has made the relationship available for submission. Before moving to this status, the system checks that the intercompany amounts are balanced. From this moment on, the IC entries between the two entities will no longer be edited. However, it is possible to return to the previous status (YELLOW) as long as the second entity has not completed the submission process.
	The relationship between the entities is submitted and the IC entries between the two entities can no longer be edited. Moving from GREEN to YELLOW, or the rejection of the relationship, can only be performed by the consolidator user of the node to which the relationship belongs.

Balancing indicator

This indicator is shown for every amount and indicates the current balancing status.

Symbol	Description
	• Relationship = 0, the relationship/matching logic is perfectly balanced. • Relationship ≠ 0, the relationship/matching logic is unbalanced but the unbalanced amount is lower than the threshold value defined in the IC matching rule. In both cases, the relationship can be submitted.
	Balanced amount or unbalanced amount below the threshold with reconciliation account: the relationship can be submitted. The relationship/matching logic has been balanced manually by declaring an amount on the reconciliation accounts.
	Balanced amount or unbalanced amount below the threshold with comments: the relationship can be submitted. Comments on the amount are present.
	Balanced amount or unbalanced amount below the threshold with reconciliation account and comments: the relationship can be submitted. The relationship/matching logic has been balanced manually by declaring an amount on the reconciliation accounts. Comments on the amount are present.
	The relationship/matching logic is unbalanced and the unbalanced amount exceeds the threshold set in the rule: the relationship cannot be submitted.
	Unbalanced amount above the threshold despite the presence of reconciliation accounts: the relationship cannot be submitted.
	Unbalanced amount above the threshold with comments: the relationship cannot be submitted. Comments on the amount are present.
	Unbalanced amount above the threshold despite the presence of reconciliation accounts and comments: the relationship cannot be submitted. Comments on the amount are present.

Activities from the IC data management status indicator

The IC data management status indicator displays a menu so you can run the following operations. Only the operations available for the specific entity are shown.

Operation	Description	Conditions
IC insertion is complete	This operation indicates that the entity has completed the insertion of IC data. The traffic light changes from WHITE to YELLOW for all of the entity's relationships as the "IC inserted" information relates to total contra-entries.	Only for entities with WHITE status
IC insertion in progress	This operation indicates that you want to restore the possibility of editing IC data. The traffic light changes from YELLOW to WHITE for all of the entity's relationships.	Only for entities with YELLOW status
Lock IC data for submission	This operation makes the relationship available for submission. Before changing to BLUE status, the system checks that: • there are no forms open in data entry mode on the entity whose data is being locked • the intercompany amounts are balanced, or that the matching rules present on the cockpit are balanced or have unbalanced amounts below the threshold • the reconciliation accounts are of an amount below the threshold defined on the matching rule. ***Note**: this check is not performed if the user is the relationship Consolidator.* • if reconciliation accounts for other accounting have been defined for the cockpit, that the various defined pairs of debit/credit accounts are balanced or have unbalanced amounts below the threshold defined in the process validation rule If some of the checks are not passed, the relative causes are shown in a dedicated window. If it is only the checks on intercompany balancing and reconciliation accounts for other accounting that are not passed, the Consolidator can lock the data in any case. In fact, the warning window shows the **Override submission** button.	Only for entities with YELLOW status
Submit IC data	The declaring entity's traffic light changes from YELLOW to GREEN and the counterparty's traffic light changes from BLUE to GREEN. Before changing to GREEN status, the system checks that the intercompany amounts are balanced, showing the relative causes in a dedicated window. The Consolidator can submit the relationship in any case.	Only for entities with YELLOW status when the other entity is BLUE
Unlock IC data	The traffic light changes from BLUE to YELLOW. The user does not make the relationship available for submission and wants to continue to insert IC entries.	Only for entities with BLUE status
Reject IC data	Both traffic lights (that of the declaring entity and that of the counterparty) change from GREEN to YELLOW. This operation can only be run by the relationship Consolidator.	Only for entities with GREEN status
Show relationship activities	Opens a window that shows the history of activities carried out on the relationship (user, operation type, duration, date).	Only from the menu opened from the indicator
Show managers	Opens a window that lists the users authorised to run activities on the relationship. Certain users can be hidden using the **Exclude from the managers list in the IC cockpit** option in the user settings table.	Only from the menu opened from the indicator

***IMPORTANT**: only from **Actions on multiple relationships**, the **Lock/Submit IC data** action allows you to submit the relationship in a single action, provided that submission rights on both entities.*

Activities from the balancing indicator

The balancing indicator displays a menu to run the following operations. Only the operations available for each relationship/IC matching logic are shown.

Operation	Description
Edit IC	Only displayed if the relationship submission step has not started yet, or if the two entities in the relationship have WHITE or YELLOW status. Opens an editable window to manage IC entries and the reconciliation accounts inserted by the entities in the relationship. See IC entry management page.
Show IC	Only displayed if the relationship submission step has started, or if one of the two entities in the relationship has BLUE status or both of them have GREEN status. Opens a read-only window showing the IC entries and reconciliation accounts inserted by the entities in the relationship. See IC entry management page.
Details	Only shown if the Show P&L on periodic data option is selected when the cockpit is opened (see **IC cockpit opening window**) or in the case of IC matching logics whose conversion type is at the period average FX rate. Opens a read-only window with the amounts and totals converted into the cockpit currency.
Further information	Opens the **Comments** page to insert comments, load or remove attachments justifying the values inserted. Every comment refers to the set of IC entries identified by the traffic light. these comments can be used to add historical information on the data submission.
Manual matching	This needs the component related to **Transaction Matching** to be active. Opens a window to match the intercompany relationships at the transaction level. The non-matched relationships are shown and you can match them manually For more documentation on Transaction Matching, see the specific documentation available in the CCH Tagetik community.
Review matching	This needs the component related to **Transaction Matching** to be active. Shows in read-only mode the reports that have already been matched manually at the transaction level.

IC entry management page

IC cockpit > balancing indicator of an amount > Edit IC/Show IC

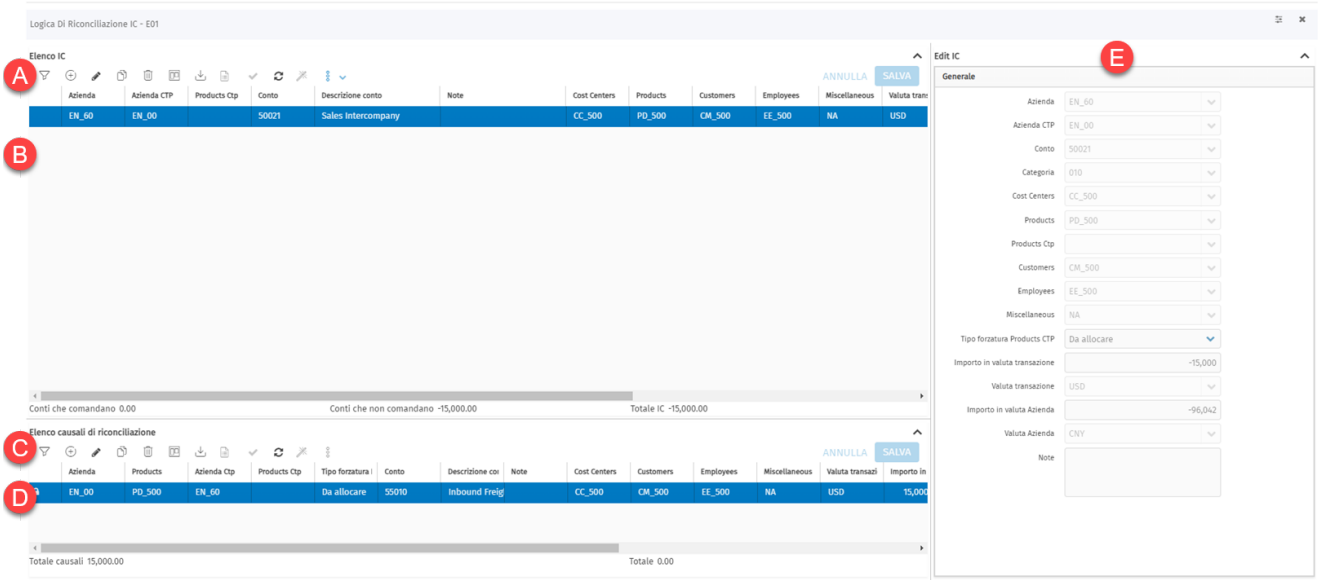
Purpose of the page

The purpose of this page is to display and potentially manage the IC entries inserted by the entities in the relationship.

If...	Then...	AND...
an editable IC entry has been selected.	only the **Edit IC** menu option will be available.	the page shows the **Edit IC** tab and allows you to manage the IC entries inserted by the entities in the relationship by inserting or editing the relative data.
a non-editable IC entry, or a relationship that is ready to be submitted or has already been submitted has been selected.	only the **Show IC** menu option will be available.	the page will show the **Show IC** tab and show information on the IC entries in read-only mode.

***Note**: if the "**Eliminate / Match for single currency**" option is active for the IC matching rule and the "**Ignore currency**" option is deactivated in the cockpit opening window, the IC lists and reconciliation accounts will be displayed for the individual currency.*

What it looks like



Element	Description
A	IC declarations tool bar
B	List of IC declarations inserted by the entities
C	Reconciliation accounts tool bar
D	Reconciliation accounts list
E	Panel with a list of IC declarations or reconciliation accounts

Actions on this page

Element	Description
	If possible, it allows you to edit the data in the relevant section.
	Allows you to run, as a check, the validations that the system runs on saving. Among other things, this checks that the user has inserted all the mandatory elements and provides a detailed warning if necessary.
	**Comments on the IC data**: Only available in the intercompany declarations tool bar. Opens a window to insert comments, load or delete attachments related to the values inserted for the IC entry.

Fields in the IC list section

This section allows you to view and manage the intercompany declarations between the two entities of the relationship.

Field	Description
Entity	Entity declaring the Intercompany amount
CTP entity	Entity to which the declaration is made
Account	Account, which allows IC amounts from configuration, on which the declaration is made
Category	Category on which the IC declaration was inserted, belonging to the process, the cockpit and the IC matching logic
Custom dimensions	Custom dimensions on which the IC declaration was inserted. Only shown if enabled in configuration and only if the **Manage custom dimension on amounts** option is active in the process's advanced rules.
CTP Custom dimension 2	Custom dimension 2 to which the declaration is made. Only shown if the cockpit's Relationship Type is Entity / Custom Dimension 2, if enabled in configuration, and if the **Manage custom dimension 2 on amounts** option is active in the process's advanced rules.

Field	Description
CTP custom dimension 2 override type	Override type for the counterparty custom dimension 2: • **to allocate** • **none** • **override** Only shown if the cockpit's Relationship Type is Entity / Custom Dimension 2, if custom dimension 2 is enabled in configuration, if IC spreading is active and function 0002274 is enabled for the user
Transaction currency	Transaction currency. Only shown if the transaction currency is managed on IC amounts in the gross amounts rules and the process's IC amounts. If not filled in, it will be defined as the entity currency.
Transaction currency amount	Amount expressed in the transaction currency. Only shown if the transaction currency is managed on IC amounts in the gross amounts rules and the process's IC amounts. If not filled in, it will be defined as the amount in the entity currency.
Entity currency amount	Amount expressed in the currency of the declaring entity
Entity currency	The currency of the declaring entity
Cockpit amount	Amount in transaction currency converted into the cockpit currency
FX rate diff.	Difference between the amount in the entity currency converted into the cockpit currency and the amount in the transaction currency converted into the cockpit currency
Notes	Any explanatory notes on the IC declaration
Adjustments	Indicates whether the IC declaration relates to an entity journal.

The following additional fields are only shown if the **Enable additional fields on IC** option is not set to "No" in the process rules (see Amount & Intercompany rules in the Data Entry section).

Field	Description
Invoice number	Identifier of the original document. Used by the automatic relationship procedure to relate documents that have the same number to each other.
Invoice date	Document date. Used by the automatic relationship procedure to relate documents that have the same date to each other.
Accounting date	Date on which the document was booked.
Document Type	Type of document (document, invoice or accrual)
Sent/Received	Indicates whether the document has been sent or received.
Invoice matching number	Number updated by the automatic invoices relationship procedure. This can be edited manually for manual matching.

Fields in the Reconciliation accounts list section

This section allows you to view and manage the inserted reconciliation accounts between the two entities in the relationship.

The displayed data can be edited under the following conditions:

- Both entities must have declared the insertion of IC data to be complete, unless the **Allow the insertion of reconciliation accounts with IC data entry in progress** option has been enabled in the process (see Amount & Intercompany rules page).
- The entity to which the reconciliation accounts inserted in the cockpit are attributed must be indicated in the **Accounts inserted by**" field present on the relevant IC matching rule and this field is defined as follows:
  - **Entity that has primary accounts** (default): only the entity that has made declarations on a "primary account" can justify the difference in the declarations on reconciliation accounts.
  - **Entity that has dependent accounts**: as above, but in this case the entity is the one that made declarations on the "dependent accounts".
  - **Both**: both entities can insert amounts on the reconciliation accounts. This option ensures the greatest possible flexibility in the matching process.

The displayed fields are the same as those in the IC list section (Fields in the IC list tab), with the following exceptions:

Field	Description
Account	Accounts defined as reconciliation accounts for the relevant IC matching rule
Category	By default, the “Reconciliation accounts category” indicated in the IC cockpit definition
Adjustments	Not present

IC cockpit reports

Introduction

Various reports can be generated from the IC cockpit in order to check data and understand the reasons why IC declarations have not been related or balanced. The reports can be generated either on the contributor side or the consolidator side, based on the data that can be seen in the cockpit.

To generate this report, you must first run the relative data processing, which is only available under the following conditions:

- the cockpit includes matching logics with 'Invoice matching' option enabled (see IC Matching and Elimination Logics)

-the Enable additional fields on IC option in the process rules is not set to 'No' (see Amount & Intercompany rules in the Data Entry module)

IC matching cockpit report

This report displays the intercompany rows that contribute to the result shown in the IC cockpit. In this report, you can highlight the result by relationship and view additional information (notes and information for each document).

This report shows the following information:

- intercompany data
- the reconciliation accounts inserted to balance those data
- the FX rate differences resulting from the conversion of data to the currency used to view them in the cockpit.

The amounts and any subtotals displayed in the report are converted into the cockpit currency and shown as follows:

If...	Then...
the **Show P&L on periodic data** option is selected on opening the cockpit.	the amounts are shown considering the periodic (monthly) value rather than the cumulated value. ***Note**: this option only has an impact on matching logics with a Profit & Loss or Other Variations accounts filter.*
matching logics at the period average FX rate are present in the cockpit.	for those logics, the amounts are shown with a different FX rate applied for every period of the year.

Particular cases for single submission processes

For single submission processes, if you choose to export all scenarios/periods, for logics at the period average FX rate or in case of periodic display, the data of every scenario/period are calculated taking account of the period length of the individual scenario/period. If the IC cockpit has been opened with scenarios/periods displayed in columns, there may be different data from the data generated by the report because, in the IC cockpit, the data of every scenario/period are shown considering the period length of the last significant scenario/period of the process.

IC matching cockpit report by custom dimension

This report displays the intercompany rows that contribute to the result shown in the IC cockpit, highlighting the results by custom dimension.

To run the report, you must indicate the custom dimensions for which you want to view the subtotals. You can also ask to view only unbalanced relationships by custom dimension.

If the IC cockpit is opened with relationship type set to “by entity/custom dimension 2”, you cannot highlight the result for custom dimension 2, since the relationships are identified by entity/custom

dimension 2 - CTP entity/CTP custom dimension 2, and therefore the highlighting of custom dimension 2 is already implicit.

This report shows the following information:

- intercompany data
- the reconciliation accounts inserted to balance those data
- the FX rate differences resulting from the conversion of data to the currency used to view them in the cockpit.

The data are grouped according to the chosen custom dimensions.

The amounts and any subtotals displayed in the report are converted into the cockpit currency and shown as follows:

If...	Then...
the **Show P&L on periodic data** option is selected on opening the cockpit.	the amounts are shown considering the periodic (monthly) value rather than the cumulated value. ***Note**: this option only has an impact on matching logics with a Profit & Loss or Other Variations accounts filter.*
matching logics at the period average FX rate are present in the cockpit.	for those logics, the amounts are shown with a different FX rate applied for every period of the year.

Particular cases for single submission processes

For single submission processes, if you choose to export all scenarios/periods, for logics at the period average FX rate or in case of periodic display, the data of every scenario/period are calculated taking account of the period length of the individual scenario/period. If the IC cockpit has been opened with scenarios/periods displayed in columns, there may be different data from the data generated by the report because, in the IC cockpit, the data of every scenario/period are shown considering the period length of the last significant scenario/period of the process.

FX rate differences detail report

This report allows you to check the data and understand the reasons why IC declarations have not been related. To generate this report, you must first run the relative data processing, which is only available under the following conditions:

- matching logics with the **Invoice matching** option enabled must be present in the cockpit (see IC Matching and Elimination Logics tab)
- the **Enable additional fields on IC** option must not be set to “No” in the process rules (see Amount & Intercompany rulesAmount & Intercompany rules in the Data Entry section)

Particular cases for single submission processes

For single submission processes, if you choose to export all scenarios/periods, for logics at the period average FX rate or in case of periodic display, the data of every scenario/period are calculated taking account of the period length of the individual scenario/period. If the IC cockpit has been opened with scenarios/periods displayed in columns, there may be different data from the data generated by the report because, in the IC cockpit, the data of every scenario/period are shown considering the period length of the last significant scenario/period of the process.

Manual reconciliation accounts detail report

This report shows the reconciliation accounts inserted to balance the intercompany data present in the IC cockpit which require the consolidator’s approval in the account submission step. These are the reconciliation accounts above the threshold specified in the IC matching logic.

Report on IC set notes

This report shows the notes inserted on the “IC sets” (IC relationship/matching logic) shown in the intercompany cockpit.

Report on IC data notes

This report shows the notes linked to the intercompany data used for the IC cockpit calculation.

Invoice matching report

This report allows you to check the data and understand the reasons why IC declarations have not been related. To generate this report, you must first run the relevant data processing (see IC matching by invoice).

This report contains the following information:

• matched IC declarations

• unrelated IC declarations

You can decide whether to view only related IC declarations that are balanced, or only those which are unbalanced.

Link cockpits and processes

Insert an IC cockpit into the process

Operational database > Processes tile > select process > > Process D efinition (Data Processing Section) > Basic Consolidation > IC eliminations and matching >

This procedure allows previously created IC cockpits to be associated with the processes and step (see IC Cockpit Creation).

1. On the **Eliminations and IC matching** page, in the **IC cockpits** section, click **Add IC cockpit**: the fields necessary for selecting the desired cockpit will appear.
2. In **Cockpit**, select the cockpit to be associated with the process.
3. In **Step**, select the desired step.
4. Click **Save**.
5. To see the matching logics involved, click **IC matching logics - Definition result**.
6. To see the categories involved, click **Categories - Definition result**.

This page allows you to configure IC cockpits so you can relate them to steps of the process and thus check the intercompany matching and elimination procedure via an IC matching cockpit.

Invoice IC matching

Introduction

Limiting the IC matching process to the relationship between entities may not be sufficient. Therefore, it may be necessary to work at a more detailed level, managing certain additional information such as the date and invoice number.

In such cases, it is useful to have a tool that simplifies the process of invoice matching between the IC declarations of an entity and the declarations of a counterparty on the basis of information related to the invoice. A dedicated report allows you to check the related and unrelated IC declarations; see Invoice matching report.

Activate invoice matching

To activate the invoice matching, you have to:

- Select the **Invoice matching** option in the **Matching** tab for the desired logics; see IC Matching and Elimination Logics tab.

- Active the collection of additional information for IC declarations (see the Amount & Intercompany rules page in the Processes section).

IMPORTANT: the matching logic must have primary accounts and dependent accounts.

Run IC matching by invoice

Once the additional information on the invoice has been collected, it is possible to run the matching data processing.

Processes tile > select process > Contributor > Detail summary tab > (Actions) IC Cockpit

Navbar > Processes & Workflows > Process > select process > Contributor > Detail summary tab > (Actions) IC Cockpit

Processes tile > select process > Consolidator > Detail summary tab > (Actions) IC Cockpit

Navbar > Processes & Workflows > Process > select process > Consolidator > Detail summary tab > (Actions) IC Cockpit

from a workflow task > select task that requires the running of the IC cockpit > Run

1. From the IC matching cockpit, select the desired relationships.
2. Click > IC  **matching by invoice - Data processing.** See IC matching by invoice.

The data processing automatically feeds the **Invoice Matching Number** field of the IC declarations of both Entities involved in the matching logic.

Manually match an IC declaration by invoice

In some cases, automatic matching between IC declarations is not possible. This happens, for example, if an entity has inserted the booking date instead of the invoice date.

IC cockpit > balancing indicator of an amount > Edit IC/Show IC

1. Select the desired declaration.
2. In the **Edit IC** panel, insert the same number used in the counterparty entity's IC declaration in the **Invoice matching number** field.

Note: Invoice matching numbers generated by the system can be edited, but the number inserted manually cannot start with $.

Interactions on the IC matching process

The invoice matching process does not affect the general IC matching process. This means that you can declare that the IC insertion is complete, or submit the relationships even if not all of the IC declarations are balanced. The insertion of additional fields does changes nothing, neither at the IC matching cockpit level nor at the elimination journal level.

While the invoice matching process is influenced by the IC matching process, the matching data processing can only be run before the account is ready for submission (one entity with a BLUE traffic light, another entity with a YELLOW traffic light).

IC matching by invoice

(from the IC cockpit) select the desired relationships > > IC relationship by invoice > Data processing

(from the IC cockpit) select the desired relationships > > IC relationship by invoice > Data processing

Purpose of window

This window allows you to configure the run parameters of the matching by IC invoice data processing.

Fields in window

Field	Description
Dimensions to analyze	Dimensions to be assessed in the IC declaration matching step of the entity with journals on primary accounts with the IC declarations of the entity with journals on dependent accounts. The available dimensions are: • Amount • Invoice number • Invoice date It is not possible to select only Amount. If the values of the selected dimensions fields are equal, CCH Tagetik feeds the **Invoice matching number** field of the IC declarations of both entities involved in the matching logic. The invoices are matched automatically by generating a matching number made up of the $ symbol followed by a sequential number. For non-matched IC declarations, no matching number is generated and the field remains empty.
Tolerance threshold for the amount matching	Threshold of tolerance on the difference between the amounts for which certain IC declarations are not matched. This is useful, for example, to avoid considering all decimal numbers. The threshold currency is the currency defined as preferred in the list of currencies (see Currencies list in the section on the Data Model).
Matching mode	**Sum up IC declarations:** 1. CCH Tagetik calculates the total for the selected dimensions. 2. The system assigns the same invoice relationship number to the declarations that satisfy the relationship rules only if the sum of the entity's IC declarations and the primary accounts is equal to the sum of the entity's IC declarations and the dependent accounts. **For a single IC declaration:** 1. CCH Tagetik examines every declaration of the primary entity. 2. For each one, it examines the list of the dependent entity's declarations to find the first one that satisfies the matching rules and any threshold. **IMPORTANT**: in this case, the dependent entity's IC declarations that are being used can no longer be used by the system for another automatic relationship.
Keep manual matching	Cancels and regenerates the automatic relationships only, and the manual Invoice matching number defined by the user is maintained.

Working with IC Spreading

Introduction

The IC Spreading feature can be activated for processes on which you want to run Entity/Custom Dimension 2 matching, or those for which the Relationship Type is Entity/Custom Dimension 2. This is useful when you do not want to specify the counterparty custom dimension 2 in IC data entry.

This feature writes off the existing IC declarations and reallocates the amounts to CTP custom dimension 2 based on the declarations made by the counterparty, maintaining the original unbalanced amounts (see IC Spreading in).

IC Spreading can enabled by selecting the option **Show override CTP Custom Dimension 2 type** (see Amount & Intercompany rules page in the Processes section) and is run from the Contributor cockpit (see Actions section of the Detail summary and Steps tabs in the Processes section) by clicking on **IC Spreading**.

Working in the IC cockpit when IC Spreading is enabled

When IC spreading is enabled, if the IC cockpit is accessed with relationship type set to by Entity, the cockpit shows the data excluding rows whose origin is “IC Spreading”.

If, however, the IC cockpit is accessed with relationship type set to by Entity/Custom dimension 2, the cockpit only considers rows whose origin is “IC Spreading”, allowing you to see the data reallocated by the data processing.

Create IC Cockpits page

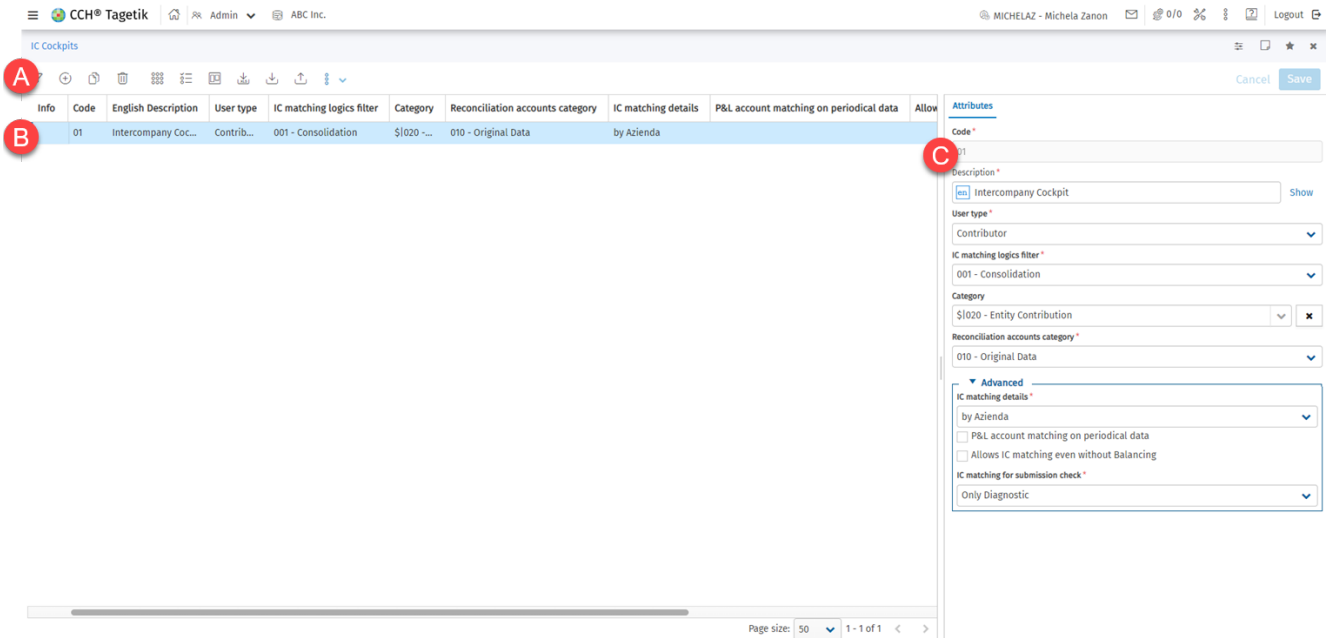
Data Processing tile > Basic Consolidation > IC matching and elimination logics > IC cockpit

Navbar > Data Processing tile > Basic Consolidation > IC matching and elimination logics > IC cockpit

Purpose of the page

This page allows you to configure IC cockpits so you can relate them to steps of the process and thus check the intercompany matching and elimination procedure via an IC matching cockpit.

What it looks like



Element	Description
A	Tool bar
B	List of configured IC cockpits
C	Tab for configuring the attributes of individual IC cockpits

Actions on this page

Element	Description
	**Reconciliation accounts for other accounting**: opens a page to configure the accounts, both debit and credit, to be used as the reconciliation accounts in the matching logics associated with the selected IC cockpit. These accounts are used when a relationship in the IC matching cockpit is locked/submitted. In fact, the system checks whether the reconciliation accounts are balanced for the various defined debit/credit account pairs. If the same account is specified as the debit and credit account, the balancing check is performed for the individual account.

IC cockpit attributes

Field	Description
Code	Unique code of the IC cockpit
Description	Description of the IC cockpit in all enabled system languages
User type	Defines the type of user that can use the cockpit (Contributor or Consolidator). “Consolidator” IC cockpits cannot be accessed from the contributor cockpit.
IC matching logics filter	Specifies a group of IC matching and elimination logics managed in the IC cockpit.
Category	Specifies the categories on which to insert intercompany entries in the IC cockpit. You can specify a single category or a group of categories. They also depend on the user type. **User type** / **Category that can be selected** Contributor / Amount or entity journals Consolidator / Consolidator amount or consolidator entity journals If nothing is specified, all available categories that are consistent with the selected user type will be considered. In the IC matching cockpit, these categories are intersected with those of the child matching logics of the selected **Matching logics filter**.
Reconciliation accounts category	Specifies the default category on which to insert the reconciliation accounts in the IC cockpit. They depend on the type of user. **User type** / **Category that can be selected** Contributor / Amount or entity journals Consolidator / Consolidator amount or consolidator entity journals The following restrictions must be respected: **If the Category field is...** / **Then the Reconciliation accounts category must be...** a single category / the same category a group of categories / part of the same group Not set, or “$ALL - All elements” / some of the selected **IC matching logics filter** child reconciliation logic categories. In the IC matching cockpit, this category is intersected with those of the child matching logics of the selected **IC matching logics filter**.

Field	Description
Advanced	
IC matching details	Specifies the matching method. • *by Entity* (default) • *by Entity / Custom Dimension 2* to match the intercompany entries at a more detailed level than the entity level.  *For example, use this for entities that operate in various sectors where you want to aggregate the data by line of business.* ***Note**: in the IC matching cockpit, matching by Entity / Custom Dimension 2 is only allowed if the Relationship Type is also Entity / Custom Dimension 2 for the data collection process.*
P&L account matching on periodical data	If selected, the IC matching cockpit shows the amounts considering the periodic (monthly) value instead of the cumulated value. Only valid for P&L accounts and variation accounts. The following actions are possible from the IC cockpit: • View the periodic values with amounts converted to the Cockpit amount. However, the displayed IC entries cannot be edited. • View the cumulated IC entries and insert the transactions for the period.
Allows IC matching even without Balancing	If selected, the IC matching cockpit allows you to match a relationship without balancing on one or several matching logics. In particular: • It is not necessary to make the IC insertion complete declaration for the entities of the relationships. • If you block/submit a relationship, the balancing of matching logics is not verified.
IC matching for submission check	Indicates the severity to be attributed to matching errors detected by the diagnostics. ***Note**: IC matching diagnostics only check that all the possible relationships calculated/calculable by the cockpit have been matched.* • **Do not run** (default). The diagnostics does not run the IC matching check. • **Non blocking**. The check is run and the unmatched relationships are marked with Non-blocking severity. • **Blocking**. The check is run and the unmatched relationships are marked with Blocking severity. • **Only Diagnostic**. The check is only performed if requested by the running customised diagnostics. When diagnostics are run automatically from the cockpit or from other data processing, the check is not performed.

Ownership structure register: basic concepts

Contents

This section covers the following topics:

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Account configuration for the ownership structure register 190
Owned entity net equity 190
FX rates definition 192

Ownership structure register

Introduction

The *ownership structure register* describes the history of the shareholding relationships between companies forming part of a group. In particular, in a given relationship, the register specifies not only the parent entity (owner) and child entity (owned entity), but also detailed financial information. For this information to be available and accessible at all times, it is necessary to track all events that change relationships between group entities. In particular, it is necessary to record the following variations, called *financial investment events*:

- shares acquired from minorities
- shares sold to minorities
- capital increases
- changes to shareholdings

Relationship Type between owned entity and owner entity

The possible relationships between an owned entity and an owner entity can be expressed as follows:

Element	Description
By entity	Entity/entity relationship
By entity - custom dimension 2	Entity/custom dimension 2 relationship

The shareholding relationship type is defined in the advanced rules for journals associated with the process for which the ownership structure register is managed. You can use the generic rules or override them for individual processes.

***IMPORTANT**: if using processes with "By entity" or "By entity/Custom dimension 2" relationship types, you should use at least two different event scenarios, one per process type. If the same event scenario can be used for processes with different relationship types, the ownership structure register can only be managed if the user is authorised on the entity's default custom dimension.*

Ownership structure register management types

Management of the ownership structure register is not mandatory in CCH Tagetik. The following options are available:

Management type	Description
Full management	• Automates the calculation of minority interests. • Runs equity valuations. • Generates financial investment/net equity eliminations for individual financial investment events with automatic goodwill calculation. This management type is recommended for statutory consolidated financial statements.
Relationships and percentages only	• Automates the calculation of minority interests. • Runs equity valuations. • Does not automatically generate financial investment/net equity eliminations for individual financial investment events This management type is not suitable for complex statutory consolidated financial statements.
No management	• Only calculates minority interests if the percentage shares are calculated manually by the user and overridden in the consolidation area. • Does not automatically run financial investment/net equity eliminations for individual financial investment events, or equity valuations. This management type is only suitable for consolidated financial statements in the management setting, especially if they only comprise the Profit and Loss.

Data managed in the ownership structure register

The following types of data are managed in the ownership structure register:

Data type	Description
Shareholding relationships with ownership percentage	Allow you to automate the calculation of minority interests and run equity valuations. Without these data, the user has to automatically calculate the percentage shares in group entities and override those values on the consolidation area.
Financial investment carrying values	These indicate the value of the owner entities' financial investments, with the relative FX rates. These allow you to generate eliminations for individual events.
Net equity values	These indicate the net equity value of the owned entities, with the relative FX rates. These allow you to generate eliminations for individual events.

***Note**: eliminations can also be carried out considering the financial investments as normal intercompany entries. However, automatic mechanisms cannot be used in this mode.*

Specific features of financial investment data

Data related to financial investment relationships are not entered by scenario/period but by process. Specifically, they are entered on the event scenario (which is a fictitious scenario) associated with the process. This makes it possible to define different shareholding relationships depending on the data collection process being run. This management type is particularly advantageous in statutory settings where the shareholding relationships are very detailed compared with management settings, where the ownership structure register is not used or is used in a shortened form.

Financial investment events

For every financial investment event, the following information must be registered:

Element	Description
Event	Type and description of the event that occurred (see Financial investment events).
Financial investment entry	Value of the change in the financial investment due to the event (see Financial investment entry).

Element	Description
Owned entity net equity	Net equity of the owned entity when the value of the financial investment changed (see "Owned entity net equity" below).
FX rates linked to the event	(Only if the entities involved have the same currency or have a currency other than the consolidation currency) Generic FX rates linked to the event, which the system uses to generate the financial investment eliminations (see FX rates definition).
Specific FX rates	(Only if the entities involved have the same currency or have a currency other than the consolidation currency) FX rates for the net equity and financial investment accounts. These will be used to override the FX rates that are valid for all event accounts (see FX rates definition).

To insert a financial investment event, the following preparations must be made:

- The ownership structure register accounts must be defined (see "Account configuration for the ownership structure register" below).
- The type of relationship between the owner entity and the owned entity must be defined (see "Relationship Type between owned entity and owner entity" on page 188).

Change in the consolidation area

If changes to the ownership structure register take place, it may be necessary to update the outcome of the definition of non-locked consolidation areas linked to the selected process. The change in the consolidation area has material consequences. Changing the consolidation scope changes the entities involved in consolidation and the percentage by which they are influenced by it. To update, use the **Update Consolidation areas** function (Ownership Structure Register page). With this operation, CCH Tagetik checks the consolidation area definition table and updates the entities' percentages according to the detected changes.

Whenever the consolidation area is changed, it may be necessary to rerun the data processing from the consolidator cockpit to obtain results that are consistent with the new scope. See the Consolidator cockpit in the Processes module.

Account configuration for the ownership structure register

Introduction

To manage the accounts to be used in the ownership structure register, the following must be defined:

- the accounts to be used for the valuation of the owned entity's net equity or its variation
- the accounts to be used to register the values of the owner entity's financial investments

Net equity valuation

For every normal or variation balance sheet account that can be used in defining the owned entity's net equity, you must indicate whether the account must be used on the ownership structure register.

Registering the values of financial investments

For every normal or variation balance sheet account that can be used in defining the value of the financial investment, you must indicate whether the account must have the following characteristics:

- it is part of the ownership structure and therefore is considered when defining the value of the financial investment;
- it is considered for the loading of financial investments.

Owned entity net equity

Introduction

For all events in which the ownership percentage changes, or the carrying value of the financial investment changes, it is necessary to define the owned entity's net equity value when the financial investment is entered.

Defining the owned entity's net equity

The value to be entered as the net equity depends on the type of entry.

Variation type	Net equity value
The ownership % changes when compared with the previous event.	Enter the owned entity's net equity value prior to the event. This value is entered on the "Normal" accounts.
Only the owned entity's net equity changes (increase or decrease in the share capital subscribed by the group)	Enter the change in net equity related to the event. This value is entered on the "Variation" accounts.
Both entries are checked (purchase or sale of a share by minorities or to minorities, revaluation or write-down of the financial investment)	Enter the owned entity's net equity value before the event. This value is entered on the "Normal" accounts. Enter the change in the owned entity's net equity value after the event. This value is entered on the "Variation" account.

Example of a new acquisition

On 2 January 2022 a new acquisition is completed: company A00 buys 50% of company B00 for a value of 28,000 euros.

In this case, the ownership percentage changes from zero to 50. Therefore, in company B00's net equity valuation, it is necessary to enter the appropriate amounts on the "Normal" net equity accounts. If, for example, the owned entity's net equity accounts are "Issued capital" and "Other reserves", it is necessary to insert two rows on those accounts indicating a value equal to their value before the event.

Example of a capital increase

On 2 January 2023 company B00 increases its share capital by 7,000 euros and owner entity A00 subscribes that increase in proportion to the share that it owns.

In this case, there is a change in the owned entity's net equity value, with a consequent increase in the value of the financial investment from 28,000 to 31,500 (28,000 + 7,000*0.5). However, the ownership % does not change. Therefore, in company B00's net equity valuation, it is necessary to enter the appropriate amounts on the "Variation" net equity accounts (e.g. Capital - Variation - Variations).

Example of a share purchase

On 15 March 2023 company A00 purchases a further share in company B00, sold by minorities, thus increasing its ownership % to 65%, and the new carrying value of the financial investment is 65,000 euros.

In this case, there is a change in the owned entity's net equity value, with a consequent increase in the value of the financial investment from 31,500 to 65,000, but also an increase in the ownership %. In this case, in company B00's net equity valuation it is necessary to enter both B00's net equity value before the event (on the normal accounts) and the variation in the owned entity's net equity after the event (this value is entered on the "Variation" accounts, e.g. Capital - Variation - Variations).

The following events are obtained:

Owner entity	Owned entity	Type event	Date	% Own.	Carrying Value	Carrying Value difference
A00	B00	Initial consolidation	02/01/2022	50	28,000	28,000
A00	B00	Additional acquisition	02/01/2023	50	31,500	3,500
A00	B00	Additional acquisition	15/03/2023	65	65,000	33,500

FX rates definition

Introduction

To complete the ownership structure register setup, FX rates must be defined. This is necessary every time the shareholding relationship involves two entities with different currencies or two entities that use a currency other than the consolidation currency.

CCH Tagetik uses these FX rates to generate financial investment eliminations.

FX rate types in relation to events

FX rate type	Description
Generic FX rates	FX rates are associated with the event that the system uses to generate the financial investment eliminations. FX rates are used by the accounts specified in the **Financial investments** and **Net equity** tabs in the event details.
Account specific FX rates	These rates override the FX rates for individual accounts inserted in the ownership structure register for the event. This override may be necessary in order to reconstruct consolidated accounts prepared using other consolidation tools or to set up a situation of historic FX rates that would be impossible manage using a single event FX rate.

For details, see the Event Data page.

FX rates are used by the FX Rate Loading procedure and for converting financial investment and Net equity elimination journals into the consolidation currency. See FX rate loading to consolidation scenarios data processing in the module on Consolidation.

> ***Note**: it is not necessary to insert FX rates for derived currencies. The fixed coefficient indicated on the list is always valid in relation to the reference currency.*

Ownership structure register events

Contents

This section covers the following topics:

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Other types of event 203
Assignment events: intragroup assignments 205

Financial investment events: introduction

Background

To correctly manage financial investment events, the user must specify the process to which they are linked, or the event scenario in which to insert the specific events. The event scenario is a fictitious scenario which allows you to manage events by date. This allows you to define different financial investment scenarios depending on the data collection process This management is particularly useful in statutory situations in which ownership relations are very complex. On the contrary, in managerial areas , the ownership structure register is less important and included in a shortened form or not included at all.

Financial investment entry

The financial investment entry, namely its value, must be defined for every financial investment event. However, do not enter the total value of the financial investment entered in the financial statements in relation to the owned entity, but only the relative variance of the shareholding relationship when the event occurred. Thus, said value will not be loaded onto the normal financial investment accounts, but the variation accounts.

Event types

Every financial investment event entered in the ownership structure register is associated with an **event type**, i.e. information on the type of operation to which the event relates. Based on the event type, CCH Tagetik automatically generates the journals deriving from the elimination logic applied to eliminate the net equity from the ownership structure register and manage the Goodwill calculation within those journals.

In particular, in CCH Tagetik you can manage the following event types:

- Full Goodwill events, see Full Goodwill events
- Non-Full Goodwill events, see Non-Full Goodwill events.
- Capital events, see Other.
- Mergers, see Other.
- Assignments, see Assignment events: intragroup assignments.
- Other events, see Other.

Direct ownership percentage

Indicates the percentage of the owned entity possessed by the owner entity (after the event). The ownership percentage will vary depending on the characteristics of the financial investment event.

Financial investment event	Ownership percentage
Initial acquisition	The ownership percentage held by the owner entity in the owned entity following the subscription of the financial investment
Purchase or sale of a share by minorities or to minorities	New ownership percentage. This will be higher or lower than the percentage specified in the previous event.
Capital increase or decrease subscribed by the group	Percentage specified in the previous event, since this event does not change the ownership percentage.
Financial investment revaluation or write-down	Ownership percentage specified in the previous event.
Deconsolidation	Ownership percentage equal to 0.
Merger (merged Owner entity) - initial consolidation	Ownership percentage by which, in the new shareholding relationship, the merging entity (owner) possesses the child entities of the incorporated entity (owned entity).
Merger (merged owner entity) - deconsolidation	Ownership percentage equal to 0.
Merger - Owned entity incorporated in owner entity	Ownership percentage equal to 0.
Merger (merged owned entity) - initial consolidation	Ownership percentage which, in the new shareholding relationship, the owner holds in the entity that has incorporated one of its owned entities.
Merger (merged owned entity) - deconsolidation	Ownership percentage equal to 0.

Goodwill calculation

Goodwill is calculated as the difference between the overall price incurred for the acquisition of the entity and the current value attributed to the asset and liability items that make up the entity.

Goodwill can be calculated according to two different methods:

Method	Description
Traditional	Goodwill is calculated as the difference between the price paid for the purchase (value of the financial investment) and the owned entity's net equity.
Full Goodwill	This method is applied when, following the event, the owner entity acquires control over the owned entity. It therefore requires Goodwill to be calculated both for the group and for minorities. Full Goodwill constitutes the difference between the owned entity's real value (*fair value*) and its net equity when control is acquired.

Full Goodwill.

IFRS 3 (Business Combinations - Allocation of goodwill to the group and to minorities) is an international accounting standard governing the accounting of business combinations. According to this principle, *Goodwill* must be calculated as the difference between the financial investment acquisition cost and the owned entity's net equity value as at the acquisition date (Full Goodwill method).

the **Owned entity fair value (in credit)** is the owned entity's net equity value as at the acquisition date (and is therefore expressed at the current value).

This value only makes sense for events that entail the acquisition of control over an entity, or "Initial consolidation - with control - Full goodwill" and "Step up consolidation - control obtained - Full goodwill" events.

Note: the entered value must be have **same sign** used in the net equity accounts.

Updating Consolidation Areas linked to the process

When the ownership structure register is changed, it may be necessary to update the outcomes of the definition of non-locked consolidation areas linked to the selected process. Based on the consolidation areas definition table, CCH Tagetik is able to regenerate the table that deploys the entities forming part of the definition with the percentages updated according to the changes made to the ownership structure register.

Other information on events

For every financial investment event, the following additional information can be inserted:

- Assignment price for intragroup assignment events with a sales model. This figure is used by the financial investment eliminations data processing from the ownership structure register to generate the intragroup financial investment assignment journals.
- Other data purely for information purposes.

This information is inserted in the dedicated **Other information** tab on the event data page (see Event Data page).

Full Goodwill events

Initial consolidation - no control - Full Goodwill

This type of event is used for new acquisitions when these conditions are met:

- The owner entity does not acquire control of the owned entity (acquired entity).
- The group calculates the goodwill in accordance with the accounting standard IFRS 3 (Full Goodwill method).

The ownership structure register is fed as follows:

- The ownership % held by the owner entity in the owned entity.
- The value of the financial investment when the acquisition took place. This value is loaded onto a variation account, typically increases or other entries.
- The owned entity's net equity value in the last available financial statements. This value is loaded onto a variation account, but this loading is NOT mandatory.

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows
- Net equity elimination rows
- Goodwill account indicated in the financial investment elimination logic from the ownership structure register. CCH Tagetik calculates the difference between the value of the financial investment and the sum of the net equity accounts present in the elimination and writes that value on the variation goodwill account using the incoming or incoming/outgoing variation as the reason. If no variations have been created for the goodwill account, or the specific variation account has not been related to the process, the value is written on the normal goodwill account.

For this type of event, the Full Goodwill accounts are not defined, as the owner entity does not control the owned entity.

Initial consolidation - with control - Full Goodwill

This type of event is used for acquisitions when these conditions are met:

- The owner entity acquires control of the owned entity.
- The group calculates the goodwill in accordance with the accounting standard IFRS 3 (Full Goodwill method).

The ownership structure register is fed as follows:

- The ownership % held by the owner entity in the owned entity.
- The value of the financial investment when the acquisition took place. This value is loaded onto a variation account, typically increases or other entries.
- The owned entity's net equity value in the last available financial statements. This value is loaded onto a variation account, but this loading is NOT mandatory.
- The fair value of the acquired entity.

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows
- Net equity elimination rows
- Goodwill account indicated in the financial investment elimination logic from the ownership structure register. CCH Tagetik calculates the difference between the value of the financial investment and the sum of the net equity accounts present in the elimination and writes that value on the variation goodwill account using the incoming or incoming/outgoing variation as the reason. If no variations

have been created for the goodwill account or the specific variation account has not been related to the process, the value is written on the normal goodwill account.

- Rows related to the Full Goodwill calculation. The system calculates rows related to Full Goodwill by separating the group's part from the part owned by minorities and assigning the right offsetting entry to each of these rows. In particular, it considers the following percentages:
  - ownership % between the owner entity and the owned entity. The system applies this percentage to the difference between the fair value and the net equity value and writes that value onto the Group full goodwill account. This account is indicated in the financial investment elimination logic from the ownership structure register. The relative offsetting entry is made on the same goodwill account.
  - % owned by minorities (100 - % ownership). It applies this percentage to the difference between the fair value and the net equity value and writes that value onto the Minorities full goodwill account. This account is indicated in the financial investment elimination logic from the ownership structure register. The relative offsetting entry is made on the reserve account of the minorities or on the consolidation journals loading account present in the reversals rule associated with the process.

Step up consolidation - no control - Full Goodwill

This type of event is used for acquisitions when these conditions are met:

- The owner entity acquires a further share of an entity already belonging to the group without achieving a controlling position with the new acquisition.
- The group calculates the goodwill in accordance with the accounting standard IFRS 3 (Full Goodwill method).

The ownership structure register is fed as follows:

- The new ownership %.
- The value of the increase in the financial investment on a variation account when the new acquisition is made (typically increases or other entries).
- The acquired entity's net equity value. The value before considering the new acquisition (normal accounts).
- The acquired entity's net equity entries that were made when the new acquisition took place (variation accounts), are registered.

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows
- Net equity elimination rows. The variation accounts dedicated to the incoming or outgoing change in the consolidation scope that derives from the new ownership percentage are adjusted.
- Goodwill account indicated in the financial investment elimination logic from the ownership structure register. CCH Tagetik calculates the difference between the value of the financial investment and the sum of the net equity accounts present in the elimination and writes that value on the variation goodwill account using the incoming or incoming/outgoing variation as the reason. If no variations have been created for the goodwill account or the specific variation account has not been related to the process, the value is written on the normal goodwill account.

For this type of event, the Full Goodwill accounts are not defined, as the owner entity does not control the owned entity.

Step up consolidation - with control - Full Goodwill

This type of event is used for acquisitions when these conditions are met:

- The owner entity acquires a further share of an entity already belonging to the group over which it already has control.
- The group calculates the goodwill in accordance with the accounting standard IFRS 3 (Full Goodwill method).

The ownership structure register is fed as follows:

- The new ownership %.
- The value of the financial investment on a variation account when the new acquisition is made (typically increases or other entries).
- The acquired entity's net equity value. The value before considering the new acquisition (normal accounts).

- The acquired entity's net equity entries that were made when the new acquisition took place (variation accounts).

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows
- Net equity elimination rows. The variation accounts dedicated to the incoming or outgoing change in the consolidation scope that derives from the new ownership percentage are adjusted.
- Rows related to the group/minorities reclassification of Goodwill accounts
- Consolidation differences account

Full Goodwill is only generated for types of event which result in the acquisition of control by the owner entity of the owned entity. In events subsequent to the event related to the acquisition of control, where such control is in any case retained, it is sufficient to reallocate the share of the Full Goodwill belonging to minorities to the group.

To calculate the amount to be reallocated, the system applies the event's percentage variance (event percentage minus the previous event percentage) to the sum of the Group Full Goodwill and Minorities Full Goodwill accounts related to the previous event. The amount thus calculated is written off from the Minorities Full Goodwill account (offsetting entry reserves pertaining to minorities or on the consolidation journals loading account present in the reversals rule associated with the process) and reallocated to the Group Full Goodwill account.

The journal is then automatically balanced by adjusting the positive or negative consolidation differences account, based on the sign of the balancing row. That account is indicated in the financial investment elimination logics from the ownership structure register.

Step up consolidation - control obtained - Full goodwill

This type of event is used for acquisitions when these conditions are met:

- The owner entity acquires a further share of an entity already belonging to the group through which control of the entity involved is acquired.
- The group calculates the goodwill in accordance with the accounting standard IFRS 3 (Full Goodwill method).

The ownership structure register is fed as follows:

- The new ownership %.
- The value of the financial investment on a variation account when the new acquisition is made (typically increases or other entries).
- The acquired entity's net equity value. The value before considering the new acquisition (normal accounts).
- The acquired entity's net equity entries that were made when the new acquisition took place (variation accounts).
- The fair value of the acquired entity.

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows
- Net equity elimination rows. The variation accounts dedicated to the incoming or outgoing change in the consolidation scope that derives from the new ownership percentage are adjusted.
- Goodwill recalculation rows. CCH Tagetik calculates the difference between the value of the increase in the financial investment and the relative variance in the net equity eliminated in the journal and writes that value on the variation goodwill account using the incoming or incoming/outgoing variation as the reason. If no variations have been created for the goodwill account, or the variation account has not been related to the process, the value is written on the normal goodwill account.
- Rows related to the Full Goodwill calculation. The system calculates rows related to Full Goodwill by separating the group's part from the part owned by minorities and assigning the right offsetting entry to each of these rows. In particular, it considers the following percentages:
  - ownership % between the owner entity and the owned entity. The system applies this percentage to the difference between the fair value and the net equity value and writes that value onto the Group full goodwill account. This account is indicated in the financial investment elimination logic from the ownership structure register. The relative offsetting entry is made on the same goodwill account.
  - % owned by minorities (100 - % ownership). It applies this percentage to the difference between the fair value and the net equity value and writes that value onto the Minorities full goodwill account. This account is indicated in the financial investment elimination logic from the

ownership structure register. The relative offsetting entry is made on the reserve account of the minorities or on the consolidation journals loading account present in the reversals rule associated with the process.

Partial disposal - no control - Full goodwill

This type of event is used for assignments when these conditions are met:

- The owner entity sells a share in the ownership of an entity that it does not control.
- The group calculates the goodwill in accordance with the accounting standard IFRS 3 (Full Goodwill method)

The ownership structure register is fed as follows:

- The new ownership percentage.
- The value of the decrease in the financial investment when the assignment is made on a variation account (typically decreases or other entries).
- The sold entity's net equity value – amount prior to the assignment event (normal accounts).
- The sold entity's net equity entries that were made when the event occurred (variation accounts).

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows
- Net equity elimination rows. The variation accounts dedicated to the incoming or outgoing change in the consolidation scope that derives from the new ownership percentage are adjusted.
- Rows related to Goodwill loading. Goodwill loading is carried out because the assignment causes a reduction in the owner entity's percentage ownership of the owned entity. The system defines the Goodwill account (Normal and Variation) by calculating the amount to be loaded. This amount is equal to the value of the Goodwill from the journal times the variance in the ownership percentage. In case of event journals, this calculation takes account of all the goodwill present in that relationship's elimination journals (preceding the event). The adjusted variation account is the account dedicated to changes in the ownership percentage (reductions).
- Capital gains/Capital loss account. The assignment of a share in the ownership of an entity may generate unbalanced entries, due to a positive or negative difference between the value of the financial investment sold and the net equity assigned. To balance the journal, the Capital gains/Capital loss account specified in defining the financial investment elimination logics from the ownership structure register. The value of that entry, attributed to the seller entity (i.e. the owner), equals the unbalanced amount (calculated taking account of all amounts on the financial investment, net equity and goodwill accounts in the journal) of the opposite sign.
- Profit reversal reserve account on consolidation journals. This is the consolidation journals loading account present in the reversals rule associated with the process. The same amount calculated for the capital gain/capital loss entry is written off from the reversed reserves of the seller entity and reallocated to the sold entity for the purposes of fair distribution.

Partial disposal – control retained – Full goodwill

This type of event is used for assignments when these conditions are met:

- The owner entity sells a share in the ownership of an entity that it controls.
- The group calculates the goodwill in accordance with the accounting standard IFRS 3 (Full Goodwill method).

The ownership structure register is fed as follows:

- The new ownership percentage.
- The value of the decrease in the financial investment when the assignment is made.
- The sold entity's net equity value – amount prior to the assignment event (normal accounts).
- The sold entity's net equity entries that were made when the event occurred (variation accounts).

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows
- Net equity elimination rows. The variation accounts dedicated to the incoming or outgoing change in the consolidation scope that derives from the new ownership percentage are adjusted.
- Goodwill account
- Rows related to the group/minorities reclassification of Full Goodwill accounts
- Capital gains/Capital loss account

- Profit reversal reserve account on consolidation journals
- Consolidation differences account

The system must reallocate the share of the Full Goodwill belonging to minorities to the Group. To calculate the amount to be reallocated, the system applies the event's percentage variance (event percentage minus previous event percentage) to the sum of the Group Full Goodwill and Minorities Goodwill accounts related to the previous event. The amount thus calculated is written off from the Group Full Goodwill account and attributed to the Minorities Full Goodwill account. Then an adjustment entry is generated on the minorities reserves (already present in the journal) for the same amount (Minorities reserve - Consolidation adjustments loading account present in the reversals rule associated with the process).

The system also adjusts the Goodwill account and the consolidation differences account by multiplying the percentage variance in the assignment event by the values of those accounts as at the previous event (load).

Lastly, the Capital gain/Capital loss (Consolidation rules – Configuration Rules – Deconsolidation folder) account is calculated by generating a balancing entry based on all the amounts on the financial investment, net equity and goodwill accounts within the journal. This entry is attributed to the seller entity.

Partial disposal – loss of control – Full goodwill

This type of event is used for assignments when these conditions are met:

- The owner entity sells a share in the ownership of an entity over which it loses control after the assignment.
- The group calculates the goodwill in accordance with the accounting standard IFRS 3 (Full Goodwill method).

The ownership structure register is fed as follows:

- The new ownership percentage.
- The value of the decrease in the financial investment when the assignment is made.
- The sold entity's net equity value – amount prior to the assignment event (normal accounts).
- The sold entity's net equity entries that were made when the event occurred (variation accounts).

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows
- Net equity elimination rows. The variation accounts dedicated to the incoming or outgoing change in the consolidation scope that derives from the new ownership percentage are adjusted.
- Goodwill account
- Rows related to the reclassification between of Full Goodwill accounts and the Goodwill account
- Capital gain/Capital loss account
- Profit reversal reserve account on consolidation adjustments
- Consolidation differences account

The loss of control renders the full goodwill accounts (group and minorities) meaningless. CCH Tagetik therefore writes off the amounts on those accounts that are present in the journal and relate to the previous event (with control) by reallocating the entire amount to the Goodwill account. It does the same for the minorities reserve accounts and for account related to the consolidation difference.

Then it adjusts the Goodwill account by the assigned portion, calculated by multiplying the value of Goodwill as at the previous event by the percentage variance.

Lastly, the Capital gain/Capital loss account (specified when defining the financial investment elimination logics from the ownership structure register) is calculated by generating a balancing entry based on all the amounts on the financial investment, net equity and goodwill accounts within the journal. This entry is attributed to the seller entity.

Deconsolidation – no control – Full goodwill

This type of event is used for deconsolidation operations when these conditions are met:

- The owner entity sells a share in the ownership of an entity over which it loses control after the assignment.
- The group calculates the goodwill in accordance with the accounting standard IFRS 3 (Full Goodwill method).

The ownership structure register is fed as follows:

- The new ownership percentage (zero).
- The value of the decrease in the financial investment when the assignment is made (brought to zero).
- The sold entity's net equity value – amount prior to the assignment event (normal accounts).
- The sold entity's net equity entries that were made when the event occurred (variation accounts).

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows, which write off the entire amount relative to the previous event.
- Net equity elimination rows. The variation accounts dedicated to the change in the consolidation scope are adjusted, which, by virtue of the percentage variance, brings to zero all the existing accounts related to the previous event.
- Goodwill account
- Capital gain/Capital loss account
- Profit reversal reserve account on consolidation adjustments

The system defines the Goodwill account (Normal and Variation) by calculating the amount to be loaded. This amount is equal to the value of the Goodwill from the journal times the variance in the ownership percentage. Given that the new percentage sets the previous value to zero, the loaded Goodwill equals all that the journal contains in relation to the previous event. The adjusted variation account is the account dedicated to changes in area (outgoing).

The Capital gain/Capital loss account (specified when defining the financial investment elimination logics from the ownership structure register) is calculated by generating a balancing entry based on all the amounts on the financial investment, net equity and goodwill accounts within the journal. This entry is attributed to the seller entity and also entails what was previously present in the journal being set to zero.

The same amount calculated for the capital gain/capital loss entry is also written off from the reversed reserves of the seller entity and reallocated to the sold entity for the purposes of fair distribution.

Given that this is a deconsolidation event, all entries generated by the system are intended to set the journal to zero.

Deconsolidation – with control – Full goodwill

This type of event is used for deconsolidation operations when these conditions are met:

- The owner entity sells its entire share in the ownership of an entity that it controlled.
- The group calculates the goodwill in accordance with the accounting standard IFRS 3 (Full Goodwill method).

The ownership structure register is fed as follows:

- The new ownership percentage (zero).
- The value of the decrease in the financial investment when the assignment is made (brought to zero).
- The sold entity's net equity value – amount prior to the assignment event (normal accounts).
- The sold entity's net equity entries that were made when the event occurred (variation accounts).

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows, which write off the entire amount relative to the previous event.
- Net equity elimination rows. The variation accounts dedicated to the change in the consolidation scope are adjusted, which, by virtue of the percentage variance, brings to zero all the existing accounts related to the previous event.
- Goodwill account
- Rows related to the writing off of Full Goodwill accounts
- Capital gain/Capital loss account
- Profit reversal reserve account on consolidation adjustments
- Consolidation differences account

The loss of control and sale of the entire shareholding renders the full goodwill accounts meaningless (group and minorities). Therefore, the system writes off the amounts on those accounts that are present in the journal and relate to the previous event (with control) by reallocating the entire amount to the Goodwill account. The system then calculates the amount to be loaded onto the Goodwill account (Normal and Variation). This amount is equal to the value of the Goodwill from the journal times the variance in the ownership percentage. Given that the new percentage sets the previous value to zero, the loaded Goodwill equals all that the journal contains in relation to the previous event. plus the portion of Full Goodwill that

has just been reallocated. The adjusted variation account is the account dedicated to changes in area (outgoing).

The Capital gain/Capital loss account (specified when defining the financial investment elimination logics from the ownership structure register) is calculated by generating a balancing entry based on all the amounts on the financial investment, net equity and goodwill accounts within the journal. This entry is attributed to the seller entity and also entails what was previously present in the journal being set to zero.

The same amount calculated for the capital gain/capital loss entry is also written off from the reversed reserves of the seller entity and reallocated to the sold entity for the purposes of fair distribution.

Given that this is a deconsolidation event, all entries generated by the system are intended to set the journal to zero.

Non-Full Goodwill events

Initial consolidation – No Full Goodwill

This type of event is used for a new acquisition when the group does not apply the goodwill calculation method provided for in accounting standard IFRS 3 (Full Goodwill method).

The ownership structure register is fed as follows:

- The ownership percentage.
- The value of the financial investment when the acquisition took place.
- The acquired entity's net equity value.

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows
- Net equity elimination rows
- Goodwill account indicated in the financial investment elimination logic from the ownership structure register. CCH Tagetik calculates the difference between the value of the financial investment and the sum of the net equity accounts present in the elimination and writes that value on the variation goodwill account using the incoming or incoming/outgoing variation as the reason. If no variations have been created for the goodwill account or the specific variation account has not been related to the process, the value is written on the normal goodwill account.

Step up consolidation - No Full goodwill

This type of event is used in case of the acquisition of an additional share in the net equity of an entity already belonging to the group, when the group does not apply the goodwill calculation method provided for in accounting standard IFRS 3 (Full Goodwill method).

The ownership structure register is fed as follows:

- The new ownership percentage.
- The financial investment when the new acquisition was made.
- The acquired entity's net equity value – before the new acquisition (normal accounts).
- The acquired entity's net equity entries that were made when the new acquisition took place (variation accounts).

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows
- Net equity elimination rows. The variation accounts dedicated to the change in the consolidation scope that derives from the new ownership percentage are adjusted.
- Goodwill account indicated in the financial investment elimination logic from the ownership structure register. CCH Tagetik calculates the difference between the value of the financial investment and the sum of the net equity accounts present in the elimination and writes that value on the variation goodwill account using the incoming or incoming/outgoing variation as the reason. If no variations have been created for the goodwill account, or the variation account has not been related to the process, the value is written on the normal goodwill account.

Partial disposal – No Full goodwill

This type of event is used in case of the sale of a share in the ownership of an entity when the group does NOT calculate goodwill in accordance with accounting standard IFRS 3 (Full Goodwill method).

The ownership structure register is fed as follows:

- The new ownership percentage.
- The value of the decrease in the financial investment when the assignment is made.
- The sold entity's net equity value – amount prior to the assignment event (normal accounts);
- The sold entity's net equity entries that were made when the event occurred (variation accounts).

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows
- Net equity elimination rows. The variation accounts dedicated to the change in the consolidation scope that derives from the new ownership percentage are adjusted.
- Goodwill account. CCH Tagetik defines the Goodwill account (Normal and Variation) by calculating the amount to be loaded. This amount is equal to the value of the Goodwill from the journal times the variance in the ownership percentage. In case of event journals, this calculation takes account of all the goodwill present in that relationship's elimination journals (preceding the event). The adjusted variation account is the account dedicated to changes in the ownership percentage (reductions). If no variations have been created for the goodwill account, or the variation account has not been related to the process, the system writes that value on the normal goodwill account.
- Capital gain/Capital loss account. The Capital gain/Capital loss account, specified in the financial investment elimination logics from the ownership structure register, is calculated by generating a balancing entry based on all the amounts on the financial investment, net equity and goodwill accounts within the journal. This entry is attributed to the seller entity.
- Profit reversal reserve account on consolidation journals. This is the consolidation journals loading account present in the reversals rule associated with the process. The same amount calculated for the capital gain/capital loss entry is written off from the reversed reserves of the seller entity and reallocated to the sold entity for the purposes of fair distribution.

Deconsolidation - No Full goodwill

This type of event is used in case of the sale of the entire shareholding in an entity when the group does NOT calculate goodwill in accordance with accounting standard IFRS 3 (Full Goodwill method).

The ownership structure register is fed as follows:

- The new ownership percentage (zero).
- The value of the decrease in the financial investment when the assignment is made (brought to zero).
- The sold entity's net equity value – amount prior to the assignment event (normal accounts).
- The sold entity's net equity entries that were made when the event occurred (variation accounts).

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows, which write off the entire amount relative to the previous event.
- Net equity elimination rows. The variation accounts dedicated to the change in the consolidation scope that derives from the new ownership percentage are adjusted.
- Goodwill account. The system defines the Goodwill account (Normal and Variation) by calculating the amount to be loaded. This amount is equal to the value of the Goodwill from the journal times the variance in the ownership percentage. Given that the new percentage sets the previous value to zero, the loaded Goodwill corresponds to everything that the journal contains in relation to the previous event. The adjusted variation account is the account dedicated to changes in area (outgoing).
- Capital gain/Capital loss account. The Capital gain/Capital loss account, specified in the financial investment elimination logics from the ownership structure register, is calculated by generating a balancing entry based on all the amounts on the financial investment, net equity and goodwill accounts within the journal. This entry is attributed to the seller entity and also entails what was previously present in the journal being set to zero.
- Profit reversal reserve account on consolidation journals. This is the consolidation journals loading account present in the reversals rule associated with the process. The same amount calculated for the capital gain/capital loss entry is written off from the reversed reserves of the seller entity and reallocated to the sold entity for the purposes of fair distribution.

Given that this is a deconsolidation event, all entries generated by the system are intended to set the journal to zero.

Other types of event

Capital increase

This type of event is used when an owned entity resolves to carry out an increase in its share capital and said increase is subscribed by the parent entity for its share in the ownership. In this type of event, the ownership percentage does not change from the previous event.

The ownership structure register is fed as follows:

- The value of the subscribed financial investment.
- The variance in net equity (share capital and any other reserves) of the owned entity.
- The ownership percentage.

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows
- Net equity elimination rows

Capital decrease

This type of event is used when an owned entity resolves to carry out a reduction in its share capital. In this type of event, the ownership percentage does not change from the previous event.

The ownership structure register is fed as follows:

- The value of the write-down on the financial investment held.
- The variance in net equity (share capital and any other reserves) of the owned entity.
- The ownership percentage.

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows
- Net equity elimination rows

Merger (merged owner entity) - initial consolidation

This type of event is used when a group entity that is also owned by other entities is merged into another entity and thus changes the shareholding relationships of all the companies that it owns. This event must be used in the new shareholding relationship between the merging entity and the child companies of the incorporated entity.

The ownership structure register is fed as follows:

- The value of the acquired financial investment. In this case, you should use an incoming financial investment variation related to the merger that will not be automatically eliminated on the basis of the ownership structure register. Therefore, accounts defined in financial investment elimination logics from the ownership structure register must not be used.
- The entity's net equity need not be specified unless it has changed.

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows on the incoming merger variation (row fed by the merger data processing).
- Net equity elimination rows. These are only generated by the merger data processing if the **Calculate mergers on net equity** option was selected. For details on the setup of mergers, see Mergers page.

Merger (merged owner entity) – deconsolidation

This type of event is used when a shareholding relationship between an incorporated company, which disappears following the merger, and its child entities, is closed.

The ownership structure register is fed with the ownership percentage equal to zero. CCH Tagetik then deconsolidates the elimination journal of the financial investment linked to that relationship.

For details on the setup of mergers, see Mergers page.

Merger - Owned entity incorporated in owner entity

This type of event is used when an entity is incorporated by the parent entity. The existing financial investment event is therefore cancelled out by a new event.

The ownership structure register is fed with the ownership percentage equal to zero. CCH Tagetik then deconsolidates the elimination journal of the financial investment linked to that relationship.

For details on the setup of mergers, see Mergers page.

Merger (merged owned entity) - initial consolidation

This type of event is used to label a new shareholding relationship that arises between the incorporated entity's parent entity and it's incorporating entity.

The ownership structure register is fed as follows:

- The value of the acquired financial investment. In this case, you should use an incoming financial investment variation related to the merger that will not be automatically eliminated on the basis of the ownership structure register. Therefore, accounts defined in financial investment elimination logics from the ownership structure register must not be used.
- The entity's net equity need not be specified unless it has changed.

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows on the incoming merger variation (row fed by the merger data processing).
- Net equity elimination rows. These are only generated by the merger data processing if the **Calculate mergers on net equity** option was selected. For details on the setup of mergers, see Mergers page.

Merger (merged owned entity) - deconsolidation

This type of event is used when a shareholding relationship between a merged entity and the parent entity, which is not involved in the merger as it is not the merging entity, is closed.

The ownership structure register is changed and the ownership percentage becomes zero. CCH Tagetik then deconsolidates the elimination journal of the financial investment linked to that relationship.

For details on the setup of mergers, see Mergers page.

Other

This type of event is used in all cases in which the user intends to generate a financial investment elimination journal from the ownership structure register, but without any automation on the goodwill, reserve or other accounts.

The ownership structure register is fed as follows:

- The ownership percentage.
- The value of the financial investment.
- The owned entity's net equity value.

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows
- Net equity elimination rows

Any balancing must be inserted manually.

Previous release: initial and step up consolidation

This type of event is used by the system in release steps to ensure continuity in the data processing with regard to old setups.

> ***Note**: CCH Tagetik labels an event in this way when, up to release 3.0903, the financial investment elimination journal was generated from the ownership structure register and the automatic calculation of goodwill was requested (**Generate goodwill** option active).*

The ownership structure register is fed as follows:

- The new ownership percentage.
- The value of the financial investment. This value is loaded onto a variation account (typically increases or other entries).
- The owned entity's net equity value.

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows
- Net equity elimination rows
- Goodwill account indicated in the financial investment elimination logics from the ownership structure register. CCH Tagetikcalculates the difference between the value of the financial investment and the sum of the net equity accounts present in the elimination and writes that value on the variation goodwill account, stating the adjusted financial investment's variation account as the reason. If no variations have been created for the goodwill account or the specific variation account has not been related to the process, the value is written on the normal goodwill account.

Previous release: other

This type of event is used in release steps to ensure continuity in the data processing with regard to old setups.

***Note**: CCH Tagetik labels an event in this way when, up to release 3.0903, the financial investment elimination journal was generated from the ownership structure register and the automatic calculation of goodwill was not requested (**Generate goodwill** option not active).*

The ownership structure register is fed as follows:

- The new ownership percentage.
- The value of the financial investment. This value is loaded onto a variation account (typically increases or other entries).
- The owned entity's net equity value.

When an event of this type occurs, a journal comprising the rows listed below is generated in the currency of the buyer entity:

- Financial investment elimination rows
- Net equity elimination rows
- Goodwill account. The goodwill is loaded since, in new releases, the system calculates goodwill automatically, different from the previous releases in which the specific **Generate goodwill** option had to be activated. The system calculates the amount related to the portion of goodwill to be written off, by multiplying the amount of the Goodwill reversed in the journal, if present, by the variance in the ownership percentage. In case of event journals, this calculation takes account of all the goodwill present in that relationship's elimination journals (preceding the event). The adjusted variation goodwill account is the account dedicated to changes in the ownership percentage (reductions). If no variations have been created for the goodwill account or the specific variation account has not been related to the process, the value is written on the normal goodwill account.

Assignment events: intragroup assignments

Management mode

Events concerning the assignment of shares or deconsolidation can be managed in the following two modes:

Management mode	Description
Don't manage	Default mode. Only normal financial investment/net equity elimination journals are generated based on the type of event between the seller entity and the sold entity and between the buyer entity, a new owner entity, and the owned entity, which has been sold.
With a sales model	You must specify the model of accounts that you want to use, the buyer entity and the sale price, with the accounting sign, in the seller entity currency.
Linked purchase event	You must specify the linked event number, i.e. the number of the event corresponding to the initial acquisition of the financial investment whose assignment is being inserted. Once the linked event has been selected, the system automatically defines the linked owner entity as the entity that is the buyer in the linked event.

Journals generated for management with a sales model

In addition to normal financial investment/Net Equity elimination journals, the following journals are also generated:

- A journal of intragroup financial investment assignment between the seller and the buyer, deleting the capital gain.
- A journal of intragroup financial investment assignment between the buyer and the seller to reverse the historical value of the acquired financial investment.
- A journal of financial investment elimination reclassification between the seller and the buyer, if necessary. An exception is made if the entity is sold at cost or in any case the operation does not involve the generation of counterparty eliminations.
- A journal of financial investment elimination reclassification between the buyer and the seller, if necessary. An exception is made if the entity is sold at cost or in any case the operation does not involve the generation of counterparty eliminations.

The journals must have the following characteristics:

- They must be multiple relationship journals, as the sold entity will be specified in their rows.
- The categories and accounts on which the journals will be generated are those indicated in the accounts model selected for the event.
- Journals between the seller and the buyer will be generated in the currency indicated on the event for the seller entity, while journals between the buyer and the seller will be generated in the currency of the buyer in the process. To calculate the amounts, the system will not use the event's FX rates but the FX rates of the current year, looking at the conversion type of the account that is being written.

***IMPORTANT**: the period average FX rate is not managed.*

Journals generated for management with linked purchase events

In addition to normal financial investment/Net Equity elimination journals, the following journals are also generated:

- A journal between the seller and the sold entity in which the portion of the seller's capital gain that was not eliminated in the financial investment elimination journal is eliminated, with the reserve account as the offsetting entry. This non-eliminated portion corresponds to the difference between the assignment value and the pro-rata amount of net equity assigned, plus goodwill. The portion that has already been eliminated is the difference between the value of the financial investment and the pro-rata amount of net equity assigned, plus goodwill.
- A journal between the buyer and the sold entity which has the purposes of reconstructing any goodwill present on the elimination between the seller and the sold entity. The offsetting entry is the buyer's reserves in the amount of the total capital gain and the sold entity's reserves for the difference between the total capital gain and the portion of the capital gain eliminated in the previous journal.

The journals must have the following characteristics:

- They are only booked into the consolidation scenarios that include the entities involved.
- The first capital gain elimination journal must be processed on the consolidation scenarios that include the buyer.
- The second journal of reconstruction of goodwill between the buyer and the sold entity must be processed on the consolidation scenarios that include the seller.

Ownership structure register configuration

Contents

This section covers the following topics:

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Managing the ownership structure register

Define the accounts in the ownership structure register

Admin | <application database>

Data Processing tile > Basic Consolidation > IC matching and elimination logics > Ownership structure register accounts configuration

Data Processing > Basic Consolidation > IC matching and elimination logics > Ownership structure register accounts configuration

1. In the **Net Equity** tab, select the accounts to be used to enter the owned entity's net equity value.
2. In the **Attributes** tab, select **Use on Ownership structure register**, then click **Save**.
3. In the **Financial investments** tab, select the accounts to be used to enter the value of the financial investment.
4. In the **Attributes** tab, select **Use on Ownership structure register**, then click **Save**.

Define the accounts for an intragroup financial investment assignment

Admin | <application database>

Data Processing tile > Basic Consolidation > IC matching and elimination logics > Accounts configuration for Intragroup financial investment assignment

Navbar > Data Processing > Basic Consolidation > IC matching and elimination logics > Accounts configuration for Intragroup financial investment assignment

1. In the **Attributes** tab, enter a code and a description for the assignment, then click **Save**.
2. In the **Intragroup financial investment assignment** tab, select the required accounts for both the Seller and the Buyer.

3. (optional if you want to generate the financial investment reclassification) In the **Reclassification** tab, insert the accounts to generate the financial investment reclassification journals for the seller and buyer entities.
4. Click **Save** to save the data.

Select the process on which to work

User | <application database>

Events tile > Ownership structure register

Navbar > Events > Ownership structure register

In the **Ownership structure register – Filters** window, select the desired process then click **OK**: the **Ownership structure register** page for the selected process will open.

Register financial investment events

User | <application database>

Events tile > Ownership structure register > select process

Navbar > Events > Ownership structure register > select process

1. Click ⊕ to add a new event to the list.
2. In the **Attributes** tab, define the characteristics and fill out the event data, then click **Save**.

Update the relationship between the owner entity and the owned entity

User | <application database>

Events tile > Ownership structure register > select process

Navbar > Events > Ownership structure register > select process

The shareholding relationship defined initially by the purchase event must be kept up-to-date by inserting one or several events to adjust it to changes that take place.

1. Click ⊕ to add a new event to the list.
2. In the **Attributes** tab, select the event type.
3. In the **Relationship** section, specify the owner and owned entities.
4. Enter the data regarding the change in the shareholding relationship, then click **Save**.

Update consolidation areas

User | <application database>

Events tile > Ownership structure register > select process > Update consolidation area

Navbar > Events > Ownership structure register > select process > Update consolidation area

1. If necessary, select the non-locked process consolidation scenarios whose areas you want to update.
2. To update all non-locked areas in the process, select **All consolidation areas**.
3. Click **Run** to run the update.

Ownership structure register accounts configuration page

Admin | <application database>

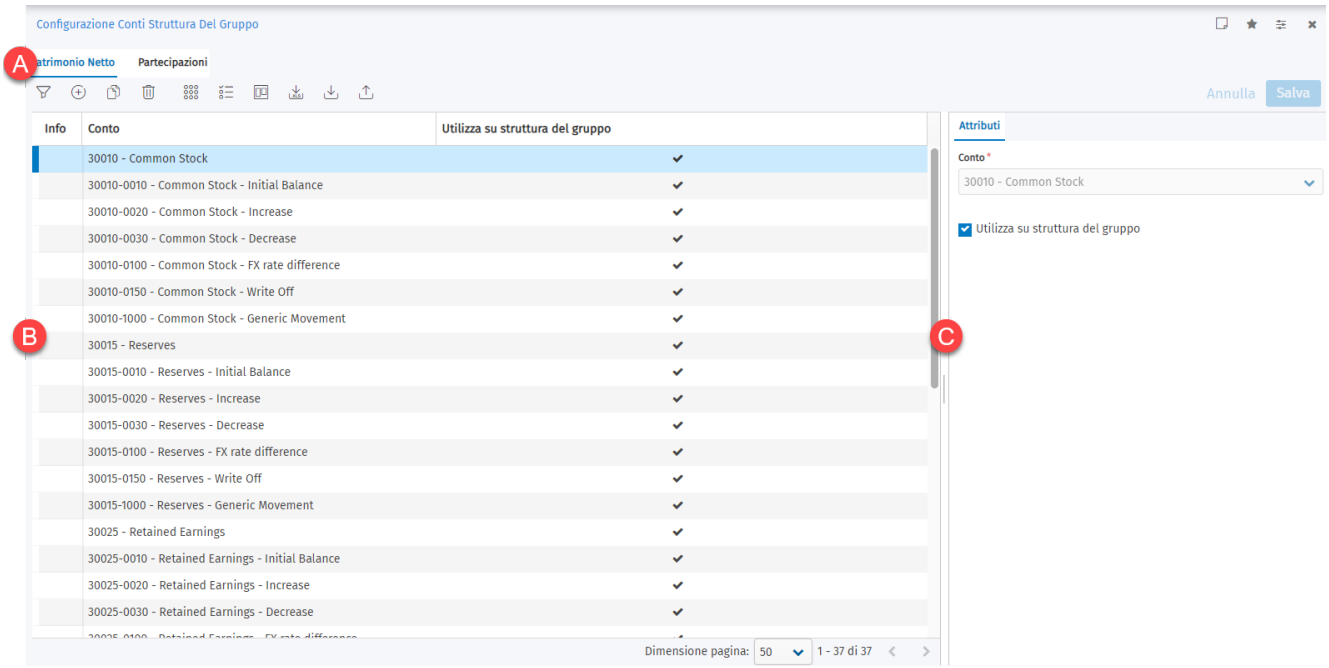
Data Processing tile > Basic Consolidation > IC matching and elimination logics > Ownership structure register accounts configuration

Data Processing > Basic Consolidation > IC matching and elimination logics > Ownership structure register accounts configuration

Purpose of the page

This page allows you to set the accounts to be used when calculating the owned entity's net equity and the accounts to be used when registering the values of the owner entity's financial investments.

What it looks like



Element	Description
A	Account type selection tabs
B	List of accounts
C	Account attributes configuration tabs

Configuration tabs

Tab	Description
Net Equity	Lists the normal and variation balance sheet accounts that can be used in defining the owned entity's net equity. **Use on Ownership structure register**: account inserted in the ownership structure register as the owned entity's net equity account.
Financial investments	Lists the normal and variation balance sheet accounts that can be used in defining the financial investment's value. **Use on Ownership structure register**: account inserted in the ownership structure register as the financial investment account. **Load on IC data**: account, which is considered in the Loading of financial investments, cleared of the data inserted in the financial statements and defined using the data declared in the ownership structure register.

Account Configuration for Intragroup Financial Investment Assignments page

Admin | <application database>

Data Processing tile > Basic Consolidation > IC matching and elimination logics > Accounts configuration for intragroup financial investment assignments

Navbar > Data Processing > Basic Consolidation > IC matching and elimination logics > Ownership structure register accounts configuration

Purpose of the page

This page allows you to configure sales models to be used on the ownership structure register, in share assignment or deconsolidation financial investment events. These models can be used by CCH Tagetik instead of the linked purchase events.

Sales models are typically useful to the seller entity's contributor who also inserts the buying entity data.

Tabs on the page

Field	Description
Attributes	Contains the identification code and a description of the selected sales model.
Intragroup financial investment assignment	Allows you to set the category and accounts to be used to generate intragroup financial investment assignment journals for the seller and buyer entities.
Financial Investment Elimination Reclassification	Allows you to set the category and accounts to be used to generate financial investment reclassification journals for the seller and buyer entities. ***Note**: the information is optional as it is possible to generate only the financial investment assignment journals, without generating reclassification journals.*

Intragroup financial investment assignment

Field	Description
Category	Category used to generate the financial investment assignment journals. Only **Consolidation journal** categories are available.
Seller	
Financial investment: sale value entered in the P&L	Normal P&L account used to indicate the P&L sale value on the seller's financial investment assignment journal.
Reserve: offsetting entry of the sale value	Balance sheet account used as the reserve of the sale value entered in the P&L.
Financial investment: historic cost entered in the P&L	Normal P&L account used to indicate the value of the historic cost entered in the P&L on the seller's financial investment assignment journal.
Reserve: offsetting entry of the historic cost	Balance sheet account used as the reserve of the historic cost value entered in the P&L.
Financial investment: decrease variation	Balance sheet variation account used to indicate the value of the decrease in the financial investment on the seller's financial investment assignment journal.
Financial investment: reclassification variation	Balance sheet variation account used to indicate the value of the financial investment reclassification on the seller's financial investment assignment journal.
Buyer	
Financial investment: increase variation	Balance sheet variation account used to indicate the value of the increase in the financial investment on the buyer's financial investment assignment journal.
Reserve: financial investment increase offsetting entry	Balance sheet account used as the reserve of the value of the increase in the financial investment.

Field	Description
Financial investment: reclassification variation	Balance sheet variation account used to indicate the value of the financial investment reclassification on the buyer's financial investment assignment journal.
Reserve: financial investment reclassification offsetting entry	Balance sheet account used as the reserve of the financial investment reclassification value.

Financial Investment Elimination Reclassification

Field	Description
Category	Category used to generate the financial investment elimination reclassification journals. Only **Consolidation journal** categories are available.
Assignment	
Financial investment: decrease variation	Balance sheet variation account used to indicate the value of the decrease in the financial investment on the seller's financial investment reclassification journal.
Reserve: financial investment decrease offsetting entry	Balance sheet account used as the reserve of the value of the decrease in the financial investment.
Financial investment: reclassification variation	Balance sheet variation account used to indicate the value of the financial investment reclassification on the seller's financial investment reclassification journal.
Reserve: financial investment reclassification offsetting entry	Balance sheet account used as the reserve of the financial investment reclassification value.
Acquisition	
Financial investment: increase variation	Balance sheet variation account used to indicate the value of the increase in the financial investment on the buyer's financial investment reclassification journal.
Reserve: financial investment increase offsetting entry	Balance sheet account used as the reserve of the value of the increase in the financial investment.
Financial investment: reclassification variation	Balance sheet variation account used to indicate the value of the financial investment reclassification on the buyer's financial investment reclassification journal.
Reserve: financial investment reclassification offsetting entry	Balance sheet account used as the reserve of the financial investment reclassification value.

Ownership Structure Register page

User | <application database>

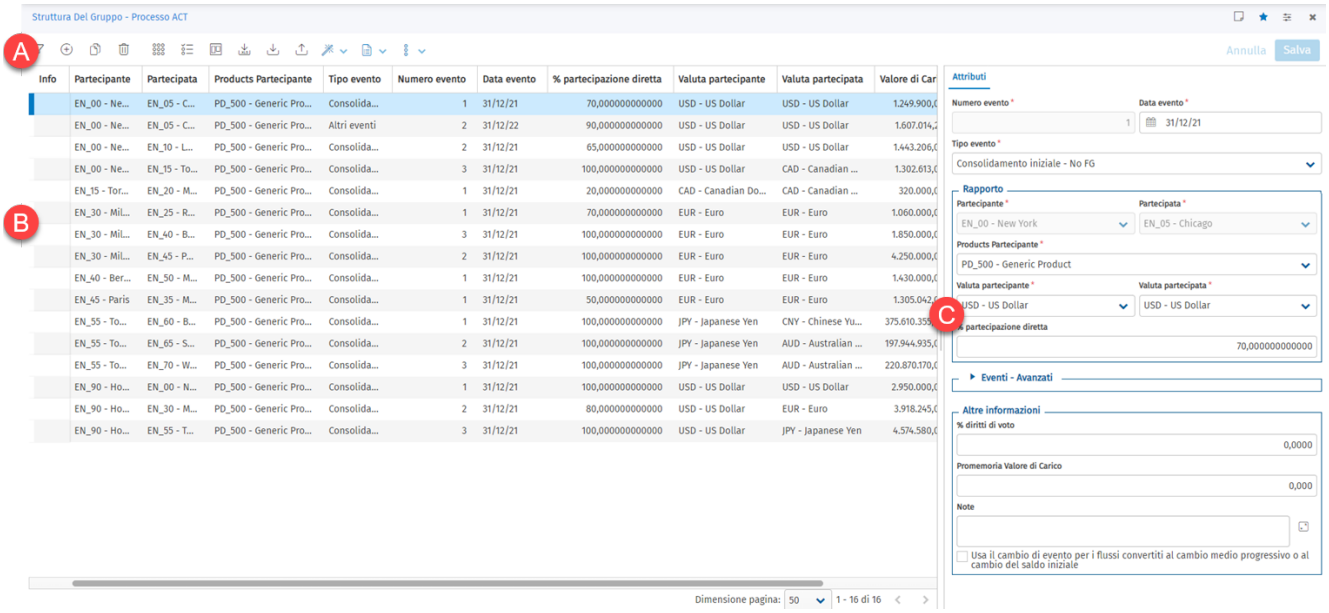
Events tile > Ownership structure register > select process

Navbar > Events > Ownership structure register > select process

Purpose of the page

This page allows you to manage the ownership structure register and detail all the financial investment events that have occurred. It also allows you to generate various types of reports on the events.

What it looks like



Element	Description
A	Tool bar
B	Events list
C	Configuration tab for the attributes of registered events

Actions on this page

Element	Description
	**Copy Ownership structure register**: allows you to copy the ownership structure register from one event scenario to another event scenario; you can also filter for a certain period of time. **Update Consolidation areas**: allows you to update the results of defining non-locked consolidation areas linked to the selected process. It is possible to select one or all of the consolidation scenarios.
	**Events report**: allows you to generate a report on the events. See Events report window. **Structure report:** allows you to generate a report on the ownership structure. See Structure report window. **Ownership structure register diagnostics**: allows you to generate diagnostic reports. See Ownership structure register diagnostics window.
	**Event data**: displays and allows you to edit some detailed information on the event. See Event data page.

Event attributes

The fields displayed in the **Advanced - Events** section depend on the selected event type.

Field	Description
Event number	The event's unique identification code. Allows you to sequentially sort the financial investment events between all pairs of entities in the group.
Event date	Date on which the event is registered. To split a complex event, you can divide it into several events on the same date with the same owner entity/owned entity pair.
Event type	Operation type to which the event relates. Information required to automatically generate journals deriving from the elimination logic that eliminates the net equity from the ownership structure. See Financial investment events.
Relationship	
Owner entity	Owner entity of the shareholding relationship (parent entity)
Owned entity	Entity owned by the owner entity (child entity)

Field	Description
Custom Dimension 2 Owner	In processes with an Entity/Custom Dimension 2 relationship, this is the owner entity's custom dimension
Owner entity currency	Currency of the owner entity in which the value is entered in the financial investment account. ***IMPORTANT**: to avoid inconsistencies in FX rates, currencies other than the one associated with the entity in the Process can be used. In this case, the record for the financial investment account is not loaded by the financial investments loading data processing.*
Owned entity currency	Currency of the owned entity in which the value is entered in the owned entity's net equity accounts.
Direct ownership percentage	Percentage of the owned entity held by the owner entity after the event.
Advanced - Events	
Owned entity fair value (in credit)	Net equity value of the entity acquired when the acquisition takes place. Necessary for calculating goodwill in accordance with the accounting standard IFRS 3.
Intragroup assignment management	Assignment management mode, see Management mode.
Other information	
% voting rights	Information useful for reporting purposes only.
Carrying value memo	Value paid for the operation. Information useful for reporting purposes only.
Notes	Notes on the events, useful for reporting.
Use FX rate of the event for variation account converted at "Year-to-date average FX rate" or "Initial balance FX rate"	Indicates whether to use the value set for the event as the FX rate value. Only for accounts which, in the chart of accounts, have conversion type set to **Year-to-date average FX rate** or **Initial balance FX rates**.

Event Data page

User | <application database>

Events tile > Ownership structure register > select process > select event > ⋮ > Event Data

Navbar > Events > Ownership structure register > select process > select event > ⋮ > Event Data

Purpose of the page

This page allows you to enter and detail the following information for every financial investment event:

- the value of the entry
- the net equity value
- the FX rate types to be used
- the Custom Dimension 2 on which to enter the financial investment

Page tabs

Element	Description
Financial investments	Allows you to define the entry of the financial investment for each financial investment event.
Net Equity	Allows you to define the net equity value of the owned entity.
Generic FX rates	Allows you to define the FX rates to be used for all event accounts to generate financial investment eliminations.

Element	Description
Account specific FX rates	Allows you to override the FX rates to be used to generate financial investment eliminations for individual accounts.
Custom Dimension 2 Multiple on FI accounts	Allows you to indicate the target owner entity in processes with a Entity/Custom Dimension 2 relationship type.
Other information	Any additional information on the event

Attributes of the Financial Investments tab

Field	Description
Category	Category to which to attribute the value of the entry, typically an **Amount** or **Entity journals** category. The category must not be a category which has the **Child category** option active. *Using an "Entity Journals" category also impacts the financial investment and net equity elimination journals since the elimination logic filters the data based on the category. Using this type of category makes sense when you want to keep the entered values separate. It usually means managing several different net equity elimination logics from the ownership structure, broken down into specific categories.*
Account	Financial investments variation account to which to attribute the financial investment entry. In the system setup step, use the variation related to the area variation. This has to be an account that belongs to the financial investment accounts table and that has the **Use on Ownership structure register** option enabled.
Custom dimensions 1-5	Elements of the custom dimensions active in the environment to which to attribute the financial investment entry.
CTP Custom dimension 2	If the relationship type associated with the process for which you are managing the ownership structure register is **Entity/Custom dimension 2** or **Entity/Synthetic custom dimension 2** and the management of custom dimension 2 is active then, when logging the financial investment entry, you must also manage the custom dimension 2 element on the accounts on which the financial investment is loaded in the parent entity's original financial statements.
Currency	Owner entity currency
Amount	Value of the entry. Do not enter the total value of the financial investment recognised in the financial statements for the owned entity, but only the relative variance of the shareholding relationship when the event occurred. The value is loaded onto variation accounts. The value is expressed in the currency of the owner entity, with the sign established in the general configuration of the application database. ***Note**: regardless of the number of decimals inserted, the system will display the correct number for the currency being used.*
Notes	Any additional notes.

Particular cases

If the Custom Dimension fields are empty on saving, they are defined automatically using the owner entity's default element in accordance with the account limitations or, lacking these, using the element with the lowest lexicographical code that respects the entity and account limitations.

Actions in the Net equity tab

Element	Description
	**Copy net equity**: opens a window to copy the net equity value (see Copy net equity).
	**Show converted Net equity**: shows some detailed information on the event.

Attributes of the Net equity tab

Field	Description
Category	Category to which to attribute the net equity value, typically an **Amount** or **Entity journals** category. The category must not be a category which has the **Child category** option active. *Using an "Entity journals" category, you can include eliminations among financial investments and net equity. The net equity elimination logic filters the data based on category. Therefore, using "Entity journal" categories, you can keep the various values separate by managing several different net equity elimination logics for the various categories.*
Account	Variation account to which to attribute the net equity value. This has to be an account that belongs to the financial investment accounts table and that has the **Use on Ownership structure register** option enabled.
Custom dimensions 1-5	Elements of the custom dimensions active in the environment to which to attribute the net equity entry.
Currency	Owned entity currency. Automatically set to the owned entity currency entered in the entities elements table.
Amount	Net equity value in the owned entity's currency. Depending on the event, this can be the total net equity on the normal account or the variation on the variation account.
Notes	Any additional notes.

Particular cases

If the Custom Dimension fields are empty on saving, they are defined automatically using the owned entity's default element in accordance with the account limitations or, lacking these, using the element with the lowest lexicographical code that respects the entity and account limitations.

Attributes of the Generic FX rates tab

Field	Description
Currency	Event currency
FX rate	Value of the FX rate applied to the event

Particular cases

If a preferred currency is configured, the FX rate is fixed to 1 for that currency when a new event is saved.

If, in settings, the **Show reciprocal FX rates** option is enabled (see the Settings Window), the **Reciprocal FX rate** column will also appear in the table. The value is inserted automatically and corresponds to the reciprocal of the value entered in the **FX rate** column.

Actions in the Generic FX rates tab

Element	Description
	**FX rates wizard**: starts the data processing to open the FX rates linked to the event. ***Note**: this data processing identifies the scenarios/periods linked to the event scenario of the selected process and, for the owner and owned entity currencies, the preferred currency, and the currency of consolidation scenarios which have one of the identified scenarios as their reference scenario, it reads the FX rates from the FX rates table for the scenario/period immediately preceding the event date. Then it copies and inserts the final FX rate.*

Attributes of the Specific FX rates for account tab

Field	Description
Account	Account used to define the net equity value or financial investment value. ┈: shows the accounts/targets adjusted in the **Financial investments** and **Net equity** tabs. When you select an element, any target values also appear in the **Specific FX rates** tab, together with the account.
Custom dimensions 1-5	Element of the custom dimension used to define the net equity value
Currency	Currency used
FX rate	FX rate value

Particular cases

If, in settings, the **Show reciprocal FX rates** option is enabled (see the Settings Window), the **Reciprocal FX rates** column will also appear in the table. The value is inserted automatically and corresponds to the reciprocal of the value entered in the **FX rate** column.

Attributes of the Custom dimensions 2 multiple on FI accounts tab

Field	Description
Custom dimension 2 Financial investment	In processes with a Entity/Custom dimension 2 relationship type, this specifies the target element.
Percentage	Percentage of the financial investment defined on the specific Custom dimension 2. ***Note**: if the sum of the percentages exceeds 100%, the value is distributed among the inserted elements proportionally.*

Attributes of the Other information tab

Field	Description
Category	Category to which to attribute the value. It can be of **Amount** or **Entity journal** type. ***Note**: this information is not used in data processing. For the assignment price, the intragroup assignment journals are generated on the categories indicated in the accounts model associated with the event.*
Account	For the assignment price, this is the **Financial investment: sale value entered in the P&L** account present in the accounts model associated with the event.
Custom dimensions 1-5	Custom dimension to which to attribute the value
Currency	Owner entity currency
Amount	Amount in the owner entity currency. ***Note**: must be indicated with the sign established in the general configuration. Regardless of the number of decimals inserted, the number displayed will be consistent with those assigned to the currency in which they are expressed.*
Notes	Any additional notes

Particular cases

If the relationship type associated with the process for which the journal is being managed is **Entity/Custom dimension 2** or **Synthetic Entity/Custom dimension 2**, it is also necessary to manage the **CTP custom dimension 2** element.

If the Custom Dimension fields are empty, on saving they are defined automatically with the owner entity's default element in accordance with the account limitations or, lacking these, with the element with the lowest code that respects the entity and account limitations.

Copy net equity window

User | <application database>

Events tile > Ownership structure register > select event > ⋮ > Event Data > Net equity tab > ✨ > Copy net equity

Navbar > Events > Ownership structure register > select process > select event > ⋮ > Event Data

Purpose of window

This window allows you to copy the net equity value for a specific event.

Fields in window

Element	Description
Financial Statement	Copies the net equity value from the owned entity's financial statements for the specified scenario/period/category. Only the normal accounts which have the **Use account to set up net equity** option enabled in the chart of accounts are read. You can limit the categories used to read data and specify whether the category of the copied data must be overridden with another category indicated in **Specific category**. If the **Same original category** option is active, the defined category will be the category present in the financial statement data. Otherwise it is the same as the indicated **Specific category**. If the **Same original category** option is active, the amount will be the amount present in the financial statements. Otherwise the amount will be calculated as the sum of all the amount rows to be copied, keeping the accompanying dimensions. The system calculates the value of any existing net equity for the selected relationship. ***IMPORTANT**: The profit account defined in the financial statements is copied onto its reversal account defined for the entity journals.*
Previous event	Copies the net equity value from a previous event. Any net equity value for the event on which to run the copy is deleted and the net equity value defined in the previous event selected is inserted. It is necessary to specify the relationship to be used to make the copy: the events proposed are those whose owned entity is the owned entity of the relationship on which to make the copy and which have a date prior or equal to the event date of the relationship on which to make the copy. *This is useful when there are entities that have several owners since, if an owned entity undergoes a change in net equity then theoretically a new event is inserted for every owner entity and the same net equity is shown in each of the events.*
Scenario	(If **Financial Statement** is selected) Scenario from which the data are copied
Period	(If **Financial Statement** is selected) Period from which the data are copied
Original category	(If **Financial Statement** is selected) Category from which to copy the accounts
Target category	(If **Financial Statement** is selected) Allows you to specify whether to copy the net equity accounts onto the same category as the source data or onto a different category (**Specific category**).
Specific category	(If **Financial Statement** is selected) Category onto which to copy the accounts, if different from the source category.
Event	(If **Previous event** is selected) Event from which the net equity values are copied.

Mergers page

User | <application database>

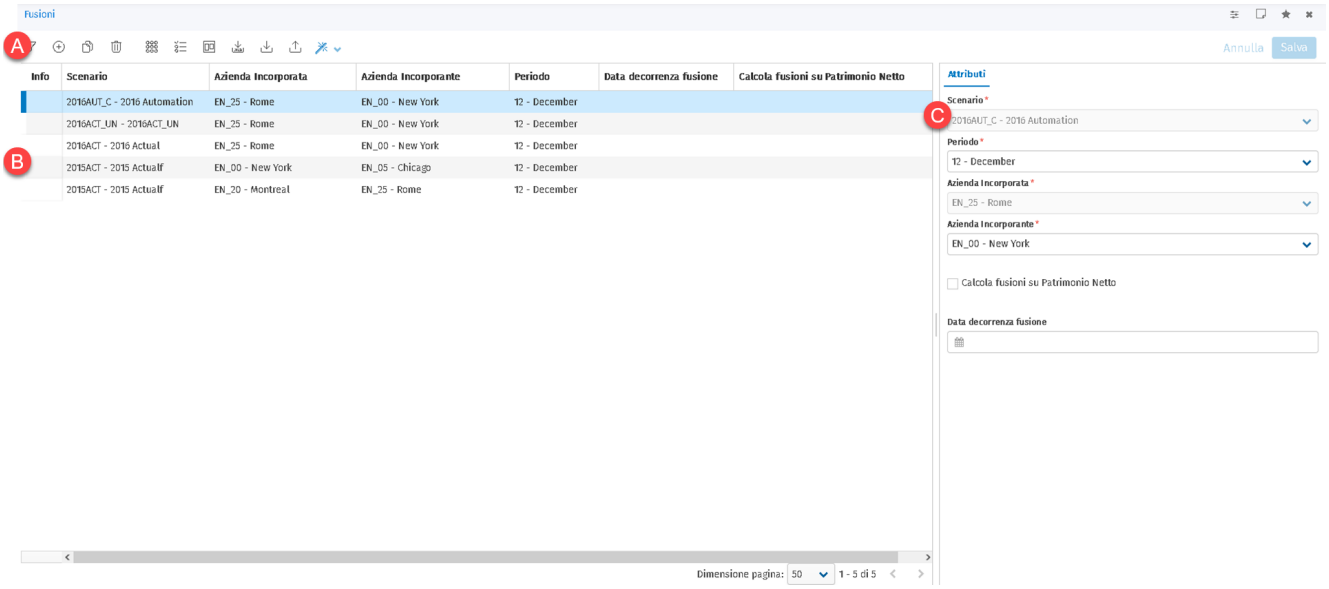
Events tile > Mergers

Navbar > Events > Mergers

Purpose of the page

This page allows you to manage merger events.

What it looks like



Element	Description
A	Tool bar
B	List of merger events
C	Mergers configuration tab

Actions on this page

Element	Description
	**Copy to original scenarios**: Allows you to select one scenario from which to copy data and one or several scenarios onto which to copy it.

Attributes of mergers

Field	Description
Scenario	Scenario on which to perform the merger
Period	Period on which to perform the merger
Incorporated entity	Entity that is merged with the merging entity
Merging entity	Entity that absorbs the incorporated entity
Calculate mergers on Net Equity	Specifies whether the merger should also consider net equity accounts.
Merger start date	Merger execution date. Useful for reporting purposes.

Ownership structure register reports

Contents

This section covers the following topics:

Structure Report 219
Structure report window 220
Events report 220
Events report window 220
Ownership structure register diagnostic reports 221
Ownership structure register diagnostics window 225

Structure Report

Introduction

Structure reports allow you to gather information on the financial investment events defined within the ownership structure register for a given event scenario. In particular, structure reports show the relationships between group entities at a specific time. The ownership percentage and the financial investment's carrying value are indicated for every event. The extracted report is in Excel format.

Types of structure report

Type	Description
Structure report by consolidation area	These require you to specify a scenario and a period to identify a Consolidation area for which to filter the entities. To further filter the information displayed, you can also simply select an owner entity and/or owned entity.
Structure report by event date	These require you to specify a date and the owner entity. Therefore, only events with dates that precede or are the same as the specified date and have the owner entity as the Holding are displayed. To further filter the information displayed, you can also select the owned entity. ***Note**: given the same relationship, only the event that has the greatest date, prior to the event date specified in the filter, is considered.*

Content of the structure report

The information is presented in the form of a navigable tree made up of several levels (which can be displayed using the _ and + buttons). The following information is present for every shareholding relationship:

- ownership %
- % interest if a filter on the consolidation scenario/period has been specified
- overall value of the financial investment expressed in the owner entity currency

If a consolidation scenario has been specified, the value of the financial investment is calculated considering only the variations attributed to the consolidation scenario categories.

Structure report window

User | <application database>

Events tile > Ownership structure register > select process > > Structure report

Navbar > Events > Ownership structure register > select process > > Structure report

Purpose of window

This window is used to generate reports with information on financial investment events defined within the ownership structure register for a given event scenario.

Fields in window

Element	Description
By Consolidation area	Generates a report with events filtered by the entities included within the consolidation area.
By Event date	Generate a report with events filtered by execution date.
Scenario	Scenario with which to identify the consolidation area
Period	Period with which to identify the consolidation area
Owner entity	Owner entity by which to filter the events
Owned entity	Owned Entity by which to filter the events
Extended display of the Ownership structure register	If selected, the report always shows the financial investment sub-tree of an entity owned by several owners. If not selected, it will display the entity only once, below the owned entity with a greater ownership %.

Events report

Introduction

This report, in Excel format, is used to gather information on financial investment events defined within the ownership structure register for a given event scenario. In particular, it shows the following information:

- the shareholding relationships
- the financial investment entry related to an event
- the carrying value of the financial investment in relation to an event
- the FX rates linked to the event
- the owned entity's net equity value when a financial investment was entered and the specific FX rates for the account

Content of the events report

The data are sorted by owner entity, owned entity and event date.

IMPORTANT: *the report ONLY displays owner entities for which the user has visibility rights.*

Events report window

User | <application database>

Events tile > Ownership structure register > select process > > Events report

Navbar > Events > Ownership structure register > select process > > Events report

Purpose of window

This window is used to generate reports with information on financial investment events defined within the ownership structure register for a given event scenario.

Fields in window

Element	Description
Last event	The shareholding relationships to be included in the report are selected on the basis of the date of the last valid financial investment event.
Define interval	The events to be included in the report are selected from within a period of time.
From/To	Period of time within which to select events.
Filter Entities	Filters to be applied to select the shareholding relationships to be displayed **No filter**: the entire financial investment tree is shown, filtered according to user rights. **Owner entity**: only the shareholding relationships in which the specified entity is the owner are displayed. **Owned entity**: only the shareholding relationships in which the specified entity is the owned entity are displayed.
Entity	Entity to be used to filter
Also show indirect relationships	If selected, indirect relationships are also included in the report. *Select this option when it is helpful to see an owner entity's entire subgroup.*
Show	Allows you to select the information to be included in the report for the entities and selected time period: **Financial investment variations**: the financial investment entry is shown for every event. **Financial investment amounts**: the carrying value is shown for every event. **Net Equity**: the owned entity's net equity value in relation to the event and any specific FX rates for accounts are shown. **FX rates**: the FX rates linked to the event are shown. **Owner custom dimension 2**: Shows the custom dimension 2 on which all or part of the financial investment is entered

Ownership structure register diagnostic reports

Introduction

Diagnostic reports can be generated to verify the events inserted in a given period for the financial statements of the owner entity and owned entities.

In particular, these diagnostic reports allow you to check the following aspects:

- Congruence between the value of the financial investment and the owner entity's financial statements. See "Owner entity financial investments/financial statements congruence diagnostics" on the next page.
- Congruence between the net equity and the owned entity's financial statements. See "Owned entity net equity/financial statements congruency diagnostics" on the next page.
- Congruence between the value of the financial investment and the net equity for each individual event. See "Financial investments/Net equity congruence diagnostics" on the next page.
- Congruence between the assignment date indicated in the entity's elements table and the information inserted in the ownership structure register. See "Assignment date congruence diagnostics" on page 223.
- Deconsolidation method table congruence. See "Deconsolidation type table check diagnostics" on page 224.
- Congruence of the deconsolidation method at the ownership structure register level. See "Ownership structure register check deconsolidation type diagnostics" on page 224.

A single Excel file is generated, with one sheet for each requested type of diagnostics.

Owner entity financial investments/financial statements congruence diagnostics

These diagnostics report the following data:

- Owner entity (parent entity)
- Owner entity description
- Owned entity (child entity)
- Owned Entity description
- Category
- Category description
- Account
- Account description
- Custom dimension 1...5 (ONLY if custom dimensions are managed)
- Financial Statement currency data
- Financial statement data
- Currency - Ownership structure register
- Data - Ownership structure register
- Variance (financial statements data – ownership structure register data)

The diagnostic is generated by comparing the values of the financial investment indicated in the ownership structure register with those present in the owner entity's financial statements. In particular, CCH Tagetik runs the following operations:

- For financial statement data, it reads the intercompany entries and the entity journals with a counterparty defined by applying the set filters.
- For financial investment entries, the diagnostic only considers entries related to events preceding the end date of the scenario/period to be diagnosed by applying the set filters.

The displayed data are contained in the **Events - Owner FS Own. -** FI sheet and grouped by dimension (Entity, Counterparty Entity, Category, Account, Custom dimension 1...5 and Currency). If necessary, the amount read from the financial statements data is converted into the currency of the owner entity indicated in the ownership structure register.

Owned entity net equity/financial statements congruency diagnostics

These diagnostics report the following data:

- Owned entity (child entity)
- Owned Entity description
- Category
- Category description
- Account
- Account description
- Custom dimension 1...5 (ONLY if custom dimensions are managed)
- Financial Statement currency data
- Financial statement data
- Currency - Ownership structure register
- Data - Ownership structure register
- Variance (financial statements data – ownership structure register data)

The diagnostic is generated by comparing the value of the net equity variations indicated in the ownership structure register with those indicated in the financial statements for the owned entity. In particular, CCH Tagetik runs the following operations:

- For financial statement data, it reads amounts and entity journals by applying the set filters entered on variation accounts in the **Net equity** section of the ownership structure register accounts configuration, if the **Use on Ownership structure register** option is selected. See Account Elements Table.
- For net equity variations indicated in the ownership structure register, the diagnostic only considers entries related to events that fall between the start date and the end date of the selected scenario/period.

The displayed data are contained in the **Events - Owner FS Own. - N.E. Variations** sheet and grouped by dimension (Entity, Counterparty Entity, Category, Account, Custom dimension 1...5 and Currency).

Financial investments/Net equity congruence diagnostics

These diagnostics run the following operations:

- They read the history of financial investment relationships between the group entities for the event scenario indicated on the process associated with the selected scenario/period, with event dates falling between the start date and the end date of the selected scenario/period, and related to the owner entities indicated in the filter.
- They sort the data by Owner Entity, Owned Entity and event date and compare every event with the previous event, reporting the following information for every event:
  - Whether unneeded net equity normal accounts are present. When the ownership percentage has not changed since the previous event and there are normal accounts in the net equity entry.
  - Whether the financial investment variation is different from the pro-rata amount of the net equity variation.
    A message is reported in these cases:
    - The ownership percentage of the event in question has not changed since the previous event.
    - At least one of the financial investment's variation accounts requires a change in net equity.
    - Net equity variation accounts are present.
    - The following expression is not checked: financial investment variation = net equity variation * FX rate * ownership % of the event
  - Whether net equity variation accounts are missing. When the following conditions are met:
    - At least one of the financial investment's variation accounts requires a change in net equity.
    - Net equity variation accounts are not present.
  - Whether unneeded net equity variation accounts are present. When the following conditions are met:
    - None of the financial investment's variation accounts require a change in net equity.
    - Net equity variation accounts are present.
  - Whether net equity normal accounts are missing. When the following conditions are met:
    - The ownership percentage of the event in question has changed since the previous event.
    - No normal net equity accounts are present.
  - Whether the net equity differs from the net equity in the child entity's financial statements. When the following conditions are met:
    - The ownership percentage has changed since the previous event.
    - Net equity normal accounts are present.
    - There is at least one account whose value (read from the structure register) differs from the value read from the owned entity's financial statements immediately preceding the event. To obtain the financial statement data, CCH Tagetik reads the pre-consolidation amounts and adjustments where the scenario is the previous scenario of the scenario selected in the filter, the period is the maximum period of the previous scenario, the entity is the owned entity for the event in question, the accounts are those resulting when the **Use Account for setup** attribute indicated in the elements table is **Net equity** and, lastly, the amount and entity journal categories not defined as "child categories".
  - Goodwill calculation. If the ownership percentage of the event in question has changed since the previous event, the system calculates goodwill as A+B+C, where:
    - A = financial investment variation (calculated as the sum of the carrying values for the event in question)
    - B = net equity variation (calculated as the sum of the net equity values related to the variation accounts) * FX rate of the event in question * ownership % of the event in question
    - C = Net equity normal accounts (calculated as the sum of the net equity values related to the normal accounts) * FX rate of the event in question * change in ownership percentage of the event in question since the previous event.

    The displayed data are contained in the **Events - Net equity, Events- F.I. variations- Net equity variations, Events- Net equity value, Events- Goodwill** sheet.

Assignment date congruence diagnostics

These diagnostics show any inconsistencies between the assignment date indicated in the entities table and the information inserted in the ownership structure register. The results of these diagnostics are contained in the **Assignment date congruence** sheet and report the following data:

- Owned Entity
- Owned Entity description
- Assignment date table

- Assignment date - Ownership structure register
- Error description

In particular, CCH Tagetik runs the following operations:

- Identifies, in the entities table, all the entities assigned in the period (assignment date defined in the entities table) that result from the set filter.
- Identifies, in the ownership structure register, all relationships existing at the period start date which have an ownership percentage other than zero and are subject to assignment in the period, in relation to the owner entities indicated in the filter.
- Compares, for each entity, the assignment date present in the table with the event date of the obtained relationships and behaves as follows:

Condition	Message displayed
Both dates are defined but are different.	"Assignment date isn't consistent".
Only the assignment date present in the table is defined.	"Only sold Entity in the table"
Only the event date of the relationship obtained from the ownership structure register is defined.	"Only sold in the structure register"

The displayed data are contained in the **Assignment date congruence** sheet.

Deconsolidation type table check diagnostics

These diagnostics are generated by comparing, for a given original scenario/period, the **Deconsolidation method** indicated in the **Override Entity parameters on Original scenarios** (see Override Entity parameters on Original scenarios page) and the consolidation parameter indicated for every consolidation scenario with the indicated scenario as the reference original scenario (see Define consolidation area by period page). In particular, the diagnostic reports the entities whose **Deconsolidation method** is not "Not to deconsolidate" on the overrides table, but is "Not to deconsolidate" on the elements to be consolidated.

The results of these diagnostics are contained in the Deconsolidation type table check sheet, which reports the following data:

- Entity
- Entity description
- Table deconsolidation type
- Consolidation scenario
- Scenario description
- Elements to be consolidated deconsolidation type

The displayed data are contained in the **Deconsolidation method table check** sheet.

Ownership structure register check deconsolidation type diagnostics

These diagnostics are generated by comparing, for a given original scenario/period, the **Deconsolidation method** indicated in the **Override Entity parameters on Original scenarios** (see Override Entity parameters on Original scenarios page) and the ownership % indicated in the last accrual event present in the ownership structure register. In particular, the diagnostic reports the entities whose **Deconsolidation method** is not "Not to deconsolidate" and whose ownership % is not 0.

The results of these diagnostics report the following data:

- Owned entity (child entity)
- Owned Entity description
- Owner (parent entity)
- Owner entity description
- Event number
- Event date
- Ownership %

The displayed data are contained in the **Ownership structure register check** sheet.

Ownership structure register diagnostics window

User | <application database>

Events tile > Ownership structure register > select process > > Financial investments congruence

Navbar > Events > Ownership structure register > select process > > Financial investments congruence

Purpose of window

This window allows you to generate diagnostic reports for specific scenarios/periods.

Fields in window

Element	Description
Scenario	Scenario for which to filter the events to be checked
Period	Period for which to filter the events to be checked. All events with dates falling between the start date and the end date of the indicated period are considered.
Entity filters	Optional filter on owner entities (a single entity, a list of entities or a node of the organisational hierarchy associated with the process to which the selected period scenario belongs)
Financial investments / Owner entity Financial statement congruence	Generates a report comparing the values of the financial investment indicated in the ownership structure register with those present in the owner entity's financial statements. **Variations check**: a comparison is carried out of the financial statement data entered in the variation accounts (excluding the initial balance) belonging to a control group whose parent account is a normal balance sheet account for which **Use Account for setup** is set to **Financial investments** in the elements table. See Account Elements Table. **Amounts check**: a comparison is carried out on the financial statement data entered in the normal accounts for which **Use Account for setup** is set to **Financial investments** in the elements table. See Account Elements Table.
Net equity / Financial statement congruence of the Owned entity	Generates a report comparing the value of the net equity variations indicated in the ownership structure register with those indicated in the financial statements for the owned entity.
Financial investments / Net equity congruence	Generates a report which checks the individual events and reports any inconsistencies.
Assignment date congruence	Generates a report which reports any inconsistencies between the assignment date indicated in the entities table and the information inserted in the ownership structure register.
Deconsolidation method table check	Generates a report which reports any inconsistencies between the deconsolidation methods set in the ownership structure events and those set in the entities elements tables.
Deconsolidation method: Ownership structure register check	Generates a report which reports any inconsistencies between the deconsolidation methods set in the ownership structure events and those which are overridden for the process on the original scenarios for the entities.

Data Processing Overview

Tagetik supplies the user with four different methods to run data processing automatically:

- calculation logics;
- "built in" logics;
- ETL;
- stored procedures.

Usually there are two data processing types to run in a CPM system:

- data processing that generate information accurately calculated from existing information in the system;for example calculate a budget revenue having as basic data the expected sold quantity and the purchase list;
- data processing that perform complex procedures such as allocation procedures or equity evaluations in a consolidation.

The first type can be performed with the "calculation logics" feature and , when the needs are particularly specific, using the stored procedures. The second type can be performed via the built-in logics and, when the data processing to run are not provided by the system, via an advanced use of the ETL or via stored procedures.

Calculation logics;

This feature must be used every time that data relating to an account must be calculated automatically starting from other accounts data. Tagetik allows to make the calculations on the base of two different philosophies:

- **"stored" calculation logics**, namely whose result is stored in the Tagetik application database on the "custom dimension" account
- **"on the fly" calculation logics**, namely the result is displayed during the reporting step only.

In both cases the user can trace the form value composition via the drill down utility.

The basic difference between the two types concerns the roll up:

- the stored calculation logics are performed at the highest detail level, thus before the roll up in the dimensions. This means that, if the calculation rules perform "not linear" calculations (with linear calculation we mean an account sum or difference), a result obtained at aggregated level (thus by summing the contributions of several entities and/or categories and/ or custom dimensions)does not match the result we would have by making the calculation at aggregated level;
- "on the fly" calculation logics, are performed directly on the form, thus after the system has run the roll up on the dimensions. In this case the system does not sum the results obtained at detailed level but makes the calculation directly at the detail level present in the form.

The "stored" calculation rules are implemented in Tagetik via the "Accounts calculation logics", which are subdivided in:

- **classic logics**. They are used to calculate an account as sum or difference of other accounts. They are typically used to calculate an account as sum of its details or its variations, with no possibility of acting on the custom dimensions detail and having the same scenario / period;
- **multidimensional calculation logics**. They are used when not linear operations must be done (for example to multiply two accounts with each other) or when the operations must be done in not standard way on the scenarios / periods (for example to read data from the previous scenario) or on the custom dimensions (for example to group the data to read or to write in the custom dimensions)

"On the fly" calculation logics are implemented in Tagetik via reporting schemes. The calculated data is shown, not attributed to a real "account", but assigned to a "FST item".

Built in logics

Tagetik implements, via built-in logics, some typical CPM processes utilities, such as:

- consolidation (made up of all the typical components of a consolidation: IC eliminations, currency conversion, minorities calculation, equity entities evaluation, mergers, deconsolidation etc);
- allocations and closing;
- financial planning;
- direct and indirect taxes;
- assets and financial products depreciations;
- dividend distribution;
- restorations.

In this way the user has to do the least needed parameterization to pilot the data processing in a customizable way on the base of his needs.

For all what is not scheduled by the implemented built-in logics, the user can rely on multidimensional calculation logics, data processing run via ETL and stored procedures. these methods are all at high parameterizability (these are completely free and thus more complex to use).

Data processing run via ETL

The **ETL** is a system that allows to read data from any source, to process them (by the logics described in the specific documentation) and then store the data processing result in files or tables. Natively the ETL was created to run data and metadata import and parameterization from the outside into Tagetik. Thus the typical data source is an external data source (other databases files or tables or other database of another Tagetik application), and the download is made into the Tagetik application database's tables.

The ETL can be also employed to run data processing. Having Tagetik application database's tables as input data (both data and rules tables), processing data using the ETL and then downloading the data processing result into Tagetik's data tables, it is possible to perform downright data processing. The logic of these data processings is completely charged to the parameterizer.

Mind the following peculiarities:

- the system sees the generated data as ETL generated data, thus as input data. Thus it is necessary to pay close attention to the sequence in which such data processing are run, since the system does not guarantee the right sequence;
- when the system writes on the data tables, it applies user rights;
- no automatic correction is made by the system (corrections are made by the built in logics) for the account restrictions / custom and entity dimensions / custom dimension.

Because the ETL is a process managed by Tagetik, whether the parameterizer needs a calculation utility that is not scheduled by the standards of Tagetik, it is always better to use the ETL parameterization rather than a stored procedure.

Stored procedure

It is necessary to use the **stored procedures** when the user needs utilities that cannot be performed with standard or multidimensional calculation logics (if the user needs to calculate the value of one or more accounts)or with built in logics or via ETL (when the calculation is more complex and involves the full process). It is better to use a stored procedure rather than an ETL when there is a criticality in the performances, or when the use of an ETL does not allow to reach the desired results or also when the parameterization is too complex.

As for the ETL, it is important to pay close attention to the sequence in which they are run (sequence not structurally guaranteed by Tagetik);

Moreover it is important to notice that a stored procedure run does not use the Tagetik technological structure and is done without checking user rights, entity / custom dimension and account / custom dimension restrictions, scenario / period block (unless the stored procedure is programmed to allow for that) .

The stored procedure must be used very carefully in order to avoid destructive effects on the entire application. We recommend to consult always the Tagetik's technicians.

Depreciation plan

In Tagetik, you can manage the goodwill amortization (and, in general, of assets or balance sheet items subject to the accrual accounting).

Entity journals

Follow the path below to define a depreciation via Entity Journal:

User Home page > Process Tiles > select the desired process and period.

Navbar > Process & Workflows> Process > select the desired process and period.

Select the desired step

Select the target entity from the tree on the right

In the Actions menu, select Edit Window ( ) > Edit Entity journals

First, it is necessary to create the header of the Entity journal.

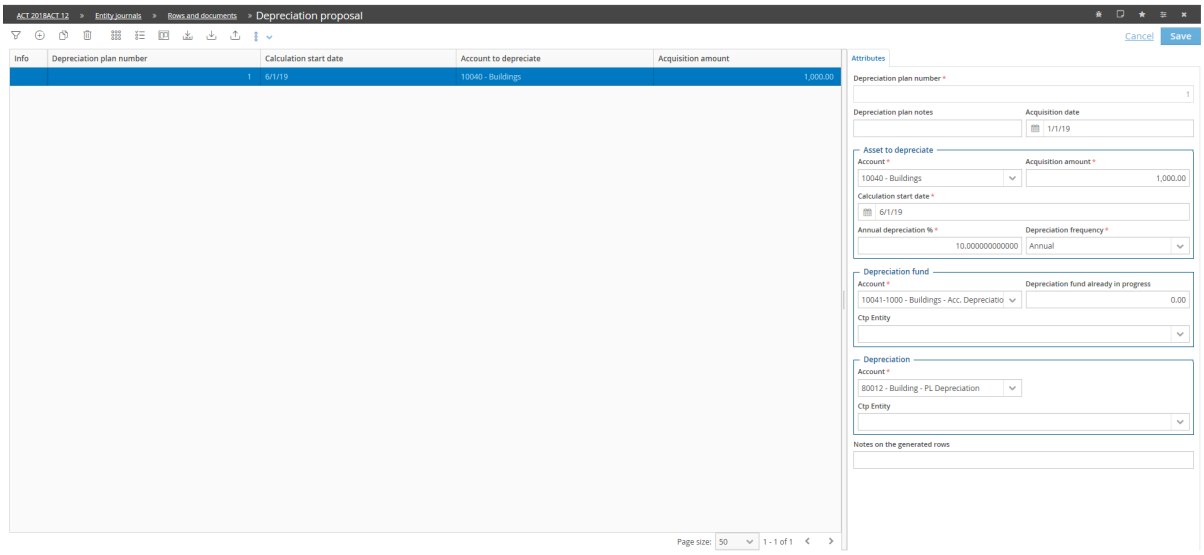
Select the button (add) and insert the **Scenario**, the **period**, the **Entity**, the **prefix** and the **suffix**, the **currency**, the **category** and then save data.

The **Depreciation** column is filled in for the headers having an active depreciation

Create the rows of the Balance Sheet accounts (historical cost) by selecting Actions ( ) > Rows and documents.

In the Original tab, select the account and insert the currency amount

Select the row and Wizard ( ) > Depreciation proposal



The "Entity", "Currency" and "Category" fields are not editable for the Entity journals.

Below is a list of fields to fill in: validation

Depreciation plan number	sequential identification number
Depreciation plan notes	of the asset
Acquisition date	
Asset to depreciate	
Account	on which the asset value is allocated
Purchase amount	of the asset
Calculation start date	date from which the depreciation starts. It normally coincides with the beginning of the year or of month.
Annual depreciation %	the percentage by which the capital is depreciated each year
Depreciation frequency	it can be annual, monthly, and so on.
Depreciation fund (total depreciated market shares of the asset)	
Account	where the fund is allocated
Depreciation fund already in progress	part of the value already depreciated
Custom dimensions	on which the fund is allocated
Ctp Entity	
Depreciation	
Account	where the depreciation of the period is calculated
Custom dimensions	on which the depreciation is allocated
Ctp Entity	

To fill in the depreciation plan Actions (⋮) > Generate depreciation plan

If incorrect data has been inserted, it is possible to regenerate the plan.

The system displays a message asking if you want to overwrite existing data.

To display the newly created plan, Actions (⋮) > Depreciation plan

The system displays the full depreciation plan

You can still edit the plan after you have generated it. For example, whether you need to edit the value of one or more depreciation rows.

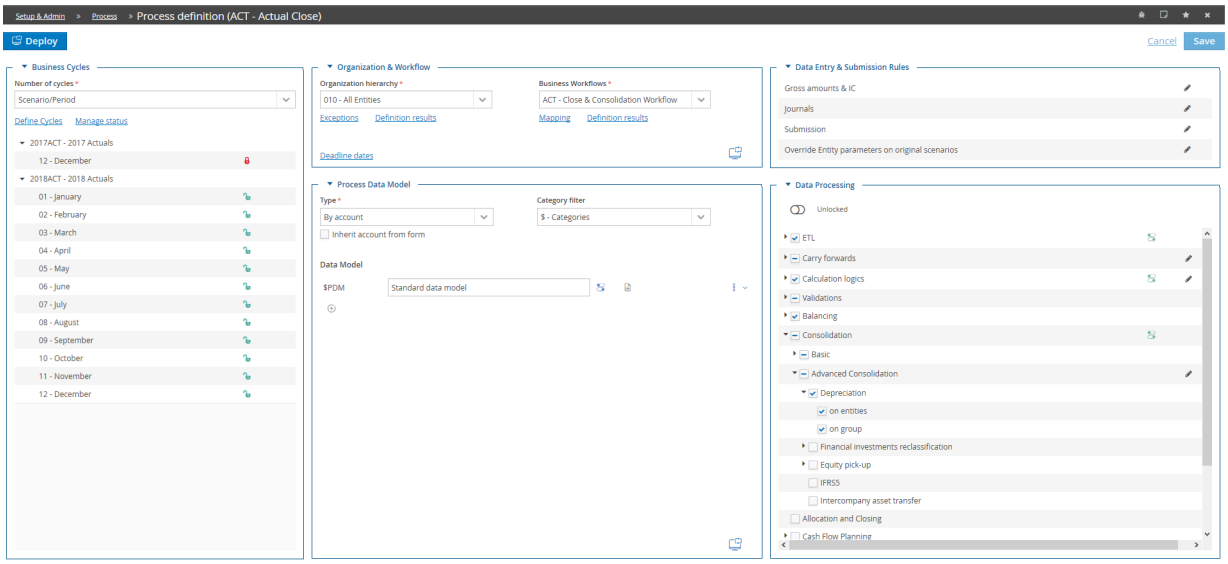
Data processing

To run the data processing, verify that you have enabled the depreciation flag in the process configuration:

Setup & Admin > Processes tile

select the desired Process > Actions (⋮) > Process Definition

In the Data processing area accessible from Consolidation > Advanced consolidation > Depreciation > On Entities



To display the generated journals: System Reports > Original journals rows
Filter by header containing the depreciation plan

Consolidation journals

The procedure for creating a depreciation plan via consolidation journals is similar to that used with the Entity journals; the only difference is that, in the case of the Entity journals, the Entity cannot be selected, whereas in the case of the consolidation journals, it is possible to choose between Entity 1 and Entity 2

To customize the depreciation plan:
enable the Consolidator mode at the top right in the process cockpit
Select the target node from the tree on the right
In the Actions menu, select Edit Window ( ) > Edit Consolidation journals

and repeat the same steps described for the Entity journals.

Data processing

To run the data processing, verify that you have enabled the depreciation flags in the process configuration
Setup & Admin > Processes tile
select the desired Process > Actions ( ) > Process Definition
In the Data processing area accessible from Consolidation > Advanced consolidation > Depreciation > On Group

To display the generated journals: System Reports > Consolidation journals rows

Filter by header containing the depreciation plan

Entity journals and Consolidation journals – Bulk management

From the User home page > Events tile > Depreciation proposal menu, after having selected the Process, the user can access the window for the management of bulk depreciation plans.

After selecting the Journal number, this window allows you to define new depreciation plans both for the Entity journals and Consolidation journals.

The window contains the utility for the Generation of the depreciation plan (also in multi-selection mode) and allows you to access all Depreciation plans related to the journals.

Asset depreciation

The purpose of this data processing is to calculate the depreciation plan of new investments by tax category (asset class).

Description

An important role in budget projects is played by the planning of new investments. In general, when we talk about the purchase of new assets and their depreciation, we talk about "Capital Expenditure" or simply "CAPEX" (CAPital EXpenditure). CCH Tagetik has a built-in functionality to handle this issue.

The goal is to calculate for each new purchase:

- the variation account of the asset account;
- the variation account of the depreciation fund account;
- the depreciation account.

For example, suppose you plan to purchase €5,000 worth of laptops in June 2013. Furthermore, assume that this type of asset is fully depreciated over 24 months and the depreciation rate is constant. So each month has the usual depreciation percentage of approximately 1/12*100 = 4.16%.

The asset depreciation data processing works as follows:

- in the month in which the purchase takes place, it records an entry, on the first day of the month, on the variation account of the asset account equal to the value of the investment;
- adjusts the depreciation account by a value equal to the value of the investment multiplied by the depreciation percentage for that month (5,000*4.16% = 208);
- complete the double-entry journal with an entry of the same amount but opposite sign on the variation account of the depreciation fund account (-208).

The last two entries are repeated for each month until the asset is fully depreciated, provided that the life of the asset is less than the time horizon of the budget process.


The system operates on two distinct tables: a table containing the details of all the entries by date generated by the data processing and the table of the gross balances where the system reports the details of the entries by calculating the amounts as year-to-date and grouping the various entries by period.


The data processing:

- generates gross amounts with **PROC_BDG_DEPRECIATION** origin;
- processes one depreciation method at a time;
- does not apply any policy for the bank exit at the time of purchase and usually this part is covered by ad-hoc calculations;
- does not calculate the depreciation of existing assets.

Setup

The data processing of assets depreciation is based on the parameterization of the assets depreciation rules which allow entering the information needed by the system to know which data to process, which accounts to use, etc.

Preliminary activities

Before proceeding to specify these rules, it is necessary to perform a series of preliminary activities in order to guarantee the correct execution of the data processing.

In detail, these activities are:

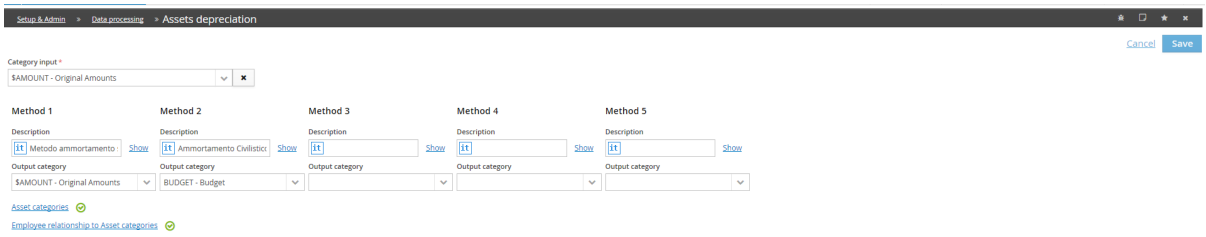
- enable the custom dimension 3 and manage the assets on it (for example buildings, land, laptops, etc.);
- check that the periods of the scenarios related to the budget process have the correct period length as the depreciation calculation needs the monthly value;
- check that the budget scenarios present in the process have defined the previous scenario in order to create a temporal link between the various scenarios.

Asset depreciation rules

The management of the asset depreciation rules can be accessed from the web interface of the administrator user by following the *Setup&Admin* > *Data processing tile* > *Asset depreciation* path

The system opens the Asset depreciation window containing three sections :

- **Depreciation methods**
- **Asset categories** link
- **relationship to Asset / Asset category** link



Depreciation methods

In this section, you can manage:

Field	Description
Input category*	identifies where the amounts entered by the user relating to new purchases are stored. The input category can be specified via a single category or via a category grouping node. In the latter case, the system considers all the categories related to the selected node as categories to be processed. However specified, the input category must be of "Amount" type ;
Depreciation method*	It is possible to manage up to 5 different depreciation methods. Each method is identified by a **Name** and an **Output category**
Output category	Represents the amount category where the system writes the values generated by the data processing. It can be managed separately for each depreciation method

The use of multiple depreciation methods is required when you want to manage financial statements drawn up with different accounting standards. For example, you may want to manage two depreciation plans:

- one suitable for a financial statement drawn up with statutory accounting principles (it may be that even a budget must be drawn up on the basis of the civil code / international accounting principles, since, for example, listed Entities can often be asked for a budget to then be compared with the actual data and since the actual data are drawn up with certain accounting principles, they must also be used for the budget);
- one suitable for management accounting principles, for example internal and used in the group

If you decide to manage different depreciation methods, then in the asset categories management we will have 2 depreciation periods to be defined, and the system will develop two different depreciation plans separately. Also, to track both plans, depreciation data will be generated on different output categories.

You cannot use the same output category for different depreciation methods.

Asset categories

Through the link it is possible to access the window where to define the various asset categoriesand for each of them to set the accounts on which the data processing must operate and the duration of the various depreciation methods enabled.

Each asset category is identified by:

Field	Description
Code*	It is mandatory that the asset category code begins with the character $;;
Description*	Multilanguage (to see languages other than the main one, press the Show link)
Useful life (months)	Expressed in months for each enabled depreciation method. It represents the number of months after which all assets belonging to that asset category are depreciated. It is defined for each Depreciation method
Assets account	Represents the input account on which the user enters the amounts relating to a new purchase of an asset belonging to that asset category. The amount entered on this account is used by the system to generate the output accounts. The depreciation data processing does run any year-to-date calculation of the input data, so it is expected that the values related to the assets account are already calculated year-to-date. If, for example, the values related to the asset account are entered from the form, this account must be of "Other variation" nature (Year-to-date calculation is in fact run when the form is saved). If, on the other hand, the values of the asset account are entered via ETL, this account can either be of "Other variation" or "Other stock" nature, but the related values must be calculated year-to-date when loading the ETL;
Asset variation account	Variation account of balance sheet or Other stocks nature on which the data processing, for each month of the depreciation period, records the value of the investment
Depreciation fund variation account	Variation account of balance sheet or Other stocks nature on which the data processing writes the depreciation rate
Depreciation	Normal account of P&L or Other variations nature on which the system completes the double-entry accounting, i.e. on which it writes the depreciation rate with a change of sign.

Once all the attributes of an asset category have been defined and saved, it is necessary to define for each depreciation method the depreciation percentage to be applied for each month of the duration of that method.

To access this definition it is necessary to use the **Definition** link next to the Useful life field of each depreciation method. The system opens a window where you can specify the **Number of months** and **depreciation %**.

For each month, it is necessary to specify the depreciation percentage. When saving, the system make sure that the sum of the percentages of all months of a method does not exceed 100%.

Allocation of Asset / Asset category

Once all the asset categories have been created, it is necessary, for each Entity, to associate the elements of the custom dimension 3 (the assets) with an asset category. In this way, it is possible to manage cases in which the same asset is depreciated for different entities.

Each relationship is characterized by:

- the code of the element of the **custom dimension 3**;
- the **Entity**. The Entity can be specified as a single entity or via a node in an Entity hierarchy. In the latter case, the system considers all the entities related to the selected node as entities to be related to the current asset. It is possible to add or remove lower level nodes or individual entities to the nodes
- the **asset category**;

Once the definition of the matches has been completed, the system, when saving data, generates a deployed table containing the triads custom dimension 3 / entity / asset category.

Enable the execution of Asset depreciation

Once the parameterization of the asset depreciation rules has been completed, in order to run them, it is necessary to specify in which processes the depreciation calculation for the new investments must be enabled. To do this, you need to:

- Click on the *Processes* tile, select the process to be parameterized, using the *Actions* (⋮) > *Process definition* window menu. Navbar > Processes & Workflows > Process > select the process to be parameterized, using the *Actions* (⋮) > *Process definition*
- go to **Data Processing**section on the right side of the window;
- enable the **Other** option, or open the dropdown and select one **Asset depreciation** data processing;
- save.

Enabling the **Asset Depreciation** option enables the calculation of depreciation for new investments. This data processing is used in Planning projects and ONLY takes into consideration new investments, not the depreciation of existing investments. By enabling the **Enable override** option, it is possible to override some settings of the generic rule and therefore make the system use the overridden rule for the current process, rather than the generic one

Run “Asset depreciation” data processing

The calculation of depreciation for new investments is an Entity data processing and as such can be performed together with all the other data processes enabled on the process for that group or individually.

The depreciation calculation for new investments can be performed:

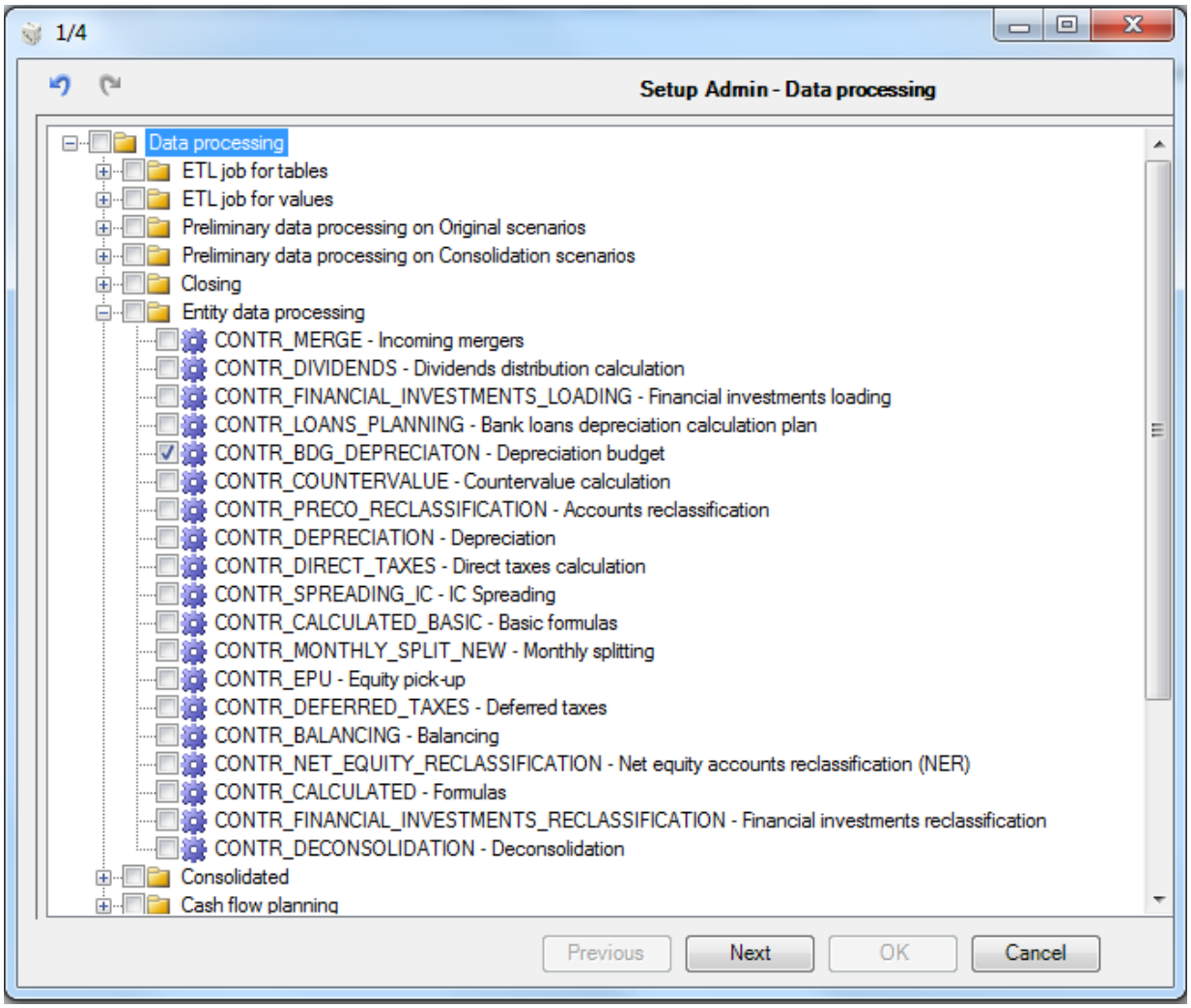
- from the **process cockpit** of the contributor present on the end user's web interface using the **Entity data processing** button after selecting the Entities to process. Specify the original scenarios on which you want to launch the data processing before pressing the Next key > select **Depreciation** from the data processing. Obviously, the process whose cockpit you are viewing must have this data processing enabled;
- **from a data entry form**;
- **from a task of a workflow**;
- **from a task of a job**

Run asset depreciation from a form

The depreciation of assets can also be performed from a data entry form. For example, it is possible to collect forecast investments through Data entry forms on variation accounts (Change in Increase of the asset balance sheet) and trigger the calculation of depreciation when saving according to the category of assets to which they belong. To do this, you need to:

- open the form in Design work mode;
- click on the **Data processing** button on the Design ribbon bar or select in the left panel of Open objects the row related to the form in which the data processing must be inserted, then right-click and select Run Data processing > New Data processing.

The system shows a window in which the user must check **Entity data processing** > CONTR_BDG_**DEPRECIATION – Depreciation budget** and click on the **Next** button



At this point, you must define the parameters required for the data processing. The parameters highlighted in bold are mandatory.

The definition of parameters requires that you **specify how the value of the parameter must be retrieved**. The possible methods are:

- **Automatic**. The system retrieves the parameter value directly from a form filter, tab filter, matrix filter, row/column filter. If the filter is defined using a parameter (and therefore its value is chosen by the user at launch) the value passed to data processing will depend on the user's choice. If a parameter is not mandatory or relevant for the current data processing, its value can easily be retrieved automatically
- **Excel cell.** The system retrieves the parameter value from an Excel cell. The user must specify the cell in which the value is located using the syntax ${H30} (cell H30).
- **Type.** The user must insert the value of the parameter in the corresponding text box
- **Select.** The user must select the value of the parameter from a list of possible values
- **Cell field.** The system retrieves the value of the parameter from a cell field.

The possible parameters to set are:

- **Scenario**
- **Period**
- **Entity**
- **Disable impacted**. By enabling this option, the system processes everything without any filter on modified data, otherwise it is able to determine which data have changed and process only what is necessary; i.e. it avoids processing entities whose input data have not been modified since the last launch.

Once the various parameters have been specified by clicking on the "Next" button, it is possible to specify a series of options that allow the system to know how the data processing must be run inside the form (for more details see Data processing PDF Reporting). As a last step, it is necessary to assign a code and a description to the data processing to be inserted in the form.

To perform the above data processing, once the form has been opened in data entry mode, simply click on the **Data processing**  button on the Data entry ribbon bar and click on the name of the data processing you want to run.

Run asset depreciation from a job

Tagetik allows the user to run the asset depreciation also from a task of a job.

Let's therefore suppose that we are inside a job and we want to define a new task for running the above data processing. The steps to follow are:

- define a new task via the **Edit** key of the Job
- In the top band, you can see the operations that you can add divided by type.. Go to the **Main Data processing** tab
- Drag and drop down the **Data Processing by {NOME_AZIENDA}** icon
- You can open the following parameters in the window:
  - **Process.**
  - **Original scenario / period.**
  - **Entity.**
  - **Data process. Here select CONTR_BDG_DEPRECIATON**
  - **Disable impacted.** By enabling this option, the system processes everything without any filter on modified data, otherwise it is able to determine which data have changed and process only what is necessary; i.e. it avoids processing the entities whose input data have not been modified since the last launch
- Position and connect it in the Job according to our needs

By using the **All** option, the values to be assigned to the corresponding parameter will be determined by the system when running the job and will coincide with all possible values existing for that parameter at that time

When saving data, the task may turn yellow or red with an exclamation mark in the right corner.

By clicking on the exclamation point, the system will give us messages about the errors present, which prevent saving data.

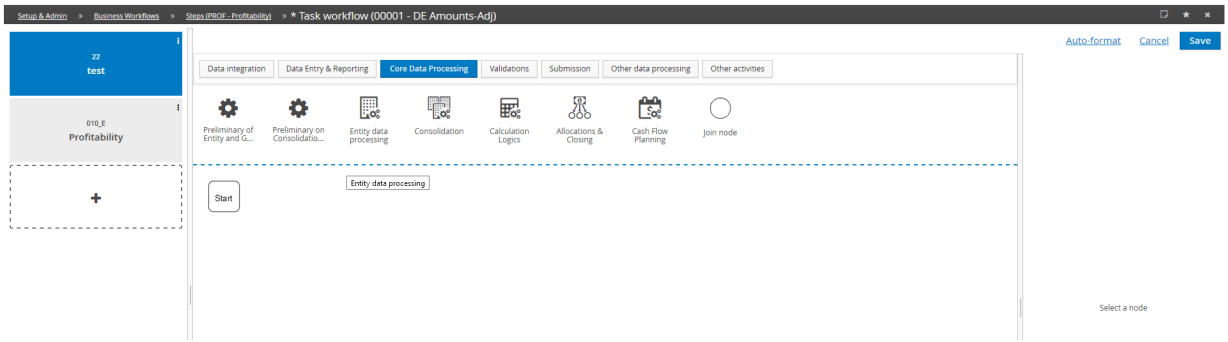
There is a **Review and launch** link in the window.

Run asset depreciation from workflow

Tagetik allows the user to run the asset depreciation also from a task of a workflow model.

Let us assume that we are inside a flowchart task and want to define a new task to perform asset depreciation. The steps to follow are:

- from the Administrator homepage, select the Business workflow tile > Select the workflow you want to work on
- Actions () > steps > select a step of the process
- On the left of the window opened by the system we find a list of workflows related to that step. Select one or create a new one using the appropriate key on the left () and assign a code and description to the workflow;



- Add tasks to the workflow in the central part of the window: drag the desired elements from the list to the graph that starts with the Start. In our case, we will take **Data processing by {NOME_AZIENDA}** from **Main Data processing** tab.
- The system opens a window that allows you to insert:
  - **Code** unique identifier of the task
  - **Description** of the task
  - **Optional** makes the task of an optional activity , so it is possible to submit even without having run it.
  - **Enable e-mail notification** allows you to notify by e-mail the completion of the activity contained in the task
  - **Declare task completion** allows you to select the mode in which the activity is declared completed (Manual or Automatic)
  - **Parameters** here you can define the details of the activity:
    - **Disable impacted** By enabling this option, the system processes everything without any filter on modified data, otherwise it is able to determine which data have changed and process only what is necessary; i.e. it avoids processing the entities whose input data have not been modified since the last launch
    - **Data Processing** select CONTR_BDG_DEPRECIATON- Depreciation budget
  - **Label** useful for user rights purposes

Diagnostic data processing

Purpose of the diagnostic function

The diagnostic function allows you to verify that the data entered in CCH Tagetik are correct. This check is done against validation rules defined on a general basis, but the rules can be overridden for individual processes. In this way, the diagnostic function is highly customisable.

It is used for the following purposes:

- in automatic balancing data processing, to offset unbalanced amounts that fall within certain tolerability parameters
- in the entity and journal data submission procedure, to prevent it from closing if blocking errors arise
- in the “balancing on control groups” function (available on journal rows), to manually correct unbalanced amounts.

Types of check

Checks on the accuracy of data entered in CCH Tagetik are divided into two macro categories:

- diagnostic checks
- plausibility checks, also called plausibility diagnostic

Diagnostic data processing and custom diagnostic

Depending on the page from which it is run, diagnostic data processing can be run immediately or show a run window in which further parameters can be inserted.

In the first case, the data processing run parameters are obtained from the selections that led to the specific page from which the data processing is run. In the second case, the run parameters must be specified in the run window.

Diagnostic rules

Contents

This section covers the following topics:

Validation rules page 241

Validation rules page

Admin

Application database > Data Processing tile > Diagnostic > Validation

Application database > Navigation panel > Data Processing > Diagnostic > Validation

Purpose of the page

This page allows you to set the validation rules for diagnostic checks.

Generic rules

Field	Description
Validation	
Run data processing on diagnostic	Allows you to run all data processing enabled for the process (with the exception of cash flow planning and closing) when running the diagnostics.
Also include the stored procedure	Only with **Run data processing on diagnostic** selected. Include a stored procedure that meets CCH Tagetik's minimum requirements in the data processing to be run when diagnostics is launched. The stored procedure is only run on the original scenarios/periods. The stored procedures that can be run by the diagnostic are those whose name starts with "CPM_SP_". To allow the stored procedure to read the diagnostic parameters, they must be named as follows: • PROCESS: data collection process • ENTITY_HIERARCHY: organisational hierarchy process • STEP_LIST: list of steps • ORIGINAL_SCENARIO_PERIOD_LIST: list of original scenarios/periods • ENTITY_LIST: list of entities • CONTRIBUTOR_NODE_LIST: list of contributor nodes • CONSOLIDATOR_NODE_LIST: list of consolidator nodes For more details on stored procedures, see Stored procedure in the Data processing section.
Diagnostic result: Show forms on row	Allows you to view, for every error on the control group or account in the diagnostic result window, the forms on which the control group accounts can be edited or the account itself. ***Note**: From the diagnostic result window, (non-transactional) standard forms can be edited, using Excel or web forms.*

Field	Description
Categories for which to show the result	Opens a page to select the categories for which to display the validation of the year's result, even in the absence of unbalanced amounts. ***Note**: for the **$BS_<result account code>** control group, the diagnostic will show the result, even if balanced, on the categories defined here, allowing you to view the validation of the annual result.* *(The result account code to be used is the one that is set in the process's calculation logic rules.)*
Result log	
Enable detected errors trace	Allows you to log errors returned by diagnostics so you can consult, justify and authorise them. If you have chosen to log errors, they will be inserted/added to every submission or to every diagnostic run with log update. ***Note**: only logged errors are saved and can therefore be consulted over time.*
Don't propagate the authorized blocking error information	This check looks for the presence of blocking errors authorised by users responsible for the entity on which diagnostics were run. • **Do not run**: the check is not performed. • **Blocking**: the check is performed and the presence of blocking and authorised errors is reported with blocking severity. • **Non-blocking**: the check is performed and the presence of blocking and authorised errors is marked as being of non-blocking severity. • **Only Diagnostic**: the check is only run if explicitly requested by manually running the diagnostic from the **Detail summary** (for the contributor) or **Overview** (for the consolidator) cockpit tabs; in this case it is possible to customise the filters before running the data processing. However, whenever diagnostics are run automatically (from the cockpit/from other data processing), the check is not performed. The prerequisites for running this check are: • the traceability of errors found by diagnostics is enabled • the submission mechanism is enabled in the submission rules via authorisation of blocking errors
Journals submission validation	
Diagnose Manual journals submission	The check verifies that the manual journals belonging to the entity on which the diagnostics were run have been submitted. A prerequisite for the running of this check is that the submission of journals must be enabled on the process, i.e. task flowcharts must have been specified for journal submission in the Business Workflow mapping. • **Do not run**: the check is not performed. • **Blocking**: the check is performed and the non-submitted manual journals are reported with blocking severity. • **Non-blocking**: the check is performed and the non-submitted manual journals are marked as being of non-blocking severity. • **Only Diagnostic**: the check is only run if explicitly requested by manually running the diagnostic from the **Detail summary** (for the contributor) or **Overview** (for the consolidator) cockpit tabs; in this case it is possible to customise the filters before running the data processing. However, whenever diagnostics are run automatically (from the cockpit/from other data processing), the check is not performed.

Field	Description
Diagnose Automatic journals submission	The check verifies that the automatic journals belonging to the entity on which the diagnostics were run have been submitted. A prerequisite for the running of this check is that the submission of journals must be enabled on the process, i.e. task flowcharts must have been specified for journal submission in the Business Workflow mapping. • **Do not run**: the check is not performed. • **Blocking**: the check is performed and the non-submitted automatic journals are reported with blocking severity. • **Non-blocking**: the check is performed and the non-submitted automatic journals are marked as being of non-blocking severity. • **Only Diagnostic**: the check is only run if explicitly requested by manually running the diagnostic from the **Detail summary** (for the contributor) or **Overview** (for the consolidator) cockpit tabs; in this case it is possible to customise the filters before running the data processing. However, whenever diagnostics are run automatically (from the cockpit/from other data processing), the check is not performed.
IC cockpit	
IC cockpit: Balancing threshold of Compensation reconciliation accounts	The threshold, if set, is applied during the matching of relationships present in the IC Cockpit. Specifically, it will be used by the check that verifies the balancing of amounts linked to variation/detail types used on several matching rules.

Specific rules

Field	Description
Equality control groups	Opens a page to define specific rules to be applied to control groups with equality operators.
"Other" control groups	Opens a page to define specific rules to be applied to “other” control groups, or balancing control groups with non-equality equality operators.
Accounts	Opens a page to define specific control rules for accounts.

Specific validation rules

Purpose of specific rules

These rules allow you to set diagnostic data processing by table element of the control groups and accounts. These rules may be defined for the following elements:

- individual table elements, namely a control group or an account
- grouping nodes, namely for all elements contained in the node
- for all elements of the table, using the **All elements** option.

These rules allow you to validate and balance the data. However, to be used, they must first be processed to obtain all the possible combinations of table elements and categories/nodes deriving from their definition.

A preview of this data processing can be downloaded as a report in the rule definition windows.

IMPORTANT: The system processes records in the same order in which they are entered. It is therefore important to pay attention to the sequence of entries - what is added later could invalidate what was entered earlier

Validation granularity

For every table element, you can then indicate the database to be validated (category or node) and the granularity with which to validate it.

Selecting rule	Granularity	Description
Specific category	Journal	Only if the category is a journal category. The validation returns errors by journal number.
Specific category	Category	Only if the category is not a consolidation journal category. The validation returns errors by category. If the category is a pre-consolidation journal, the journal number is not reported as several journals may be being summed up together.
Node of categories	Journal	The node is deployed in the categories that it contains. The indicated granularity is applied to the entity journal categories and consolidation journal categories that are obtained. Granularity by category is applied to the amount categories that are obtained.
Node of categories	Category	The node is deployed in the categories that it contains. The indicated granularity is applied to the amount categories and entity journal categories that are obtained. The other categories are discarded.
Node of categories	Node	The node is deployed, but the algebraic sum of the categories that comprise it is validated.
All categories	Journal	All the table categories are read. The indicated granularity is applied to the entity journal and consolidation journal categories. Granularity by category is applied to amount categories.
All categories	Category	Only amount and entity journal table categories are read. The indicated granularity is applied.

Types of category nodes

The diagnostic data processing distinguishes between three types of node, or groupings, for Categories:

- **Entity groupings**. The node contains only entity categories, namely amounts and/or entity journals, of the contributor. These groupings can be validated both on original scenarios and on consolidation scenarios.
- **Consolidator entity groupings**. The node contains only entity categories, namely amounts and/or entity journals, but at least one of these is of the consolidator. These groupings can be validated both on original scenarios and on consolidation scenarios.
- **Consolidator groupings**. The node may contain just one single consolidation journal category. These groupings can only be validated on consolidation scenarios and only on the “Converted” and “Consolidable” amount.

Specific validation rules - Equality control groups page

Admin

Application database > Data Processing tile > Diagnostic > Validation > (Specific rules) Equality control groups

Application database > Navigation panel > Data Processing > Diagnostic > Validation > (Specific rules) Equality control groups

Purpose of the page

This page shows the validation rules for control groups whose equality operator is currently configured. It allows you to edit the rules and create new ones.

To override these rules for individual processes, see the Validation rules page in the Processes section.

Actions on this page

Element	Description
	**Validation rules**: opens a window to set and generate a preview, in Excel format, of all the elements impacted by the rule.

Attributes on the page

Element	Description
Data type	The control groups obtained by this definition are validated on the following types of data: • **All** (default) • **Gross** • **Net** • **Intercompany** This condition is intersected with what is indicated for the control groups in the relative table. See Control groups page in the Data Model section.
Control group	Indicates which elements must be validated • All elements (default) • An element of the control groups table • A node or element of the control groups groupings If **All the elements** or a node is selected, the operator of the obtained elements will be “equal to”.
Category	Indicates the categories for which the data are checked: • All elements (default) • An element of the categories table • A node or an element of the categories groupings

Element	Description
Granularity	Sets the granularity with which the data are checked and is conditional on the **Category** attribute setting: • **By node**, only if **Category** contains a node of category groupings. • **By category** (default), only if **Category** contains an amount category or an entity journal category or **All elements** or a node of category groupings. In the two latter cases, the consolidation journals are discarded from the result categories. • **By journal**, only if **Category** contains an entity journal category or a consolidation journal category or **All elements** or a node of category groupings. In the two latter cases, **By category** granularity is applied to amount-type result categories.
Severity	It allows you to define the severity to be applied to the rule, and consequently what happens if the data processing detects an error. • **Automatic** (default), the severity defined in the control groups table (**Blocking** or **Non-blocking**) is applied. • **Blocking**, the entity data are not submitted. • **Non-blocking**: the entity data are submitted but the outcome of the check is registered. • **Only Diagnostic**: the check is only run if explicitly requested by manually running the diagnostic from the **Detail summary** (for the contributor) or **Overview** (for the consolidator) cockpit tabs; in this case it is possible to customise the filters before running the data processing. However, whenever diagnostics are run automatically (from the cockpit/from other data processing), the check is not performed. • **None**, the data are not verified. Useful option for excluding elements from a node to be deployed.
Thresholds	
Currencies for thresholds	Currency in which the threshold amounts set in this section are considered to be expressed; for the comparison, these must be converted into the currency of the entities/journals to which it is applied. The FX rate used for the conversion is the final FX rate. If the currency is not set, the currency of the relative entity or journal will be used.
Submission threshold	If set, below the threshold value, the entity is submitted even if there are errors with **Blocking** severity. In the submission step, these errors are classified as **Below threshold blocking**.
Original scenarios balancing threshold	If set, during the balancing data processing for original scenarios, the rows with unbalanced amounts below this value are balanced. Control groups with the following granularities are not balanced: • “by node” containing only journal categories • “by category” on journal categories.
Consolidation scenarios balancing threshold	If set, during the balancing data processing of consolidation scenarios, the rows with unbalanced amounts below this value are balanced. Control groups with the following granularities are not balanced: • “by node” containing only journal categories • “by category” on journal categories.

***IMPORTANT**: if thresholds are not set, the threshold on the row preceding the definition for the same data collection will be considered. If no other rows exist, the threshold will be set to zero.*

Specific validation rules - Other checks page

Admin

Application database > Data Processing tile > Diagnostic > Validation > (Specific rules) “Other” control groups

Application database > Navigation panel > Data Processing > Diagnostic > Validation > (Specific rules) “Other” control groups

Purpose of the page

This page allows you to manage validation rules for control groups whose operator is not equality. It allows you to edit the rules and create new ones.

To override these rules for individual processes, see the Validation rules page in the Processes section.

Actions on this page

Element	Description
	**Validation rules**: opens a window to set and generate a preview, in Excel format, of all the elements impacted by the rule.

Attributes on the page

Element	Description
Data type	The control groups obtained by this definition are validated on the following types of data: • **All** (default) • **Gross** • **Net** • **Intercompany** This condition is intersected with what is indicated for the control groups in the relative table. See Control groups page in the Data Model section.
Control group	Indicates which elements must be validated: • All elements (default) • An element of the control groups table • A node or element of the control groups groupings If **All elements** or a node is selected, the operator of the obtained elements will be different from “equal to”.
Category	Indicates the categories for which the data are checked: • All elements (default) • An element of the categories table • A node or an element of the categories groupings

Element	Description
Granularity	Sets the granularity with which the data are checked and is conditional on the **Category** attribute setting: • **By node**, only if **Category** contains a node of category groupings. • **By category** (default), only if **Category** contains an amount category or an entity journal category or **All elements** or a node of category groupings. In the two latter cases, the consolidation journals are discarded from the result categories. • **By journal**, only if **Category** contains an entity journal category or a consolidation journal category or **All elements** or a node of category groupings. In the two latter cases, **By category** granularity is applied to amount-type result categories.
Severity	It allows you to define the severity to be applied in the rule, and consequently what happens if the data processing detects an error. • **Automatic** (default), the severity defined in the control groups table (**Blocking** or **Non-blocking**) is applied. • **Blocking**, the entity data are not submitted. • **Non-blocking**, the entity data are submitted but errors are reported. • **Only Diagnostic**: the check is only run if explicitly requested by manually running the diagnostic from the **Detail summary** (for the contributor) or **Overview** (for the consolidator) cockpit tabs; in this case it is possible to customise the filters before running the data processing. However, whenever diagnostics are run automatically (from the cockpit/from other data processing), the check is not performed. • **None**, the data are not verified. Useful option for excluding elements from a node to be deployed.
Thresholds	
Currencies for thresholds	Currency in which the threshold amounts set in this section are considered to be expressed; for the comparison, these must be converted into the currency of the entities/journals to which it is applied. The FX rate used for the conversion is the final FX rate. If the currency is not set, the currency of the relative entity or journal will be used.
Submission threshold	If set, below the threshold value, the entity is submitted even if there are errors with **Blocking** severity. In the submission step, these errors are classified as **Below threshold blocking**.

The thresholds are only applied to control groups whose operator is greater than, greater than/equal to, less than, less than/equal to, not equal. They are to applied to coherence operators.

***IMPORTANT**: if thresholds are not set, the threshold on the row preceding the definition for the same data collection will be considered. If no other rows exist, the threshold will be set to zero.*

Specific validation rules - Accounts page

Admin

Application database > Data Processing tile > Diagnostic > Validation > (Specific rules) Accounts

Application database > Navigation panel > Data Processing > Diagnostic > Validation > (Specific rules) Accounts

Purpose of the page

This page allows you to manage the specific validation rules of accounts for the Sign, IC sign, IC capacity, Notes and FX rates checks.

To override these rules for individual processes, see the Validation rules page in the Processes section.

Actions on this page

Element	Description
	**Validation rules**: opens a window to set and generate a preview, in Excel format, of all the elements impacted by the rule.

Attributes on the page

Element	Description
Type of check	Criteria with which the accounts to be checked are selected. • **Sign**: check only on accounts which, in the table, have **Standard sign check** not equal to **Any**. • **IC sign**: check only on accounts which, in the table, have **IC sign check** not equal to **Do not check**. • **IC capacity**: check only on accounts which, in the table, have **IC Capacity check** not equal to **Do not check**. • **FX rates**: check only on accounts which, in the table, have **FX rates check** not equal to **Do not check**. • **Notes**: check only on accounts which, in the table, have **Notes check** not equal to **Do not check**.
Account	Indicates the accounts for which the data are checked: • **All elements** (default) • An element of the accounts table • A node or an element of a hierarchy of accounts
Category	Indicates the categories for which the data are checked: • **All elements** (default) • An element of the categories table • A node or an element of the categories groupings
Granularity	Sets the granularity with which the data are checked and is conditional on the **Category** attribute setting: • **By node**, only if **Category** contains a node of category groupings. • **By category** (default), only if **Category** contains an amount category or an entity journal category or **All elements** or a node of category groupings. In the two latter cases, the consolidation journals are discarded from the result categories. • **By journal**, only if **Category** contains an entity journal category or a consolidation journal category or **All elements** or a node of category groupings. In the two latter cases, **By category** granularity is applied to amount-type result categories.
Severity	It allows you to define the severity to be applied in the rule, and consequently what happens if the data processing detects an error. • **Non-blocking** (default), the entity data are submitted but errors are reported. • **Blocking**, the entity data are not submitted. • **Only Diagnostic**: the check is only run if explicitly requested by manually running the diagnostic from the **Detail summary** (for the contributor) or **Overview** (for the consolidator) cockpit tabs; in this case it is possible to customise the filters before running the data processing. However, whenever diagnostics are run automatically (from the cockpit/from other data processing), the check is not performed. • **None**, the data are not verified. Useful option for excluding elements from a node to be deployed.
IC capacity thresholds	
Currencies for thresholds	Currency in which the threshold amounts set in this section are considered to be expressed; for the comparison, these must be converted into the currency of the entities/journals to which it is applied. The FX rate used for the conversion is the final FX rate. If the currency is not set, the currency of the relative entity or journal will be used.

Element	Description
Submission threshold	Only applied to the IC capacity check. For the comparison, the FX rate must be converted into the currency of the entities/journals to which it is applied. The FX rate used for the conversion is the final FX rate. If set, below the threshold value, the entity is submitted even if there are errors with **Blocking** severity. In the submission step, these errors are classified as **Below threshold blocking**.
Original scenarios balancing threshold	Only applied to the IC capacity check and to accounts which, in the table, have **IC Capacity check** equal to **Check =**. If set, during the balancing data processing for original scenarios, the rows with unbalanced amounts below this value are balanced. . Accounts with the following granularities are not balanced: • "by node" containing only journal categories • "by category" on journal categories.
Dimensions check	
Entity	• **Element**: shows the outcome by entity (default). • **Contributor node**: shows the outcome on the significant nodes in the data collection process by algebraically summing the amounts linked to the entities belonging to the same nodes.
Check by Custom dimension	Can be set for all custom dimensions enabled on the environment. • **Total** (default): shows the outcome, grouping on the custom dimension. • **Lowest level elements**: shows the outcome for every element of the custom dimension. • **Hierarchy nodes**: shows the outcome by grouping on the first-level nodes of the hierarchy indicated in the **Custom dimension hierarchy** field.
Custom dimension hierarchy	The custom dimensions on which this setup can be carried out are those which are enabled in the environment's configuration. If **Check by custom dimension** is equal to **Hierarchy nodes**, an element of the custom dimensions hierarchy table must be indicated.

***IMPORTANT**: if thresholds are not set, the threshold on the row preceding the definition for the same data collection will be considered. If no other rows exist, the threshold will be set to zero.*

Plausibility diagnostic page

Application database > Processes tile > select process > > Process setup > (Data Processing section) Validations > Plausibility diagnostic >

Application database > Navbar > Processes & Workflows > Process > select process > > Process definition > (Data Processing section) Validations > Plausibility diagnostic >

Purpose of the page

This page allows you to set the plausibility diagnostics requirements, or to associate a group of plausibility logics to be run during diagnostics with every entity, contributor node and consolidator node. Also allows you to override the security level to be applied to them.

Page tabs

Field	Description
Elements	Defines the plausibility logics to be applied to entities.
Contributor nodes	Defines the plausibility logics to be applied to contributor nodes.
Consolidator nodes	Defines the plausibility logics to be applied to consolidator nodes.

Attributes tab

Field	Description
Action	• **Include** (default) • **Exclude**
Original scenarios/periods	Original scenarios/periods of the process to which to apply the overrides: • **Selected** (default) • **All**
Entity	Only for the **Elements** tab. Allows you to select an entity belonging to the process or a node of entities within the available non-time dependent entity hierarchies.
Contributor node	Only for the **Contributor nodes** tab. Allows you to select an entity node from the organisational hierarchy linked to the process.
Consolidator node	Only for the **Consolidator nodes** tab. Allows you to select an entity node from the organisational hierarchy linked to the process.
Node type	Only for the **Contributor nodes** and **Consolidator nodes** tab. Indicates the way in which to deploy the selected node.
Plausibility rules node	Valorizzare solo per azione "Includi". Allows you to select the node of logics for the plausibility checks to be applied.
Severity type	Valorizzare solo per azione "Includi". • **Do not run**: combinations with this option selected are not validated. It is used, for example, to exclude entities/nodes from a node to be deployed. • **Automatic**: severity is recovered from the definition of the plausibility logic, where established through specific comparison thresholds.
Definition result	Only appears after a definition has been saved. Shows the result of deployment of the definition, with a list of available combinations.

Plausibility check logics page

Admin

Data Processing tile > Diagnostic > Plausibility check logics > List

Navigation panel > Data Processing > Diagnostic > Plausibility check logics > List

Purpose of the page

This page allows you to define the plausibility logics. In particular, this page allows you to set:

- the reference scenario and period with which to compare the data
- the filters to be applied to the data to be checked
- the aggregation criteria for the data to be checked
- the checks to be performed, defined through an SQL expression
- the comparison thresholds to determine the severity of errors

When the data processing is run, the following elements are defined:

- the scenario and the period to be compared
- the entity for which to filter the data

Page tabs

Element	Description
Attributes	It allows you to identify the logic and indicate the elements/categories for which to run the check, as well as the comparison scenario and period.
Data to check	It allows you to specify the data type to be checked and to filter the data on which to apply the logic based on certain table elements.

Element	Description
Percentage calculation	It allows you to define whether percentage calculations must be carried out on the amounts to be compared
Comparison	It allows you to define the formula to use to perform the comparisons. Uses SQL scripts and thresholds.
Relationships	It allows you to relate every plausibility logic to one or several nodes of the plausibility logic grouping. These nodes can then be associated with each entity, contributor node and consolidator node within the process in which you want to run the plausibility diagnostic.

Fields in the Attributes tab

Element	Description
Code	Unique identifier of the plausibility logic
Description	Description of the plausibility logic
Notes	Any information in addition to the description
Check for	
Check by Entity	Can only be selected if **Check by contributor node** is not selected. If selected, the check is run on individual entities. The logic operates on the contributor entity categories (contributor amounts and contributor entity journals) and on the groupings of categories containing only contributor entity categories.
Check by contributor node	Can only be selected if **Check by Entity** is not selected. If selected, the check is run on contributor nodes, namely on nodes which are defined as **To approve** or **To submit** in the entity hierarchy within the data collection process. The data are obtained by algebraically summing the amounts linked to the entities belonging to the same nodes. The logic operates on the contributor entity categories (contributor amounts and contributor entity journals) and on the groupings of categories containing only contributor entity categories.
Include categories grouping with categories of the consolidator	Can only be selected if **Check by contributor node** is selected. If selected, the check is also run on the groupings of categories containing at least one entity category of the consolidator.
Check by consolidator node	If selected, the check is run on consolidator nodes, namely on nodes which are defined as **To consolidate** in the entity hierarchy within the consolidation process. The logic operates on the consolidator categories (consolidator amounts, consolidator entity journals, consolidation journals) and on groupings of categories containing at least one entity category of the consolidator.
Reference data	
Scenario	Indicates how to determine the scenario to compare the data. • **Same as data to process** (default): the scenario from which to read the data for the comparison is the same one used to run the data processing. • **Fixed**: the scenario from which to read the data for the comparison is the one reported in the **Fixed scenario**. • **Parametric**: the scenario from which to read the data for the comparison is the one reported in the **Parametric scenario**.
Fixed scenario	Only if **Scenario** = **Fixed**. Specifies the scenario from which to read the data.
Parametric scenario	Only if **Scenario** = **Parametric**. Scenario from which to read the data according to one of the following criteria. • **PREV**: scenario preceding the one being processed • **NEXT**: scenario following the one being processed • **REF1**... **REF5**: reference scenarios 1...5 related to the processed scenario ***Note**: if there are multiple values, they must be separated by a comma (NEXT,REF1, etc.).*

Element	Description
Period	Indicates how to determine the period for the data comparison. • **Same as data to process** (default): the period from which to read the data for the comparison is the same one used to run the data processing. • **Fixed**: the period from which to read the data for the comparison is the one reported in **Fixed period**. • **Parametric**: the period from which to read the data for the comparison is the one reported in **Parametric period**.
Fixed period	Only if **Period** = **Fixed**. Specifies the period from which to read the data.
Parametric period	Only if **Period** = **Parametric**. Period from which to read the data, between -99 and 99. This is calculated as the "difference" compared with the period of the data to be processed.
Period length	Specifies how to calculate the data for the comparison. • **Year-to-date** (default): the amount depends on the preceding months, starting from the start of the year. For example, the March amount is the sum of the January, February and March amounts. • **Periodic**: the amount only depends on the processed period. In this case, it is also necessary to specify how to calculate the previous period in the scenario.

Fields in the Data to check tab

Element	Description
Data to read	Specifies the amount that will be read from the data tables. • **Original amount**: amount in the original currency • **Currency amount**: amount in the currency of the transaction
Filter	
Account	Accounts on which the logic operates. This can be an individual account or the node of a hierarchy of accounts. If not specified, all the available accounts are considered.
Custom dimension	Dimensions on which the logic operates. For each managed dimension, this can be an individual element or the node of a hierarchy defined on the dimension. If not specified, all the elements available on the dimension are considered.
Category	Categories on which the logic operates. This can be an individual category or a category grouping node. If not specified, all the available categories are considered.
CTP entity	Counterparty entity on which the logic operates. This can be an individual entity or the node of a hierarchy defined on the entities. If not specified, all the available counterparty entities are considered. If set, it is only applied to the reading of intercompany data (amounts and entity journals).
Segment CTP Entity	Segment counterparty entities on which the logic operates. This can be an individual entity or the node of a hierarchy defined on the entities. If not specified, all the available segment counterparty entities are considered. If set, it is only applied to the reading of consolidation journals.
Counterparty custom dimension 2	Counterparty custom dimension 2 on which the logic operates. This can be an individual element or the node of a hierarchy defined on the custom dimension 2. If not specified, all the elements available on the custom dimension 2 are considered. If set, it is only applied on processes whose relationship type is "by entity - custom dimension 2" and only to the reading of intercompany data (amounts and entity journals) and to consolidation journals (where the filter acts on the segment counterparty custom dimension 2).
Currency	Currency on which the logic operates. It must be an single currency. If not specified, all the available currencies are considered.

Element	Description
Check by/Hierarchy	
Check by Account	Specifies the logic's behaviour in relation to the account. • **By element**: the logic operates by individual account. • **By total**: the logic operates on the algebraic sum of the adjusted data. • **By node**: the logic operates on the algebraic sum of the data adjusted on the accounts belonging to the first-level nodes associated with the specified hierarchy.
Check by Custom dimension	For every managed custom dimension, this specifies the logic's behaviour in relation to the custom dimension. • **By element**: the logic operates by individual element of the dimension. • **By total**: the logic operates on the algebraic sum of the data adjusted on the elements of the dimension. • **By node**: the logic operates on the algebraic sum of the data adjusted on the elements of the dimension which belong to the first-level nodes associated with the specified hierarchy.
Check by Category	Specifies the logic's behaviour in relation to the category. • **By element**: the logic operates by individual category. • **By analytic element**: the logic operates by individual entity journal or consolidation journal. If the category is amount, the logic operates by individual category. • **By total**: the logic operates on the algebraic sum of the data adjusted on the categories. • **By node**: the logic operates on the algebraic sum of the data adjusted on the categories belonging to the first-level nodes associated with the specified hierarchy.
Check by CTP entity	Specifies the logic's behaviour in relation to the counterparty entity. • **Gross**: the logic only analyses gross amounts. • **By element**: the logic operates by individual counterparty entity. • **By total**: the logic operates on the algebraic sum of the data adjusted on the counterparty entities. • **By node**: the logic operates on the algebraic sum of the data adjusted on the counterparty entities belonging to the first-level nodes associated with the specified hierarchy.
Check by Segment CTP entity	Specifies the logic's behaviour in relation to the segment counterparty entity. • **By element**: the logic operates by individual segment counterparty entity. • **By total**: the logic operates on the algebraic sum of the data adjusted on the segment counterparty entities. • **By node**: the logic operates on the algebraic sum of the data adjusted on the segment counterparty entities belonging to the first-level nodes associated with the specified hierarchy.

Fields in the Percentage calculation tab

Element	Description
Check "ratio %"	Specifies whether percentage calculations must be carried out on the amounts to be compared • **No**: no calculations are performed. • **Yes**: the amounts to be compared are added up according to what is set in the **Sum up** section. The percentage of every element or node is then calculated. Enables the following fields.
Sum up/Hierarchy	
Sum up Account	Specifies how the account contributes to determining the totals with which to divide the individual amounts to be compared. • **No**: the logic does not consider the account when determining the totals. • **By element**: the logic determines a total for every account. • **By node**: the logic determines a total for every first-level node associated with the specified hierarchy to which the accounts belong.
Sum up Custom dimension	Fir every custom dimension managed in the environment, it specifies how the elements of the dimension contribute to determining the totals with which to divide the individual amounts to be compared. • **No**: the logic does not consider the elements of the dimension when determining the totals. • **By element**: the logic determines a total for every element of the dimension. • **By node**: the logic determines a total for every first-level node associated with the specified hierarchy to which the dimension elements belong.

Fields in the Comparison tab

Element	Description
Preliminary expression	Optional check, the same rules as the **Plausibility check** are applied.
Plausibility check	Mandatory check Expression in SQL syntax to be applied to the amounts to be compared. The amounts related to the first data collection must be referred to using string “A1”, while those related to the second data collection must be referred to using string “A2”. *Case when A1<>0 then ABS((A2-A1)/A1)*100 end*
Check currency	Currency used to compare the result of the preliminary check expression and the plausibility check expression. If defined, it converts the amounts accordingly. The amount of the thresholds defined below is understood to be expressed in that currency, otherwise it is expressed in the currency of the entities/journals to which the check is applied. The FX rate used for conversion is the FX rate indicated for the account of the data collection in question.
Threshold for preliminary check	Threshold used to compare the result of the preliminary check expression, if specified. If the result of the expression is lower than the indicated threshold, the subsequent checks will not be carried out and the diagnostic will not record errors for the data collection in question.
Threshold for plausibility check: trivial error	Threshold used to compare the result of the plausibility check expression and establish whether the error is trivial. If the outcome of the expression is lower than the indicated threshold, the diagnostic will assign “Warning” severity to the data collection in question.
Threshold for plausibility check: non-blocking error	Threshold used to compare the outcome of the plausibility check expression and establish whether the error is non-blocking. If the result of the expression is above the trivial error threshold and below the indicated threshold, the diagnostic will assign “Non-blocking” severity to the data collection in question.

Element	Description
Threshold for plausibility check: blocking error	Threshold used to compare the outcome of the plausibility check expression and establish whether the error is blocking. If the result of the expression is above the non-blocking error threshold and below the indicated threshold, the diagnostic will assign “Blocking” severity to the data collection in question.
Threshold exceptions for currency	Opens a page to define specific thresholds for the desired currencies. Useful if **Check currency** is not defined, and the amounts are therefore expressed in the currency of the data collection entities/journals subject to the check.

***IMPORTANT**: in order for the plausibility check to be performed correctly, at least one threshold must be specified. Moreover, the values of the thresholds set must be incremental, that is, the blocking error threshold must be greater than the non-blocking error threshold and the non-blocking error threshold must be greater than the trivial error threshold.*

Plausibility logics grouping page

Admin

Data Processing tile > Diagnostic > Plausibility check logics > Grouping

Navigation panel > Data Processing > Diagnostic > Plausibility check logics > Grouping

Purpose of the page

This page allows you to customise the “grouping” aggregation structure of the predefined plausibility checks ($ - Plausibility checks). This customisation defines the nodes and establishes which ones new plausibility logics must be related to by default.

The nodes of logics are then associated to each entity, contributor node and consolidator node within the process in which the plausibility diagnostic is run. See Plausibility diagnostic page in the Processes section.

Diagnostic data processing

Contents

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Diagnostic checks

Introduction

Diagnostic data processing runs checks on the following elements:

- Gross, IC and net control groups
- Gross sign
- IC sign
- IC Capacity
- FX rate
- Mandatory notes
- IC matching
- Authorized blocking errors
- Plausibility checks
- Journals submission
- Draft journals

Depending on the elements to be verified, the checks are run from different points in the application.

Element on which the diagnostic check is run	Data processing starting point
Entities, contributor nodes and consolidator nodes on original scenarios	Contributor cockpit (Contributor Cockpit page in the Processes section) > Actions > Diagnostic Consolidator cockpit (Consolidator cockpit page in the Processes section) > Actions > Diagnostic
Entities, contributor nodes and consolidator nodes on consolidation scenarios	Consolidator cockpit - Consolidation scenarios (Consolidation scenarios tab in the Processes section) > Actions > Diagnostic
Journals	Entity and consolidation journals data entry page (Actions from journal headers in the Data collection section) in the Contributor or Consolidator cockpit
Amounts	Amounts and IC amounts data entry page (Gross Amounts page and IC Amounts page in the Data collection section) in the Contributor or Consolidator cockpit

Control group diagnostics

Control description

The control groups diagnostic checks the balance of the rule that is obtained from the definition of the control group. Then it compares the total amounts associated with the 'parent' accounts to the total amounts associated with the 'child' accounts, based on the operator selected for the control group.

This type of diagnostic analyzes the gross, IC and net amounts, depending on the type of control group being analyzed.

Control operators

The check uses the following operators:

Operator	Description
= (equal)	The amount of the 'child' accounts must be equal to the amount of the 'parent' accounts.
< (less than)	The amount of the 'child' accounts must be less than the amount of the 'parent' accounts.
> (greater than)	The amount of the 'child' accounts must be greater than the amount of the 'parent' accounts.
> = (greater than or equal)	The amount of the 'child' accounts must be greater than or equal to the amount of the 'parent' accounts.
<= (less than or equal)	The amount of the 'child' accounts must be less than or equal to the amount of the 'parent' accounts.
<> (not equal)	The amount of the 'child' accounts must be different from the amount of the 'parent' accounts.
Coherence	If the amount of the 'parent' accounts is different from zero, the amount of the 'child' accounts must also be different from zero.
Bi-directional coherence	If the amount of the 'parent' accounts is different from zero, the amount of the 'child' accounts must also be different from zero. If the amount of the 'parent' accounts is zero, the amount of the 'child' accounts must also be zero.
Coherence by element	If a "parent" account different from zero exists, then a "child" account different from zero must exist as well.
Bi-directional coherence for element	If a "parent" account different from zero exists, then a "child" account different from zero must exist as well. If all 'parent' accounts are equal to zero, all 'child' accounts must also be equal to zero.

For 'existence' control groups, i.e. those with operator < (less than), > (greater than) and <> (different) for which there is no data by scenario/period, entity and control group, the diagnostic generates reports by category/grouping as defined in the validation rules.

Consequently, in the absence of rows or with zero rows, the data are analysed taking into account the control group settings.

If, for example, the control group includes checking custom dimensions by elements, the generated reports are not divided only by category/grouping, but also by custom dimension.

Control groups to be diagnosed

The diagnostic is only performed on the control groups associated with the selected process.
For each entity, i.e. Entity, contributor node, consolidator node, only the control groups present in the process data model associated with that entity are subjected to diagnostics.

As for the control group used to verify the income statement result ($BS_), it is possible to display its result even when balancing is achieved. For this purpose, it is necessary to specify the categories for which the result should be displayed even when balancing occurs (Categories to be diagnosed).

***Note**: The result account code to be used is the one defined in the calculation logics of the process.*

Diagnostic and control groups list

The following attributes of the control group master data are relevant for the execution of diagnostic data processing:

Attribute	Description
Data types to check	Specifies whether the check is to be performed on gross, net or IC amounts.
Check original data on	Specifies whether the check on gross amounts, on amount categories, is to be performed by local currency or by transaction currency.
Check original data by	Specifies whether the control group is to be diagnosed on the Entity, on the contributor node, or on both.
Check consolidation journals by Entity	If enabled, the check on consolidation journals is run by journal and Entity, otherwise only by journal.

For more details, see Control Groups Control in the Data Model section.

Gross amounts check

The check on gross amounts is performed on control groups with **Data Type to Check** = *Gross* and is performed on both the original and consolidation scenarios. It reports any unbalanced amounts on the gross phase present in the process data model of the entity being diagnosed.

It is performed on all category types (amount, Entity journals, Consolidation journals) and on all category groupings (entity grouping, consolidator entity grouping, consolidator grouping).

It can be carried out either on the individual elements of the custom dimensions or on the top-level nodes of the custom dimensions or by adding up the custom dimensions as specified in the control group list. Moreover, it takes into account any restrictions on custom dimensions defined on the control group itself.

IC amounts check

The check on IC amounts is performed on control groups with **Data type to check** = *Intercompany* and is only performed on the original scenarios. It reports any unbalanced amounts on the IC phase present in the process data model of the entity being diagnosed.

It is performed by Ctp Entity, by checking only the counterparties defined in the **counterparty rule for IC checks** in the control group list, if any. This setting is ignored for contributor nodes, where the check is performed by Ctp node.

It is performed only on the Entity journals and amount categories and only on the category groupings of Entity and consolidator Entity.

It can be carried out either on the individual elements of the custom dimensions or on the top-level nodes of the custom dimensions or by adding up the custom dimensions as specified in the control group list. Moreover, it takes into account any restrictions on custom dimensions defined on the control group itself.

Net amounts check

The check on net amounts is performed on control groups with **Data type to check** = *Net* and is only performed on the original scenarios. It reports any unbalanced amounts in the maximum phase between gross and IC (capacity phase) within the process data model of the entity being diagnosed

It is performed only on the Entity journals and amount categories and only on the category groupings of Entity and consolidator Entity.

It can be carried out either on the individual elements of the custom dimensions or on the top-level nodes of the custom dimensions or by adding up the custom dimensions as specified in the control group list. Moreover, it takes into account any restrictions on custom dimensions defined on the control group itself.

Categories to be diagnosed

The categories and category groupings to be diagnosed are defined in the validation rules of the processin the Processes section). For each category and each grouping, the following items are specified:

- severity (**Automatic**, **Blocking**, **Non-blocking**, **Diagnostic only**, **Do not run**),

***Note**: If **Automatic** is selected, the information is retrieved from the control group list, where it can only be **Blocking** or **Non-Blocking**.*

- any tolerance thresholds for diagnostic run by automatic balancing data processing or by the data submission procedure

Entity groupings are those only containing entity categories, i.e. amounts and/or entity journals, of the contributor. These groupings can be validated both on original scenarios and on consolidation scenarios.

Consolidator entity groupings are those which only contain entity categories, i.e. amounts and/or entity journals, where at least one is of the consolidator. These groupings can be validated both on original scenarios and on consolidation scenarios.

The consolidator groupings are those which also contain a single consolidation journal category. These groupings can only be validated on consolidation scenarios and only on the “Converted” and “Consolidable” amount.

Gross sign diagnostic

Description of the check

This check verifies that the sign of the gross amounts entered for the account and custom dimensions is consistent with what is indicated as the **Standard sign check** in the accounts table. It only checks the accounts associated with the selected process and, for entities (company, contributor node, consolidator node), it only checks those present in the data model process associated with the same entity.

The check is run on both original scenarios and consolidation scenarios, and reports any unbalanced amounts in the gross step present in the data model process of the entity subject to the diagnostic. The check can be run on individual elements of the destinations, on first-level nodes of the destinations, or by summing the destinations according to what is indicated in the process’s validation rules.

The check is run on all category types (amount, entity journals, consolidation journals) and on all category groupings (entity grouping, consolidator entity grouping, consolidator grouping).

Accounts table and diagnostic

The following attributes of the accounts are significant for running diagnostic data processing:

Attribute	Description
Standard sign check	Specifies the sign that may be used to insert amounts. The gross sign diagnostic is only run on accounts whose setting is not **Any** (Account table in the Data Model section).
Accounting class signs	Signs used by the accounting classes (e.g. payables, revenues, costs...) in the reporting forms. The diagnostic takes account of what is indicated in **Accounting class signs: Debit**. You can specify that the Debit accounting class is to be indicated as negative or as positive. (Account dimension settings in the Data Model section).

The check is run according to the following logic:

If...	AND...	Then...
Standard sign check = **Debit**	the debit sign is positive.	the diagnostic verifies that the amount is greater than or equal to zero.
Standard sign check = **Debit**	the debit sign is negative.	the diagnostic verifies that the amount is less than or equal to zero.
Standard sign check = **Credit**	the debit sign is positive.	the diagnostic verifies that the amount is less than or equal to zero.
Standard sign check = **Credit**	the debit sign is negative.	the diagnostic verifies that the amount is greater than or equal to zero.

Categories to subject to the diagnostic

The categories and category groupings to subject to the diagnostic are defined in the process’s validation rules (Validation rules page in the Processes section).
Severity is indicated for each category and each grouping (**Blocking**, **Non-blocking**, **Only Diagnostic**, **None**)

Entity groupings are those only containing entity categories, i.e. amounts and/or entity journals, of the contributor. These groupings can be validated both on original scenarios and on consolidation scenarios.

Consolidator entity groupings are those which only contain entity categories, i.e. amounts and/or entity journals, where at least one is of the consolidator. These groupings can be validated both on original scenarios and on consolidation scenarios.

The consolidator groupings are those which also contain a single consolidation journal category. These groupings can only be validated on consolidation scenarios and only on the “Converted” and “Consolidable” amount.

IC sign diagnostic

Description of the check

This check verifies congruence between the sign of the intercompany amounts entered for the account, custom dimensions and counterpart and what is indicated as the **IC sign check** in the accounts table.
It only checks the accounts associated with the process that has been selected and, for entities (company, contributor node, consolidator node), it only checks those present in the data model process associated with the same entity.

The check is only run on original scenarios. It can be run on individual elements of the destinations, on first-level nodes of the destinations, or by summing the destinations according to what is indicated in the process’s validation rules.

The check is only run on the amount and entity journal categories, and only on entity category and consolidator entity groupings.

Accounts table and diagnostic

The following attributes of the accounts table are significant for running diagnostic data processing:

Attribute	Description
IC sign check	This specifies the method used to check the signs of IC entries. The IC sign diagnostic is only run on accounts whose setting is not **Do not check** (Account table in the Data Model section).
Accounting class signs	Signs used by the accounting classes (e.g. payables, revenues, costs...) in the reporting forms. The diagnostic takes account of what is indicated in **Accounting class signs: Debit** (Account dimension settings in the Data Model section) where you can define the sign of the Debit accounting class (and the corresponding credit class).

The check is run according to the following logic:

If...	AND...	Then...
IC sign check = **Debit**	the debit sign is positive.	the diagnostic verifies that the amount is greater than or equal to zero.
IC sign check = **Debit**	the debit sign is negative.	the diagnostic verifies that the amount is less than or equal to zero.
IC sign check = **Credit**	the debit sign is positive.	the diagnostic verifies that the amount is less than or equal to zero.
IC sign check = **Credit**	the debit sign is negative.	the diagnostic verifies that the amount is greater than or equal to zero.
IC sign check = **As Gross amount**	the amounts are not equal to zero.	the diagnostic verifies that they are both greater than zero or both less than zero. That is, it verifies congruence between the sign of the amounts entered for the account, custom dimensions and counterparty on the IC data and the sign of the amounts entered for the account and custom dimensions on the gross data.

If **IC sign check** is Debit or Credit, the diagnostic reports any unbalanced amounts on the IC step present in the data model process of the entity subject to the diagnostic.

If **IC sign check** is **As Gross amount**, the diagnostic reports any unbalanced amounts in the highest out of the gross step and the IC step (capacity step) present in the data model process of the entity subject to the diagnostic.

Categories to subject to the diagnostic

The categories and category groupings to subject to the diagnostic are defined in the process's validation rules (Validation rules page in the Processes section).
Severity is indicated for each category and each grouping (**Blocking**, **Non-blocking**, **Only Diagnostic**, **None**)

Entity groupings are those only containing entity categories, i.e. amounts and/or entity journals, of the contributor.

Consolidator entity groupings are those which only contain entity categories, i.e. amounts and/or entity journals, where at least one is of the consolidator.

IC capacity diagnostic

Description of the check

This check verifies that the total of the intercompany amounts entered by account and destination is an "of which" of the total of the gross amounts entered, also by account and destination. In contrast to the IC sign diagnostic, it does not work by counterparty but by account. It only checks the accounts associated with the process that has been selected and, for entities (company, contributor node, consolidator node), it only checks those present in the data model process associated with the same entity.

The check is only run on original scenarios and reports any unbalanced amounts in the highest out of the gross step and the IC step (capacity step) present in the data model process of the entity subject to the diagnostic.

It can be run on individual elements of the destinations, on first-level nodes of the destinations, or by summing the destinations according to what is indicated in the process's validation rules.

The check is only run on the amount and entity journal categories, and only on entity category and consolidator entity groupings.

Accounts table and diagnostic

The following attributes of the accounts table are significant for running diagnostic data processing:

Attribute	Description
IC capacity check	The IC capacity diagnostic is only run on accounts whose setting is not **Do not check** (Account table in the Data Model section).

The check is run according to the following logic:

If...	Then...
IC Capacity check = **Check <=**	the IC amounts must have the same sign as the gross amounts and be of a lower or equal absolute value.
IC Sign Check = **Check =**	IC amounts must be equal to the gross amount.

In entity journals, the "Check <=" is always satisfied, given that it compares the sum of all the rows with the sum of only rows with a defined counterparty. On the other hand, the "Check =" is only satisfied if the counterparty entity is defined on all the rows.

Categories to subject to the diagnostic

The categories and category groupings to subject to the diagnostic are defined in the process's validation rules (Validation rules page in the Processes section).
Severity is indicated for each category and each grouping (**Blocking**, **Non-blocking**, **Only Diagnostic**, **None**)

Entity groupings are those only containing entity categories, i.e. amounts and/or entity journals, of the contributor.

Consolidator entity groupings are those which only contain entity categories, i.e. amounts and/or entity journals, where at least one is of the consolidator.

FX rates diagnostic

Description of the check

For every gross and/or IC amount, this check verifies coherence between the FS currency amount and the document currency amount. It verifies coherence by checking that the two amounts have the same sign and, in particular, that the FX difference between the document currency amount and the FS currency amount does not exceed a percentage specified in the currencies list (**Percentage difference**). For more details, see Currencies list in the Data Model section.

The final FX rate is always used for this check, regardless of the account.

It only checks the accounts associated with the selected process and, for entities (company, contributor node, consolidator node), it only checks the accounts present in the data model process associated with the same entity.

The check is only run on original scenarios, and on gross data; it reports any unbalanced amounts in the gross step present in the data model process of the entity subject to diagnostic. On IC data, it reports any unbalanced amounts on the IC step present in the data model process of the entity subject to the diagnostic.

It can be run on individual elements of the destinations, on first-level nodes of the destinations, or by summing the destinations according to what is indicated in the process's validation rules.

The check is only run on the amount and entity journal categories, and only on entity category and consolidator entity groupings.

Accounts table and diagnostic

The following attributes of the accounts table are significant for running diagnostic data processing:

Attribute	Description
FX rates check	The FX rates diagnostic is only run on accounts whose setting is not **Do not check** (Account table in the Data Model section).

The check is run according to the following logic:

If...	Then...
FX rates check = **Check only IC amounts**	the FX rates check must be run for intercompany data only.
FX rates check = **Check Gross and IC amounts**	the FX rates check must be run for both intercompany data and gross data.

Categories to subject to the diagnostic

The categories and category groupings to subject to the diagnostic are defined in the process's validation rules (Validation rules page in the Processes section). Severity is indicated for each category and each grouping (**Blocking**, **Non-blocking**, **Only Diagnostic**, **None**)

Entity groupings are those only containing entity categories, i.e. amounts and/or entity journals, of the contributor.

Consolidator entity groupings are those which only contain entity categories, i.e. amounts and/or entity journals, where at least one is of the consolidator.

Mandatory notes diagnostic

Description of the check

This check verifies the presence of notes justifying the values entered on the gross amounts and on IC amounts. The check is only run if the amounts are not equal to zero. When the amounts are equal to zero, it is not mandatory to enter a justification.

The check only verifies the accounts associated with the selected process and, for entities (company, contributor node, consolidator node), it only checks the accounts present in the data model process associated with the same entity.

The check is only run on original scenarios, and on gross data; it reports any unbalanced amounts in the gross step present in the data model process of the entity subject to the diagnostic.
On IC data, it reports any unbalanced amounts on the IC step present in the data model process of the entity subject to the diagnostic.

It can be run on individual elements of the destinations, on first-level nodes of the destinations, or by summing the destinations according to what is indicated in the process's validation rules.

The check is only run on the amount category and only on entity category and consolidator entity groupings.

Accounts table and diagnostic

The following attributes of the accounts table are significant for running diagnostic data processing:

Attribute	Description
Notes check	The mandatory notes diagnostic is only run on accounts whose setting is not **Do not check** (Account table in the Data Model section).

The check is run according to the following logic:

If...	Then...
Notes check = **Check only Gross amounts**	the notes check must only be run for gross data.
Notes check = **Check Gross and IC amounts**	the notes check must be run for both intercompany data and gross data.

Categories to subject to the diagnostic

The categories and category groupings to subject to the diagnostic are defined in the process's validation rules (Validation rules page in the Processes section).
Severity is indicated for each category and each grouping (**Blocking**, **Non-blocking**, **Only Diagnostic**, **None**)

Entity groupings are those only containing entity categories, i.e. amounts and/or entity journals, of the contributor.

Consolidator entity groupings are those which only contain entity categories, i.e. amounts and/or entity journals, where at least one is of the consolidator.

IC matching diagnostic

Description of the check

Intercompany matching is carried out via a special cockpit which shows IC data by entity/counterparty entity (or entity-custom dimension2/entity-counterparty custom dimension2), which the manager users from the entity and the counterparty entity use to confirm that the loaded IC data is correct. See Intercompany Cockpit page in the Consolidation section.

This check does not go into the details of the declared IC data, but simply verifies that all the possible relationships that are/can be calculated by the cockpit have been matched. It is only run on original scenarios and reports any unbalanced amounts on the step to which the cockpit is related.

***Note**: one or several intercompany cockpits can be associated with every step of the process.*

Entity elements table and IC and diagnostic cockpits

The following attributes are significant for running diagnostic data processing:

Attribute	Description
IC Cockpits elements table	
IC matching for submission check	The IC matching diagnostic is only run for IC cockpits whose setting is not equal to **None** (Create IC Cockpits page in the Consolidation section).

Attribute	Description
Entity elements table	
IC matching	**Mandatory**: failure to run IC matching will block submission. **Optional**: IC matching is not mandatory for the entity because it cannot carry out that activity in time for the closing date of the relative step. *If A and B are entities for which IC matching is not mandatory while it is mandatory for entity C, then:* • *C does not have to match its own intercompany entries to A and B* • *A and B must match their own intercompany entries to C* • *in cases of IC relationships between A and B, the first to submit data does not have to match, while the other is obliged to do so* **Automatic**: relationships in which at least one of the two entities has this option active are matched automatically, consequently: • they do not appear in the IC cockpit • failure to run matching does not block submission See Entities list in the Data Model section.

The check is run according to the following logic:

If...	Then...
IC matching for submission check = **Non blocking**	the check is run and unmatched relationships are reported with **Non-blocking** severity.
IC matching for submission check = **Blocking**	the check is run and unmatched relationships are reported with **Blocking** severity.
IC matching for submission check = **Only Diagnostic**	the check is only run if explicitly requested by manually running the diagnostic from the **Detail summary** (for the contributor) or **Overview** (for the consolidator) cockpit tabs; in this case it is possible to customise the filters before running the data processing. However, whenever diagnostics are run automatically (from the cockpit/from other data processing), the check is not performed.

Diagnostic of authorised blocking errors

Prerequisites

This check can only be run if the diagnostic result log is managed with error authorisation on the process subject to the diagnostic. Namely, if the following conditions are met:

- in the process's validation rules, **Enable detected errors trace** is not **Don't manage**,
- in the process's submission rules, the **With authorization of blocking errors** option is active
- in the process's validation rules, the **Don't propagate the authorized blocking error information** parameter is not set to **None**,

Validation and diagnostic rules

The following attributes are significant for running diagnostic data processing:

Attribute	Description
Validation	
Don't propagate the authorised blocking error information	The authorised blocking errors diagnostic is only run on processes that are not set to **None** (See and Submission Rules page in the Processes section)

The check is run according to the following logic:

If...	Then...
Don't propagate the authorized blocking error information = **None**	the check will not be run.
Don't propagate the authorized blocking error information = **Blocking**	the check is performed and the presence of authorised blocking errors is reported with **Blocking** severity.
Don't propagate the authorized blocking error information = **Non blocking**	the check is performed and the presence of authorised blocking errors are reported with **Non blocking** severity.
Don't propagate the authorized blocking error information = **Only Diagnostic**	the check is only run if explicitly requested by manually running the diagnostic from the **Detail summary** (for the contributor) or **Overview** (for the consolidator) cockpit tabs; in this case it is possible to customise the filters before running the data processing. However, whenever diagnostics are run automatically (from the cockpit/from other data processing), the check is not performed.

Description of the check

When the diagnostic checks detect blocking errors, these can be authorised by manager users from the parent entity of the entity on which the error is detected, namely the same users that can reject the entity.

The authorised blocking error diagnostic verifies, for every entity subject to the diagnostic, whether there are any authorised blocking errors on the child entity and, if there are, it reports an error on the same entity. The error will gradually move up the hierarchy and will, in each case, need authorisation from the manager of the parent entity of the company to which it flows. This makes such errors visible to other users, including at higher levels of the organisational hierarchy associated with the process.

If...	Then...
the diagnostic check is run on an entity	its child entities can only be entity journals, provided that, in the process's submission rules, the **User enabled for Journals rejection** is equal to **User on the entity to which the journal belongs**.
the diagnostic check is run on a contributor node	its children can be: • entities • contributor nodes • entity journals belonging to the child entities of the node if, in the process's submission rules, the **User enabled for Journals rejection** is equal to **User on the parent node of the entity to which the journal belongs**
the diagnostic check is run on a consolidator node	its children can be: • entities • contributor nodes • consolidator nodes • entity journals or consolidation journals belonging to the same node if, in the process's submission rules, the **User enabled for Journals rejection** is equal to **User on the entity to which the journal belongs** • entity journals or consolidation journals belonging to child consolidator nodes of the node if, in the process's submission rules, the **User enabled for journals rejection** is equal to **User on the parent node of the entity to which the journal belongs** • entity journals belonging to the child entities of the node if, in the process's submission rules, the **User enabled for journals rejection** is equal to **User on the parent node of the entity to which the journal belongs**

The check is only run on original scenarios and reports any unbalanced amounts on the same step on which the errors have been authorised.

For the consolidator node diagnostic, if the child entity errors have been authorised on contributor steps, the report is made on the first consolidator or mixed step following the contributor step.

Plausibility diagnostic

Prerequisites

This check can only be run if the plausibility diagnostic is enabled on the process. See Plausibility diagnostic page.

Description of the check

This check verifies the amounts of a data collection related to a scenario/period against the amounts of the same data collection related to another scenario/period. This comparison generates error reports of varying severity, or warning messages.

For example, by setting dedicated logics, you can check the following aspects:

- that there are no percentage differences above a certain threshold between actual data and the budget data
- that the actual cumulated P&L data are neither less than, nor excessively greater than, that of the previous month
- that there are no percentage differences greater than a certain percentage
- that the items of a financial statement on a certain scenario are balanced with the same items which, on another scenario, are subdivided on an additional dimension (such as the Business Lines for the purposes of segment reporting)
- that the items of a financial statement or budget allocated to cost centres on specific categories are balanced with the total of the same items before the allocations

For these checks, the comparison rules related to the node of the plausibility rules grouping indicated on the process are applied. The severity of the errors is defined by the thresholds set in the plausibility logics table. See Plausibility check logics page.

The check is run for entities which, in the plausibility execution plan defined on the process, have **Severity type** equal to **Automatic**.

The check on the gross data is only run on original scenarios, and reports any unbalanced amounts in the gross step present in the data model process of the entity subject to the diagnostic. The check on IC data reports any unbalanced amounts on the IC step present in the data model process of the entity subject to the diagnostic.

Journal submission diagnostic

Description of the check

Journal submission is activated on the process in the Business Workflow mapping and you must specify a journal submission task workflow for every entity (company or consolidator node) for which you want to submit the journals. See Business Workflow Concepts and Validations in the Processes section.

> ***Note**: just as you must submit an entity before submitting any contributor node to which it belongs, you must submit a journal before submitting the parent entity to which it belongs.*

This check does not go into the details of the amounts adjusted by the journals, but simply verifies that the journals related to the entities to be checked have all been submitted.

Journals that have not been submitted are reported with different severities for manual journals and automatic journals, according to what is indicated in the process's validation rules. The check is run according to the set-up of the **Diagnose Manual journals submission** and **Diagnose Automatic journals submission**.

If...	Then...
Blocking	the diagnostic is run and non-submitted journals are reported with **Blocking** severity
Non blocking	the diagnostic is run and non-submitted journals are reported with **Non blocking** severity

If...	Then...
Only Diagnostic	the check is only run if explicitly requested by manually running the diagnostic from the **Detail summary** (for the contributor) or **Overview** (for the consolidator) cockpit tabs; in this case it is possible to customise the filters before running the data processing. However, whenever diagnostics are run automatically (from the cockpit/from other data processing), the check is not performed.
Do not run	the diagnostic will not be run.

The check is only run on original scenarios and reports any unbalanced amounts in the step specified in the process's Business Workflow mapping for the entity subject to the diagnostic. For processes in which the data model process is defined by account/category, journal non-submission errors are only reported on the steps managed for the category related to the journal.

Draft journals diagnostic

Description of the check

The functionality related to draft journals is activated in the process's journal data entry rules. It is defined by category and is set in the dedicated page: categories for draft journals (Categories for draft journals page in the Data Collection section), where the functionality can be enabled for Entity journals, Consolidator entity journals and Consolidation journals categories.

This check verifies that, for the entities to be checked, namely entities and consolidator nodes, there are no journals that still have **Draft** status.

The check cannot be configured, that is, it cannot be omitted from the diagnostic checks and always produces errors with **Blocking** severity.

It is only run on original scenarios and reports any unbalanced amounts on the lowest step of the accounts present in the "draft" part of the journal.

Running diagnostic data processing

Contents

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Entities diagnostic

Description

This is the broadest diagnostic, which runs all of the checks on the entities and on the nodes. It allows you to customise the checks to be run via the dedicated run windows, accessible from the cockpits.

Run diagnostic window - Contributor cockpit

User

Processes tile > select process > Contributor > Detail summary tab > select entity on which to run the diagnostic > (Actions) Diagnostic > Diagnose

Navigations panel > Processes > select process > Contributor > Detail summary tab > select entity on which to run the diagnostic > (Actions) Diagnostic > Diagnose

Purpose of window

It allows you to set filters to run diagnostic data processing on original scenarios/periods and on entities and contributor nodes of the selected process.

Fields in window

Depending on the selected checks, some options can be disabled.

Element	Description
Filters	
Original scenarios/periods	For scenario/period submission processes, it contains the scenario/period selected on accessing the cockpit. Not editable. For single submission processes, it contains the last significant scenario/period of the process. Editable. The diagnostic can only be run on scenarios/periods that are not stored off-line and are visible to the user.

Element	Description
Entities	Contains the entities selected in the cockpit. Not editable. The diagnostic can only be run on entities that meet the following requirements: • they must belong to the process and at least one of the selected scenarios/periods • they cannot be only counterparty or only consolidator • they must be visible to the user
Contributor nodes	Contains the contributor nodes selected in the cockpit. Not editable. The diagnostic can only be run on nodes that meet the following requirements: • they must belong to the selected process • they must be to be submitted in the data collection process • they must be visible to the user
Advanced filters	
Steps	• **All** (default): the diagnostic is run on all steps of the business workflow associated with the process. • **Up to**: the diagnostic is run on the selected steps and all preceding steps. • **Selected**: the diagnostic is run on the selected steps. The diagnostic is only run on contributor and mixed steps.
Control groups	You can only select control groups which meet the following requirements: • they must belong to the process and the selected steps • they must be set in the table as to be diagnosed on the gross, intercompany or net data If no filter is set, all the control groups which meet the above conditions will be subject to the diagnostic. Any filter that is set will only act on the gross, IC and net control group diagnostic.
Categories	The diagnostic can only be run on categories that meet the following requirements: • they must belong to the selected process • they cannot be children of other categories • they must be visible to the user If not set, the diagnostic will be run on all the categories which meet the above conditions. The diagnostic is only run on the contributor categories. The filter is applied to all checks, except for IC matching, authorised blocking errors and plausibility.
Category nodes	You can only select category nodes used in defining the process's validation rules with "by node" granularity. If not set, the diagnostic will be run on all the category nodes which meet the above conditions. The diagnostic is only run on the category nodes containing only contributor categories. For every node, the categories are considered up to the last level, provided they belong to the process and are visible to the user. The filter is applied to all checks, except for IC matching, authorised blocking errors and plausibility.

Element	Description
Forms	You can only select forms which meet the following requirements: • they must belong to the process and the selected steps • they must be standard forms The filter is applied to all checks, except for IC matching, authorised blocking errors, journal submission and plausibility. If set, they have the following impacts: • The control groups diagnostic will only analyse control groups associated with the selected process. • The gross sign, IC sign, IC capacity, FX rate and mandatory notes diagnostic will only analyse the accounts associated with the selected forms. If not set, the diagnostic will be run on all the control groups and accounts, without taking account of whether or not they belong to the forms.
Plausibility logics	Can only be set if the plausibility diagnostic is active on the process. You can only select the plausibility logics present in the execution plan of entities or contributor nodes for the selected process. If not set, the diagnostic will be run on all the plausibility logics which satisfy the above condition. The filter is only applied to the plausibility diagnostic.
Errors threshold	• **None** (default): the diagnostic does not apply threshold filters. • **Above the Balancing threshold**: the diagnostic only reports unbalanced amounts above the balancing threshold set in the process's validation rules. • **Above the Submission threshold**: the diagnostic only reports unbalanced amounts above the submission threshold set in the process's validation rules. • **Above the specified threshold**: customised threshold and currency. If the currency is specified, the threshold amount is understood to be expressed in that currency and for the comparison it must be converted to the currency of the entity to which it is applied. The FX rate used for the conversion is the final FX rate. The filter is only applied to the gross, IC and net control groups diagnostic and to the IC capacity diagnostic.
Threshold	(Only if **Errors threshold** = **Above the specified threshold**) Indicates the value of the customised threshold.
Currency	(Only if **Errors threshold** = **Above the specified threshold**) Indicates the currency to be applied to value of the customised threshold.
Severity	Severity of unbalanced amount reported by the diagnostic. You can select one or several, but at least one must be selected. • **Blocking**: the entity data are not submitted. • **Non-blocking**: the entity data are submitted but errors are reported. • **Only Diagnostic**: the check is only run if explicitly requested by manually running the diagnostic from the **Detail summary** cockpit tabs (for the contributor). In this case it is possible to customise the filters before running the data processing. However, whenever diagnostics are run automatically (from the cockpit/from other data processing), the check is not performed.
Checks	
Runs the selected check. At least one check must be selected.	
Select all	Selects all the listed checks.
Result	Runs the filtered control groups diagnostic only on the control group used for checking the annual result. This control group is $BS_<result account code>. Use the result account code that is set in the process's calculation logics. Moreover, in the process's validation rules, it is possible to specify the categories for which to show the result of this control group, including in the presence of balancing.

Element	Description
Gross control groups	Runs the diagnostic on control groups which, in the table, require the **Gross** data check.
Gross sign	Runs the gross sign diagnostic for accounts which, in the table, have a **Standard sign check** not equal to **Any**.
Net control groups	Runs the diagnostic on control groups which, in the table, require the **Net** data check.
IC control groups	Runs the diagnostic on control groups which, in the table, require the **Intercompany** data check.
IC sign	Runs the IC sign diagnostic for accounts which, in the table, have **IC sign check** not equal to **Do not check**.
IC Capacity	Runs the IC capacity diagnostic for accounts which, in the table, have **IC Capacity check** not equal to **Do not check**.
IC matching	Runs the IC matching check for cockpits which, in the table, have **IC matching for submission check** not equal to **None**.
FX rate	Runs the FX rates diagnostic for accounts which, in the table, have **FX rates check** not equal to **Do not check**.
Mandatory notes	Runs the mandatory notes diagnostic for accounts which, in the table, have **Notes check** not equal to **Do not check**.
Authorized blocking errors	Runs the authorised blocking errors diagnostic in the following cases: • In the process's validation rules, **Enable detected errors trace** is not equal to **Don't manage**. • In the process's validation rules, **Don't propagate the authorized blocking error information** is not equal to **None**. • In the process's submission rules, the **Override submission - With authorization of blocking errors** option is selected.
Plausibility checks	Runs the plausibility diagnostic for entities for which an execution plan has been defined on the process. Only present if the plausibility diagnostic is active on the process.
Journals submission	Runs the journal submission diagnostic in the following cases: • Journal submission has been enabled in the process's Business Workflow mapping, or a task workflow has been specified for at least one entity. • In the process's validation rules, **Diagnose Manual journals submission** and/or **Diagnose Automatic journals submission** is not equal to **None**.
Options	
Show the code of the form on the error row	For every error on the control group or account, shows the forms on which the control group accounts can be edited or the account itself. ***Note**: "standard" forms are editable from the diagnostic result window via both Excel and web forms.*
Also show balanced data	If selected, the control groups and accounts diagnostic also shows data which balance, and not unbalanced amounts only. In this case, it is not possible to run the IC matching, authorised blocking errors, plausibility and journal submission diagnostic. Moreover, you cannot request that the log be updated. Option only available if function 0004099 (Processes - Cockpit - Diagnostic - Also show balanced data) is active in the user role.
Update log	If selected, the content of the diagnostic reports log is updated at the end of the diagnostic. Option only available if, in the process's validation rules, **Enable detected errors trace** is not equal to **Don't manage**.

Actions in window

Element	Description
Save new filters set	Saves the run settings to be able to reuse them. ***Note**: the filters are saved by process and do not act on entities, for which the selection made in the cockpit always applies.*
Run	Runs the diagnostic according to the defined filters and settings.
Cancel	Closes the window without saving the settings.

Run diagnostic window - Consolidator cockpit - Overview tab

User

Processes tile > select process > Consolidator > Overview tab > select entity or node on which to run the diagnostic > (Actions) Diagnostic > Diagnose

Navigation panel > Processes > select process > Consolidator > Overview tab > select entity or node on which to run the diagnostic > (Actions) Diagnostic > Diagnose

Purpose of window

It allows you to set filters to run diagnostic data processing on all the cockpit's entities and nodes and on all steps of the process.

Fields in window

Depending on the selected checks, some options can be disabled.

Element	Description
Filters	
Original scenarios/periods	For scenario/period submission processes, it contains the scenario/period selected on accessing the cockpit. Not editable. For single submission processes, it contains the last significant scenario/period of the process. Editable. The diagnostic can only be run on scenarios/periods that are not stored off-line and are visible to the user.
Consolidator nodes	Shows the consolidator nodes selected in the cockpit and cannot be edited. The diagnostic can only be run on consolidator nodes that meet the following requirements: • they must belong to the selected process • they must be to be consolidated • they must be visible to the user
Run on Consolidation Scenario	Allows you to choose the types of scenario on which to run the diagnostic. • **No** (default): the diagnostic is only run on original scenarios/periods. • **Only**: the diagnostic is only run on consolidation scenarios/periods. • **Also**: the diagnostic is run on both original scenarios/periods and consolidation scenarios/periods.
Consolidation scenarios/periods	If **Run on Consolidation Scenario** = **Only** or **Also**, one or more consolidation scenarios/periods must be selected. The scenarios will be chosen from among those which are visible to the user and linked to the selected original scenarios/periods.
Consolidation data	If **Run on Consolidation Scenario** = **Only** or **Also**, one or more data types from among those which lead to the following types of consolidation must be selected: • **Proportional** • **Converted** • **Consolidable**
Run on Contributor Data	• **No** (default): the diagnostic is only run on consolidator nodes. • **Only**: the diagnostic is only run on entities and contributor nodes. • **Also**: the diagnostic is run on all entities (companies, contributor nodes and consolidator nodes).

<table>
<tr><th>Element</th><th>Description</th></tr>
<tr><td>Entities</td><td>If Run on Contributor Data = Only or Also.
Not editable. The field is defined with the entities that meet the following requirements:
they must belong to one of the selected consolidator nodes
they must belong to the process and at least one of the selected scenarios/periods
they cannot be only counterparty or only consolidator
they must be visible to the user</td></tr>
<tr><td>Contributor nodes</td><td>If Run on Contributor Data = Only or Also.
Not editable. The diagnostic can only be run on nodes that meet the following requirements:
they must belong to the selected process
they must be to be submitted in the data collection process
they must be visible to the user</td></tr>
<tr><td colspan="2">Advanced filters</td></tr>
<tr><td>Steps</td><td>All (default): the diagnostic is run on all steps of the business workflow associated with the process.
Up to: the diagnostic is run on all the preceding steps, including the present one.
Selected: the diagnostic is run on the selected steps.
The diagnostic is run according to the following criteria:<table><tr><th>If...</th><th>Then...</th></tr><tr><td>Run on Contributor Data = No</td><td>the diagnostic is only run on the consolidator or mixed steps.</td></tr><tr><td>Run on Contributor Data = Only</td><td>the diagnostic is only run on the contributor or mixed steps.</td></tr><tr><td>Run on Contributor Data = Also</td><td>the diagnostic is run on the contributor, consolidator or mixed steps.</td></tr></table></td></tr>
<tr><td>Control groups</td><td>The diagnostic can only be run on control groups that meet the following requirements:
they must belong to the process and the selected steps
in the table, they are set as to diagnose on the gross, intercompany or net data
If not set, the diagnostic will be run on all the control groups which meet the above conditions.
The filter is only applied to the gross, IC and net control groups diagnostic.</td></tr>
<tr><td>Categories</td><td>The diagnostic can only be run on categories that meet the following requirements:
they must belong to the selected process
they cannot be children of other categories
they must be visible to the user
If not set, the diagnostic will be run on all the categories which meet the above conditions.
The diagnostic is run according to the following criteria:<table><tr><th>If...</th><th>Then...</th></tr><tr><td>Run on Contributor Data = No</td><td>the diagnostic is only run on the consolidator categories.</td></tr><tr><td>Run on Contributor Data = Only</td><td>the diagnostic is only run on the contributor categories.</td></tr><tr><td>Run on Contributor Data = Also</td><td>the diagnostic is run on all contributor and consolidator categories.</td></tr></table>The filter is applied to all checks, except for IC matching, authorised blocking errors and plausibility.</td></tr>
</table>

<table>
<tr><th>Element</th><th>Description</th></tr>
<tr><td>Category nodes</td><td>You can only select category nodes used in defining the process's validation rules with "by node" granularity.
If not set, the diagnostic will be run on all the category nodes which meet the above conditions.
The diagnostic is run according to the following criteria:
<table><tr><th>If...</th><th>Then...</th></tr><tr><td>Run on Contributor Data = No</td><td>the diagnostic is only run on category nodes containing at least one consolidator category.</td></tr><tr><td>Run on Contributor Data = Only</td><td>the diagnostic is only run on the category nodes containing only contributor categories.</td></tr><tr><td>Run on Contributor Data = Also</td><td>the diagnostic will be run on all the category nodes.</td></tr></table>For every node, the categories are considered up to the last level, provided they belong to the process and are visible to the user.
The filter is applied to all checks, except for IC matching, authorised blocking errors and plausibility.</td></tr>
<tr><td>Forms</td><td>It is only possible to select forms which meet the following requirements:
• they must belong to the process and the selected steps
• they must be standard forms
The filter is applied to all checks, except for IC matching, authorised blocking errors, journal submission and plausibility.
If set, they have the following impacts:
• The control groups diagnostic will only analyse control groups associated with the selected process.
• The gross sign, IC sign, IC capacity, FX rate and mandatory notes diagnostic will only analyse the accounts associated with the selected forms.
If not set, the diagnostic will be run on all the control groups and accounts, without taking account of whether or not they belong to the forms.</td></tr>
<tr><td>Plausibility logics</td><td>Can only be set if the plausibility diagnostic is active on the process.
The diagnostic is run according to the following criteria:
<table><tr><th>If...</th><th>Then...</th></tr><tr><td>Run on Contributor Data = No</td><td>the selectable plausibility logics are those which are present in the execution plan of the consolidator nodes for the selected process.</td></tr><tr><td>Run on Contributor Data = Only</td><td>the selectable plausibility logics are those which are present in the execution plan of the entities or contributor nodes for the selected process.</td></tr><tr><td>Run on Contributor Data = Also</td><td>the selectable plausibility logics are those which are present in the execution plan of the entities, contributor nodes or consolidator nodes for the selected process.</td></tr></table>If not set, the diagnostic will be run on all the plausibility logics which satisfy the above condition.
The filter is only applied to the plausibility diagnostic.</td></tr>
</table>

Element	Description
Errors threshold	• **None** (default): the diagnostic does not apply threshold filters. • **Above the Balancing threshold**: the diagnostic only reports unbalanced amounts above the balancing threshold set in the process's validation rules. • **Above the Submission threshold**: the diagnostic only reports unbalanced amounts above the submission threshold set in the process's validation rules. • **Above the specified threshold**: customised threshold and currency. If the currency is specified, the threshold amount is understood to be expressed in that currency and for the comparison it must be converted to the currency of the entity to which it is applied. The FX rate used for the conversion is the final FX rate. The filter is only applied to the gross, IC and net control groups diagnostic and to the IC capacity diagnostic.
Threshold	(Only if **Errors threshold** = **Above the specified threshold**) Indicates the value of the customised threshold.
Currency	(Only if **Errors threshold** = **Above the specified threshold**) Indicates the currency to be applied to value of the customised threshold.
Severity	Severity of unbalanced amount reported by the diagnostic. At least one severity must be selected. • **Blocking**: the entity data are not submitted. • **Non-blocking**: the entity data are submitted but errors are reported. • **Only Diagnostic**: the check is only run if explicitly requested by manually running the diagnostic from the **Detail summary** cockpit tabs (for the contributor). In this case it is possible to customise the filters before running the data processing. However, whenever diagnostics are run automatically (from the cockpit/from other data processing), the check is not performed.
Checks	
Runs the selected check. At least one check must be selected. If **Run on Consolidation Scenario** = **Only**, you can only run the Result, Gross control groups and Gross sign diagnostic.	
Select all	Selects all the listed checks.
Result	Runs the filtered control groups diagnostic only on the control group used for checking the annual result. This control group is $BS_<result account code>. Use the result account code that is set in the process's calculation logics. Moreover, in the process's validation rules, it is possible to specify the categories for which to show the result of this control group, including in the presence of balancing.
Gross control groups	Runs the diagnostic on control groups which, in the table, require the **Gross** data check.
Gross sign	Runs the gross sign diagnostic for accounts which, in the table, have a **Standard sign check** not equal to **Any**.
Net control groups	Runs the diagnostic on control groups which, in the table, require the **Net** data check.
IC control groups	Runs the diagnostic on control groups which, in the table, require the **Intercompany** data check.
IC sign	Runs the IC sign diagnostic for accounts which, in the table, have **IC sign check** not equal to **Do not check**.
IC Capacity	Runs the IC capacity diagnostic for accounts which, in the table, have **IC Capacity check** not equal to **Do not check**.
IC matching	Runs the IC matching check for cockpits which, in the table, have **IC matching for submission check** not equal to **None**.
FX rate	Runs the FX rates diagnostic for accounts which, in the table, have **FX rates check** not equal to **Do not check**.
Mandatory notes	Runs the mandatory notes diagnostic for accounts which, in the table, have **Notes check** not equal to **Do not check**.

Element	Description
Authorized blocking errors	Runs the authorised blocking errors diagnostic in the following cases: • In the process's validation rules, **Enable detected errors trace** is not equal to **Don't manage**. • In the process's validation rules, **Don't propagate the authorized blocking error information** is not equal to **None**. • In the process's submission rules, the **Override submission - With authorization of blocking errors** option is selected.
Plausibility checks	Runs the plausibility diagnostic for entities for which an execution plan has been defined on the process. Only present if the plausibility diagnostic is active on the process.
Journals submission	Runs the journal submission diagnostic in the following cases: • Journal submission has been enabled in the process's Business Workflow mapping, or a submission task workflow has been specified for at least one entity. • In the process's validation rules, **Diagnose Manual journals submission** and/or **Diagnose Automatic journals submission** is not equal to **None**.
Options	
Show the code of the form on the error row	For every error on the control group or account, shows the forms on which the control group accounts can be edited or the account itself. ***Note**: "standard" forms can be edited from this window via both Excel and web forms.*
Also show balanced data	If selected, the control groups and accounts diagnostic also shows data which balance, and not unbalanced amounts only. In this case, it is not possible to run the IC matching, authorised blocking errors, plausibility and journal submission diagnostic. Moreover, you cannot request that the log be updated. Option only available if function 0004099 (Processes - Cockpit - Diagnostic - Also show balanced data) is active in the user role.
Update log	If selected, the content of the diagnostic reports log is updated at the end of the diagnostic. Option only available if, in the process's validation rules, **Enable detected errors trace** is not equal to **Don't manage**. Can only be selected if **Run on Consolidation Scenario** is not equal to **Only**, as the diagnostic reports log is only managed for the original scenarios/periods.

Actions in window

Element	Description
Ok	Runs the diagnostic according to the defined filters and settings.
Cancel	Closes the window without saving the settings.

Run diagnostic window - Consolidator cockpit - Consolidation scenarios tab

User

Processes tile > select process > Consolidator > Consolidation scenarios tab > select entity or node on which to run the diagnostic > (Actions) Diagnostic > Diagnose

Navigation panel > Processes > select process > Consolidator > Consolidation scenarios tab > select entity or node on which to run the diagnostic > (Actions) Diagnostic > Diagnose

Purpose of window

It allows you to set filters to run diagnostic data processing on consolidation scenarios.

Fields in window

Depending on the selected checks, some options can be disabled.

Element	Description
Filters	
Consolidation scenarios	Contains one or several consolidation scenarios/periods from among those visible to the user, linked to the selected original scenario/period and in which the perimeter contains at least one entity belonging to the selected consolidator nodes.
Data to diagnose	• **All** (default): the diagnostic is run on all entities (companies, contributor nodes and consolidator nodes). • **Consolidator**: the diagnostic is only run on consolidator nodes. • **Contributor**: the diagnostic is only run on contributor nodes.
Consolidator nodes	If **Data to diagnose** = **All** or **Consolidator**, it shows the consolidator nodes selected in the consolidation scenarios cockpit and is not editable. The diagnostic can only be run on consolidator nodes that meet the following requirements: • they must belong to the selected process • they must be to be consolidated • they must be visible to the user
Contributor nodes	Only if **Data to diagnose** = **All** or **Contributor**. Not editable. The diagnostic can only be run on nodes that meet the following requirements: • they must belong to one of the selected consolidator nodes • they must have at least one entity belonging to at least one of the selected consolidation scenarios • they must belong to the selected process • they must be to be submitted in the data collection process • they must be visible to the user Not editable.
Entities	If **Data to diagnose** = **All** or **Contributor**. Not editable. the field is defined with the entities that meet the following requirements: • they must belong to one of the selected consolidator nodes • they must belong to the process and at least one of the selected consolidation scenarios/periods • they cannot be only counterparty or only consolidator • they must be visible to the user
Advanced filters	
Steps	• **All** (default): the diagnostic is run on all steps of the business workflow associated with the process. • **Up to**: the diagnostic is run on the selected steps and all preceding steps. • **Selected**: the diagnostic is run on the selected steps. The diagnostic is run according to the following criteria:

If...	Then...
Data to diagnose = **All**	the diagnostic is run on all steps (contributor, consolidator and mixed).
Data to diagnose = **Consolidator**	the diagnostic is only run on the consolidator and mixed steps.
Data to diagnose = **Contributor**	the diagnostic is only run on the contributor and mixed steps.

Element	Description
Errors threshold	• **None** (default): the diagnostic does not apply threshold filters. • **Above the Balancing threshold**: the diagnostic only reports unbalanced amounts above the balancing threshold set in the process's validation rules. • **Above the Submission threshold**: the diagnostic only reports unbalanced amounts above the submission threshold set in the process's validation rules. • **Above the specified threshold**: customised threshold and currency. If the currency is specified, the threshold amount is understood to be expressed in that currency and for the comparison it must be converted to the currency of the entity to which it is applied. The FX rate used for the conversion is the final FX rate. The filter is only applied to the gross,
Threshold	(Only if **Errors threshold** = **Above the specified threshold**) Indicates the value of the customised threshold.
Currency	(Only if **Errors threshold** = **Above the specified threshold**) Indicates the currency to be applied to value of the customised threshold.
Severity	Severity of unbalanced amount reported by the diagnostic. At least one severity must be selected. • **Blocking**: the entity data are not submitted. • **Non-blocking**: the entity data are submitted but errors are reported. • **Only Diagnostic**: the check is only run if explicitly requested by manually running the diagnostic from the **Detail summary** cockpit tabs (for the contributor). In this case it is possible to customise the filters before running the data processing. However, whenever diagnostics are run automatically (from the cockpit/from other data processing), the check is not performed.
Show the code of the form on the error row	For every error on the control group or account, shows the forms on which the control group accounts can be edited or the account itself. ***Note**: "standard" forms can be edited from the diagnostic result window via both Excel and web forms.*
Also show balanced data	If selected, the control groups and accounts diagnostic also shows data which balance, and not unbalanced amounts only. Option only available if function 0004099 (Processes - Cockpit - Diagnostic - Also show balanced data) is active in the user role.
Checks	
Runs the selected check. At least one check must be selected.	
Select all	Selects all the listed checks.
Result	Runs the filtered control groups diagnostic only on the control group used for checking the annual result. This control group is $BS_<result account code>. Use the result account code that is set in the process's calculation logics. Moreover, in the process's validation rules, it is possible to specify the categories for which to show the result of this control group, including in the presence of balancing.
Gross control groups	Runs the diagnostic on control groups which, in the table, require the **Gross** data check.
Gross sign	Runs the gross sign diagnostic for accounts which, in the table, have a **Standard sign check** not equal to **Any**.
Amount type	One or more amount types must be selected: • **Consolidable** (preselected) • **Converted** • **Proportional**

Actions in window

Element	Description
Save new filters set	Saves the run settings to be able to reuse them. ***Note**: the filters are saved by process and do not act on entities, for which the selection made in the cockpit always applies.*
Run	Runs the diagnostic according to the defined filters and settings.
Cancel	Closes the window without saving the settings.

Amounts diagnostic

Description

This diagnostic runs all the diagnostic checks on the gross amounts, while it only runs the following checks on intercompany amounts:

- IC control groups
- IC sign
- IC Capacity
- FX rate
- IC matching
- Mandatory notes
- Authorized blocking errors

Run method

This diagnostic is run from the contributor and consolidator cockpits. For gross amounts diagnostic, see the Gross Amounts page, for intercompany amount diagnostic, see IC Amounts page in the Data collection section.

It does not require you to set parameters when it is run. The entities to be subject to the diagnostic (companies and/or consolidator nodes) are set automatically, depending on the category and the entity of every selected row:

If...	Then...
the category is contributor	the entity diagnostic is run.
the category is consolidator	the diagnostic is run on the consolidator node to which the entity belongs

Journals diagnostic

Description

This diagnostic runs the following checks on journals:

- Gross, net and IC control groups
- Gross sign
- IC sign
- IC Capacity
- FX rate
- Plausibility checks

Run method

This diagnostic can be run according to several methods:

- from journal headers from the **Diagnostic** action (Actions from journal headers in the Data collection section), updating or not updating the error log,
- from journal rows from the **Diagnostic** action (Actions from journal rows in the Data collection section), updating or not updating the error log.

You do not have to set parameters when running it, as these are calculated automatically based on previous configurations.

If the **Diagnose and update log** option is selected, the error log will also be updated.

This update is only available if, in the process's validation rules, **Enable detected errors trace** is not equal to **Don't manage** (Validation rules page in the Processes section).

Diagnostic result window

At the end of the diagnostic data processing, CCH Tagetik automatically opens a window displaying the detected errors.

The user, via the Point of view (see User Settings), can choose whether to display a summary dashboard, to better understand how errors are distributed (organised by control or entity), or directly the detail of errors.

Control Dashboard

Purpose of the page

This dashboard displays a card for each control on which the diagnostic has detected errors, detailing the type of error:

- Blocking: it will not be possible to submit entity data on which errors are present with this severity
- Authorised (only if the option "Override Submission: With authorization of blocking errors" is activated in the process submission rules): blocking errors, but which have been authorised
- Below threshold: blocking errors, but where unbalanced amount is below the submission threshold set on the process validation rules
- Submitted: blocking errors, but relating to journals that have been submitted
- Non-blocking
- Balanced (only if the diagnostic has been run with the option 'Also show balanced data' or if in the process validation rules, categories have been specified for which to show the result even if there is a balancing)

By selecting a card, you can view the error details filtered by the selected check. See Diagnostic Error Detail

Buttons on the page

Element	Description
	It allows filters on the main dimensions. Filters affect the display of the dashboard and reports.
	Allows you to select the dashboard type: Controls or Entities.
	It allows reports to be extracted from the diagnostic result. See Diagnostic Reports
	This shows the list of entities/steps for which the diagnostic has not detected any errors.

Filters on the page

From the dashboard, it is possible to make filters for:

- scenario/period: allows filtering by amount type (original, proportional, converted, consolidated) and/or by the scenarios/periods on which errors were detected
- step: allows filtering for a single step among those on which errors were detected
- entities: allows you to filter alternatively by entities (also choosing whether you want to display the result also for consolidator entities), contributor nodes or consolidator nodes on which errors were detected
- category/node category/journal: allows filtering alternatively by category, category node or journal on which errors have been detected

Entity Dashboard

Purpose of the page

This dashboard displays a row for each entity on which the diagnostician has detected errors.

Each row provides the following information:

- Entity type: Entity ; Contributor node; Consolidator node
- Entity code and description

- Total number of errors and their distribution (number of blocking, authorised, below threshold, submitted , non-blocking errors, balanced)

By selecting a row, the filtered error detail for the selected entity can be displayed. See Diagnostic Error Detail

Buttons on the page

Element	Description
	It allows filters on the main dimensions. Filters affect the display of the dashboard and reports.
	Allows you to select the dashboard type: Controls or Entities.
	It allows reports to be extracted from the diagnostic result. See Diagnostic Reports. -
	This shows the list of entities/steps for which the diagnostic has not detected any errors.

Filters on the page

From the dashboard, it is possible to make filters for:

- scenario/period: allows filtering by amount type (original, proportional, converted, consolidated) and/or by the scenarios/periods on which errors were detected
- step: allows filtering for a single step among those on which errors were detected
- control: allows filtering of the various diagnostic controls on which errors have been detected
- category/node category/journal: allows filtering alternatively by category, category node or journal on which errors have been detected

Diagnostic report

Introduction

Reports can be generated from the diagnostics result window in order to carry out various types of analysis on the errors detected.

Excel report by Scenario/Period.

This report displays the detail of errors detected by the diagnostics, organised by scenario/period and step.

It is the most comprehensive report (e.g. it also contains descriptions of all dimensions) and allows the data to be analysed in various ways, thanks to the possibility of filters.

Excel Report by Check to Perform

This report displays the detail of errors detected by the diagnostic, sorted by control.

The data are organised in such a way that they can be printed.

PDF Report by Check to Perform

This report displays the detail of errors detected by the diagnostic, sorted by control, in PDF format.

The data are organised in such a way that they can be printed.

This report is the one that is saved upon entity submission when the option 'Store diagnostic result on submission' is enabled in the process submission rules.

Control groups drill down report

This report displays, for each control group, the details of the data rows that originated the unbalanced amount.

If there are a large number of reports on control groups, it may take a long time to generate the report.

For this reason, the report is only available if the diagnostician has detected control group errors and if the diagnostician has not been run with the option 'Also show balanced data'.

Diagnostic Error Detail

Purpose of the page

This page allows the detail of errors detected by the diagnostic to be displayed.

The page can be accessed:

- by selecting individual cards in the check dashboard
- by selecting individual entities in the entity dashboard
- after running the diagnostic on journals
- from the entity/journal submission result window

Actions on this page

Element	Description
	**Show Control group information.** Only available for single selection and only for Control Group errors. Opens a window showing the main information on the control group, including a list of its parent and child accounts. **Drill Down.** Available only for single selection and only for errors of Control Groups and Plausibility Checks (for the latter, only if the error is on a contributor node). For Control Groups, it opens a window displaying the amount and/or journal rows that generated the error, divided between parent and child accounts. For Plausibility Checks, it opens a window displaying the amounts divided among the various Entities belonging to the node. **Show forms.** Only available for single-selection. Moreover, it is only present for Control Group and Account errors (Gross Sign, IC Sign, IC Capacity, FX Rate, Mandatory Notes). Opens a window showing the forms in which it should be possible to edit the control group or account, with the option to open the web/excel form. **Comment error.** Only present if the diagnostic was performed with the 'Update Log' option. Available for single and multiple selection. In the case of a single selection, it opens a window where you can view and manage the comments present for the error. In the case of multiple selection, a window opens where you can write a comment that will be entered on all selected errors. In this case, the menu item is disabled if rows are selected on locked or display-only scenarios/periods.
	Comment on all records. Only present if the diagnostic was performed with the 'Update log' option and if the displayed scenarios/periods are not locked or in display-only mode. Opens a window where you can write a comment on all displayed errors. **Export to Excel** Present only on the 'All Checks' grid and only if the page was opened following the execution of the diagnostic on journals or from the entity/ journal submission result window. Exports a report showing the details of all errors detected by the diagnostic, organised by scenario/period and step.

Attributes on the page

Element	Description
Blocking	Indicates whether the error is blocking and therefore it will not be possible to submit the entity data. Non-filterable/sortable.
Balancing	Only present if the diagnostic was performed with the option 'Also show balanced data'. In the case of unbalanced amount, it displays the symbol . Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups, Gross Sign, IC Sign, IC Capacity, FX rate, Mandatory Notes.
In progress	Only present if there is at least one category for the process for which the status 'Draft journal' can be managed. If the error relates to a draft journal, it displays the symbol .
Scenarios	Code and description of the scenario.
Period	Code and description of the period.
Step	Step code.
Check	Present only on the 'All Checks' grid. The possible values are: • Gross control groups • IC control groups • Net control groups • Gross sign • IC sign • IC Capacity. • FX rate • Mandatory notes • Plausibility checks • Authorized blocking errors • IC matching • Journals submission • Draft Journals
Source control group	Code and description of the control group. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups.
Error detail	Notes in the control group list. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups.
Accounts	Account code and description. Filled only for Gross Sign, IC Sign, IC Capacity, FX rate, Mandatory Notes, Plausibility Checks.
Account node	Code (hierarchy|node) and description of the accounts node. Filled only for Plausibility Check errors.
Entity	Entity code and description.
Entity node	Code (hierarchy|node) and description of the Entity node.

Element	Description
Entity type	The possible values are: • Entity • Contributor nodes • Consolidator Nodes
Category	Category code and description. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups, Gross Sign, IC Sign, IC Capacity, FX rate, Mandatory Notes, Plausibility Checks, journal Submission, Draft journals.
Category node	Code (hierarchy|node) and description of the category node. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups, Gross Sign, IC Sign, IC Capacity, FX rate, Mandatory Notes, Plausibility Checks.
Journal number	Journal code and description. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups, Gross Sign, IC Sign, IC Capacity, FX rate, Plausibility Checks, Authorised Blocking Errors, Journal submission, Draft journals.
Custom dimension 1...5	Only present if the custom dimension is managed. Custom dimension code and description. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups, Gross Sign, IC Sign, IC Capacity, FX rate, Mandatory Notes, Plausibility Checks. Custom dimension 2 is also defined for IC Matching errors.
Custom dimension 1...5 node	Only present if the custom dimension is managed. Code (hierarchy|node) and description of the custom dimension node. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups, Gross Sign, IC Sign, IC Capacity, FX rate, Mandatory Notes, Plausibility Checks.
CTP entity	CTP Entity code and description. Filled only for errors in IC Control Groups, IC Sign, FX rate, Mandatory Notes, IC Matching, Plausibility Checks.
CTP Entity Node	Code (hierarchy|node) and description of the CTP Entity node. Filled only for errors in IC Control Groups, Plausibility Checks.
CTP Custom dimension 2	Only present if custom dimension 2 is managed. CTP custom dimension 2 code. Filled only for errors in IC Control Groups, IC Sign, FX rate, Mandatory Notes, IC Matching, Plausibility Checks.
Unit	Currency code. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups, Gross Sign, IC Sign, IC Capacity, FX rate, Mandatory Notes, Plausibility Checks.
Amount to detail	Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups.
Detail amount	Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups.
Difference	For errors on control groups, it is the difference between the detail amount and the amount to be detailed. For plausibility errors, it is the difference between the amount to be compared and the reference amount. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups, Plausibility Checks. Non-filterable/sortable.
Amount	Filled only for Gross Sign, FX rate, Mandatory Notes errors.
Gross amount	Valued only for IC Sign, IC Capacity errors.
IC amount	Valued only for IC Sign, IC Capacity errors.

Element	Description
Invoice currency	Invoice currency code. Filled only for FX rate errors.
Invoice Currency amount	Filled only for FX rate errors.
Operator	Control group operator. The possible values are: • = • < • <= • > • >= • <> • Coherence • Bi-directional coherence • Coherence by element • Bi-directional coherence for element Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups.
Sign	Check of sign specified for the account. The possible values are: • Debit • Credit Filled only for gross sign errors.
IC Capacity	IC capacity check specified for the account. The possible values are: • Check <= • Check = Filled only for IC Capacity errors.
IC sign	Check of IC sign specified for the account. The possible values are: • Debit • Credit • As Gross amount Filled only for IC Sign errors.
Cockpit	Cockpit code and description. Filled only for IC Matching errors.
Authorized Entity	Code and description of the authorized Entity. Filled only for authorized blocking errors.
Authorized Entity node	Code (hierarchy|node) and description of the authorized Entity node. Filled only for authorized blocking errors.
Rule	Code and description of the plausibility rule. Filled only for Plausibility Check errors.
Ctp entity for Segment	code and description of the CTP Entity for Segment. Filled only for Plausibility Check errors.

Element	Description
Ctp entity for Segment node	Code (hierarchy|node) and description of the Ctp entity for Segment node. Filled only for Plausibility Check errors.
Reference Scenario	Reference scenario code. Filled only for Plausibility Check errors.
Reference period	Reference period code. Filled only for Plausibility Check errors.
Comparison evaluation	Comparison currency code. Filled only for Plausibility Check errors.
Amount to compare	Filled only for Plausibility Check errors.
Reference amount	Filled only for Plausibility Check errors.
Expression	Result of the plausibility rule preliminary check. Filled only for Plausibility Check errors.
Materiality check expression	Plausibility check result. Filled only for Plausibility Check errors.
Row type	The possible values are: • Amount • Journal • Aggregated Filled only for Plausibility Check errors.
Data type	The possible values are: • Gross amount • IC amount • Gross Adjustment • IC adjustment • Gross aggregate • IC aggregate • Cause Filled only for Plausibility Check errors.
Elimination code	Elimination logic code. Filled only for Plausibility Check errors.
Amount Type	The possible values are: • Original • Proportional • Converted • Consolidable

Element	Description
Error type	The possible values are: • Blocking: Entity data cannot be submitted • Non blocking • Diagnostic only: the check was performed because it was explicitly requested through manual execution of the diagnostic • Warning • Authorized Blocking : blocking error, but which has been authorised • Submitted: blocking error, but relating to a journal that has been submitted • Blocking Below Threshold: Blocking error, but where the unbalanced amount is below the submission threshold set on the process validation rules • Result: this is not an error; the row was reported as it related to the control group of the year result
Further information	Only present if the diagnostic was performed with the 'Update Log' option. Indicates whether there are any comments about the error.
Second last comment	Only present if the diagnostic was performed with the 'Update Log' option. Non-filterable/sortable.
Last comment	Only present if the diagnostic was performed with the 'Update Log' option. Non-filterable/sortable.
Last comment user	Only present if the diagnostic was performed with the 'Update Log' option. Non-filterable/sortable.
Last comment date	Only present if the diagnostic was performed with the 'Update Log' option. Non-filterable/sortable.
Note	The possible values are: • FX rate is not present in the FX rates table • FX rate is not present in the FX rates table for the previous scenario • Incorrect setup of the reference scenario/period Filled only for Plausibility Check errors.
Rule notes	Notes in the plausibility rule list. Filled only for Plausibility Check errors.
Form	Only present if the diagnostic was run with the option 'Show the code of the form on the error row'. Form code. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups, Gross Sign, IC Sign, IC Capacity, FX rate, Mandatory Notes.

Logging diagnostic data

Introduction

The diagnostic check generates information for immediate use, The results are shown but not saved. To see the results again, you must run the data processing again. To save the data returned by the diagnostic, you must activate a log results function, which generates a log.

This function is only available for the original scenarios and is activated by process by the validation rules (Validation rules page in the Processes section) according to the following criteria:

If...	Then...
Enable detected errors trace = **Don't manage**	the errors detected by the diagnostic check will not be logged.
Enable detected errors trace = **Only manage for blocking signals**	only errors with **Blocking** severity will be logged.
Enable detected errors trace = **Manage the table for all signals**	all the errors detected by the diagnostic check will be logged.

If the log function is active, the data in the log is updated on every submission or running of the diagnostic checks where the **Update log** option is selected.

Authorisation of diagnostic errors

Introduction

For processes in which the logging of diagnostic data is active, you can manually authorise blocking errors on the data. This operation changes the severity of the error from **Blocking** to **Authorized blocking** and allows you to submit the entity regardless.

This function is activated by the process's submission rules with the **Override submission - With authorization of blocking errors** option (Submission rules page in the Processes section).

The detected errors can only be authorised by manager users from the parent entity of the entity on which the error is detected, namely the same users that can reject the entity. Comments can be inserted on authorised errors, but if this is not done, a note that it is an authorised error is inserted in any case.

***IMPORTANT**: it is possible to authorise several errors at once, but only if they can all be authorised. Otherwise, the system will return an error message: "It was not possible to authorise some errors".*

To find out the reason why an error cannot be authorised, try to authorise the individual error: the specific reason why the error cannot be authorised will be indicated.

Whenever the content of the log is updated, an authorised error that was previously present in the log may no longer be detected by the diagnostic checks, which leads to the following behaviour:

If...	Then...
there are no comments for the error.	the error will be removed from the log.
there are comments for the error.	the error will be saved and marked as "Correct". Correct errors will no longer be considered, so if the same error arises again, it will be considered to be a new error. ***Note**: correct errors are not normally shown, due to a pre-set filter on the log. In any case, CCH Tagetik can be configured to show them.*

For processes that manage the diagnostic log with authorisation of blocking errors, it may be useful to activate the authorised blocking errors diagnostic check (Authorised blocking errors diagnostic).

Requirements for authorising an error

To be able to authorise an error, the following conditions must be fulfilled:

- The error must have **Blocking** severity.
- The error cannot have already been corrected, or be an unbalanced amount that is no longer present in the system but still stored in the log due to the presence of comments.
- The error cannot have already been authorised, unless it was authorised but the authorisation was then invalidated.
- The entity to which the error relates cannot be submitted.
- If the error concerns a journal of an entity for which journal submission is required, the journal cannot be submitted.
- There must be a justification for the error, inserted by a user other than the authorising user.
- The user must be enabled to authorise errors on the relative entity, or must be a manager of the parent entity of the entity to which the error relates.

Information on authorised errors

When an error is authorised, the following information is tracked in the log:

Attribute	Description
Authorized	This attribute indicates whether or not the error has been authorised (= true).
Authorized amount	Amount at the time of authorisation. • For errors related to control groups: difference between the amount of the child accounts and the amount of the parent accounts • For errors related to the gross sign: amount • For errors related to the IC sign: IC amount • For errors related to the IC capacity: difference, as an absolute value, between the IC amount and the gross amount
User authorization	User that performed the authorisation
Date authorization	Date and time at which the error was authorised

***Note**: the data related to authorised errors remain editable, and consequently some errors may no longer exist or amounts may change when the log is subsequently updated.*

Removal of error authorisations

Error authorisations can be removed. Only the users who performed the authorisation are allows to do this, namely manager users of the parent entity of the entity on which the error is detected. Comments can be inserted on errors for which authorisation is removed, but if this is not done, a note that the authorisation was removed is inserted in any case.

***IMPORTANT**: you can remove the authorisation on several errors at the same time. If this is not possible on some errors, the operation is interrupted and an error message is shown: "It was not possible to remove the authorisation of some errors".*

To find out the actual reason why the authorisation of an error cannot be removed, you can attempt to authorise the individual error. In this case, the system will indicate the reason why the authorisation cannot be removed for the specific error.

To find out the reason why the authorisation of an error cannot be removed, try to authorise the individual error: the specific reason why the authorisation of an error cannot be removed will be indicated.

You cannot submit entities that have errors that were initially authorised and have then been removed.

Requirements for removing the authorisation of an error

To be able to remove the authorisation of an error, the following conditions must be fulfilled:

- The error must have **Blocking** severity.
- The error cannot have already been corrected, or be an unbalanced amount that is no longer present in the system but still stored in the log due to the presence of comments.

- The error must have already been authorised and the authorisation cannot have been invalidated or removed.
- The entity to which the error relates cannot be submitted.
- If the error concerns a journal of an entity for which journal submission is required, the journal cannot be submitted.
- The user must be enabled to remove the authorisation, or be a manager of the parent entity of the entity to which the error relates.

Invalidation of errors

The invalidation of errors is an automatic operation run by CCH Tagetik every time that the log is updated, if one of the following conditions is fulfilled:

- Unbalanced amounts have changed sign.
- The value of the unbalanced amount has increased in absolute terms.

Diagnostic results log

User

Process tile > select process > Contributor > Detail summary tab or Step tab > select entity > (Actions) Diagnostic > Diagnostic results log

Process tile > select process > Consolidator > Overview tab or Step tab > select entity > (Actions) Diagnostic > Diagnostic results log

Processes Tile > select process with dimension by step > select entity > User Tools > Validations > Diagnostic Results Log

Purpose of the page

This page allows access to archived diagnostic data for both online and offline scenarios/periods. Only for data on online scenarios/periods is it possible to enter comments or authorise errors.

This page allows you to authorize the detected blocking errors in order to submit the entity

When the log is opened, some initial filters are applied:

- selected scenario/period, in case of submission process for scenario / period
- selected entities (entities or contributor nodes or consolidator nodes)
- selected step, if the log is opened from the cockpit with dimension by step or from one of the step tabs, in the standard cockpit
- only errors that have not yet been corrected are displayed

Once the log is open, filters can be modified or cancelled. The only implicit filters, which are always applied and cannot be modified by the user, are the filter on the selected process and the type of data displayed: if the log is opened from an offline scenario/period, it will only be possible to display offline data; if the log is opened from an online scenario/period, it will only be possible to display online data.

Actions on this page

Element	Description
	**Show Control group information**: Available for single selection and control group errors only. Opens a window showing the main information on the control group, including a list of its parent and child accounts. **Drill Down**: Available only for single selection and only for Control Group errors and only on online scenarios/periods. Opens a window displaying the amount and/or journal rows that generated the error, divided between parent and child accounts. **Show forms**: Available only for single selection and only for Control Group and Account errors (Gross Sign, IC Sign, IC Capacity, FX rate, Mandatory Notes). Opens a window showing the forms in which it should be possible to edit the control group or account, with the option to open the web/excel form. **Comment error**: available for single and multiple selection. In the case of a single selection, it opens a window where you can view and manage the comments present for the error. In the case of multiple selection, a window opens where you can write a comment that will be entered on all selected errors. In this case, the menu item is disabled if rows are selected on locked or display-only scenarios/periods. **Authorize blocking error**: Available for single and multiple selection and only on non-locked or display-only scenarios/periods and only if in the process submission rules, the information Enable blocking errors authorization = true and if at least one blocking, open and unauthorised error has been selected. Authorize selected blocking errors **Remove authorization for blocking error**: Available for single and multiple selection and only on non-locked or display-only scenarios/periods and only if in the process submission rules, the information Enable blocking errors authorization = true and if at least one blocking, open and authorised error has been selected. Removes the authorisation of selected blocking errors.
	**Comment on all records**: Only available on non-locked or display-only scenarios/periods. Opens a window where you can write a comment on all displayed errors. **Authorize all blocking errors**: Only available on non-blocked or display-only scenarios/periods and only if in the process submission rules, the information Enable blocking error authorization = true. Authorises all displayed blocking errors. **Remove authorization for all blocking errors**: Only available on non-blocked or display-only scenarios/periods and only if in the process submission rules, the information Enable blocking error authorization = true. Removes the authorisation of all displayed blocking errors. **Export to Excel:** Exports a report showing the details of all errors in the log, organized by scenario/period and step. The report only considers any filters applied to the fields Scenario/Period, Step, Entity, Entity Node, Entity Type, Successful.

Attributes on the page

Element	Description
Blocking	Indicates whether the error is blocking and therefore it will not be possible to submit the entity data. Non-filterable/sortable.
In progress	Only present if there is at least one category for the process for which the status 'Draft journal' can be managed. If the error relates to a draft journal, it displays the symbol .
Successful	Indicates whether the error has been fixed and is therefore no longer detected by the diagnostics checks.
Authorized	Indicates whether the error has been authorised.
Invalid	Indicates whether, after authorization, the error has been invalidated and will therefore have to be authorized again.

Element	Description
Scenarios	Code and description of the scenario.
Period	Code and description of the period.
Step	Step code.
Check	Present only on the 'All Checks' grid. The possible values are: • Gross control groups • IC control groups • Net control groups • Gross sign • IC sign • IC Capacity. • FX rate • Mandatory notes • Plausibility checks • Authorized blocking errors • IC matching • Journals submission • Draft Journals
Source control group	Code and description of the control group. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups.
Error detail	Notes in the control group list. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups.
Accounts	Account code and description. Filled only for Gross Sign, IC Sign, IC Capacity, FX rate, Mandatory Notes, Plausibility Checks.
Account node	Code (hierarchy|node) and description of the accounts node. Filled only for Plausibility Check errors.
Entity	Entity code and description.
Entity node	Code (hierarchy|node) and description of the Entity node.
Entity type	The possible values are: • Entity • Contributor nodes • Consolidator Nodes
Category	Category code and description. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups, Gross Sign, IC Sign, IC Capacity, FX rate, Mandatory Notes, Plausibility Checks, journal Submission, Draft journals.
Category node	Code (hierarchy|node) and description of the category node. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups, Gross Sign, IC Sign, IC Capacity, FX rate, Mandatory Notes, Plausibility Checks.
Journal number	Journal code and description. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups, Gross Sign, IC Sign, IC Capacity, FX rate, Plausibility Checks, Authorised Blocking Errors, Journal submission, Draft journals.
Custom dimension 1...5	Only present if the custom dimension is managed. Custom dimension code and description. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups, Gross Sign, IC Sign, IC Capacity, FX rate, Mandatory Notes, Plausibility Checks. Custom dimension 2 is also defined for IC Matching errors.

Element	Description
Custom dimension 1...5 node	Only present if the custom dimension is managed. Code (hierarchy|node) and description of the custom dimension node. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups, Gross Sign, IC Sign, IC Capacity, FX rate, Mandatory Notes, Plausibility Checks.
CTP entity	CTP Entity code and description. Filled only for errors in IC Control Groups, IC Sign, FX rate, Mandatory Notes, IC Matching, Plausibility Checks.
CTP Entity Node	Code (hierarchy|node) and description of the CTP Entity node. Filled only for errors in IC Control Groups, Plausibility Checks.
CTP Custom dimension 2	Only present if custom dimension 2 is managed. CTP custom dimension 2 code. Filled only for errors in IC Control Groups, IC Sign, FX rate, Mandatory Notes, IC Matching, Plausibility Checks.
Unit	Currency code. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups, Gross Sign, IC Sign, IC Capacity, FX rate, Mandatory Notes, Plausibility Checks.
Amount to detail	Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups.
Detail amount	Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups.
Difference	For errors on control groups, it is the difference between the detail amount and the amount to be detailed. For plausibility errors, it is the difference between the amount to be compared and the reference amount. Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups, Plausibility Checks. Non-filterable/sortable.
Amount	Filled only for Gross Sign, FX rate, Mandatory Notes errors.
Gross amount	Valued only for IC Sign, IC Capacity errors.
IC amount	Valued only for IC Sign, IC Capacity errors.
Invoice currency	Invoice currency code. Filled only for FX rate errors.
Invoice Currency amount	Filled only for FX rate errors.
Operator	Control group operator. The possible values are: • = • < • <= • > • >= • <> • Coherence • Bi-directional coherence • Coherence by element • Bi-directional coherence for element Filled only for errors in Gross Control Groups, IC Control Groups, Net Control Groups.

Element	Description
Sign	Check of sign specified for the account. The possible values are: • Debit • Credit Filled only for gross sign errors.
IC Capacity	IC capacity check specified for the account. The possible values are: • Check <= • Check = Filled only for IC Capacity errors.
IC sign	Check of IC sign specified for the account. The possible values are: • Debit • Credit • As Gross amount Filled only for IC Sign errors.
Cockpit	Cockpit code and description. Filled only for IC Matching errors.
Authorized Entity	Code and description of the authorized Entity. Filled only for authorized blocking errors.
Authorized Entity node	Code (hierarchy|node) and description of the authorized Entity node. Filled only for authorized blocking errors.
Rule	Code and description of the plausibility rule. Filled only for Plausibility Check errors.
Ctp entity for Segment	code and description of the CTP Entity for Segment. Filled only for Plausibility Check errors.
Ctp entity for Segment node	Code (hierarchy|node) and description of the Ctp entity for Segment node. Filled only for Plausibility Check errors.
Reference Scenario	Reference scenario code. Filled only for Plausibility Check errors.
Reference period	Reference period code. Filled only for Plausibility Check errors.
Comparison evaluation	Comparison currency code. Filled only for Plausibility Check errors.
Amount to compare	Filled only for Plausibility Check errors.
Reference amount	Filled only for Plausibility Check errors.
Expression	Result of the plausibility rule preliminary check. Filled only for Plausibility Check errors.
Materiality check expression	Plausibility check result. Filled only for Plausibility Check errors.

Element	Description
Row type	The possible values are: • Amount • Journal • Aggregated Filled only for Plausibility Check errors.
Data type	The possible values are: • Gross amount • IC amount • Gross Adjustment • IC adjustment • Gross aggregate • IC aggregate • Cause Filled only for Plausibility Check errors.
Elimination code	Elimination logic code. Filled only for Plausibility Check errors.
Error type	The possible values are: • Blocking: Entity data cannot be submitted • Non blocking • Warning • Blocking Below Threshold: Blocking error, but where the unbalanced amount is below the submission threshold set on the process validation rules
Authorized amount	Amount at the time of authorization. • For control group errors: difference between the amount of the child accounts and the amount of the parent accounts • For gross sign errors: amount • For IC sign errors: IC amount • For IC capacity errors: difference, in absolute value, between the IC amount and the gross amount
User authorization	User that performed the authorization.
Date authorization	Date and time when the error was authorized.
User Upd	User who has updated the content of the log.
Date Upd	Date and time at which the log content was updated.
Further information	Indicates whether there are any comments about the error.
Second last comment	Non-filterable/sortable.
Last comment	Non-filterable/sortable.
Last comment user	Non-filterable/sortable.
Last comment date	Non-filterable/sortable.

Element	Description
Note	The possible values are: • FX rate is not present in the FX rates table • FX rate is not present in the FX rates table for the previous scenario • Incorrect setup of the reference scenario/period Filled only for Plausibility Check errors.
Rule notes	Notes in the plausibility rule list. Filled only for Plausibility Check errors.

Ask AI for Diagnostics

Ask AI for Diagnostics acts as a dedicated assistant for the end user, with the goal of optimizing and simplifying the diagnostic data processing, especially when managing the various operational options available See Run Diagnostic Window - Process with dimensions by step.

AskAI Chat

The chat button is only available when the **0004270 Ask AI** functionality is enabled **on the process cockpit**.

This button, if enabled, is only available in the multidimensional process cockpit if the process has at least one step on Entity dimension.

The user's request can be made manually or by voice command. See Making a textual request in the Ask AI chat and Making a request in Ask AI chat with voice command.

If the request is recognised, interpreted and validated correctly by Ask AI, the chat will show the user the message 'Data processing started', indicating that the processing has begun.

If, however, Ask AI cannot understand or interpret the request, the chat will display an informative message indicating that the request could not be recognized: 'From your request it was not possible to understand what information you are referring to'.

In the event that the request does not pass validation, a detail window will open containing the specifications of the unfulfilled validations.

***IMPORTANT**: the quality of Ask AI answers improves with clear and specific questions. Avoid ambiguities, vague descriptions or overly general references.*

Execution mode

Through the Ask AI chat, the user can send requests to run the diagnostic.

The request formulated in natural language is interpreted by the Ask AI chat, which identifies the most appropriate matches between filters and execution options.

Ask AI executes the diagnostic in line with the selected process, respecting all process constraints and user-specific restrictions

Chat requests must refer to dimensions, dimensional elements and process parameters to be analysed. If essential information is missing, the Ask AI chat will retrieve it as follows:

If...	...then
It is not clear from the request whether it refers to diagnostics of the original scenarios or of the consolidation scenarios	Ask AI will diagnose the original scenarios
The request does not specify one or more scenarios/periods	Ask AI will diagnose the original scenarios and: • in case of submission process for scenario/period, it will run the diagnostic of the selected scenario/period • in case of single submission process, it will diagnose all valid scenarios/periods linked to the selected process
The request does not specify specific entities (Entities, contributor nodes, consolidator nodes)	Ask AI will perform diagnostics of all entities for which the user making the request is responsible
The request does not specify one or more controls	Ask AI will perform diagnostics of all valid controls for the selected process

Let's look at some examples of requests.

If...	...then
Run diagnostic	Ask AI will perform the diagnostic by calculating scenarios and entities as above
Run the diagnostic of my Entities	Ask AI will only run diagnostics on Entities excluding contributor and consolidator nodes
Perform diagnostics of consolidated data	Ask AI will run diagnostics on consolidation scenarios by analysing the data of the consolidable amount type
Run diagnostics on contributor nodes	Ask AI will only run diagnostics on contributor nodes, excluding Entities and consolidator nodes
Run the diagnostic on intercompany data	Ask AI will perform checks on intercompany data such as IC Control Groups, IC Capacity, IC Sign, IC Matching
Run diagnostic and update log	Ask AI will run the diagnostic and simultaneously update the log

Error Management in Ask AI for Diagnostic

When using Ask AI, there may be instances when a response cannot be obtained.

In such cases, error messages are displayed to help the user better understand the problem that occurred.

Condition	Error message displayed
Ask AI cannot understand or interpret the request	From your request it was not possible to understand what information you are referring to
Generic error occurred while processing the request, not due to a problem in understanding the request	A problem appears to have occurred. Please try again later or contact support for additional assistance.
The AskAI chat session expires after a period of inactivity and the page must be reloaded...	Your session has expired due to inactivity. Please reload the page.
There are too many requests to Ask AI	AskAi not available. Please try again later.

Accounts reclassification and NER

Introduction

The Accounts reclassification and the Net equity reclassification (NER) are two very similar data processes that aim to reclassify the balances and adjustments from one account to another.

The Accounts reclassification data processing operates on adjustments, on IC amounts and on Gross amounts deducted from ICs; It is executed before the processing of depreciation, direct taxes, basic formulas, deferred taxes and balancing.

The purpose of the net equity reclassification is to reclassify equity items, which do not have to be shown in the balance sheet for consolidated Entities, into special accounts. NER is calculated by gross balances and pre-consolidation adjustments.

 The same processes also exist on the consolidated scenario where both processes act on balances and adjustments (Entity and consolidation) and are performed consecutively, first the reclassification and then the NER.

For each account to be reclassified, the final balance is calculated for:

- Entity
- Cust. Dim. (N)
- CTP entity
- Cust. Dim. 2
- Currency
- Reclassification Category or NER

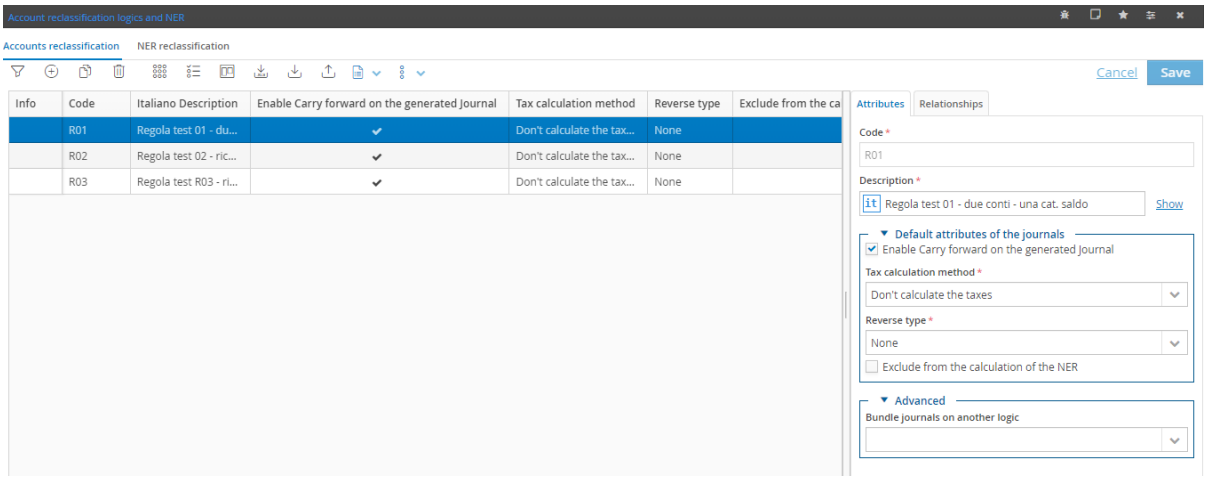
the amount is written off from the current account and allocated to the account specified in the "Reclassification Account / NER" field.

The data processing can be activated for both the original scenario and the consolidation scenario.

Data processing is driven by the Accounts reclassification and NER execution plan on original/consolidated scenarios defined for the selected process. For each Entity on the execution plan, the logics belonging to the specified node are processed.

Accounts Reclassification Logic and NER

The definition of the of the Accounts Reclassification Logic and NER is accessible from *SetUp & Admin > Data processing tile > Basic consolidation > Accounts Reclassification Logic and NER*. *Navigation panel> > Data processing > Basic consolidation > Accounts Reclassification Logic and NER*. Logic management provides a registry and a window in which you can manage the matching of logics to logic nodes.



Each logic is identified by a code and a description with multilingual management.

On the logic, the administrator must specify:

For the **Accounts reclassification**:

Default attributes of the journals section:

- *Enable Carry forward on the generated journal* flag specifies if the journal is to be restored in the next scenario.
- *Tax calculation method* specifies the calculation type for the deferred taxes. Possible values are: Don't calculate the taxes, Calculation based on the Tax rate of the Primary entity, Calculation based on the Tax rate of the Dependent entity.

  Reverse journal type if the journal must be reversed automatically by the system. Possible values are: None, Set BS accounts to 0, Set BS accounts to 0 and Write off P&L impact, Set BS accounts to 0 and Write off P&L impact and variations.
- *Exclude from the calculation of the NER* flag specifies if the calculation of the NER must consider the rows generated by the accounts reclassification.

Advanced section:

- *Bundle journals on another logic* Specifies if the number of reclassification logics is to be merged, by reducing the number of headers

For the **NER reclassification**:

Default attributes of the journals section

- *Enable Carry forward on the generated journal* flag, if the journal is to be restored in the next scenario.

Advanced section:

- *Bundle journals on another logic* Specifies if the number of reclassification logics is to be merged, by reducing the number of headers.

For a logic to be used in an execution plan, it is necessary to match the logic to a logic node. By default, the logic is matched to the $ - All rules node, but it is also possible to match the rule to previously created nodes in the Reclassification logics grouping management window.

The following options are available for matching logic to the node:

- Select a node of logics from the Relationships tab
- Move the logic to a node in the nodes grouping management window.
- When saving the logic, match it automatically if the "Accounts reclassification logics and NER grouping default relationship" flag is enabled in the Reclassification logics grouping at a node

Definition of a Reclassification logic

For both the Accounts reclassification and for the NER reclassification, three windows can be accessed from the header of the logic via *Actions* (⋮) menu:

- the Account to be reclassified and the reclassification account
- the Categories on which the system must read data to be reclassified and the category where the system must run the write off and the reclassification.
- Copy logic which allows you to copy from an existing logic the accounts and/or the categories linked to the selected logic

Accounts definition

When defining the accounts to be reclassified, it is possible to do an analytical definition using individual elements or opt for a summary definition using account nodes.

The columns visible in the panel are:

- Action
- Input accounts to be reclassified
- Reclassification Output Accounts
- Flag *Reclassify also the detail accounts*

When saving the records, a deployment that feeds the Definition result window is run. The data processing reads the Result of the definition.


Detail type accounts may have reclassification account/NER null, these rows are generated by the deployment of logics if the flag 'reclassify also detail accounts' is active to write off the details of reclassified accounts when the reclassification of detail accounts is not relevant.


For Initial balance variation accounts, the reclassification cannot be activated because the reclassification movements are already present as a carry-forward on the reclassification entries. If the initial balances carried forward to these entries are not aligned with the initial balances of the data on which the reclassification is to be performed, it is necessary to manually force the reclassification entry.

Categories definition

When defining the categories to be reclassified, it is possible to make an analytical definition using the individual elements or opt for a summary definition using the nodes of the category hierarchies.

The visible columns are:

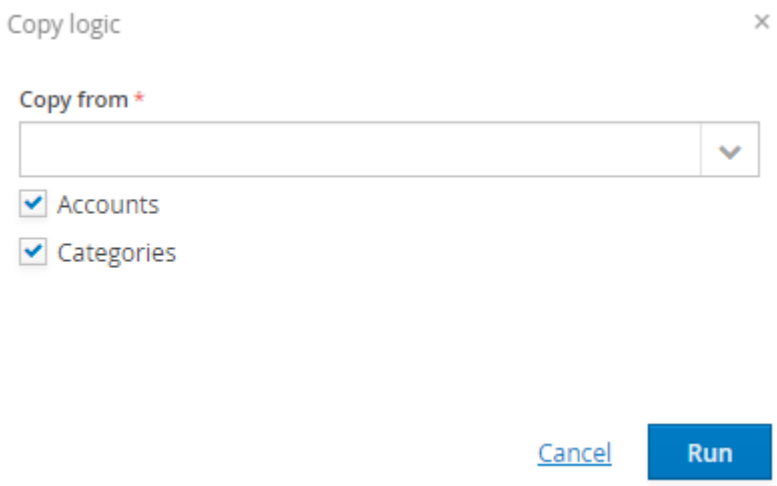
- Action
- Category to be reclassified
- Reclassification category

When saving the records, a deployment that feeds the Definition result window is run. The data processing reads the Result of the definition.

For the reclassification on an original scenario the reclassification category must be an Entity adjustment category, whereas if the reclassification is on a consolidation scenario the reclassification category must be a consolidation category

Copy Logic

In the Copy Logic utility, it is possible to make a copy of accounts and/or categories from an existing logic.



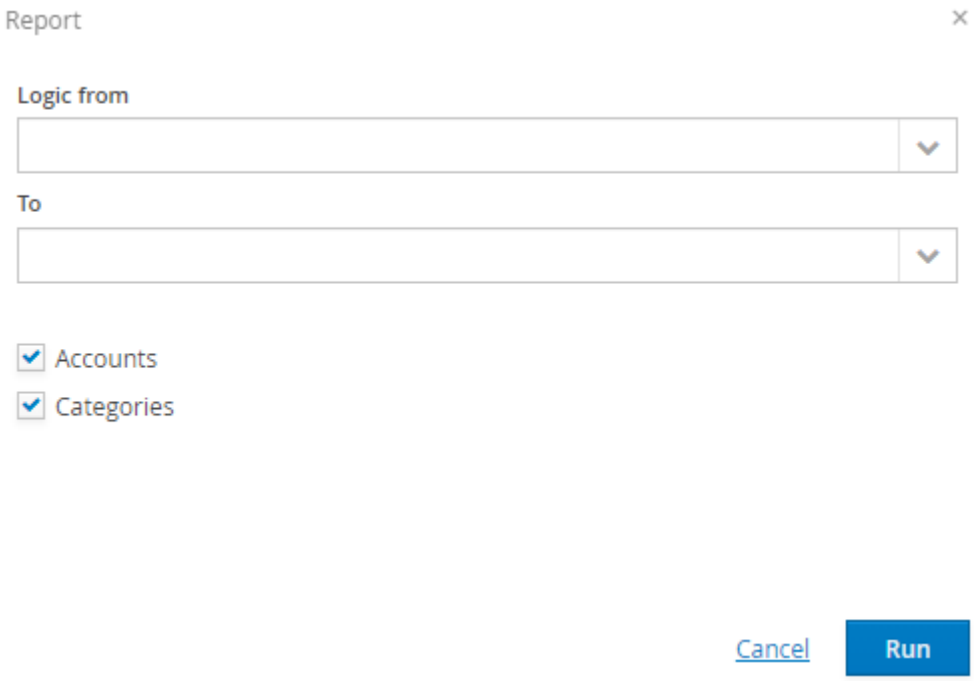
The visible fields are:

- Copy from: allows you to select the source logic
- *Account* flag
- *Category* flag

At least one flag between Account and Category must be selected for the copy to be performed.

Report

Accounts reclassification logics and NER can be extracted from the system and displayed via an Excel report. This report can be accessed via the Report icon ( ).



The user has to specify:

- Logic to be printed via the *Logic from* and *to* fields
- *Account* flag
- *Category* flag

If the Logic From and TO fields are not defined, the generated report will contain all inserted logics.

Data Processing

In order for account reclassification and GPN to be launched, it is necessary to:

- Enable the data processing in the process tree
- Define an execution plan with at least one Entity (for the consolidation scenario the Entity must be included in the consolidation area)
- a logics node containing at least one valid logic, i.e. defined with:
  - At least one record of accounts to be reclassified
  - At least one record of categories to be reclassified

Reclassification account must belong:

- to the proces
- to the Accounts node

The Input and Output categories must:

- have the "Run" flag
- belong to the proces
- belong to the categories node

If the process type is by category account, the system assesses whether the account/ category pair is admissible for the process Types linked to the Entities to be processed.

Activation of data processing

The Accounts reclassification and NER data processing can be found within the data processes tree of the Process under the Consolidation > Basic consolidation node. By enabling the data processing, the Requirements icon pops up. Click on the icon to access the definition of the execution plan.

 The data processing can be run either on an original scenario and/or on a consolidation scenario

Execution plan

The execution plan can be accessed via the Requirements icon in the data processing activation panel.

For each original period scenario the user may specify:

- the Entities of Entities nodes subject to reclassification
- the node of logics for each Entity/node of Entities subject to reclassification

For each consolidation period scenario the user may specify:

- the Entities of Entities nodes subject to reclassification
- A consolidation criterion as an alternative to the Entities. The system considers Entities that have that type of consolidation for the selected consolidation scenario
- the node of logics for each Entity/node of Entities subject to reclassification

In the definition, a summary definition can be made using the nodes of the various dimensions. Upon saving, an deployment is launched and in the Definition Result you can see the rows generated by the system analytically.

 If in the definition of the execution plan the same Entity and consolidation scenario are contained in several rows, the system in the deployment only considers the last one.

Journal's header and Origin

Journal headers are identifiable by the journal number formed by the prefix

- for account reclassification: 'RECL'
- for Net equity reclassification: “NER”

followed by the code of the accounts reclassification logic / NER, the Output category and the Entity, whatever the relationship type defined in the process.

If headers exist, they are updated at every data processing launch.

The origin generated by the NER data processing is ‘CONS_NETEQUITY_RECL’.

The origin generated by the Accounts Reclassification data processing is ‘CONS_RECLASSIFICATION’.

Monthly splitting

When it is necessary to define periodic data of one or more accounts from the cumulated data of a specific period, it is possible to use CCH Tagetik's **Monthly splitting** data processing or the **Custom Splitting on Periods** data processing .

The first one (Monthly splitting) is defined for each single account and allows you to split per month from the last period of a scenario, on all previous periods of the Scenario, while the second one (Custom Splitting on Periods) allows you to define in much more detail the data to split, the Scenarios /Periods on which to split the data and the driver to use

In order to use the **Monthly splitting**, it is necessary to define some rules which are not linked to a specific process nor to an entity, but to the account to which the amount to be split belongs.

The **monthly splitting** rules allow the user to generate entries on the target periods.

Monthly splitting rules

The monthly splitting rules can be defined for the "P&L", "Other variations" accounts or for the "Variations" accounts of "BS" or "Other stocks" nature.

For the other account types / natures it is not possible to define the monthly splitting rules since they are always treated as cumulated accounts.

In order to define a monthly splitting rule, it is necessary to:

- access the accounts elements table (accessible from the administrator user web interface by following the path *Setup & Admin > Data Model > Dimensions > Account > Elements*) *Navigation panel> Dimensions > Account > Elements*) and select the account for which the the monthly splitting rule has to be defined;
- place the cursor on the "**Monthly splitting rules**" tab

The **Monthly splitting type** property specifies how the cumulated amount has to be split. Possible splitting types:

- *No*. The system does not run any monthly splitting
- *Flat*. The account's value is shared equally on each period (e.g. the amount of December is equally split on 12 months)
- *Coefficient 445.* The account's value is distributed according to a coefficient which follows the 4,4,5 progression of the weeks during the months. Considering that in one year there are 52 weeks and that in each quarter there are 13 weeks, the "weights" of the weeks in the quarter will be 4/52 8/52 13/52 17/52 .... 47/52 52/52
- *Coefficient 454.* The value of the account is distributed according to a coefficient which follows the 4, 5, 4 progression of the weeks during the months. Considering that in one year there are 52 weeks and that in each quarter there are 13 weeks, the "weights" of the weeks in the quarter will be 4/52 9/52 13/52 17/52 .... 48/52 52/52
- *Coefficient 544.* The value of the account is distributed according to a coefficient which follows the 5,4,4 progression of the weeks during the months. Considering that in one year there are 52 weeks and that in each quarter there are 13 weeks, the "weights" of the weeks in the quarter will be 5/52 9/52 13/52 18/52 .... 48/52 52/52

   The rules using the coefficients 445, 454 and 544 can be applied only if the monthly splitting is done on 12 periods.
- *Adv. management* The system splits per month the value of an account using a driver. The driver to use is defined according to the following information

Reference:

the **Reference account**. Account used to calculate the monthly splitting driver. If none is specified, the system uses the account for which the monthly splitting rule is being defined.

As an alternative to a single account, it is possible to indicate an entire hierarchy of accounts (**Reference accounts hierarchy**)

the **reference scenario**. The definition of a reference scenario is required when the scenario to use for the calculation is different from the data processing scenario. The reference scenario for the driver is parametric, in other words determined by the system during the rule execution. The available parametric values are:

- PREV. The reference scenario for the driver is the one before the processed scenario
- NEXT. The reference scenario for the driver is the one after the processed scenario
- REF1...REF5. The reference scenario for the driver is the 1...5 reference scenario related to the processed scenario

a possible filter on the managed **custom dimensions 1...5**, on the **category**, on the**Ctp entity** and on the **Ctp custom dimension 2** to apply when defining the monthly splitting driver

Process setup for the "Monthly splitting" management

In order to enable the "Monthly splitting" data processing for a given process the user needs to:

- open the process elements table accessible from the admin user interface from *Setup & Admin > Processes > select the process to parametrize* and then *Actions (⋮) > Define process.* ; *Navigation panel> Processes& Workflows > Process > select the process to parametrize* and then *Actions (⋮) > Define process.* ;
- in the **Data Processing** area, enable the **Others** > **Monthly splitting by Account** data processing
- save

“Monthly splitting” data processing

Once the parametrization of the monthly splitting rules is complete, it is possible to run the monthly splitting data processing. This data processing can be run only if its execution has been enabled for the selected process (for further details see chapter **Other** data processing of the manual on the process parametrization).

The system calculates data to be split per month according to the information specified in the initial filter:

- the **last period** of the scenario to run. In order to run the monthly splitting it is necessary to "launch" the data processing on the last open period of a scenario: usually it is run on the period 12 but, if the periods represent the weeks, it is run on the period 52. If several scenarios/periods are specified in the initial filter, the system puts together the monthly splitting periods: for example, scenarios 2010C/12 and 2010B/12 will be run together if they have the same target periods
- the **entities**
- other possible **optional filters**
- the **accounts** to which a monthly splitting rule is linked

The data processing "operates" only on the gross amounts and on the IC amounts and takes into account all origins but those generated:

- by a previous monthly splitting (PROC_MONTHLY_SPLIT_NEW)
- by the preconsolidation reclassifications (PROC_RECLASSIFICATION)
- by the depreciation calculation (PROC_DEPRECIATION)
- by the basic calculations (PROC_CALCULATED_BASIC)
- by the deferred taxes calculation (PROC_DEFERRED_TAXES)
- by the balancing (PROC_BALANCING)
- by the equity reclassification (PROC_NETEQUITY_RECL)
- by the application of calculation logics (PROC_CALCULATED)
- by the deconsolidation (PROC_DECONSOLIDATION3)

The system applies the monthly splitting rule to each data to be split per month, as follows:

- if the "Monthly splitting type" defined for the account is "NO", then data is not split per month
- if the "Monthly splitting type" defined for the account is "simple" type, then data is split per month by applying the constant coefficient specified in the rule
- if the "Monthly splitting type" defined for the account is “advanced”, then the system calculates the monthly splitting drivers according to the information specified in the rule. The calculated drivers are used by the system to calculate the weights to apply to data to be split per month. Once the weights have been calculated, they can be applied to data to split per month.

Before entering the monthly splitting entries, the system removes the existing ones.

Run "Monthly splitting"

The monthly splitting can be run:

- from the contributor user's **process cockpit**. After selecting one or more entities or one or more nodes, it is necessary to select the **Entity data processing** button from the *Actions* menu and then select **Monthly splitting** in the data processing tree under the "Entity data processing" node. This data processing is visible only if the Monthly splitting data processing is enabled for the selected process.
- **from a data entry form**
- **from a workflow task**
- **from a job task**

From form

The "Monthly splitting" can be run also from a data entry form as a single data processing as a part of the Entity data processes enabled for a given process.

Single data processing

Open the form in Design mode, click on  **Data processing** on the Design ribbon bar (or right click on the Open Items panel).

The system displays a window in which the user will select the data processing to run: select **Monthly splitting** and click on **Next** to set up the parameters and define the data processing execution area on the Entity, Scenario, Period and Category dimension and on the Custom dimensions. The parameters in bold are mandatory.

The parameters definition modes are:

- **Automatic**. The system retrieves automatically the parameter's value from a form filter, a tab filter, a matrix filter, a row/column filter. If the filter is defined by a parameter (therefore its value is chosen by the user at run-time) the choice of the data processing value will be up to the user
- **Excel cell**. The system retrieves the parameter's value from an Excel cell. The user must specify the cell containing the value by using the syntax ${H30} (cell H30).
- **Insert**. The user must enter the parameter's value into the corresponding text box
- **Select**. The user must select the parameter's value from a list of possible values
- **Cell field**. The system retrieves the parameter's value from a cell field.

After setting up the parameters, click on "Next" to configure a series of options which allow the system to understand how the data processing has to be run within the form (e.g. if it has to be run upon saving or manually, for further details see **Data processing**).

Eventually it is necessary to assign a code and a description to the data processing that will be inserted in the form.

Entity data processing

The monthly splitting belongs to the Entity data processing and can be run also as a part of such data processing just by selecting it from the *Entity data processing* selection window.

In this case, the following parameters have to be set up:

- the original **scenario / period** on which the data processing has to be run;
- the **entities** to which data to run are allocated;
- **Disable impacted**. By default this option is disabled.

In this case, it is not possible either to select the accounts to split per month or specify filters on the other dimensions..

From workflow

Tagetik allows the user to run the monthly splitting also from a workflow model task. Also in this case, it can be run in two ways, namely either as a part of the entity data processing or individually.

In this case, the process, the period and the entities to run are pre configured in the process cockpit.

Single data processing

Open the Workflow definition page in edit mode, define a new Task by dragging the *Monthly splitting* icon, *Other data processing* tab into the workflow area.

Besides the regular options of any Workflow Task, in the Parameters area it is necessary to specify the data processing execution area on the Account, Category and Custom dimensions.

Entity data processing

Define a new Task by selecting it from the top bar, in the *Core data processing* tab, *Entity Data processing*.

Select **Monthly Splitting** in the parameters.

In this case, it is not possible either to select the accounts to split per month or to specify filters on the other dimensions.

From job

Tagetik allows the user to run the monthly splitting also from a job task. Also in this case, it can be run in two ways, namely either as a part of the entity data processing or individually.

Single data processing

Open the Job definition page in edit mode, define a new Task by dragging the *Monthly splitting* icon, *Other data processing* tab;

Besides the regular options of any Job Task, in the Parameters area it is necessary to specify the Process and the data processing execution area on the Account, Entity, Scenario, Period, Category and Custom dimensions.

By selecting the **All** option (Entity and Scenario/Period) the values of the corresponding parameter will be determined by the system when running the job and they will coincide with all the available values, at that time, for that specific parameter.

Entity data processing

Define a new Task by selecting it from the top bar, in the Core data processing tab, *Entity data processing*.

In the parameters area, it is necessary to specify the process, the Scenarios / Periods and the Entities to run and then select the **Monthly splitting** data processing.

In this case, it is not possible either to select the accounts to be split per month or specify filter s on the other dimensions.

 By selecting the **All** option (Entity and Scenario/Period) the values of the corresponding parameter will be determined by the system when running the job and they will coincide with all the available values, at that time, for that specific parameter.

IC Spreading

The IC spreading function is only relevant for processes with IC matching type that include custom dimension 2 and it is useful when the user does not want to specify Ctp custom dimension 2 in the IC data entry. This data processing writes off the existing IC declarations: by reallocating the amounts on Ctp custom dimension 2 based on the declarations made by the counterparty and by keeping the original unbalanced amounts.

Setup

For the data processing to be enabled, the following requirements must be satisfied:

- the process on which the user works must manage the by Entity/Custom dimension 2 relationship (relationship type in the Journals rules)
- the process on which the user works must enable the IC spreading data processing in the Data processing - Consolidation – Advanced consolidation section and the node of IC spreading logics to handle must be present among the requirements.

Run data processing

The data processing is run from the Contributor cockpit via the “IC spreading” button.

The button is available only when the setup requirements are met.

The button opens the window with which the user runs the data processing. The required parameters are:

- Scenario/Period
  - If the cockpit on which the user works is linked to a process with business cycles for scenario/period, then the proposed scenario/period is the one used to access the cockpit. It is impossible to modify the proposed value;
  - If the cockpit on which the user works is linked to a process with only one business cycle for scenario/period, then the proposed scenario/period is the last one linked to the process that is used to access the cockpit, but it is still possible to modify it and select multiple scenarios/periods as long as they are linked to the selected process;
- Entity
  - Those selected in the cockpit. It is impossible to modify the proposed list;
- IC spreading logic
  - Optional. If it is not specified, then all the IC spreading logics are run;;
- Run only deletion
  - It is possible to run the data processing only to delete the previous results (write-offs and reallocations) and go bavk to the initial state.

Data processing

The data processing compares the declarations made by the Entity to those made by the counterparty. The set of declarations to compare are specified by the IC spreading logics. The amounts are reallocated within sets that do not impact each other. A dataset is defined by the following filters:

- Scenario/Period;
- The Entity/Counterparty relationship;

- The categories of IC spreading logic;
- The accounts of the IC spreading logic
    - If the logic has only primary accounts and the relationship is single adjustment, then all the declarations made by the Entity on the accounts of the logic will be compared with those made by the Ctp entity on these accounts.
    - If the logic specifies two different sets:
        - The declarations of Entity B to A on primary accounts will be compared with those of Entity A to B on dependent accounts;
        - The declarations of Entity A to B on primary accounts will be compared with those of Entity B to A on dependent accounts;

The processed data are the IC declarations, the preconsolidation adjustments (with Counterparty) and the Reconciliation accounts. The accounts used in the reconciliations are those that belong to the IC spreading logic. A reconciliation row is linked directly to the logic (the code of the logic is on the row) and is taken into consideration:

- on a primary account, if the “Row” field is equal to 1 and the code of the Entity is lexicographically less than that of the Ctp entity or the row is equal to 2 and the code of the Entity is lexicographically greater than that of the Ctp entity;
- Otherwise, it is considered on a dependent account.

The first operation of the data processing is to calculate the total declarations (IC declarations, adjustments and Reconciliations are added up) of the dataset (as defined previously) and further detailed by custom dimension 2 (of the Declaring entity).

Given the Entities in the dataset A and B, the declarations made by Entity A to B on custom dimension X are compared with those made by Entity B to A on the same custom dimension. Part of these amounts (the smallest total) is reallocated to custom dimension X on both sides. Any residual amounts to be reallocated (if the totals are the same, then there will be no residual amounts), are reallocated proportionally to each custom dimension used by the counterparty's declarations.

The data processing generates two types of rows that are copies of the original ones except for the following differences:

- Writeoff rows
    - Amounts with changed sign;
    - Origin = “PROC_IC_SPREADING_CB”
- Reallocated rows
    - Amounts obtained by reallocation
    - Calculated Ctp custom dimension 2;
    - Origin = “PROC_IC_SPREADING


Since the totals to compare may be expressed in different currencies (the declarations made by different Entities), the amounts are converted to the reference currency. The conversions are used to calculate the totals; therefore, they have an impact on the comparisons and on the calculation of the reallocation factors.

IC Spreading in case of Sign errors

As mentioned, the aim of the IC Spreading is to write off the existing IC declarations, reallocating the amounts to the Ctp Custom dimension 2 based on the declarations made by the counterparty, while keeping the original unbalanced amounts.

If the declarations made by the counterparty have different signs for the different Custom dimensions 2 on the same side of the relationship, the reallocation may create amounts that cannot be managed by other data processes (e.g. IC eliminations).

This is due to the fact that in order to reallocate the amounts allocated to a generic Ctp Custom dimension 2, the data processing calculates a "weight" using the IC declaration made by the counterparty for each element of the Custom dimension 2. This weight results from the ratio of the amount of a specific element of the Custom dimension 2 to the total of the amounts of all custom dimensions 2. If the amounts have the same sign, the ratio will have a value between 0 and 1. Otherwise, in the presence of sign errors, the ratio may be high and thus generate huge amounts.

Examples

Given the following IC declarations:

1) Entity A vs Entity Ctp B - amount +200 on generic Ctp custom dimension 2 NC

2) Entity B vs Entity Ctp A - amount +101 on custom dimension 2 X

3) Entity B vs Entity Ctp A - amount +100 on custom dimension 2 Y

To reallocate the amount of the first row, the system calculates the ratio based on the second and third row.

ratio for X = X/(X+Y) = 101/(101+100) = 101/201 = 0.50

ratio for Y = Y/(X+Y) = 100/(101+100) = 100/201 = 0.50

Given the IC declarations below:

1) Entity A vs Ctp Entity B - amount +200 on generic custom dimension 2 NC

2) Entity B vs Ctp Entity A - amount +101 on custom dimension 2 X

3) Entity B vs Ctp Entity A - amount -100 on custom dimension 2 Y (sign error)

To reallocate the first row, the system calculates the ratio based on the second and on the third row.

ratio for X = X/(X+Y) = 101/(101-100) = 101/1 = 101

ratio for Y = Y/(X+Y) = 100/(101-100) = 100/1 = 100

Workaround

In the IC Spreading configuration it is possible to enable the "Delete error signs" option. When this option is enabled, the system uses a different algorithm for Ctp Custom dimensions 2 reallocation. For further details, please see Data entry chapter (Data entry > Rules and configuration > Amounts and IC Rules).

Otherwise, the user should fix data with sign errors or carry out manual overrides.

Data entry

When the “IC Spreading” data processing is active in the process, then the user does not want or cannot insert the Ctp custom dimension 2 in the IC data entries. By enabling "Show Override CTP {NOME_DEST2} type" option in the process (Data Entry & Submission Rules – Gross amounts & IC), the Ctp custom dimension 2 will be defined automatically with the default value specified for the Ctp entity and it will no longer be possible to modify it.

When the above option is enabled, by adding the 0002274 – Enable overriding for IC spreading function of the module of CONS_ELAB to the user’s role, the IC data entries allow labeling some IC declarations as overridden. The overridden declarations allow the user to specify the Ctp custom dimension 2 during data entry.

There are two types of overridden declarations: “None” and “Override”. Both are neither written off nor reallocated. The declarations called “Override” are totally ignored by the data processing. The declarations called “None” impact the reallocations of declarations that are not overridden.

IC cockpit and IC matching

When the “IC Spreading” data processing is active in the process and the "Show Override CTP {NOME_DEST2} type" option is active in the process rules (Data Entry & Submission Rules – Gross amounts & IC), then if the user enters the IC cockpit with the By Entity type Relationship, then the cockpit shows data by automatically excluding the rows generated by the data processing (writeoffs and reallocations).

On the other hand, if the user enters the IC cockpit with by Entity/Custom dimension 2 relationship, then the IC cockpit considers only the rows reallocated by the data processing and allows the user to view its result.

Balancing

The Balancing is a data processing that allows the system to automatically balance the unbalanced amounts below the threshold.

The analysed unbalanced amounts are those detected by the diagnostic of equality control groups (that is, with “=” operator) and by IC capacity check (for details on the diagnostic, see the relevant section Data processing > Diagnostic).

The balancing is enabled on the process, in the Data processing section:

- on Entities. The balancing operates on data inserted on original scenarios related to the Entities: amounts and Entity journals (both contributor and consolidator)
- on Group. The balancing includes group consolidation data present on original scenarios: consolidation journals on original scenarios
- on Consolidation Area. The balancing operates on all data present on consolidation scenarios: consolidation journals on consolidation scenarios (consolidable amount type)

The balancing is not performed at the contributor node level.

The threshold taken into consideration when deciding whether or not to perform the balancing is the one set up in the validation rules for the equality control groups and for the accounts: Original scenario balancing threshold and Consolidation scenario balancing threshold (the latter is only available for control groups).

If the Currencies for thresholds field is also defined, then the threshold amount is understood to be expressed in the specified currency and for the comparison it must be converted into the currency of the Entities / journals to which it is applied. The Fx rate used for the conversion is the Final Fx rate. If it is not defined, then the amount of the threshold is understood to be expressed in the currency of the entities / journals to which it is applied.

If the thresholds are not defined, then the system will not perform any balancing.

The balancing can be run:

- from the contributor cockpit. Once you have selected one or more Entities or one or more nodes to be processed, it is necessary to select the "Entity data processing" button from the menu on the right and then select "Balancing" in the data processing tree available under the "Entity data processing" node. This data processing is visible only if the Balancing data processing has been enabled for the selected process. Moreover, if you want to perform only the balancing of the fiscal year's result, you can select the "Balancing only the result" option
- from Consolidator Cockpit. Once one or more nodes to be processed have been selected, it is necessary to select the "Consolidation data processing", Standard or Custom, button from the menu on the right. If selected, the Standard data processes will be performed automatically, including the Balancing, if they are enabled on the process. If you select the Custom data processes, a window will pop up allowing you to run the Entity, group and area data processes, including the Balancing, if enabled on the process
- from Workflow. Inside the workflow of a contributor or mixed step, it is possible to insert a "Data processing by Entity" task having the Balancing among the data processes to be run. Whereas, inside the consolidator or mixed steps, it is possible to insert a "Consolidation" task, by choosing to run the Entity and / or group and / or area data processing
- from Job. Inside à Job, it is possible to insert a "Data processing by Entity" task having the Balancing among the data processes to be run. Moreover, it is possible to insert a "Consolidation" task, by choosing to run the Entity and / or group and / or area data processing

Control groups balancing

First, the system determines the order with which the various control groups have to be balanced. This is necessary as this data processing balances the child accounts. Thus, if an account is child of a control group and parent of another control group, then the control group in which it is a child must be balanced first.

The control groups that are balanced are those with operator "=" and having the "Balance automatically" option enabled. As already mentioned, they also need to have been correctly parameterized in the validation rules for the equality control groups, by defining the balancing threshold.

 The control groups with dependence on dimensions for account / custom dimension are not balanced.

First, the data processing removes the old balancing rows (namely, those with PROC_BALANCING origin on the original scenarios and CONS_BALANCING on the consolidation scenarios) and then inserts the new ones, for each "level" of calculated control groups.

To determine the rows on which to balance the amounts, it runs the diagnostic of the control groups that, when run by the Balancing, returns only errors below the balancing threshold.

The balancing is performed for all data types (gross, intercompany, net).

Balancing rows are inserted to balance the errors diagnosed at the level of category and category node, custom dimension, and custom dimension node and, for the IC control groups, Ctp entity and Ctp entity node.

 Neither errors diagnosed at category level on journal categories, nor errors diagnosed at level of category node containing only journal categories will be balanced.

When the row to be balanced is determined (for example, if the control group reports an unbalanced amount at the category node level, the balanced amount may be inserted on any category belonging to the node), at comparable account, the one with the highest amount is taken. If no row is found, the system will generate one.

IC capacity balancing

The balancing of the IC capacity errors is performed for the accounts for which the IC capacity check is equal to "Check=". As already mentioned, they also need to have been correctly parametrized in the validation rules for the accounts, by defining the balancing threshold.

First, the data processing deletes the old balancing rows (those with PROC_BALANCING origin) and then inserts the new ones.

To determine the rows on which to balance the amounts, it runs the diagnostic of the IC capacity that, when run by the Balancing, returns only errors below the balancing threshold.

Balancing rows are inserted to balance the errors diagnosed at the level of category and category node, custom dimension and custom dimension node.

 Neither errors diagnosed at category level on journal categories, nor errors diagnosed at level of category node containing only journal categories will be balanced.

When the row to be balanced is determined (for example, if the IC capacity check reports an unbalanced amount at the category node level, the balanced amount may be inserted on any category belonging to the node), at comparable account, the one with the highest amount is taken. If no row is found, the system will generate one.

 To distinguish the balancing rows on control groups from those of IC capacity, the “Notes” field is filled in inside the data tables by specifying the control group for which the balancing was performed or by specifying the capacity balancing.

Stored procedure

Tagetik allows data processing via stored procedures.

Stored procedures are necessary in the following cases:

- the functionalities required by the user are not feasible using standard or multidimensional account calculation logic, built-in logic, or ETL processes;
- when there is a performance issue such that using an ETL process would be less efficient;
- when the use of an ETL would not produce the desired results, or when parameterisation would be too complex.

 Whenever using a stored procedure, it is essential to remember that

- as with ETLs, special attention should be paid to the sequence in which they are executed (a sequence not structurally guaranteed by Tagetik);
- The execution of a stored procedure does not use the Tagetik technological framework; that is, it is executed without any controls related to user restrictions, Entity / custom dimension and account / custom dimension restrictions, or scenario / period locking (unless, of course, the stored procedure itself is explicitly developed to take these aspects into account).

A stored procedure should always be built with particular care to avoid destructive effects on the rest of the application. It is advisable to always seek the advice of Tagetik technicians.

A stored procedure can be:

- *scheduled* by inserting it within a job via a 'Data processing - Stored procedure' type task;
- *inserted as a task within a workflow* via a 'Stored Procedures' type task;
- *executed within a data entry form;*
- *executed by ETL* via a Stored Procedure type 'Command'.

Stored procedure definition

The definition of a stored procedure on the application database can be accessed from the administrator user web interface, by following the path:

- *Setup & Admin > Processes tile > Database objects*. In this case, users can access the full database objects list

For further details on the stored procedure definition window see **Oggetti database**.

In both cases, Tagetik always records within the audit trail the operations performed through these functionalities so that you always have full control over 'who, when and how' operated on the data

 The system places a condition on the name of the stored procedures that can be run directly by Tagetik: they must have a name (independently of any existing schema) with CPM_SP_ prefix

Parameters

Stored procedures can define input, output, or input/output parameters, depending on the type of database on which they are created and used.

Parameters can be of any type except binary.

SQL Server

@INPUT_PARAMETER VARCHAR(30)
@OUTPUT_PARAMETER VARCHAR(100) **OUTPUT**

Oracle

INPUT_PARAMETER **IN** VARCHAR2
OUTPUT_PARAMETER **OUT** VARCHAR2
INOUT_PARAMETER **IN OUT** NUMBER

Postgresql

IN INPUT_PARAMETER VARCHAR(30)
OUT OUTPUT_PARAMETER VARCHAR(30)
INOUT INOUT_PARAMETER INTEGER

SAP Hana

IN INPUT_PARAMETER VARCHAR(30)
OUT OUTPUT_PARAMETER VARCHAR(100)
INOUT INOUT_PARAMETER NUMERIC(2)

When selecting the stored procedure pre-execution parameters, only Input and Input/Output type parameters will be displayed.

If the stored procedure has been added as a task within a workflow, parameters can be assigned values inherited from the context—by using specific parameter naming—such as the data collection process, entity, source scenario, period, and step, thus avoiding the need to manually set them again.

For each parameter, values can be selected from a custom editor; the type of editor depends on the name assigned to the individual parameter (see the rules listed in the tables below).

Dimension	Prefix Name	Prefix Name with value inherited from workflow
Data collection process	RACCOLTA	RACCOLTA
Period	DIM_PER	WFDIM_PER
Scenario (both original and consolidation)	DIM_SCE	
Original scenario	DIM_SCE_O	WFDIM_SCE_O
Consolidation scenario	DIM_SCE_C	
Entity	DIM_AZI	WFDIM_AZI
Step	DIM_FASE	WFDIM_FASE
Custom dimension 1	DIM_DEST1	
Custom dimension 2	DIM_DEST2	
Custom dimension 3	DIM_DEST3	
Custom dimension 4	DIM_DEST4	
Custom dimension 5	DIM_DEST5	
Category	DIM_CAT	
Accounts	DIM_CONTO	
Cause	DIM_CAUSALE	
Unit	DIM_VAL	
Form	DIM_PROSP	

For all these parameters related to Tagetik dimensions, the assigned editor is an elements list lookup.

Other types	Prefix Name	Editor
Session user	SESSION_ USER	This parameter is never manually defined by the user, but is always defined automatically by the system with the code of the session who requested the launch of the stored procedure.  For Postgresql the parameter to use is SESSION_USR
Flag	FLAG_	Check box
Tagetik Enumerated Values List	COMBO_ <nome enumerato>	Drop-down list

Below are the names to be used for the most common enumerations applicable to “List of values from Tagetik enumerations” type parameters:

- NaturaConto;
- TipoConto;
- TipoCategoria;
- TipoScenario.



- if a parameter does not have a valid name or type, or if the stored procedure has not been deployed, then it will not appear in the list of user-executable procedures;
- It is possible to have multiple parameters that reference the same Tagetik dimension. for example RACCOLTA1 and RACCOLTA2;
- if a parameter has the name DIM_SCE_C1 or DIM_SCE_O1, it will be considered by the system as a consolidation scenario and an original scenario, respectively;
- if the Scenario and Period parameter is used, the lists proposed for the selection of values will not be related to each other; i.e. it will be possible to select a value for the period parameter regardless of whether such a period exists for the given scenario;
- in the lists proposed for the selection of parameter values, user restrictions are never applied.

When the stored procedures are executed, all Input, Output and Input/Output parameters will be reported in the audit logs.

EXAMPLES

Sql Server

```
CREATE PROCEDURE CPM_SP_TEST (
@RACCOLTA VARCHAR(30),
@OUTPUT1 VARCHAR(100) OUTPUT,
@DIM_SCE_O VARCHAR(15),
@OUTPUT2 VARCHAR(1000) OUTPUT,
@DIM_PER VARCHAR(2),
@NUM1 NUMERIC(2) OUTPUT,
@WFDIM_AZI VARCHAR(30),
@NUM2 NUMERIC(2) OUTPUT,
@COMBO_NATURACONTO VARCHAR(1),
@FLAG_TEST NUMERIC(1),
@SESSION_USER VARCHAR(90)
```

```
)
AS
BEGIN
SET @NUM1 = @NUM2 + 1
SET @OUTPUT1 = 'Test output1'
SET @OUTPUT2 = @RACCOLTA + '-' + @DIM_SCE_O + '-' + @DIM_PER + '-' + @WFDIM_AZI + '-' + @SESSION_
USER
RETURN (1)
END
```

Oracle

```
CREATE OR REPLACE PROCEDURE CPM_SP_TEST (
RACCOLTA IN VARCHAR2,
OUTPUT1 OUT VARCHAR2,
DIM_SCE_O IN VARCHAR2,
OUTPUT2 OUT VARCHAR2,
DIM_PER IN VARCHAR2,
NUM1 IN OUT NUMBER,
WFDIM_AZI IN VARCHAR2,
NUM2 IN OUT NUMBER,
COMBO_NATURACONTO IN VARCHAR2,
FLAG_TEST IN NUMBER,
SESSION_USER IN VARCHAR2
)
IS
BEGIN
NUM1 := NUM2 + 1;
OUTPUT1 := 'Test output1';
OUTPUT2 := RACCOLTA || '-' || DIM_SCE_O || '-' || DIM_PER || '-' || WFDIM_AZI || '-' || SESSION_USER || '-' ||
NUM1 || '-' || NUM2;
END CPM_SP_TEST;
```

Postgresql

```
CREATE OR REPLACE FUNCTION CPM_SP_TEST (
IN RACCOLTA VARCHAR(30),
OUT OUTPUT1 VARCHAR(30),
IN DIM_SCE_O VARCHAR(15),
OUT OUTPUT2 VARCHAR(30),
IN DIM_PER VARCHAR(2),
INOUT NUM1 INTEGER,
IN WFDIM_AZI VARCHAR(30),
INOUT NUM2 INTEGER,
IN COMBO_NATURACONTO VARCHAR(1),
IN FLAG_TEST INTEGER
)
RETURNS void AS
$$
BEGIN
NUM1 := NUM2 + 1;
```

```
OUTPUT1 := 'Test output1';
OUTPUT2 := RACCOLTA || '-' || DIM_SCE_O || '-' || DIM_PER || '-' || WFDIM_AZI || '-' || SESSION_USER || '-' || NUM1 || '-' || NUM2;
END;
$$ LANGUAGE plpgsql;
```

SAP Hana

```
CREATE PROCEDURE "CPM_SP_TEST" (
IN RACCOLTA VARCHAR(30),
IN DIM_SCE_O VARCHAR(15),
OUT OUTPUT2 VARCHAR(1000),
IN DIM_PER VARCHAR(2),
INOUT NUM1 NUMERIC(2),
IN WFDIM_AZI VARCHAR(30),
INOUT NUM2 NUMERIC(2),
IN COMBO_NATURACONTO VARCHAR(1),
IN FLAG_TEST NUMERIC(1),
IN "SESSION_USER" VARCHAR(255)
)
LANGUAGE SQLSCRIPT SQL SECURITY INVOKER AS
BEGIN
OUTPUT2 = :RACCOLTA || '-' || :DIM_SCE_O || '-' || :DIM_PER || '-' || :WFDIM_AZI || '-' || :SESSION_USER || '-' || :NUM1 || '-' || :NUM2;
END;
```

Example: The following stored procedure reads the data from the cogs table, assigns them progressive values, and then loads them into the gross balances table based on the account in which they must be stored.

```
ALTER PROCEDURE [dbo].[CPM_SP_COGS_TO_DSL] as
declare @provenienza varchar(50)
declare @SCE_O VARCHAR(10)

begin
set @SCE_O = '2011MACT'
set @provenienza = 'CPM_SP_COGS_TO_DSL'

select
cod_azienda,
cod_scenario,
cod_periodo,
'G01' Dest1,
ProdCategoryCode Dest2,
ClusterCustomerCode Dest3,
CompanyCurrencyCode CompanyCurrencyCode,
DocCurrencyCode DocCurrencyCode,
-sum( isnull(Qty_L , 0 ) ) QTY_L,
-sum( isnull(Qty_A , 0 ) ) QTY_A,
-sum( isnull(Qty, 0 ) ) AV_P1_M2,
-sum( - isnull(SalesmanCommision, 0)
```

```
- isnull(DistributorCommision, 0)) P25100_M2,
-sum( -isnull(Cost , 0 ) ) P15110_M2,
-sum( -isnull(CostCorporate_S,0 )) CPR_S,
-sum( -isnull(YearEndBonus,0)) B00001,
-sum( isnull(Value_F_A ,0 )) VAL_F_A,
sum( isnull(Value_F_S ,0 )) VAL_F_S, -sum( isnull(Value_F_A ,0 )+ isnull(Value_F_S ,0 )) VAL_F,
-sum( isnull(Value_L_S ,0 )) VAL_L_S,
-sum( -isnull(Royalties , 0 )) P25200_M2
/* Start: temporary table */
into #COGS_TO_DSL
from cogs
where cod_scenario = @SCE_O
and cod_azienda in (select cod_azienda from azienda )
group by
cod_azienda,
cod_scenario,
cod_periodo,
ProdCategoryCode,
ClusterCustomerCode,
DocCurrencyCode,
CompanyCurrencyCode
/* END temporary table */

select
cod_azienda,
cod_scenario,
p.cod_periodo,
Dest1,
Dest2,
Dest3,
CompanyCurrencyCode CompanyCurrencyCode,
DocCurrencyCode DocCurrencyCode,
sum( QTY_L ) QTY_L,
sum( QTY_A ) QTY_A,
sum( AV_P1_M2) AV_P1_M2,
sum( P25100_M2 ) P25100_M2,
sum( P15110_M2 ) P15110_M2,
sum( CPR_S ) CPR_S,
sum( B00001 ) B00001,
sum( VAL_F_A ) VAL_F_A,
sum( VAL_F_S ) VAL_F_S,
sum( VAL_F ) VAL_F,
SUM( VAL_L_S) VAL_L_S,
sum( P25200_M2 ) P25200_M2
into #COGS_TO_DSL_YTD
from #COGS_TO_DSL t, periodo p
where t.cod_periodo <= p.cod_periodo
and cod_scenario = @SCE_O
group by
```

```
cod_azienda,
cod_scenario,
p.cod_periodo,
dest1,
dest2,
dest3,
DocCurrencyCode,
CompanyCurrencyCode
--/* FINE PROGRESSIVIZZAZIONE */

delete from dati_saldi_lordi
where cod_scenario = @SCE_O
and provenienza = @provenienza

/* START: insert into dati_Saldi_lordi */
--50225 SalesPeople Costs
insert into dati_saldi_lordi(OID_DATI_SALDI_LORDI, COD_SCENARIO, COD_PERIODO, COD_AZIENDA, COD_
CONTO, COD_DEST1, COD_DEST2, COD_DEST3, COD_CATEGORIA, IMPORTO, COD_VALUTA, IMPORTO_VALUTA_
ORIGINARIA, COD_VALUTA_ORIGINARIA, PROVENIENZA, USERUPD, DATEUPD, NOTE)
select
newid() OID_DATI_SALDI_LORDI,
t.cod_scenario COD_SCENARIO,
t.cod_periodo COD_PERIODO,
cod_azienda COD_AZIENDA,
'50225' COD_CONTO,
Dest1,
Dest2,
Dest3,
'S'  COD_CATEGORIA,
P25100_M2 IMPORTO,
COMPANYCURRENCYCODE COD_VALUTA,
P25100_M2 IMPORTO_VALUTA_ORIGINARIA,
COMPANYCURRENCYCODE COD_VALUTA_ORIGINARIA,
@PROVENIENZA PROVENIENZA,
'Young' USERUPD,
getdate() DATEUPD,
null NOTE
from #COGS_TO_DSL_YTD t
where P25100_M2 <> 0
and cod_scenario = @SCE_o
and Dest2 <> 'POP'

-- 50220 - Advertising and Promotion
insert into dati_saldi_lordi(OID_DATI_SALDI_LORDI, COD_SCENARIO, COD_PERIODO, COD_AZIENDA, COD_
CONTO, COD_DEST1, COD_DEST2, COD_DEST3, COD_CATEGORIA, IMPORTO, COD_VALUTA, IMPORTO_VALUTA_
ORIGINARIA, COD_VALUTA_ORIGINARIA, PROVENIENZA, USERUPD, DATEUPD, NOTE)
select
newid() OID_DATI_SALDI_LORDI,
t.cod_scenario COD_SCENARIO,
t.cod_periodo COD_PERIODO,
```

```
cod_azienda COD_AZIENDA,
'50220' COD_CONTO,
Dest1,
Dest2,
Dest3,
'S' COD_CATEGORIA,
P15110_M2 IMPORTO,
COMPANYCURRENCYCODE COD_VALUTA,
P15110_M2 IMPORTO_VALUTA_ORIGINARIA,
COMPANYCURRENCYCODE COD_VALUTA_ORIGINARIA,
@PROVENIENZA PROVENIENZA,
'Young' USERUPD,
getdate() DATEUPD,
null NOTE
from #COGS_TO_DSL_YTD t
where P15110_M2 <> 0
AND Dest2 <> 'POP'
AND T.COD_SCENARIO = @SCE_O
end
```

Countervalue calculation

Abstract

This data processing is aimed at providing an instrument to calculate the counter value of the amounts (gross and IC) in a massive way from the transaction currency (original currency) to the entity currency.

Description

Generally the countervalue calculation is not necessary since in Tagteik data are automatically defined in dual currency. Nevertheless, in some cases it is necessary to update the amount expressed in the entity currency from the amount expressed in the transaction currency in a massive way. This is the case, for instance, of the Currency interest rates update or of the import of only the amount in the transaction currency from external source .

Setup

In order to make the countervalue calculation work properly, it is necessary to define the following information:

- Currency interest rates
- Period length (for the conversion at period average FX rate)

Currency interest rates

Accounts of P&L and Other Variation nature or accounts of Variation type

The currency interest rate used for the countervalue calculation of these accounts is the one defined in the accounts table, with some exceptions:

1. When in the process Data entry rules (*Setup & Admin > Processes > Select Process > Process Definition > Data Entry & Submission Rules > Gross Amount & IC > Override rules*) (*Navigation panel> Processes & Workflows > Process > Select Process > Process Definition > Data Entry & Submission Rules > Gross Amount & IC > Override rules*) the "Override Period average FX rate on P&L or on Variations accounts" value has been selected as **P&L: Countervalue calculation method** :

   In this case we use the **period average** interest rate applied to the periodic amount;

2. When a P&L FX rate or a Previous P&L FX rate has been specified on the account table:

In this case we use the interest rate defined in the **P&L: Countervalue calculation method** of the process;

3. When one of the following FX rates has been specified on the account table: Previous Final, Historical, Initial Balance, Year-to-date average.

   In this case we use the **final** interest rate

Normal or Detail accounts of BS, Guar. and Comm. and Other stocks nature

These accounts are converted only if the "Run Countervalue calculation on BS, Guar. and Comm. and Other stocks accounts" option is enabled in the data entry advanced rules of the process.

The currency interest rate used for the countervalue calculation of these accounts is the one defined in the accounts table, with some exceptions:

1. When a P&L FX rate or a Previous P&L FX rate has been specified on the account table.

   In this case we use the interest rate defined in the **P&L: Countervalue calculation method** of the process;

2. When one of the following FX rates has been specified on the account table: **Previous Final**, **Historical**, **Initial Balance**, **Year-to-date average**

   In this case we use the **final** interest rate

Period length

The period length defined in the Scenario/Period table is used to identify the previous period when it is necessary to calculate the periodic amount.